

**DISCLOSURE REGARDING
REAL ESTATE AGENCY RELATIONSHIP**

(As required by the Civil Code)

When you enter into a discussion with a real estate agent regarding a real estate transaction, you should from the outset understand what type of agency relationship or representation you wish to have with the agent in the transaction.

SELLER'S AGENT

A Seller's agent under a listing agreement with Seller acts as the agent for the Seller only. A Seller's agent or a subagent of that agent has the following affirmative obligations:

To the Seller:

A fiduciary duty of the utmost care, integrity, honesty and loyalty in dealings with the Seller.

To the Buyer and the Seller:

- (a) Diligent exercise of reasonable skill and care in the performance of the agent's duties.
- (b) A duty of honest and fair dealing and good faith.
- (c) A duty to disclose all facts known to the agent materially affecting the value or desirability of property that are not known to, or within the diligent attention and observation of, the parties.

An agent is not obligated to reveal to either party any confidential information obtained from the other party that does not involve the affirmative duties set forth above.

BUYER'S AGENT

A Buyer's agent can, with a Buyer's consent, agree to act as agent for the Buyer only. This includes a Buyer's agent under a buyer-broker representation agreement with the Buyer. In these situations, the agent is not the Seller's agent, even if by agreement the agent may receive compensation for services rendered, either in full or in part from the Seller. An agent acting only for a Buyer has the following affirmative obligations:

To the Buyer:

A fiduciary duty of the utmost care, integrity, honesty, and loyalty in dealings with the Buyer.

To the Buyer and the Seller:

- (a) Diligent exercise of reasonable skill and care in the performance of the agent's duties.
- (b) A duty of honest and fair dealing and good faith.
- (c) A duty to disclose all facts known to the agent materially affecting the value or desirability of property that are not known to, or within the diligent attention and observation of, the parties.

An agent is not obligated to reveal to either party any confidential information obtained from the other party that does not involve the affirmative duties set forth above.

AGENT REPRESENTING BOTH SELLER AND BUYER

A real estate agent, either acting directly or through one or more salespersons and broker associates, can legally be the agent of both the Seller and the Buyer in a transaction, but only with the knowledge and consent of both the Seller and the Buyer.

In a dual agency situation, the agent has the following affirmative obligations to both the Seller and the Buyer:

- (a) A fiduciary duty of the utmost care, integrity, honesty, and loyalty in dealings with either the Seller or the Buyer.
- (b) Other duties to the Seller and the Buyer as stated above in their respective sections.

In representing both Seller and Buyer, a dual agent may not, without the express permission of the respective party, disclose to the other party confidential information, including, but not limited to, facts relating to the Buyer's or Seller's financial position, motivations, bargaining position, or other personal information that may impact price, including Seller's willingness accept a price less than the listing price or that the Buyer's willingness to pay a price greater than the price offered.

SELLER AND BUYER RESPONSIBILITIES

Either the purchase agreement or separate document will contain a confirmation of which agent is representing you and whether that agent is representing you exclusively in the transaction or acting as a dual agent. Please pay attention to that confirmation to make sure it accurately reflects your understanding of your agent's role.

The above duties of the agent in a real estate transaction do not relieve Seller or Buyer from the responsibility to protect their own interests. You should carefully read all agreements to assure that they adequately express your understanding of the transaction. A real estate agent is a person qualified to advise about real estate. If legal or tax advice is desired, consult a competent professional.

If you are a Buyer, you have the duty to exercise reasonable care to protect yourself, including as to those facts about the property which are known to you or within your diligent attention and observation.

Both Sellers and Buyers should strongly consider obtaining tax advice from a competent professional because the federal and state tax law consequences of a transaction can be complex and subject to change.

Throughout your real property transaction you may receive more than one disclosure form, depending upon the number of agents assisting in the transaction. The law requires each agent with whom you have more than a casual relationship to present you with this disclosure form. You should read its contents each time it is presented to you, considering the relationship between you and the real estate agent in your specific transaction.

This disclosure form includes the provisions of Sections 2079.13 to 2079.24, inclusive, of the Civil Code set forth on the next page. Read it carefully.

Lennar Homes of California, LLC

Lennar Sales Corp.

Agent

(date)

Salesperson or Broker Associate, if any

(date)

Buyer - Alpeshkumar Lilidhar Suba

(date)

Buyer - Ilaben Alpeshkumar Suba

(date)

Buyer -

(date)

Buyer -

(date)

CHAPTER 3 OF TITLE 6 OF PART 4 OF DIVISION 3 OF THE CIVIL CODE

Article 2 Agency Relationships in Residential Real Property Transactions

2079.13 As used in this Section and Sections 2079.7 and 2079.14 to 2079.24, inclusive, the following terms have the following meanings:

- (a) "Agent" means a person acting under provision of Title 9 (commencing with Section 2295) in a real property transaction, and includes a person who is licensed as a real estate broker under Chapter 3 (commencing with Section 10130) of Part 1 of Division 4 of the Business & Professions Code, and under whose license a listing is executed or an offer to purchase is obtained.
The agent in the real property transaction bears responsibility for that agent's salespersons or broker associates who perform as agents of the agent. When a salesperson or broker associate owes a duty to any principal, or to any buyer or seller who is not a principal, in a real property transaction, that duty is equivalent to the duty owed to that party by the broker for whom the salesperson or broker associate functions.
- (b) "Buyer" means a transferee in a real property transaction, and includes a person who executes an offer to purchase real property from a seller through an agent, or who seeks the services of an agent in more than a casual, transitory, or preliminary manner, with the object of entering into a real property transaction. "Buyer" includes vendee or lessee of real property.
- (c) "Commercial real property" means all real property in the state, except (1) single-family residential real property, (2) dwelling units made subject to Chapter 2 (commencing with Section 1940) of Title 5, (3) a mobilehome, as defined in section 798.3, (4) vacant land, or (5) a recreational vehicle, as defined in Section 799.29.
- (d) "Dual agent" means an agent acting, either directly or through salesperson or broker associate, as agent for both the seller and the buyer in a real property transaction.
- (e) "Listing agreement" means a written contract between the seller of real property and an agent, by which the agent has been authorized to sell the real property or to find or obtain a buyer, including rendering other services for which a real estate license is required to the seller pursuant to the terms of the agreement.
- (f) "Seller's agent" means a person who has obtained a listing of real property to act as an agent for compensation.
- (g) Listing price" is the amount expressed in dollars specified in the listing for which the seller is willing to sell the real property through the seller's agent.
- (h) "Offering price" is the amount expressed in dollars specified in an offer to purchase for which the buyer is willing to buy the real property.
- (i) "Offer to purchase" means a written contract executed by a buyer acting through a buyer's agent that becomes the contract for the sale of the real property upon acceptance by the seller.
- (j) "Real property" means any estate specified by subdivision (1) or (2) of Section 761 in property, and includes (1) single-family residential property, (2) multiunit residential property with more than four dwelling units, (3) commercial real property, (4) vacant land, (5) a ground lease coupled with improvements, or (6) a manufactured home as defined in Section 18007 of the Health and Safety Code, or a mobilehome as defined in Section 18008 of the Health and Safety Code, when offered for sale or sold through an agent pursuant to the authority contained in Section 10131.6 of the Business and Professions Code.
- (k) "Real property Transaction" means a transaction for the sale of real property in which an agent is retained by a buyer, seller, or both a buyer and seller to act in that transaction, and includes a listing or offer to purchase.
- (l) "Single-family residential property" or "single-family residential real property" means any of the following:
- (1) Real property improved with one to four dwelling units, including a leasehold exceeding one year's duration.

(2) A unit in a residential stock cooperative, condominium, or planned unit development.

(3) A mobilehome or manufactured home when offered for sale or sold through a real estate broker pursuant to Section 10131.6 of the Business and Professions Code.
- (m) "Sell," "sale," or "sold" refers to transaction for the transfer of real property from the seller to the buyer and includes exchanges of real property between the seller and buyer, transactions for the creation of a real property sales contract within the meaning of Section 2985, and transactions for the creation of a leasehold exceeding one year's duration.
- (n) "Seller" means the transferor in a real property transaction and includes an owner who lists real property with an agent, whether or not a transfer results, or who receives an offer to purchase real property of which he or she is the owner from an agent on behalf of another.. "Seller" includes both a vendor and a lessor of real property.
- (o) Buyer's agent" means an agent who represents a buyer in a real property transaction.
- (p) "buyer-broker representation agreement" means a written contact between a buyer of real property and a buyer's agent by which the buyer's agent has been authorized by the buyer to provide services set forth in subdivision (a) of Section 10131 of the Business and Professions Code for or on behalf of the buyer for which a real estate license is required pursuant to the terms of the contract.

2079.14 (a) A copy of the disclosure form specified in Section 2079.16, and shall be provided in a real property transaction as follows:

- (1) The seller's agent, if any, shall provide the disclosure form to the seller prior to entering into the listing agreement.

(2) The buyer's agent shall provide the disclosure form to the buyer as soon as practicable prior to execution of a buyer-broker representation agreement and execution of the buyer's offer to purchase. If the offer to purchase is not prepared by the buyer's agent, the buyer's agent shall present the disclosure form to the buyer not later than the next business day after receiving the offer to purchase from the buyer.

(b) The agent providing the disclosure form specified in Section 2079.16 shall obtain a signed acknowledgment of receipt from the buyer or seller except as provided in Section 2079.15.

2079.15 In any circumstance in which the seller or buyer refuses to sign an acknowledgment of receipt pursuant to Section 2079.14, the agent shall set forth, sign and date a written declaration of the facts of the refusal.

2079.16 Disclosure Form [Intentionally Omitted].

- 2079.17 (a) As soon as practicable, the buyer's agent shall disclose to the buyer and seller whether the agent is acting in the real property transaction as the buyer's agent, or as a dual agent representing both the buyer and the seller. This relationship shall be confirmed in the contract to purchase and sell the real property or in a separate writing executed or acknowledged by the seller, the buyer, and the buyer's agent prior to the coincident with execution of that contract by the buyer and the seller, respectively.
- (b) As soon as practicable, the seller's agent shall disclose to the seller whether the seller's agent is acting in the real property transaction as the seller's agent, or as a dual agent representing both the buyer and the seller. This relationship shall be confirmed in the contract to purchase and sell real property or in a separate writing executed or acknowledged by the seller and the seller's agent prior to of coincident with the execution of that contract by the seller.
- (c) The confirmation required by subdivisions (a) and (b) shall be in the following form:

(Name of Seller's Agent, Brokerage firm and license number)

is the broker of (check one):

☐ the seller; or
☐ both the buyer and seller. (dual agent)

(Name of Seller's Agent and license number)
is (check one):

☐ is the Seller's Agent. (salesperson or broker associate)
☐ is both the Buyer's and Seller's Agent. (dual agent)

(Name of Buyer's Agent, Brokerage firm and license number)
is the broker of (check one):

☐ the buyer; or
☐ both the buyer and seller. (dual agent)

(Name of Buyer's Agent and license number)
is (check one):

☐ the Buyer's Agent. (salesperson or broker associate)
☐ both the Buyer's and Seller's Agent. (dual agent)

(d) The disclosures and confirmation required by this section shall be in addition to the disclosure required by Section 2079.14. An agent's duty to provide disclosure and confirmation of representation in this section may be performed by a real estate salesperson or broker associate affiliated with a broker.

2079.18 Repealed by Stats. 2018, c. 907 (A.B. 1289) § 43, eff. January 1, 2019.

2079.19 The payment of compensation or the obligation to pay compensation to an agent by the seller or buyer is not necessarily determinative of a particular agency relationship between an agent and the seller or buyer. A listing agent and a selling agent may agree to share any compensation or commission paid, or any right to any compensation or commission for which an obligation arises as the result of a real estate transaction, and the terms of any such agreement shall not necessarily be determinative of particular relationship.

2079.20 Nothing in this article prevents an agent from selecting, as a condition of the agent's employment, a specific form of agency relationship not specifically prohibited by this article if the requirements of Section 2079.14 and Section 2079.17 are complied with.

2079.21 (a) A dual agent may not, without express permission of the seller, disclose to the buyer any confidential information obtained from the seller.

(b) A dual agent may not, without express permission of the buyer, disclose to the seller any confidential information obtained from the buyer.

(c) "Confidential Information" means facts relating to the client's financial position, motivations, bargaining position, or other personal information that may impact price, such as the seller is willing to accept a price less than the listing price or the buyer is willing to pay a price greater than the price offered.

(d) This section does not alter in any way the duty or responsibility of a dual agent to any principal with respect to confidential information other than price.

2079.22 Nothing in this article precludes a seller's agent from also being a buyer's agent. If a seller or buyer in a transaction chooses to not be represented by an agent, that does not, of itself, make that agent a dual agent.

2079.23 (a) A contract between the principal and agent may be modified or altered to change the agency relationship at any time before the performance of the act which is the object of the agency with the written consent of the parties to the agency relationship.

(b) A lender or an auction company retained by a lender to control aspects of a transaction of real property subject to this part, including validating the sales price, shall not require, as a condition of receiving the lender's approval of the transaction, the homeowner or listing agent to defend or indemnify the lender or auction company from any liability alleged to result from the actions of the lender or auction company. Any clause, provision, covenant, or agreement purporting to impose an obligation to defend or indemnify a lender or an auction company in violation of this subdivision is against public policy, void, and unenforceable.

2079.24 Nothing in this article shall be construed to either diminish the duty of disclosure owed buyers and sellers by agents and their associate licensees, subagents, and employees or to relieve agents and their associate licensees, subagents, and employees from liability for their conduct in connection with acts governed by this article or for any breach of a fiduciary duty or a duty of disclosure.

CONFIRMATION
AGENCY RELATIONSHIP

SELLER: Lennar Homes of California, LLC
Subject Property: Lot # 91 of Block Tract 3968
Address: 1465 N. Girardi Drive Mountain House CA 95391

Lennar Sales Corp. 1252753
(Name of Seller's Agent, brokerage firm and license number)

is the broker of (check one):

- ☒ the Seller; or
☐ both the buyer and seller. (dual agent)

Carlo Eugenio 2044131
(Name of Seller's Agent and license number)

is (check one)

- ☒ the Seller's Agent(salesperson or broker associate)
☐ is both the Buyer's and Seller's Agent. (dual agent)

(Name of Buyer's Agent, brokerage firm and license number)

is the broker of (check one):

- ☐ the buyer; or
☐ both the buyer and seller. (dual agent)

(Name of Buyer's Agent and license number)

is (check one):

- ☐ the Buyer's Agent(salesperson or broker associate)
☐ is both the Buyer's and Seller's Agent. (dual agent)

I/WE ACKNOWLEDGE RECEIPT OF A COPY OF THIS CONFIRMATION.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

**PURCHASE AGREEMENT AND DEPOSIT RECEIPT
AND ESCROW INSTRUCTIONS**
("Purchase Agreement")

THIS DOCUMENT HAS IMPORTANT LEGAL CONSEQUENCES AND SHOULD BE READ THOROUGHLY PRIOR TO SIGNING. IF YOU HAVE ANY QUESTIONS ABOUT YOUR RIGHTS OR OBLIGATIONS UNDER THIS DOCUMENT, YOU MAY WISH TO CONSULT AN ATTORNEY.

BUYER Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba agrees to purchase, and SELLER, Lennar Homes of California, LLC agrees to sell, the following described real property for the purchase price and upon the terms stated below.

1. **PROPERTY DESCRIPTION.** Homesite 91 Plan & Elevation Residence 4 S / G Lot/Unit No. 91 Tract No. 3968 Color Scheme 4 situated in the City/County of Mountain House / San Joaquin, California, commonly known as 1465 N. Girardi Drive Mountain House CA 95391, together with the improvements constructed thereon or to be constructed thereon substantially in accordance with the plans and specifications on file with the appropriate governmental agencies ("**Property**"). **SELLER retains the right to make non-material modifications to the plans and specifications from time to time in SELLER'S sole discretion and without compensation to BUYER.**

BUYER'S Initials _____

2. PURCHASE PRICE. The Purchase Price for the Property, exclusive of BUYER options and closing costs, shall be payable as follows:	\$ 1,343,880.00
A. Deposit, which SELLER acknowledges receiving on _____:	\$40,000.00
B. First trust deed loan proceeds;	\$960,000.00
C. Options and Upgrades;	\$21,971.00
D. Balance of down payment to be deposited in Escrow within (3) three days after Escrow's request for funds;	\$ 365,851.00
TOTAL:	\$ 1,365,851.00
E. Estimated closing costs;	\$15,000.00
F. Estimated funds to close escrow;	\$ 380,851.00
All payments shall be made by cashiers check or federal wire transfer of funds.	Lines D + E

3. **FINANCING.** BUYER and SELLER agree this Purchase is X is not _____ contingent upon BUYER obtaining a loan commitment for financing secured by the Property. As used herein the term "Loan Commitment" shall mean the written approval by a loan underwriter (not a loan broker) agreeing to provide funds necessary for closing. Should this purchase be contingent upon such financing, BUYER will immediately, but not later than five (5) days after SELLER'S acceptance, make full and complete application to obtain financing of the amount specified in Paragraph 2B above. BUYER may make application to Lennar Mortgage, LLC ("**Lennar Mortgage**") or any lender of BUYER'S choice. Regardless of lender selected by BUYER, SELLER requires BUYER to submit to Lennar Mortgage, an affiliate of SELLER, for its own purposes, a preliminary assessment of BUYER'S ability to qualify for a mortgage loan to purchase the Property, such information and authorizations requested by Lennar Mortgage to perform the preliminary qualification assessment. BUYER is not obligated to use Lennar Mortgage to obtain a loan to purchase the Property. If BUYER chooses to obtain financing through a lender other than Lennar Mortgage, BUYER agrees to provide SELLER with the name, address and phone number of such lender, the loan officer and loan processor, all within the same five (5) day period. BUYER hereby authorizes such other lender to provide SELLER with a copy of BUYER'S loan application documents and all information regarding the status of the loan upon SELLER'S request. If BUYER elects to accept a loan from such other lender, BUYER will not be charged a credit report fee by Lennar Mortgage. BUYER agrees in good faith to take all steps required for the processing of the loan application and to promptly sign all documents and do all acts required by lender. Any cancellation or withdrawal of said loan application by BUYER prior to the issuance of a loan approval shall be a default of this Purchase Agreement as set forth in Paragraph 13 below. BUYER agrees that after submitting a loan application for loan approval, BUYER will not take any action intended to impair BUYER'S credit. The terms and conditions of the loan are a matter of concern solely between BUYER and lender and shall not in any way affect the rights or obligations of BUYER or SELLER hereunder. In no event shall Buyer change BUYER'S selected lender within thirty (30) days of the Close of Escrow, regardless of the reason for such change. Should BUYER receive loan approval, but thereafter, through no fault of SELLER, but through BUYER'S voluntary or willful actions, fail to timely close escrow, BUYER shall be in default of this Purchase Agreement as set forth in Paragraph 13 below. **BUYER understands the interest rate for the loan will be at the prevailing rate of the lender when the loan is funded or such other rate as BUYER and lender may jointly determine.**

BUYER and SELLER understand and acknowledge that if for any reason, other than BUYER'S failure to perform as required under this section and provided that BUYER is not otherwise in default under the Purchase Agreement and has not cancelled or withdrawn BUYER'S loan application, BUYER has not obtained a loan commitment by 09/14/2025, then, upon BUYER'S execution of Escrow Holder's instructions to cancel Escrow and this Purchase Agreement, all sums deposited by BUYER shall be promptly refunded to BUYER. **If BUYER fails to obtain the loan commitment by the date set forth above, SELLER may, at its option, unilaterally cancel this Purchase Agreement.** Should BUYER'S lender delay the Close of Escrow ("**Close of Escrow**"), SELLER has no obligation to extend the Close of Escrow, but SELLER may grant an

extension on terms and conditions as provided hereinbelow.

4. **DEPOSIT.** As a Deposit, BUYER hereby hands SELLER the sum of \$40,000.00. In the event SELLER does not accept this offer, SELLER shall immediately return such sum to BUYER. Escrow Holder is not to be concerned with or responsible for such Deposit other than to acknowledge and to credit such sum as paid. With the exception of this Deposit (and any additional deposit required, if applicable), the balance of all funds in this transaction shall be held by Escrow Holder. In connection with the receipt of all Deposits held outside of Escrow by SELLER, SELLER has delivered a surety bond to the California Department of Real Estate pursuant to the provisions of Title 10 of the California Code of Regulations Section 2791.2, at least equal in amount to the aggregate of all such funds held by SELLER outside of Escrow. At the Close of Escrow, BUYER'S Deposit shall be credited to BUYER'S account. In the event Escrow fails to close through no fault of BUYER, and provided BUYER's Deposit has received bank clearance, SELLER shall, within five (5) days of notice by Escrow Holder, transmit to Escrow Holder, funds equal to the Deposits paid by BUYER.

5. **ESCROW.** By execution of this Purchase Agreement, BUYER authorizes SELLER to open Escrow at Lennar Title immediately upon SELLER'S acceptance, and both parties agree to the general provisions of the Escrow Holder's escrow instructions which are not inconsistent with the terms and conditions of this Purchase Agreement. In the event of any inconsistency, the terms of this Purchase Agreement shall control. This Purchase Agreement and the general provisions shall be deemed Escrow Instructions. In the event SELLER does not hold BUYER'S Deposit pursuant to Paragraph 4, SELLER shall deposit BUYER'S Deposit with Escrow Holder. Should SELLER be delayed in substantially completing the Property by reason of Force Majeure Events (as defined in Section 12.1 below) the time of such delay shall be automatically added to the time specified for the Estimated Closing Date and/or the Closing Date, as applicable, provided BUYER is given reasonable notice of such delay and provided that in no event shall such delay extend the Escrow beyond the period set forth in Section 12 below. **Close of Escrow shall be within ten (10) days following SELLER'S oral or written notification to BUYER and Escrow Holder that the home will be certified for occupancy by the City/County, currently estimated to be on or about 10/07/2025. BUYER acknowledges that said date is an estimate only and that the actual date for Close of Escrow may vary from the date stated. Should Escrow fail to close in a timely manner through no fault of BUYER, SELLER shall promptly remit to Escrow all funds received by SELLER and shall order all Deposits remitted by BUYER to SELLER or Escrow, to be refunded to BUYER within fifteen (15) days after the estimated closing date specified in this Purchase Agreement, or any mutually agreed upon extended closing date. Upon request by BUYER, SELLER may, in SELLER'S sole discretion, grant BUYER an extension of the Close of Escrow, provided however, in consideration of such extension, BUYER shall pay SELLER, an amount equal to one (1) percent of the Purchase Price per month as carrying costs. Such extension payment shall be prorated on a daily basis at the time escrow closes.** Notwithstanding the foregoing, if this Agreement is contingent upon the BUYER obtaining mortgage loan financing to complete the purchase of the Property, SELLER shall agree to postpone the Closing Date to the extent such postponement is required in order for BUYER'S Lender to meet any waiting period required under the Consumer Financial Protection Bureau's TILA-RESPA Integrated Disclosure Rule. In such event, Seller shall not impose any of the carrying costs described above or declare BUYER in default under paragraph 13 below. However, in such event, Seller shall have no liability to the BUYER for failure to deliver the Property on the originally scheduled Closing Date.

6. **CONDITIONS TO CLOSE ESCROW.** This Escrow shall not close, funds shall not be released, and title shall not be conveyed to BUYER until each of the following conditions have been met:

A. Any and all blanket encumbrances, as defined in California Business and Professions Code Section 11013, affecting the Property have been released and the statutory period for recordation of all mechanic's lien claims has expired, or the Title Policy shall include an endorsement or other coverage at SELLER'S expense insuring BUYER and the Homeowners Association against unrecorded mechanic's liens; and

B. Title, or easements of access, use and enjoyment, free and clear of any blanket encumbrances to the common areas within the Phase in which the Property is located is conveyed to the Homeowners Association; and

C. Any or all monetary encumbrances of record prior to the recording of the Covenants, Conditions and Restrictions have been subordinated thereto; and

D. All common facilities and improvements within the Phase which includes the Property have been completed, as evidenced by a Notice of Completion (as defined in Civil Code Section 8182) being recorded covering all the foregoing improvements; and either (i) the statutory period for recordation of all mechanic's lien claims has expired, or (ii) the BUYER and the Homeowners Association are provided with policies of the title insurance with endorsements against mechanic's liens; OR

Escrow Holder has accepted a deposit, by or on behalf of the SELLER, of a bond, cash deposit or other financial security in a form and amount acceptable to the California Department of Real Estate ("**DRE**"), as evidenced by Form RE 621A, to assure the lien-free completion of all those common facilities and improvements which are not completed and paid for as of the date of furnishing the financial security to assure completion; and

E. SELLER has posted a bond or other security to ensure availability of funds for the operation and maintenance of common areas and facilities as provided in Subsection 2 of the Real Estate Commissioner's Regulation 2792.9, said bond to remain on deposit with Escrow Holder until eighty percent (80%) of the Homesites in this Phase of the Community have been sold.

7. **TITLE INSURANCE.** Title to the Property shall be insured by a CLTA policy of title insurance ("**Title Policy**") issued by Lennar Title upon Close of Escrow. The Title Policy shall insure fee title to the Property vested in BUYER, with a

liability limit equal to the Purchase Price, subject only to such matters of title as are described below in this Paragraph. SELLER shall not be responsible for the cost of any additional title policy or endorsements required by the lender. The Property shall be conveyed free of any blanket encumbrances subject only to the lien for current taxes, assessments, covenants, conditions, restrictions, reservations, easements, rights of way and other matters of record. Property vesting shall be as BUYER instructs Escrow Holder.

8. **DELIVERY TO ESCROW.** Not later than seven (7) business days prior to Close of Escrow, BUYER shall deliver to Escrow Holder all documents and funds, not less than twenty-four (24) hours prior to Close of Escrow, necessary from BUYER and BUYER'S lender (if any) to close Escrow, and SELLER shall deliver to Escrow Holder all documents necessary from SELLER to close Escrow, including a fully executed and acknowledged grant deed for the Property ("**Grant Deed**"). On the date of Close of Escrow, Escrow Holder shall cause the Grant Deed to be recorded in the County's Official Records and shall then deliver to SELLER the proceeds of this Escrow to which SELLER is entitled.

9. **PRORATIONS.** Prorations and adjustments shall be made by Escrow Holder as of the Close of Escrow on the basis of a 30-day month on the following items:

- A. Taxes, based on the latest figures available to Escrow Holder, including all items appearing on real property tax bills, except taxes on property not subject to this Escrow.

NOTICE OF YOUR SUPPLEMENTAL PROPERTY TAX BILL

California property tax law requires the Assessor to revalue real property at the time the ownership of the property changes. Because of this law, you may receive one or two supplemental tax bills, depending on when your loan closes. The supplemental tax bills are not mailed to your lender. If you have arranged for your property tax payments to be paid through an impound account, the supplemental tax bills will not be paid by your lender. It is your responsibility to pay these bills directly to the Tax Collector. If you have any questions concerning this matter, please call your local Tax Collector's Office.

In the event SELLER receives a supplemental tax bill applicable only for prior tax year(s) before the tax year in which Close of Escrow occurs, such supplemental tax bill shall be the sole responsibility of SELLER. If any such supplemental tax bill has been issued for the current tax year, said supplemental tax bill will be added to the current tax bill and prorated accordingly at the Close of Escrow. ANY TAX BILLS ISSUED AFTER CLOSE OF ESCROW SHALL BE HANDLED DIRECTLY BETWEEN BUYER AND SELLER.

- B. Monthly Assessments due to the Homeowners Association.

10. **INSPECTION OF PROPERTY.** Prior to Close of Escrow, SELLER shall provide BUYER with a New Home Orientation (commonly referred to as a "walkthrough") of the Property. Pursuant to SELLER'S "Zero DefectSM", SELLER will complete all SELLER agreed to corrective work set forth on the Orientation list in a workmanlike manner, and BUYER shall cooperate fully with SELLER to enable SELLER, its agents, employees and contractors to complete such corrective work. It is SELLER'S "Zero DefectSM" policy to complete all agreed upon orientation corrective work prior to Close of Escrow, however, SELLER, and only SELLER may, in its sole discretion, delay the Close of Escrow in order to complete such corrective work. Completion of such corrective work shall not be a condition to the Close of Escrow. If BUYER and SELLER have not made such an inspection within ten (10) days from SELLER'S notification provided in Paragraph 5 above, due solely to BUYER'S unexcused failure to inspect, BUYER shall be deemed to have waived BUYER'S right to have the New Home Orientation performed prior to the Close of Escrow.

"Zero DefectSM" does not mean homes or services will be without imperfections. "Zero DefectSM" describes the goal of having every home delivered without any outstanding items to be completed, and as few imperfections in the homes or services, in SELLER'S sole opinion, as are possible considering the materials and labor forces available.

11. **ENTRY UPON PROPERTY.** Without the prior written approval of SELLER, BUYER shall not be permitted to enter, occupy or take possession of the Property, or make any alterations of, or additions to, any interior or exterior improvements thereon, until after the Close of Escrow. BUYER shall not enter the Community or the Property during the construction period unless accompanied by a representative of SELLER. BUYER'S entry onto the Property prior to the Close of Escrow to perform any work on or to the Property without SELLER'S express prior written consent shall constitute a default under this Purchase Agreement. **BUYER realizes and acknowledges that entry upon the Property during construction can be dangerous and that hazards may exist which are not observable. BUYER'S entry shall be solely at his or her own risk. BUYER hereby waives any and all claims against SELLER for injury or loss to person or property arising out of, or in connection with, such entry by BUYER or any other person accompanying BUYER or entering at BUYER'S direction, and BUYER hereby indemnifies, and promises to defend and hold SELLER harmless from and against any injury, loss, damage, or expense, (including, without limitation, attorneys' fees) to persons or property arising out of, or in connection with, any such entry.** Until Close of Escrow, BUYER or BUYER'S agents shall not be permitted to show or advertise the Property to prospective purchasers or tenants or place any signs at or near the Property without the prior written consent of SELLER, which consent may be withheld by SELLER in its sole and absolute discretion.

12. **DELIVERY OF POSSESSION.** Possession of the Property shall be delivered to BUYER upon the Close of Escrow.

In the event SELLER fails to complete the home and deliver possession to BUYER within one (1) year from the date of SELLER'S execution of this Purchase Agreement, or for such additional period of time as the parties may mutually agree, BUYER shall have the right to terminate this Purchase Agreement. Upon termination for such reason, SELLER shall promptly return BUYER'S Deposit pursuant to Paragraph 4 above.

12.1 COMPLETION DATE. It is expressly agreed by Buyer that notwithstanding anything to the contrary specified herein or verbally represented (including but not limited to Seller's New Home Consultant), any scheduled completion date is a good faith estimate, and Seller makes no promises or representations concerning the estimated date of completion. Buyer agrees that Buyer has not relied, and will not rely upon, any estimated completion date for any purpose whatsoever, including, without limitation, relocation of residence, storage of personal property, or lock-in financing, and Buyer agrees that Seller shall not be liable for any additional costs, expenses or damages whatsoever should the Property not be completed by an estimated completion date. Notwithstanding the foregoing, Seller is required to complete and does agree that the construction of the Property shall be completed not later than two (2) years from the date of Buyer's execution of this Purchase Agreement. If construction is delayed by any event recognized by the law of the state in which the Property is located as a defense to a contract action for non-performance or a delay in performance, then the date of completion shall be extended by the delay period. It is the express intent of the parties that the parties' rights and obligations under this Purchase Agreement be construed in the manner necessary to exempt this Purchase Agreement and the sale of the Property from registration under the Interstate Land Sales Full Disclosure Act, and both Buyer and Seller hereby expressly waive any right or provision of this Purchase Agreement that would otherwise preclude such exemption.

12.2 FORCE MAJEURE EVENTS. As used in this Purchase Agreement, the term "Force Majeure Events" mean events beyond SELLER'S reasonable control, including but not limited to, strikes, boycotts, unavailability of materials, labor shortages, or delays in receiving materials, shortages, allocations or rationing by any governmental authority or public or private utility, civil riot, insurrection, war, foreign military commitments, flood, fire, earthquake, act of God, unusually severe weather, delays or inaction of independent contractors, litigation, delays caused by contributable acts or omissions of any public or governmental entity such as a moratorium on issuance of permits, to the extent that such events are recognized as defenses to contract performance under California law.

13. BUYER'S DEFAULT. BUYER SHALL BE IN DEFAULT OF THIS PURCHASE AGREEMENT IF, THROUGH NO FAULT OF SELLER, BUYER FAILS TO PERFORM ANY OF BUYER'S OBLIGATIONS PURSUANT TO THE TERMS AND CONDITIONS OF THE PURCHASE AGREEMENT, INCLUDING, BUT NOT LIMITED TO, DEPOSITING OF THE FUNDS IN THE AMOUNTS AND AT THE TIMES REQUIRED IN PARAGRAPHS 2 AND 4 ABOVE; BUYER FAILS TO PROMPTLY COMPLETE, EXECUTE AND DELIVER THE FINANCING AND ESCROW DOCUMENTS REFERRED TO HEREIN; BUYER WITHDRAWS OR CANCELS BUYER'S LOAN APPLICATION PRIOR TO THE ISSUANCE OF LOAN APPROVAL; OR, BUYER, THROUGH NO FAULT OF SELLER, FAILS TO CLOSE ESCROW WITHIN THE TIME PROVIDED IN PARAGRAPH 5. UPON BUYER'S DEFAULT, SELLER SHALL GIVE WRITTEN NOTICE OF THE DEFAULT TO BOTH BUYER AND ESCROW HOLDER. IF BUYER HAS FAILED TO CURE THE DEFAULT, IF CURABLE, WITHIN THREE (3) DAYS AFTER DELIVERY OF SUCH NOTICE, SELLER MAY UNILATERALLY CANCEL THIS PURCHASE AGREEMENT AND ESCROW. SELLER SHALL GIVE BUYER AND ESCROW HOLDER WRITTEN NOTICE OF SUCH CANCELLATION. THIS PURCHASE AGREEMENT SHALL BE NULL AND VOID AND OF NO FURTHER FORCE OR EFFECT OTHER THAN THOSE PROVISIONS WHICH DEAL WITH BUYER'S DEFAULT AND SELLER SHALL HAVE NO OBLIGATION TO COMPLETE THE SALE TO BUYER.

BUYER'S INITIALS

SELLER'S INITIALS

14. LIQUIDATED DAMAGES AND DISPUTE RESOLUTION.

14.1 LIQUIDATED DAMAGES FOR BUYER'S DEFAULT. IF BUYER FAILS TO COMPLETE THE PURCHASE OF THE PROPERTY BECAUSE OF A DEFAULT BY BUYER, SELLER MAY PURSUE ANY REMEDY IN LAW OR EQUITY THAT IT MAY HAVE AGAINST BUYER ON ACCOUNT OF THE DEFAULT; PROVIDED HOWEVER, THAT BY PLACING THEIR INITIALS HERE,

BUYER _____

AND SELLER _____

AGREE THAT:

- A. IN THE EVENT OF SUCH DEFAULT, IT WOULD BE EXTREMELY DIFFICULT AND IMPRACTICAL TO ASCERTAIN THE ACTUAL DAMAGES SUFFERED BY SELLER.
- B. THE AMOUNT EQUAL TO BUYER'S PURCHASE MONEY DEPOSIT SHALL CONSTITUTE "LIQUIDATED DAMAGES" PAYABLE TO SELLER IF BUYER FAILS TO COMPLETE THE PURCHASE OF THE PROPERTY BECAUSE OF A DEFAULT BY BUYER.

THE "PURCHASE MONEY DEPOSIT" SHALL INCLUDE ANY AMOUNT SEPARATELY DEPOSITED BY BUYER AS AN "OPTION DEPOSIT" IN CONNECTION WITH UPGRADES AND OPTIONAL ITEMS, IF ANY, ARE ORDERED BY BUYER. THE VALIDITY AND REASONABLENESS OF THE AMOUNT OF LIQUIDATED DAMAGES SHALL BE DETERMINED IN ACCORDANCE WITH CALIFORNIA CIVIL CODE SECTIONS 1675-1678.

C. THE PAYMENT OF SUCH LIQUIDATED DAMAGES TO SELLER SHALL CONSTITUTE THE EXCLUSIVE REMEDY OF SELLER ON ACCOUNT OF ANY DEFAULT BY BUYER.

D. LIQUIDATED DAMAGES SHALL BE PAYABLE TO SELLER OUT OF BUYER'S PURCHASE MONEY DEPOSIT ACCORDING TO THE FOLLOWING PROCEDURES:

1) SELLER SHALL GIVE WRITTEN NOTICE ("SELLER'S NOTICE AND DEMAND"), IN THE MANNER PRESCRIBED BY SECTION 116.340 OF THE CALIFORNIA CODE OF CIVIL PROCEDURE FOR SERVICE IN A SMALL CLAIMS ACTION, TO ESCROW HOLDER AND TO BUYER THAT BUYER IS IN DEFAULT UNDER THE TERMS OF THIS PURCHASE AGREEMENT AND THAT SELLER IS DEMANDING THAT ESCROW HOLDER REMIT THE PURCHASE MONEY DEPOSIT TO SELLER AS LIQUIDATED DAMAGES. SELLER SHALL, IMMEDIATELY UPON GIVING SELLER'S NOTICE AND DEMAND, DELIVER TO ESCROW HOLDER ALL PURCHASE MONEY FUNDS OF BUYER HELD BY SELLER OUTSIDE OF ESCROW.

2) BUYER SHALL HAVE A PERIOD OF TWENTY (20) DAYS FROM THE DATE OF RECEIPT OF SELLER'S NOTICE AND DEMAND IN WHICH TO GIVE ESCROW HOLDER BUYER'S WRITTEN OBJECTION TO THE DISBURSEMENT AND RELEASE OF BUYER'S PURCHASE MONEY DEPOSIT ("BUYER'S OBJECTION").

3) IF BUYER FAILS TO GIVE ESCROW HOLDER BUYER'S OBJECTION WITHIN TWENTY (20) DAYS FROM THE DATE OF RECEIPT OF SELLER'S NOTICE AND DEMAND ESCROW HOLDER SHALL PROMPTLY REMIT THE AMOUNT DEMANDED TO SELLER.

4) IF BUYER GIVES ESCROW HOLDER BUYER'S OBJECTION WITHIN TWENTY (20) DAYS FROM THE DATE OF RECEIPT OF SELLER'S NOTICE AND DEMAND, THEN THE CONTROVERSY SHALL BE DETERMINED BY SUBMISSION TO BINDING ARBITRATION AS PROVIDED IN PARAGRAPH 14.2 BELOW.

5) SHOULD BUYER NOT AGREE TO THE FOREGOING LIQUIDATED DAMAGES PROVISION, THEN THE LIQUIDATED DAMAGES AMOUNT SPECIFIED ABOVE SHALL NOT BE CONSIDERED A LIMITATION ON THE AMOUNT OF DAMAGES SELLER MIGHT RECOVER AS A RESULT OF BUYER'S DEFAULT.

SELLER AGREES TO INDEMNIFY AND HOLD ESCROW HOLDER HARMLESS FROM ANY CLAIM ARISING OUT OF ANY DISTRIBUTIONS MADE BY ESCROW HOLDER IN ACCORDANCE WITH AND PURSUANT TO THE PROVISIONS OF THIS SECTION.

14.2 **ARBITRATION OF DISPUTES.** ANY BINDING ARBITRATION REQUIRED PURSUANT TO THE FOREGOING PARAGRAPH 14.1 OF THIS PURCHASE AGREEMENT MAY INCLUDE A DETERMINATION OF THE REASONABLENESS OF THE AMOUNT TO BE PAID AS LIQUIDATED DAMAGES, THE VALIDITY OF THE FOREGOING LIQUIDATED DAMAGES PROVISION, CLAIMS THAT A PARTY IS IN DEFAULT UNDER THIS PURCHASE AGREEMENT, AND THE DISPOSITION OF THE FUNDS DEPOSITED INTO ESCROW BY BUYER, AND SHALL INCLUDE ALL CAUSES OF ACTION WHICH HAVE ARISEN BETWEEN BUYER AND SELLER RELATED THERETO AND SHALL BE CONDUCTED AS PROVIDED HEREIN.

THE RULES AND PROCEDURES FOR BINDING ARBITRATION SHALL BE SUBJECT TO THE FOLLOWING:

A. THE ARBITRATION SHALL BE CONDUCTED BY THE AMERICAN ARBITRATION ASSOCIATION ("AAA"), IF SUCH ENTITY IS THEN IN EXISTENCE, AND, IF NOT, THEN BY JUDICIAL ARBITRATION MEDIATION SERVICES, INC. ("**JAMS**"), AT A LOCATION SELECTED BY THE ARBITRATOR IN THE COUNTY WHERE THE PROPERTY IS LOCATED (OR SUCH OTHER LOCATION AS THE PARTIES MAY AGREE UPON). AAA OR JAMS, AS THE CASE MAY BE, ARE REFERRED TO HEREIN AS THE "ARBITRATION SERVICE." EXCEPT AS MODIFIED BY THE TERMS OF THIS PURCHASE AGREEMENT, THE ARBITRATION SHALL BE CONDUCTED IN ACCORDANCE WITH THE COMPREHENSIVE ARBITRATION RULES OF JAMS, OR THE COMMERCIAL ARBITRATION RULES OF THE AAA.

B. THE ARBITRATION SHALL BE COMMENCED UPON DELIVERY BY EITHER PARTY TO

THE OTHER AND TO THE ARBITRATION SERVICE (AND, IF ESCROW IS STILL OPEN, TO ESCROW HOLDER) OF A WRITTEN DEMAND FOR ARBITRATION, WHICH SHALL SET FORTH WITH SPECIFICITY THE PARTICULARS OF SUCH PARTY'S CLAIM(S), THE ISSUES TO BE SUBMITTED TO ARBITRATION AND THE RELIEF SOUGHT.

C. SELLER SHALL ADVANCE THE FEES NECESSARY TO INITIATE ARBITRATION, WITH THE COSTS AND ARBITRATOR'S FEES, INCLUDING ONGOING COSTS AND ARBITRATOR'S FEES TO BE PAID AS AGREED BY THE PARTIES, OR, IF THE PARTIES CANNOT AGREE UPON THE PAYMENT OF THE ONGOING COSTS AND FEES, THEN AS DETERMINED BY THE ARBITRATOR, WITH THE OVERALL COSTS AND FEES OF THE ARBITRATION TO BE ULTIMATELY BORNE AS DETERMINED BY THE ARBITRATOR.

D. THE ARBITRATION SHALL BE CONDUCTED BY ONE NEUTRAL AND IMPARTIAL ARBITRATOR WHO SHALL BE SELECTED JOINTLY BY THE PARTIES WITHIN FIFTEEN (15) CALENDAR DAYS FOLLOWING DELIVERY OF THE DEMAND FOR ARBITRATION, FROM THE LIST OF THEN AVAILABLE ARBITRATORS OF THE ARBITRATION SERVICE WHO ARE RETIRED JUDGES OF THE STATE OR FEDERAL COURT SYSTEMS. UNLESS SUCH FIFTEEN (15) DAY PERIOD IS EXTENDED BY MUTUAL AGREEMENT OF THE PARTIES, IF THE PARTIES HAVE FAILED TO AGREE UPON AN ARBITRATOR WITHIN SUCH PERIOD, THE ARBITRATION SERVICE SHALL SELECT A RETIRED JUDGE OF THE STATE OR FEDERAL COURT SYSTEMS FROM ITS LIST AS THE ARBITRATOR TO CONDUCT THE ARBITRATION IN SELECTING THE ARBITRATOR, THE PROVISIONS OF CALIFORNIA CIVIL CODE SECTION 1297.121 SHALL APPLY AND AN ARBITRATOR MAY BE CHALLENGED FOR ANY OF THE GROUNDS SET FORTH THEREIN.

E. THE ARBITRATION SHALL COMMENCE IN A PROMPT AND TIMELY MANNER ON THE DATE ESTABLISHED (i) IN ACCORDANCE WITH THE RULES OF THE ARBITRATION SERVICE, OR IF THE ARBITRATION SERVICE'S RULES DO NOT SPECIFY A DATE BY WHICH THE ARBITRATION MUST COMMENCE, THEN (ii) BY AGREEMENT OF THE PARTIES, OR IF THEY CANNOT AGREE, THEN (iii) BY THE ARBITRATOR. THE ARBITRATION SHALL BE CONDUCTED BY THE ARBITRATOR IN SUCH A MANNER SO AS TO OBTAIN A PROMPT AND TIMELY CONCLUSION OF THE MATTER.

F. BUYER AND SELLER SHALL EACH HAVE THE RIGHT TO BE REPRESENTED BY COUNSEL.

G. THE PARTIES MAY CONDUCT DISCOVERY AS IF THE MATTER WERE PENDING BEFORE A CALIFORNIA COURT AND THE ARBITRATOR SHALL HAVE THE POWER TO ISSUE AND ENFORCE SUBPOENAS AND TO AWARD SANCTIONS; PROVIDED, HOWEVER, THE PARTIES MAY APPLY TO EITHER THE ARBITRATOR OR THE COURTS OF THE STATE OF CALIFORNIA FOR PROTECTIVE ORDERS WITH RESPECT TO SUCH DISCOVERY.

H. THE ARBITRATOR SHALL BE AUTHORIZED TO PROVIDE ANY REMEDIES OR RELIEF IN LAW OR IN EQUITY, WHICH THE COURTS OF THE STATE OF CALIFORNIA COULD ISSUE, FOR ANY CAUSE OF ACTION THAT IS THE BASIS OF THE ARBITRATION. THE ARBITRATOR SHALL FOLLOW THE STANDARDS FOR ISSUING SUCH RELIEF AS DEFINED UNDER CALIFORNIA LAW AND THE ARBITRATOR SHALL FOLLOW THE CALIFORNIA RULES OF EVIDENCE AND THE JUDICIAL CANONS OF ETHICS. THE ARBITRATOR'S JUDGMENT SHALL BE FINAL AND BINDING UPON THE PARTIES, SHALL CONSTITUTE MUTUAL WRITTEN ESCROW INSTRUCTIONS TO ESCROW HOLDER, AND MAY BE ENTERED IN ANY COURT OF THE STATE OF CALIFORNIA HAVING JURISDICTION THEREOF.

NOTICE: BY INITIALING IN THE SPACE BELOW, SELLER AND BUYER ARE AGREEING TO HAVE ANY DISPUTE ARISING OUT OF THE MATTERS INCLUDED IN THIS ARBITRATION OF DISPUTES PROVISION, DECIDED BY NEUTRAL ARBITRATION AS PROVIDED BY CALIFORNIA LAW AND ARE GIVING UP ANY RIGHTS EACH MIGHT POSSESS TO HAVE THE DISPUTE LITIGATED BY A COURT OR JURY TRIAL. BY INITIALING IN THE SPACE BELOW EACH IS GIVING UP THEIR JUDICIAL RIGHTS TO DISCOVERY AND APPEAL, UNLESS SUCH RIGHTS ARE SPECIFICALLY INCLUDED IN THIS ARBITRATION OF DISPUTES PROVISION. IF EITHER PARTY REFUSES TO SUBMIT TO ARBITRATION AFTER AGREEING TO THIS PROVISION, EACH MAY BE COMPELLED TO ARBITRATE UNDER THE AUTHORITY OF THE CALIFORNIA CODE OF CIVIL PROCEDURE. AGREEMENT TO THIS ARBITRATION PROVISION IS VOLUNTARY.

BOTH PARTIES HAVE READ AND UNDERSTAND THE FOREGOING AND AGREE TO SUBMIT DISPUTES ARISING OUT OF THE MATTERS INCLUDED IN THE ARBITRATION OF DISPUTES PROVISIONS TO NEUTRAL ARBITRATION.

BUYER'S INITIALS

SELLER'S INITIALS

14.3 MEDIATION/ARBITRATION FOR ALL OTHER DISPUTES. THE PROVISIONS IN THIS

PARAGRAPH 14.3 SHALL SURVIVE THE CLOSE OF ESCROW, SHALL APPLY TO ANY "DISPUTES" (AS DEFINED BELOW) ARISING AFTER CLOSE OF ESCROW, AND SHALL NOT BE MERGED INTO THE GRANT DEED.

A. THE PARTIES TO THIS PURCHASE AGREEMENT SPECIFICALLY AGREE THAT THIS TRANSACTION INVOLVES INTERSTATE COMMERCE AND THAT ANY DISPUTE (HEREIN AFTER DEFINED) SHALL FIRST BE SUBMITTED TO MEDIATION AND, IF NOT SETTLED DURING MEDIATION, SHALL THEREAFTER BE SUBMITTED TO BINDING ARBITRATION AS PROVIDED BY THE FEDERAL ARBITRATION ACT (9 U.S.C. §§1 ET SEQ.) AND NOT BY OR IN A COURT OF LAW OR EQUITY. "DISPUTES" (WHETHER CONTRACT, WARRANTY, TORT, STATUTORY OR OTHERWISE EXCEPT THOSE CLAIMS AND ISSUES COVERED BY PARAGRAPH 14.1), SHALL INCLUDE, BUT ARE NOT LIMITED TO, ANY AND ALL CONTROVERSIES, DISPUTES OR CLAIMS (1) ARISING UNDER, OR RELATED TO, THIS PURCHASE AGREEMENT, THE PROPERTY, THE COMMUNITY OR ANY DEALINGS BETWEEN BUYER AND SELLER; (2) ARISING BY VIRTUE OF ANY REPRESENTATIONS, PROMISES OR WARRANTIES ALLEGED TO HAVE BEEN MADE BY SELLER OR SELLER'S REPRESENTATIVE; (3) RELATING TO PERSONAL INJURY OR PROPERTY DAMAGE ALLEGED TO HAVE BEEN SUSTAINED BY BUYER, BUYER'S CHILDREN OR OTHER OCCUPANTS OF THE PROPERTY, OR IN THE COMMUNITY; OR (4) ISSUES OF FORMATION, VALIDITY OR ENFORCEABILITY OF THIS PARAGRAPH. BUYER HAS EXECUTED THIS PURCHASE AGREEMENT ON BEHALF OF HIS OR HER CHILDREN AND OTHER OCCUPANTS OF THE PROPERTY WITH THE INTENT THAT ALL SUCH PARTIES BE BOUND HEREBY. ANY DISPUTE SHALL BE SUBMITTED TO BINDING ARBITRATION WITHIN A REASONABLE TIME AFTER SUCH DISPUTE HAS ARISEN. NOTHING HEREIN SHALL EXTEND THE TIME PERIOD BY WHICH A CLAIM OR CAUSE OF ACTION MAY BE ASSERTED UNDER THE APPLICABLE STATUTE OF LIMITATIONS OR STATUTE OF REPOSE, AND IN NO EVENT SHALL THE DISPUTE BE SUBMITTED FOR ARBITRATION AFTER THE DATE WHEN INSTITUTION OF A LEGAL OR EQUITABLE PROCEEDING BASED ON THE UNDERLYING CLAIMS IN SUCH DISPUTE WOULD BE BARRED BY THE APPLICABLE STATUTE OF LIMITATIONS OR STATUTE OF REPOSE.

B. ANY AND ALL MEDIATIONS COMMENCED BY ANY OF THE PARTIES TO THIS AGREEMENT SHALL BE FILED WITH AND ADMINISTERED BY THE AAA OR ANY SUCCESSOR THERETO IN ACCORDANCE WITH AAA'S HOME CONSTRUCTION MEDIATION PROCEDURES IN EFFECT ON THE DATE OF THE REQUEST. IF THERE ARE NO HOME CONSTRUCTION MEDIATION PROCEDURES CURRENTLY IN EFFECT, THEN THE AAA'S CONSTRUCTION INDUSTRY MEDIATION RULES IN EFFECT ON THE DATE OF SUCH REQUEST SHALL BE UTILIZED. ANY PARTY WHO WILL BE RELYING UPON AN EXPERT REPORT OR REPAIR ESTIMATE AT THE MEDIATION SHALL PROVIDE THE MEDIATOR AND THE OTHER PARTIES WITH A COPY OF THE REPORTS. IF ONE OR MORE ISSUES DIRECTLY OR INDIRECTLY RELATE TO ALLEGED DEFICIENCIES IN DESIGN, MATERIALS OR CONSTRUCTION, ALL PARTIES AND THEIR EXPERTS SHALL BE ALLOWED TO INSPECT, DOCUMENT (BY PHOTOGRAPH, VIDEOTAPE OR OTHERWISE) AND TEST THE ALLEGED DEFICIENCIES PRIOR TO MEDIATION. UNLESS MUTUALLY WAIVED IN WRITING BY THE PARTIES, SUBMISSION TO MEDIATION IS A CONDITION PRECEDENT TO EITHER PARTY TAKING FURTHER ACTION WITH REGARD TO ANY MATTER COVERED HEREUNDER.

C. IF THE DISPUTE IS NOT FULLY RESOLVED BY MEDIATION, THE DISPUTE SHALL BE SUBMITTED TO BINDING ARBITRATION AND ADMINISTERED BY THE AAA IN ACCORDANCE WITH THE AAA'S HOME CONSTRUCTION ARBITRATION RULES IN EFFECT ON THE DATE OF THE REQUEST. IF THERE ARE NO HOME CONSTRUCTION ARBITRATION RULES CURRENTLY IN EFFECT, THEN THE AAA'S CONSTRUCTION INDUSTRY ARBITRATION RULES IN EFFECT ON THE DATE OF SUCH REQUEST SHALL BE UTILIZED. ANY JUDGMENT UPON THE AWARD RENDERED BY THE ARBITRATOR MAY BE ENTERED IN AND ENFORCED BY ANY CALIFORNIA STATE COURT HAVING JURISDICTION OVER SUCH DISPUTE. IF THE CLAIMED AMOUNT EXCEEDS \$250,000 OR INCLUDES A DEMAND FOR PUNITIVE DAMAGES, THE DISPUTE SHALL BE HEARD AND DETERMINED BY THREE ARBITRATORS; HOWEVER IF MUTUALLY AGREED TO BY THE PARTIES, THEN THE DISPUTE SHALL BE HEARD AND DETERMINED BY ONE ARBITRATOR. ARBITRATORS SHALL HAVE EXPERTISE IN THE AREA(S) OF DISPUTE, WHICH MAY INCLUDE LEGAL EXPERTISE IF LEGAL ISSUES ARE INVOLVED. ALL DECISIONS RESPECTING THE ARBITRABILITY OF ANY DISPUTE SHALL BE DECIDED BY THE ARBITRATOR(S). AT THE REQUEST OF ANY PARTY, THE AWARD OF THE ARBITRATOR(S) SHALL BE ACCOMPANIED BY DETAILED WRITTEN FINDINGS OF FACT AND CONCLUSIONS OF LAW. ARBITRATORS MUST BASE ALL AWARDS IN CONFORMITY WITH APPLICABLE RULES OF LAW. EXCEPT AS MAY BE REQUIRED BY LAW OR FOR CONFIRMATION OF AN AWARD, NEITHER A PARTY NOR AN ARBITRATOR MAY DISCLOSE THE EXISTENCE, CONTENT, OR RESULTS OF ANY ARBITRATION HEREUNDER WITHOUT THE PRIOR WRITTEN CONSENT OF BOTH PARTIES.

D. THE WAIVER OR INVALIDITY OF ANY PORTION OF THIS PARAGRAPH 14.3 SHALL NOT AFFECT THE VALIDITY OR ENFORCEMENT OF THE REMAINING PORTIONS OF THIS PARAGRAPH 14.3. BUYER AND SELLER FURTHER AGREE (1) THAT ANY DISPUTE

INVOLVING SELLER'S AFFILIATES, DIRECTORS, OFFICERS, EMPLOYEES AND AGENTS SHALL ALSO BE SUBJECT TO MEDIATION AND ARBITRATION AS SET FORTH HEREIN, AND SHALL NOT BE PURSUED IN A COURT OF LAW OR EQUITY; (2) THAT SELLER MAY, AT ITS SOLE ELECTION, INCLUDE SELLER'S CONTRACTORS, SUBCONTRACTORS AND SUPPLIERS, AS WELL AS ANY WARRANTY COMPANY AND INSURER AS PARTIES TO THE MEDIATION AND ARBITRATION; AND (3) THAT THE MEDIATION AND ARBITRATION WILL BE LIMITED TO THE PARTIES SPECIFIED HEREIN.

E. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, BUYER AND SELLER AGREE THAT NO FINDING OR STIPULATION OF FACT, NO CONCLUSION OF LAW AND NO ARBITRATION AWARD IN ANY OTHER ARBITRATION, JUDICIAL OR SIMILAR PROCEEDING SHALL BE GIVEN PRECLUSIVE COLLATERAL ESTOPPEL EFFECT IN ANY ARBITRATION HEREUNDER UNLESS THERE IS A MUTUALITY OF PARTIES. IN ADDITION, BUYER AND SELLER FURTHER AGREE THAT NO FINDING OR STIPULATION OF FACT, NO CONCLUSION OF LAW, AND NO ARBITRATION AWARD IN ANY ARBITRATION HEREUNDER SHALL BE GIVEN PRECLUSIVE OR COLLATERAL ESTOPPEL EFFECT IN ANY OTHER ARBITRATION, JUDICIAL, OR SIMILAR PROCEEDING UNLESS THERE IS A MUTUALITY OF PARTIES.

F. UNLESS OTHERWISE RECOVERABLE BY LAW OR STATUTE, EACH PARTY SHALL BEAR ITS OWN COSTS AND EXPENSES, INCLUDING ATTORNEYS' FEES AND PARAPROFESSIONAL FEES, FOR ANY MEDIATION AND ARBITRATION. NOTWITHSTANDING THE FOREGOING, IF A PARTY UNSUCCESSFULLY CONTESTS THE VALIDITY OR SCOPE OF ARBITRATION IN A COURT OF LAW OR EQUITY, THE NONCONTESTING PARTY SHALL BE AWARDED REASONABLE ATTORNEYS' FEES, PARAPROFESSIONAL FEES AND EXPENSES INCURRED IN DEFENDING SUCH CONTEST, INCLUDING SUCH FEES AND COSTS ASSOCIATED WITH ANY APPELLATE PROCEEDINGS. IN ADDITION, IF A PARTY FAILS TO ABIDE BY THE TERMS OF A MEDIATION SETTLEMENT OR ARBITRATION AWARD, THE OTHER PARTY SHALL BE AWARDED REASONABLE ATTORNEYS' FEES, PARAPROFESSIONAL FEES AND EXPENSES INCURRED IN ENFORCING SUCH SETTLEMENT OR AWARD.

G. BUYER MAY OBTAIN ADDITIONAL INFORMATION CONCERNING THE RULES OF AAA BY VISITING ITS WEBSITE WWW.ADR.ORG OR BY WRITING THE AAA AT 335 MADISON AVENUE, NEW YORK, NEW YORK 10017.

H. SELLER SUPPORTS THE PRINCIPALS SET FORTH IN THE CONSUMER DUE PROCESS PROTOCOL DEVELOPED BY THE NATIONAL CONSUMER DISPUTE ADVISORY COMMITTEE AND AGREES TO THE FOLLOWING:

1) NOTWITHSTANDING THE REQUIREMENTS OF ARBITRATION STATED IN PARAGRAPHS 14.1, 14.2 AND 14.3(C) OF THIS PURCHASE AGREEMENT, BUYER SHALL HAVE THE OPTION, AFTER PURSUING MEDIATION AS PROVIDED HEREIN, TO SEEK RELIEF IN A SMALL CLAIMS COURT FOR DISPUTES OR CLAIMS WITHIN THE SCOPE OF THE COURT'S JURISDICTION IN LIEU OF PROCEEDING TO ARBITRATION. THIS DECISION DOES NOT APPLY TO ANY APPEAL FROM A DECISION BY A SMALL CLAIMS COURT.

2) SELLER AGREES TO PAY FOR ONE (1) DAY OF MEDIATION (MEDIATOR FEES PLUS ANY ADMINISTRATIVE FEES RELATING TO THE MEDIATION). ANY MEDIATOR AND ASSOCIATED ADMINISTRATIVE FEES INCURRED THEREAFTER SHALL BE SHARED EQUALLY BY THE PARTIES.

3) THE FEES FOR ANY CLAIM PURSUED VIA ARBITRATION IN AN AMOUNT OF \$10,000.00 OR LESS SHALL BE APPORTIONED AS PROVIDED IN THE HOME CONSTRUCTION ARBITRATION RULES OF THE AAA OR OTHER APPLICABLE RULES.

I. NOTWITHSTANDING THE FOREGOING, IF EITHER SELLER OR BUYER SEEKS INJUNCTIVE RELIEF, AND NOT MONETARY DAMAGES, FROM A COURT BECAUSE IRREPARABLE DAMAGE OR HARM WOULD OTHERWISE BE SUFFERED BY EITHER PARTY BEFORE MEDIATION OR ARBITRATION COULD BE CONDUCTED, SUCH ACTIONS SHALL NOT BE INTERPRETED TO INDICATE THAT EITHER PARTY HAS WAIVED THE RIGHT TO MEDIATE OR ARBITRATE. THE RIGHT TO MEDIATE OR ARBITRATE SHOULD ALSO NOT BE CONSIDERED WAIVED BY THE FILING OF A COUNTERCLAIM BY EITHER PARTY ONCE A CLAIM FOR INJUNCTIVE RELIEF HAS BEEN FILED WITH A COURT.

J. BUYER AND SELLER AGREE THAT THE PARTIES MAY BRING CLAIMS AGAINST THE OTHER ONLY ON AN INDIVIDUAL BASIS AND NOT AS A MEMBER IN ANY PURPORTED CLASS OR REPRESENTATIVE ACTION OR COLLECTIVE PROCEEDING. THE ARBITRATOR(S) MAY NOT CONSOLIDATE OR JOIN CLAIMS REGARDING MORE THAN ONE PROPERTY AND MAY NOT OTHERWISE PRESIDE OVER ANY FORM OF A CONSOLIDATED, REPRESENTATIVE, OR CLASS PROCEEDING. ALSO, THE ARBITRATOR(S) MAY AWARD RELIEF (INCLUDING MONETARY, INJUNCTIVE, AND DECLARATORY RELIEF) ONLY IN FAVOR OF THE INDIVIDUAL PARTY SEEKING RELIEF AND ONLY TO THE EXTENT

NECESSARY TO PROVIDE RELIEF NECESSITATED BY THAT PARTY'S INDIVIDUAL CLAIM(S). ANY RELIEF AWARDED CANNOT BE AWARDED ON CLASS-WIDE OR MASS-PARTY BASIS OR OTHERWISE AFFECT PARTIES WHO ARE NOT A PARTY TO THE ARBITRATION. NOTHING IN THE FOREGOING PREVENTS SELLER FROM EXERCISING ITS RIGHT TO INCLUDE IN THE MEDIATION AND ARBITRATION THOSE PERSONS OR ENTITIES REFERRED TO IN PARAGRAPH 14.3.D ABOVE.

K. NOTWITHSTANDING ANY OTHER PROVISION OF THIS PARAGRAPH 14, AS AUTHORIZED BY THE CALIFORNIA ARBITRATION ACT AND *Cable Connection, Inc. v. Directv, Inc.* (2008) 44 Cal.4th 1334, THE ARBITRATOR(S) SHALL NOT HAVE THE POWER TO COMMIT ERRORS OF LAW OR LEGAL REASONING, AND THE AWARD MAY BE VACATED OR CORRECTED ON APPEAL TO A CALIFORNIA COURT OF COMPETENT JURISDICTION FOR ANY SUCH ERROR.

NOTICE: BY INITIALING IN THE SPACE BELOW, SELLER AND BUYER ARE AGREEING TO HAVE ANY DISPUTE ARISING OUT OF THE MATTERS INCLUDED IN THIS ARBITRATION OF DISPUTES PROVISION, DECIDED BY NEUTRAL ARBITRATION AS PROVIDED BY CALIFORNIA LAW AND ARE GIVING UP ANY RIGHTS EACH MIGHT POSSESS TO HAVE THE DISPUTE LITIGATED BY A COURT OR JURY TRIAL. BY INITIALING IN THE SPACE BELOW EACH IS GIVING UP THEIR JUDICIAL RIGHTS TO DISCOVERY AND APPEAL, UNLESS SUCH RIGHTS ARE SPECIFICALLY INCLUDED IN THIS ARBITRATION OF DISPUTES PROVISION. IF EITHER PARTY REFUSES TO SUBMIT TO ARBITRATION AFTER AGREEING TO THIS PROVISION, EACH MAY BE COMPELLED TO ARBITRATE UNDER THE AUTHORITY OF THE CALIFORNIA CODE OF CIVIL PROCEDURE. AGREEMENT TO THIS ARBITRATION PROVISION IS VOLUNTARY.

BOTH PARTIES HAVE READ AND UNDERSTAND THE ARBITRATION PROVISIONS AND AGREE TO SUBMIT DISPUTES ARISING OUT OF THE MATTERS INCLUDED IN THE ARBITRATION OF DISPUTES PROVISIONS TO NEUTRAL ARBITRATION.

BUYER'S INITIALS

SELLER'S INITIALS

15. **GENERAL.**

- A. This Purchase Agreement may not be assigned by BUYER.
- B. Time is of the essence in respect of all of BUYER'S obligations.
- C. Notices to BUYER and SELLER may be served personally, telephonically, by facsimile, by e-mail or by first-class or certified mail, at their respective addresses, or, if BUYER has occupied the Property, at such latter address for BUYER, and if by first-class mail, e-mail or facsimile, notice shall be treated as served and effective twenty-four (24) hours after transmission or deposit in the mail. In the event BUYER or SELLER utilize e-mail or facsimile transmitted signed documents, BUYER and SELLER hereby agree to accept, and hereby agree to instruct Escrow Holder to rely upon such documents as if they bore original signatures. BUYER and SELLER hereby acknowledge and agree to use their best efforts to provide the other party prior to Close of Escrow, with such documents bearing the original signatures. BUYER and SELLER further acknowledge and agree that documents with non-original signatures will not be accepted for recording by the County Recorder.
- D. Regardless of the physical characteristics of the Property, no guarantees are made regarding the permanence of all or any portion of the present view, land use or development of this or surrounding real property.
- E. No modification or amendment shall be effective unless in writing and signed by BUYER and SELLER.
- F. BUYER is prohibited from recording this Purchase Agreement or any memorandum hereof, and upon attempted recordation shall be in default hereunder and this Purchase Agreement shall become null and void and all rights of BUYER hereunder shall thereupon cease.
- G. Buyer hereby waives any non-statutory implied warranty of quality or fitness of construction.
- H. Waiver of one provision hereof shall not be deemed continuing nor a waiver of any other provision.

16. **BUYER ACKNOWLEDGES.** (1) BUYER has read and understands all the terms of this Purchase Agreement, and by execution of this Purchase Agreement, has received, read and understands the General Disclosures and Specific Disclosures, both of which are incorporated into this Purchase Agreement by this reference; (2) No statements, representations, promises, or assurances have been made to BUYER by SELLER or SELLER'S sales associate(s) regarding this purchase not contained within this Purchase Agreement and other documents supplied by SELLER related directly to this sale, including, but not limited to those relating to the current or future value of the Property or the prices or terms of other sales made by SELLER at any time in this or any other of SELLER'S Communities. All prices, terms, specifications, product upgrades or any other form of concession or BUYER inducement, whether related to the current Phase or any proposed or existing Phase(s) of the Community, are subject to change without notice at the sole discretion of SELLER; (3) BUYER understands no sales

associate, employee or agent of SELLER has the authority to make any promise or agreement on behalf of SELLER not contained in this Purchase Agreement and other documents supplied by SELLER related directly to this sale, or to modify or alter any of the terms of this Purchase Agreement, and (4) this Purchase Agreement contains the entire agreement between the parties.

17. **BINDING AGREEMENT.** Execution of this Purchase Agreement by BUYER alone shall constitute an offer to purchase. Upon acceptance and execution by an authorized officer of SELLER, this Purchase Agreement shall become a binding contract by and between both BUYER and SELLER. BUYER acknowledges SELLER is a real estate broker licensed by the State of California and is entering into this Purchase Agreement on its own behalf as a principal.

18. **DIFFERENCE IN CONDITIONS.** In the event of BUYER'S discovery of different facts during the pendency of this purchase transaction than those which BUYER believed to be true at the time of entering into this Purchase Agreement, BUYER'S decision not to notify SELLER and to close Escrow shall be deemed to be BUYER'S decision to accept such facts, and shall constitute a waiver of any claim, cost, demand, or action against SELLER with regard to such facts.

19. **COMMUNITY DOCUMENTS.** BUYER'S signature on this Purchase Agreement constitutes BUYER'S acknowledgment that BUYER has received the following:

- A. The Covenants, Conditions and Restrictions and any amendments thereto showing the date or recordation thereof;
- B. The Articles of Incorporation and the Bylaws of the Homeowners Association, if applicable;
- C. A current budget of the Homeowners Association, if applicable;
- D. A copy of the Final Subdivision Public Report from the California Department of Real Estate, applicable to the Community;
- E. A copy of Notice of SELLER's Procedures for Construction Claims Pursuant to California Civil Code Section 912(f).
- F. A copy of California Civil Code Section 895, et seq. (SB 800 - Construction Claims Statute)
- G. This Purchase Agreement; and

Other: CA 1 Year Warranty

20. **UPGRADES AND OPTIONAL ITEMS.** BUYER hereby acknowledges and agrees that upgrades or optional items which BUYER orders to be constructed or installed in the Property shall be subject to all of the terms and provisions of this Purchase Agreement. Buyer acknowledges BUYER'S selection of upgrades and options must be made within fifteen (15) days of the date of this Purchase Agreement, or such later date as SELLER may designate.

21. **CONSTRUCTION DEFECT CLAIMS RESOLUTION PROCEDURE.**

A. **NOTICE OF CONSTRUCTION CLAIMS STATUTE.** California Civil Code Section 895 et seq., as hereafter amended ("Construction Claims Statute"), delineates standards for how various components of the Property should be constructed and function, limits the time frames for bringing various claims against SELLER to anywhere from one (1) year to ten (10) years (as listed in the Construction Claims Statute) from the Close of Escrow for the Property, imposes an obligation on BUYER to follow the SELLER'S maintenance recommendations and schedules, or other applicable maintenance guidelines, and establishes a non-adversarial claims resolution procedure that must be followed by BUYER before BUYER can initiate an adversarial claim and proceed to alternate dispute resolution, as described in Paragraph 14.3 above. A copy of the Construction Claims Statute is attached as Exhibit "A" to this Purchase Agreement. BY INITIALING BELOW, BUYER ACKNOWLEDGES THAT SELLER HAS PROVIDED BUYER WITH A COPY OF THE CONSTRUCTION CLAIMS STATUTE AND THAT SELLER HAS ADVISED BUYER THAT THE CONSTRUCTION CLAIMS STATUTE AFFECTS BUYER'S LEGAL RIGHTS. BUYER IS ADVISED TO READ THE STATUTE CAREFULLY AND SEEK LEGAL ADVICE IF BUYER HAS ANY QUESTIONS REGARDING ITS AFFECT ON BUYER'S LEGAL RIGHTS.

BUYER'S INITIALS

SELLER'S INITIALS

B. **ELECTION TO USE SELLER'S NON-ADVERSARIAL CONTRACTUAL PROCEDURES FOR HANDLING OF CONSTRUCTION CLAIMS.** The Construction Claims Statute permits SELLER to elect to use alternate contractual non-adversarial claims handling procedures for construction defect disputes in lieu of the statutory procedures contained in Sections 910 through 938 of the Construction Claims Statute. By initialing below, BUYER acknowledges that SELLER has elected to use the non-adversarial process described in Paragraph 21.C of this Purchase Agreement in lieu of the non-adversarial process set forth in the Construction Claims Statute. BUYER also acknowledges that BUYER is aware that a copy of SELLER'S non-adversarial claims procedures contained in Paragraph 21.C will be recorded on the title to the Property to impart notice upon and bind BUYER'S

successors in interest to said claims procedures.

BUYER'S INITIALS

SELLER'S INITIALS

C. **NOTICE AND OPPORTUNITY TO CURE CLAIMED DEFECTS.** Prior to the commencement of any legal proceeding by BUYER against SELLER based upon a claim for defects in the design of construction or the Property, or any improvements thereon, BUYER must first comply with the provisions of this Paragraph. If at any time during the ten (10) years after the Close of Escrow, as such period may be extended by any applicable tolling statute or provision, or any shorter period as provided by applicable law, BUYER or BUYER'S successors or assigns (collectively "Owner"), believes SELLER has violated any of the standards set forth the Construction Claims Statute ("Claimed Defect"), which such Owner feels may be the responsibility of SELLER, such Owner shall promptly notify SELLER'S agent for service of construction defect claims on file with the Secretary of State, which is currently Lennar Corporation, 5505 Waterford District Drive, Miami, FL 33126, attention General Counsel, with a copy to SELLER at 2603 Camino Ramon, Ste. 525 San Ramon CA 94583. Such notice shall be deemed a notice of intention to commence a legal proceeding and shall include: (a) a description of the Claimed Defect, (b) the date upon which the Claimed Defect was first discovered, and (c) dates and times when Owner or Owner's agent will be available during ordinary business hours for service calls or inspections by SELLER. SELLER shall, in its sole discretion, be entitled to inspect the Property regarding the reported Claimed Defect and, within its sole discretion, be entitled to cure such Claimed Defect. Nothing contained in this Paragraph 21 shall obligate SELLER to perform any inspection or repair, nor shall this Paragraph be deemed to increase SELLER'S legal obligations to Owner. Owner's written notice delivered to SELLER shall be a condition precedent to Owner's right to institute any legal proceeding and to proceed to alternate dispute resolution as set forth in Paragraph 14.3 above, and Owner shall not pursue any other remedies available to it, at law or otherwise, including without limitation the initiation of any legal proceeding or action, until SELLER has had the reasonable opportunity to inspect and cure the Claimed Defect. During the term of any written Limited Warranty provided to the original BUYER of the Property by SELLER, any conflict between the provisions of this Paragraph and the Limited Warranty shall be resolved in favor of the Limited Warranty. SELLER shall not be liable for any general, special or consequential damage, cost, diminution in value or other loss which Owner may suffer as a result of any Claimed Defect in the Property, which might have been avoided had Owner given SELLER the timely notice and opportunity to cure as described above. Except as otherwise provided in the written Limited Warranty, if any, provided BUYER, nothing contained herein shall establish any contractual duty or obligation on the part of SELLER to repair, replace or cure any Claimed Defect. If Owner sells or otherwise transfers ownership of the Property to any other person during the effective period of this Paragraph, Owner covenants and agrees to give such person written notice of these procedures by personal delivery. Owner's continuing obligation under this covenant shall be binding upon Owner and shall survive the Close of Escrow.

D. **RECEIPT OF PURCHASE DOCUMENTS.** BUYER will be provided with certain documents through Escrow in conjunction with the purchase of the Property, including maintenance recommendations from the SELLER, maintenance recommendations for manufactured products or appliances included with the Property, claim forms, and other documentation relating to the Construction Claims Statute. BUYER is required by the Construction Claims Statute to retain these documents and provide copies of such documents to BUYER'S successor in interest upon the sale or transfer of the Property.

E. **OBLIGATION TO FOLLOW MAINTENANCE RECOMMENDATIONS.** All Owners are obligated by Section 907 of the Construction Claims Statute to follow SELLER'S maintenance recommendations and schedules, including the maintenance recommendations and schedules for manufactured products and appliances provided with the Property, as well as all commonly accepted maintenance practices (collectively, "Maintenance Recommendations"). Per Section 945.5 of the Construction Claims Statute, failure to follow the Maintenance Recommendations may reduce or preclude BUYER'S right to recover damages relating to such BUYER'S Property, which could have been prevented or mitigated had the Maintenance Recommendations been followed.

22. **MEGAN'S LAW DISCLOSURE / DATABASE REGARDING REGISTERED SEX OFFENDERS:**

Notice: Pursuant to Section 290.46 of the Penal Code, information about specified registered sex offenders is made available to the public via an Internet Web site maintained by the Department of Justice at www.meganslaw.ca.gov. Depending on an offender's criminal history, this information will include either the address at which the offender resides or the community of residences and ZIP code in which he or she resides.

Prior to the purchase of a Home in the Community, Buyer may research the database to determine whether there are sex offenders in the area. Seller makes no representations, warranties, or guarantees regarding the presence or absence of registered sex offenders within the Community or in the surrounding area. Seller has no obligation or duty to investigate existing residents or buyers to determine whether they are sex offenders. Buyer is solely responsible for making his or her own investigation. For further information, please contact Buyer's local law enforcement agency. Most law enforcement agencies have special stations to view the Megan's Law database.

23. **NOTICE REGARDING GAS AND HAZARDOUS LIQUID TRANSMISSION PIPELINES.** This notice is being provided simply to inform you that information about the general location of gas and hazardous liquid transmission pipelines is available to the public via the National Pipeline Mapping System (NPMS) Internet Web site maintained by the United

States Department of Transportation at <http://www.npms.phmsa.dot.gov/>. To seek further information about possible transmission pipelines near the property, you may contact your local gas utility or other pipeline operators in the area. Contact information for pipeline operators is searchable by ZIP Code and county on the NPMS Internet Web site.

24. **SEVERABILITY**. If any term, condition or provision of this Purchase Agreement is declared illegal or invalid for any reason by a court of competent jurisdiction, or arbitrator, the remaining terms, conditions and provisions shall, nevertheless, remain in full force and effect.

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THIS DOCUMENT HAS IMPORTANT LEGAL CONSEQUENCES AND SHOULD BE READ THOROUGHLY PRIOR TO SIGNING. BUYER AFFIRMS NO SALES ASSOCIATE, EMPLOYEE OR AGENT OF SELLER HAS MADE ANY PROMISE OR REPRESENTATION OF WHATSOEVER NATURE NOT SET FORTH IN THIS PURCHASE AGREEMENT. IF YOU HAVE ANY QUESTIONS ABOUT YOUR RIGHTS OR OBLIGATIONS UNDER THIS DOCUMENT YOU MAY WISH TO CONSULT AN ATTORNEY. IF PRIOR TO THE CLOSE OF ESCROW, SELLER REASONABLY DETERMINES THAT CERTAIN CHANGES OR REVISIONS MUST BE MADE TO THE COMMUNITY DOCUMENTS OR TO THE SALE DOCUMENTS FOR THE COMMUNITY, OR THAT CHANGES ARE NECESSARY IN THE PLANS FOR DEVELOPMENT OF THE COMMUNITY, SELLER SHALL GIVE BUYER WRITTEN NOTICE OF SUCH CHANGES. UPON RECEIPT OF SUCH NOTICE, BUYER SHALL HAVE TWO (2) CALENDAR DAYS WITHIN WHICH TO REVIEW SUCH CHANGES AND, IF BUYER DISAPPROVES OF SUCH CHANGES, TO GIVE BUYER'S WRITTEN NOTICE THEREOF TO SELLER AND ESCROW HOLDER. BUYER HEREBY AGREES THAT, IN THE EVENT BUYER DISAPPROVES OF SUCH CHANGES, BUYER'S SOLE REMEDY SHALL BE TO TERMINATE THIS PURCHASE AGREEMENT AND TO REQUEST CANCELLATION OF ESCROW. BUYER SHALL RECEIVE A FULL REFUND OF ALL AMOUNTS DEPOSITED BY BUYER FOR THE PURCHASE OF THE PROPERTY. ANY ESCROW CANCELLATION FEES INCURRED PURSUANT TO THIS PARAGRAPH SHALL BE THE EXPENSE OF SELLER.

UNLESS A COOPERATING BROKER ADDENDUM IS ATTACHED HERETO AND SIGNED BY BOTH SELLER AND BUYER, BUYER REPRESENTS TO SELLER THAT THE ONLY SALES AGENT(S) WITH WHOM THE BUYER HAS DEALT IN CONNECTION HERewith ARE THE "ON PREMISES" SALES AGENT(S) LOCATED AT THE SELLER'S SALES OFFICE, AND SELLER AGREES TO PAY THE COMMISSION EARNED BY SUCH SALES AGENT(S), IF ANY, PURSUANT TO SEPARATE AGREEMENT. BUYER AGREES TO INDEMNIFY AND HOLD SELLER HARMLESS FROM AND AGAINST ANY AND ALL LOSS AND LIABILITY RESULTING FROM ANY BREACH OF THE FOREGOING. THIS SECTION SHALL SURVIVE THE CLOSING AND THE DELIVERY OF THE DEED.

By providing your telephone and fax numbers, you hereby consent to receiving telephonic and fax communications, including advertisements, made or sent by or on behalf of SELLER and/or affiliates.

BUYER:

Date _____	_____	714 N Del Prado St Address	
	BUYER - Alpeshkumar Lilidhar Suba	Mountain House CA / US	95391
		City State	Zip
Date _____	_____	Telephone Number (work)	
	BUYER - Ilaben Alpeshkumar Suba	(612) 386-0947	
		Telephone Number (home)	
Date _____	_____	Fax Number	Alternate Number
	BUYER -	alpeshsuba@yahoo.com	
		E-mail Address	
Date _____	_____		
	BUYER -		

ACCEPTANCE BY SELLER:

Lennar Homes of California, LLC
a a California limited liability company

By: _____
Title: Authorized Representative
Date Signed by Seller: _____

(Signature is Acceptance of Purchase Agreement)

BROKER:

LENNAR SALES CORP., Broker
License#: 01252753
Salesperson/Broker Associate Name: Carlo Eugenio
Salesperson/Broker Associate DRE License No.: 2044131

RECEIPT FOR DEPOSIT ONLY:

Date: _____

Salesperson/Broker Associate Signature: _____

GENERAL DISCLOSURES:

A. **SELLER'S RIGHT TO CHANGE.** BUYER acknowledges the home being purchased is not built to the precise specifications or design of any model home displayed to or visited by BUYER or to the specifications or plans depicted in any sales materials, and floor plans may be opposite ("flipped") mirror images of the model home displayed and Buyer accepts the floor plan for the home purchased. SELLER is not acting as a contractor for BUYER and is not building the home to BUYER'S specifications. Any model home display does not constitute a covenant by SELLER to precisely duplicate such model with its production homes. SELLER reserves the right from time to time, without notice to BUYER, to make changes, alterations or substitutions to the home plans, specifications, construction materials or other integrals of the home as SELLER deems reasonable, providing such changes or alterations are approved by appropriate public agencies. Such right of change or alteration shall also apply to common areas should they be a part of the Community. None of the furnishings, decorating, wall treatments, fixtures, floor coverings, appliances, landscaping, walk-ways, patio or driveway treatments within or without the model home or depicted in the sales materials are included with the home purchased unless identified in writing as standard items or included in the Purchase Agreement. Model interior paint colors are chosen by the model decorators and are not necessarily what will be used in the Property.

B. **USE OF SUBCONTRACTORS.** SELLER performs its construction through subcontractors and does not employ construction trades or workers. SELLER is not permitted to change its subcontracts without approval of the subcontractor, and therefore, BUYER may not make interior or exterior construction changes or alterations not otherwise offered BUYER at point of sale.

C. **INTERIOR AND EXTERIOR COLORS.** BUYER has confirmed the interior and exterior colors to be used in BUYER'S home. BUYER should not assume that BUYER'S home will be painted any shade of white shown in the model homes.

D. **CHANGES IN PRICE, PRODUCT, DEVELOPMENT PLAN AND MARKETING METHODS.** BUYER acknowledges that SELLER may, in its sole discretion, change its pricing, product, development plan and marketing methods. Without limitation, SELLER may elect to sell other homes in this phase of the Community, or in future phases, under terms and conditions which are more favorable than those stated in this Purchase Agreement, including, without limitation, more favorable terms and conditions resulting from the sale of homesites in bulk to another builder or by auction (with or without reserve) to members of the general public. SELLER may elect not to build homes on each homesite of this phase or future phases of the Community, or may elect to build a different type or size of home on a smaller or larger homesite, or may use different construction methods to build such homes. SELLER may further elect to build homes of the same type as the Property in this or future phases, but to reduce the sales price for such homes, or to improve such homes with more or less expensive features and amenities. If SELLER owns or later acquires land adjacent to the Community, SELLER may elect to develop such land with a product type which is different from and less expensive than the Property. Any of the foregoing events may adversely affect the value of the Property. Nothing in this Purchase Agreement shall be interpreted as an express or implied warranty or representation that SELLER will refrain from any pricing program, product design program, development strategy or marketing plan which in any manner adversely affects the value of the Property. BUYER acknowledges SELLER'S right to offer price reductions, financing incentives, reduced interest rates, decorator allowances, additional features and other similar incentives (collectively, "Incentives") to future buyers in the Community (or any other community developed by SELLER) without any obligation to offer any comparable Incentives to BUYER. BUYER further acknowledges that BUYER has negotiated its sales price for a particular Property within the Community and BUYER is fully satisfied with such price and the Incentives received in connection with the negotiation of such price.

E. **LAND USE.** Each homesite within the Community has unique characteristics, one of which is location. Each homesite may currently enjoy a particular view, but that view is not guaranteed to be permanent. Future development of the Community or other real property within or adjacent to the Community and the growth of trees and other vegetation in the general area of the Property may change, obstruct, impair or otherwise affect the view from the Homesite at any time, or the use of the Property. BUYER acknowledges that as development continues within and without the Community, BUYER may be inconvenienced by road improvements, dust, noise and other development activities and that SELLER has no control or responsibility over the uses of adjacent real properties or road improvements or the construction timing or changes that may occur with respect thereto.

F. **INFORMATIVE DOCUMENTS.** Geology reports, soils reports, precise grading plans, irrigation plans, final maps, environmental documents and other information subject to review and approval by governmental agencies in connection with the Community are available for BUYER'S review at the office of the appropriate governmental agency. BUYER is encouraged to utilize such information and consult in connection with any improvements to the homesite.

G. **SQUARE FOOTAGES AND GARAGE SIZES.** Square footages quoted in the brochures, price lists, and other informational material for the homes are approximate, and are not determinative of the sales price. BUYER understands the garage will be of standard size and may not accommodate certain utility vehicles.

H. **BOUNDARY LINES.** The grading of the homesites in this Community may result in the homesite boundary line not being located at either the top or the bottom of the slope. The homesite boundary lines are determined by the tract map, not by the fence location, grading or topography.

I. **SLOPES.** Unless otherwise provided in the Covenants, Conditions and Restriction or other disclosure document, planting and maintenance of all slopes within the boundaries of BUYER'S Homesite will be BUYER'S responsibility.

J. **DRAINAGE.** Each homesite within the Community will be engineered and graded to local governmental standards to assure proper drainage of rain and irrigation water. BUYER understands that BUYER'S alteration of or failure to maintain the Homesite as delivered by SELLER may cause damage to the Homesite and any landscaping

or hardscape, and cause damage to the interior or exterior of the home, and to neighboring properties. If BUYER'S alteration to the drainage of the Homesite causes damage to neighboring properties or common areas, Buyer will be liable for all such damage. BUYER accepts responsibility for maintaining the integrity of the grading and drainage of the Homesite and holds SELLER free and harmless from BUYER'S alteration or changes to the grading or drainage. SELLER recommends use of a state-licensed civil engineer or landscape architect for landscape plans and installation.

K. **UTILITY EASEMENTS.** Information concerning easements for utilities, drainage, rights of way and other purposes are shown on the title report and subdivision map recorded in the County Recorder's office. Utility companies typically locate electrical facilities, telephone, street lights and cable TV boxes in utility easement areas. These areas typically run parallel to streets and driveways, although individual conditions may necessitate their placement in other areas. The utility companies control the location of these facilities. BUYER should contact the utility companies for exact locations affecting a particular homesite.

L. **PROPOSITION 65.** Pursuant to State of California law (Proposition 65), SELLER hereby notifies BUYER that certain substances known to cause cancer, birth defects or reproductive harm may have been used in the construction of the home and improvements located in, on or about the Community of which the Property is a part. These substances include, but are not limited to, the following: paint, oil, gasoline, plywood and particle board, metals and organic toxins from piping systems, wood preservatives in decks and patios, and emissions from heavy duty construction equipment. Detectable amounts of some or all of such substances may be present in the home and surrounding real property.

M. **MAILBOXES.** Mailbox locations are controlled by the United States Postal Service and are subject to change.

N. **INSURANCE COVERAGE.** BUYER acknowledges there may be a master fire and liability insurance policy covering the Property, and, if so, the premium on same will be included in the monthly installments of assessments paid by BUYER to the Homeowners Association. The master fire and liability policy does not insure against loss or damage to BUYER'S personal property nor BUYER'S personal liability for injuries sustained within BUYER'S Property.

O. **RADON.** The aging process of the soil and other elements created by nature, as well as building materials developed by man, many times create unwanted and undesired gases and other contaminants in homes, both new and used. Also, since energy conservation has become a concern, the State of California Uniform Building Code, specifically the energy standards, has created tighter homes which trap these unwanted gases in different degrees depending on how each person lives within their home. To date, measurements of such unwanted gasses (such as radon) are reported as parts of the air they occupy. In most cases the measurements are translated to "parts per millionth" or "parts per billionth". Since the quality of air we breathe can affect our health, we recommend frequent airings of your home by simply opening your windows to introduce air uncontaminated with such gases. Other air transfer methods are also available and helpful such as circulating systems using outside air intake.

P. **WATER HEATER STRAPPING.** Pursuant to California Health & Safety Code Section 19211, SELLER hereby certifies that all water heaters are installed in accordance with the above-referenced Health & Safety Code, and are strapped to resist falling or horizontal displacement due to earthquake motion.

Q. **FEDERAL WITHHOLDING TAX.** The Foreign Investment in Real Property Tax Act ("FIRPTA"), Internal Revenue Code Section 1445, requires every BUYER of U.S. real property to deduct and withhold from a SELLER'S proceeds ten percent (10%) of the sales price unless an exemption applies. One exemption, which excuses the requirement to withhold, is the providing by a SELLER to a BUYER of an affidavit under penalty of perjury stating that SELLER is not a "foreign person." In this regard, at Close of Escrow, SELLER agrees to furnish BUYER with such an affidavit. This affidavit will also serve as an exemption for purposes of California Revenue and Taxation Code Section 18805 which would otherwise also require BUYER to deduct and withhold an additional tax equal to one-third of the amount required to be withheld under Section 1445.

R. **CALIFORNIA WITHHOLDING TAX.** California Revenue and Taxation Code Sections 18805 and 26131 require a BUYER of real property to withhold California income taxes from escrow funds under certain circumstances. SELLER hereby warrants and represents to BUYER and Escrow Holder that BUYER is NOT required to withhold taxes in connection with this transaction since all the conditions that are necessary for these Codes to be applicable have not been met. However, prior to Close of Escrow, SELLER shall deposit into Escrow, SELLER'S Affidavit of Non-Resident Status and Escrow Holder shall deliver a copy of same to BUYER prior to Close of Escrow.

S. **PRELIMINARY CHANGE OF OWNERSHIP STATEMENT.** In accordance with California Revenue and Taxation Code Sections 480.3 and 480.4, effective July 1, 1985, all deeds and other documents, when presented for recordation, that reflect a change of ownership must include a Preliminary Change of Ownership Report ("Report"). Said Report is to be furnished to Escrow Holder by BUYER prior to the Close of Escrow and attached to required documents for delivery to the County Recorder. Should said Report not be submitted to Escrow Holder for submission with the documents as called for or should said form be rejected by the County Recorder for any reason whatsoever (i.e., missing information), Escrow Holder shall charge BUYER and pay the County Recorder a service charge of Twenty Dollars (\$20.00) as required by said governmental agency. Escrow Holder is not to be further concerned with said Report and/or the provisions of this Paragraph. Buyer understands Buyer is responsible to inform the Assessor's office of all upgrades added to the home, including options and flooring via the Preliminary Change of Ownership form.

_____ Date

EXHIBIT "A"

TO THE PURCHASE AGREEMENT AND DEPOSIT RECEIPT AND ESCROW INSTRUCTIONS

CONSTRUCTION CLAIMS STATUTE AND ACKNOWLEDGMENT OF RECEIPT: **BY INITIALING BELOW, BUYER ACKNOWLEDGES THAT SELLER PROVIDED A COPY OF THE CONSTRUCTION CLAIMS STATUTE TO BUYER WITH THE ORIGINAL SALES DOCUMENTATION FOR THE PROPERTY.**

_____ BUYER'S INITIALS	_____ BUYER'S INITIALS	_____ SELLER'S INITIALS
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CONSTRUCTION CLAIMS STATUTE

[EXCERPT FROM CALIFORNIA CIVIL CODE]

TITLE 7.

REQUIREMENTS FOR ACTIONS FOR CONSTRUCTION DEFECTS

**CHAPTER 1.
DEFINITIONS**

895. (a) "Structure" means any residential dwelling, other building, or improvement located upon a lot or within a common area.
- (b) "Designed moisture barrier" means an installed moisture barrier specified in the plans and specifications, contract documents, or manufacturer's recommendations.
- (c) "Actual moisture barrier" means any component or material, actually installed, that serves to any degree as a barrier against moisture, whether or not intended as a barrier against moisture.
- (d) "Unintended water" means water that passes beyond, around, or through a component or the material that is designed to prevent that passage.
- (e) "Close of escrow" means the date of the close of escrow between the builder and the original homeowner. With respect to claims by an association, as defined in Section 4080, "close of escrow" means the date of substantial completion, as defined in Section 337.15 of the Code of Civil Procedure, or the date the builder relinquishes control over the association's ability to decide whether to initiate a claim under this title, whichever is later.
- (f) "Claimant" or "homeowner" includes the individual owners of single family homes, individual unit owners of attached dwellings and, in the case of a common interest development, any association as defined in Section 4080.

**CHAPTER 2.
ACTIONABLE DEFECTS**

896. In any action seeking recovery of damages arising out of, or related to deficiencies in, the residential construction, design, specifications, surveying, planning, supervision, testing, or observation of construction, a builder, and to the extent set forth in Chapter 4 (commencing with Section 910), a general contractor, a subcontractor, material supplier, individual product manufacturer, or design professional, shall, except as specifically set forth in this title, be liable for, and the claimant's claims or causes of action shall be limited to violation of, the following standards, except as specifically set forth in this title. This title applies to original construction intended to be sold as an individual dwelling unit. As to condominium conversions, this title does not apply to or does not supersede any other statutory or common law.
- (a) With respect to water issues:
- (1) A door shall not allow unintended water to pass beyond, around, or through the door or its designed or actual moisture barriers, if any.
- (2) Windows, patio doors, deck doors, and their systems shall not allow water to pass beyond, around, or through the window, patio door, or deck door or its designed or actual moisture barriers, including, without limitation, internal barriers within the systems themselves. For purposes of this paragraph, "systems" include, without limitation, windows, window assemblies, framing, substrate, flashings, and trim, if any.
- (3) Windows, patio doors, deck doors, and their systems shall not allow excessive condensation to enter the structure and cause damage to another component. For purposes of this paragraph, "systems" include, without limitation, windows, window assemblies, framing, substrate, flashings, and trim, if any.
- (4) Roofs, roofing systems, chimney caps, and ventilation components shall not allow water to enter the structure or to pass beyond, around, or through the designed or actual moisture barriers, including, without limitation, internal barriers located within the systems themselves. For purposes of this paragraph, "systems" include, without limitation, framing, substrate, and

sheathing, if any.

(5) Decks, deck systems, balconies, balcony systems, exterior stairs, and stair systems shall not allow water to pass into the adjacent structure. For purposes of this paragraph, "systems" include, without limitation, framing, substrate, flashing, and sheathing, if any.

(6) Decks, deck systems, balconies, balcony systems, exterior stairs, and stair systems shall not allow unintended water to pass within the systems themselves and cause damage to the systems. For purposes of this paragraph, "systems" include, without limitation, framing, substrate, flashing, and sheathing, if any.

(7) Foundation systems and slabs shall not allow water or vapor to enter into the structure so as to cause damage to another building component.

(8) Foundation systems and slabs shall not allow water or vapor to enter into the structure so as to limit the installation of the type of flooring materials typically used for the particular application.

(9) Hardscape, including paths and patios, irrigation systems, landscaping systems, and drainage systems, that are installed as part of the original construction, shall not be installed in such a way as to cause water or soil erosion to enter into or come in contact with the structure so as to cause damage to another building component.

(10) Stucco, exterior siding, exterior walls, including, without limitation, exterior framing, and other exterior wall finishes and fixtures and the systems of those components and fixtures, including, but not limited to, pot shelves, horizontal surfaces, columns, and plant ons, shall be installed in such a way so as not to allow unintended water to pass into the structure or to pass beyond, around, or through the designed or actual moisture barriers of the system, including any internal barriers located within the system itself. For purposes of this paragraph, "systems" include, without limitation, framing, substrate, flashings, trim, wall assemblies, and internal wall cavities, if any.

(11) Stucco, exterior siding, and exterior walls shall not allow excessive condensation to enter the structure and cause damage to another component. For purposes of this paragraph, "systems" include, without limitation, framing, substrate, flashings, trim, wall assemblies, and internal wall cavities, if any.

(12) Retaining and site walls and their associated drainage systems shall not allow unintended water to pass beyond, around, or through its designed or actual moisture barriers including, without limitation, any internal barriers, so as to cause damage. This standard does not apply to those portions of any wall or drainage system that are designed to have water flow beyond, around, or through them.

(13) Retaining walls and site walls, and their associated drainage systems, shall only allow water to flow beyond, around, or through the areas designated by design.

(14) The lines and components of the plumbing system, sewer system, and utility systems shall not leak.

(15) Plumbing lines, sewer lines, and utility lines shall not corrode so as to impede the useful life of the systems.

(16) Sewer systems shall be installed in such a way as to allow the designated amount of sewage to flow through the system.

(17) Showers, baths, and related waterproofing systems shall not leak water into the interior of walls, flooring systems, or the interior of other components.

(18) The waterproofing system behind or under ceramic tile and tile countertops shall not allow water into the interior of walls, flooring systems, or other components so as to cause damage. Ceramic tile systems shall be designed and installed so as to deflect intended water to the waterproofing system.

(b) With respect to structural issues:

(1) Foundations, load bearing components, and slabs, shall not contain significant cracks or significant vertical displacement.

(2) Foundations, load bearing components, and slabs shall not cause the structure, in whole or in part, to be structurally unsafe.

(3) Foundations, load bearing components, and slabs, and underlying soils shall be constructed so as to materially comply with the design criteria set by applicable government building codes, regulations, and ordinances for chemical deterioration or corrosion resistance in effect at the time of original construction.

(4) A structure shall be constructed so as to materially comply with the design criteria for earthquake and wind load resistance, as set forth in the applicable government building codes, regulations, and ordinances in effect at the time of original construction.

(c) With respect to soil issues:

(1) Soils and engineered retaining walls shall not cause, in whole or in part, damage to the structure built upon the soil or engineered retaining wall.

(2) Soils and engineered retaining walls shall not cause, in whole or in part, the structure to be structurally unsafe.

(3) Soils shall not cause, in whole or in part, the land upon which no structure is built to become unusable for the purpose represented at the time of original sale by the builder or for the purpose for which that land is commonly used.

(d) With respect to fire protection issues:

(1) A structure shall be constructed so as to materially comply with the design criteria of the applicable government building codes, regulations, and ordinances for fire protection of the occupants in effect at the time of the original construction.

(2) Fireplaces, chimneys, chimney structures, and chimney termination caps shall be constructed and installed in such a way so as not to cause an unreasonable risk of fire outside the fireplace enclosure or chimney.

(3) Electrical and mechanical systems shall be constructed and installed in such a way so as not to cause an unreasonable risk of fire.

(e) With respect to plumbing and sewer issues:

Plumbing and sewer systems shall be installed to operate properly and shall not materially impair the use of the structure by its inhabitants. However, no action may be brought for a violation of this subdivision more than four years after close of escrow.

(f) With respect to electrical system issues:

Electrical systems shall operate properly and shall not materially impair the use of the structure by its inhabitants. However, no action shall be brought pursuant to this subdivision more than four years from close of escrow.

(g) With respect to issues regarding other areas of construction:

(1) Exterior pathways, driveways, hardscape, sidewalls, sidewalks, and patios installed by the original builder shall not contain cracks that display significant vertical displacement or that are excessive. However, no action shall be brought upon a violation of this paragraph more than four years from close of escrow.

(2) Stucco, exterior siding, and other exterior wall finishes and fixtures, including, but not limited to, pot shelves, horizontal surfaces, columns, and plant-ons, shall not contain significant cracks or separations.

(3) (A) To the extent not otherwise covered by these standards, manufactured products, including, but not limited to, windows, doors, roofs, plumbing products and fixtures, fireplaces, electrical fixtures, HVAC units, countertops, cabinets, paint, and appliances shall be installed so as not to interfere with the products' useful life, if any.

(B) For purposes of this paragraph, "useful life" means a representation of how long a product is warranted or represented, through its limited warranty or any written representations, to last by its manufacturer, including recommended or required maintenance. If there is no representation by a manufacturer, a builder shall install manufactured products so as not to interfere with the product's utility.

(C) For purposes of this paragraph, "manufactured product" means a product that is completely manufactured offsite.

(D) If no useful life representation is made, or if the representation is less than one year, the period shall be no less than one year. If a manufactured product is damaged as a result of a violation of these standards, damage to the product is a recoverable element of damages. This subparagraph does not limit recovery if there has been damage to another building component caused by a manufactured product during the manufactured product's useful life.

(E) This title does not apply in any action seeking recovery solely for a defect in a manufactured product located within or adjacent to a structure.

(4) Heating shall be installed so as to be capable of maintaining a room temperature of 70 degrees Fahrenheit at a point three feet above the floor in any living space if the heating was installed pursuant to a building permit application submitted prior to January 1, 2008, or capable of maintaining a room temperature of 68 degrees Fahrenheit at a point three feet above the floor and two feet from exterior walls in all habitable rooms at the design temperature if the heating was installed pursuant to a building permit application submitted on or before January 1, 2008.

(5) Living space air-conditioning, if any, shall be provided in a manner consistent with the size and efficiency design criteria specified in Title 24 of the California Code of Regulations or its successor.

(6) Attached structures shall be constructed to comply with inter unit noise transmission standards set by the applicable government building codes, ordinances, or regulations in effect at the time of the original construction. If there is no applicable code, ordinance, or regulation, this paragraph does not apply. However, no action shall be brought pursuant to this paragraph more than one year from the original occupancy of the adjacent unit.

(7) Irrigation systems and drainage shall operate properly so as not to damage landscaping or other external improvements. However, no action shall be brought pursuant to this paragraph more than one year from close of escrow.

(8) Untreated wood posts shall not be installed in contact with soil so as to cause unreasonable decay to the wood based upon the finish grade at the time of original construction. However, no action shall be brought pursuant to this paragraph more than two years from close of escrow.

(9) Untreated steel fences and adjacent components shall be installed so as to prevent unreasonable corrosion. However, no action shall be brought pursuant to this paragraph more than four years from close of escrow.

(10) Paint and stains shall be applied in such a manner so as not to cause deterioration of the building surfaces for the length of time specified by the paint or stain manufacturers' representations, if any. However, no action shall be brought pursuant to this paragraph more than five years from close of escrow.

(11) Roofing materials shall be installed so as to avoid materials falling from the roof.

(12) The landscaping systems shall be installed in such a manner so as to survive for not less than one year. However, no action shall be brought pursuant to this paragraph more than two years from close of escrow.

(13) Ceramic tile and tile backing shall be installed in such a manner that the tile does not detach.

(14) Dryer ducts shall be installed and terminated pursuant to manufacturer installation requirements. However, no action shall be brought pursuant to this paragraph more than two years from close of escrow.

(15) Structures shall be constructed in such a manner so as not to impair the occupants' safety because they contain public health hazards as determined by a duly authorized public health official, health agency, or governmental entity having jurisdiction. This paragraph does not limit recovery for any damages caused by a violation of any other paragraph of this section on the grounds that the damages do not constitute a health hazard.

897. The standards set forth in this chapter are intended to address every function or component of a structure. To the extent that a function or component of a structure is not addressed by these standards, it shall be actionable if it causes damage.

CHAPTER 3. OBLIGATIONS

900. As to fit and finish items, a builder shall provide a homebuyer with a minimum one-year express written limited warranty covering the fit and finish of the following building components. Except as otherwise provided by the standards specified in Chapter 2 (commencing with Section 896), this warranty shall cover the fit and finish of cabinets, mirrors, flooring, interior and exterior walls, countertops, paint finishes, and trim, but shall not apply to damage to those components caused by defects in other components governed by the other provisions of this title. Any fit and finish matters covered by this warranty are not subject to the provisions of this title. If a builder fails to provide the express warranty required by this section, the warranty for these items shall be for a period of one year.

901. A builder may, but is not required to, offer greater protection or protection for longer time periods in its express contract with the homeowner than that set forth in Chapter 2 (commencing with Section 896). A builder may not limit the application of Chapter 2 (commencing with Section 896) or lower its protection through the express contract with the homeowner. This type of express contract constitutes an "enhanced protection agreement."

902. If a builder offers an enhanced protection agreement, the builder may choose to be subject to its own express contractual provisions in place of the provisions set forth in Chapter 2 (commencing with Section 896). If an enhanced protection agreement is in place, Chapter 2 (commencing with Section 896) no longer applies other than to set forth minimum provisions by which to judge the enforceability of the particular provisions of the enhanced protection agreement.

903. If a builder offers an enhanced protection agreement in place of the provisions set forth in Chapter 2 (commencing with Section 896), the election to do so shall be made in writing with the homeowner no later than the close of escrow. The builder shall provide the homeowner with a complete copy of Chapter 2 (commencing with Section 896) and advise the homeowner that the builder has elected not to be subject to its provisions. If any provision of an enhanced protection agreement is later found to be unenforceable as not meeting the minimum standards of Chapter 2 (commencing with Section 896), a builder may use this chapter in lieu of those provisions found to be unenforceable.

904. If a builder has elected to use an enhanced protection agreement, and a homeowner disputes that the particular provision or time periods of the enhanced protection agreement are not greater than, or equal to, the provisions of Chapter 2 (commencing with Section 896) as they apply to the particular deficiency alleged by the homeowner, the homeowner may seek to enforce the application of the standards set forth in this chapter as to those claimed deficiencies. If a homeowner seeks to enforce a particular standard in lieu of a provision of the enhanced protection agreement, the homeowner shall give the builder written notice of that intent at the time the homeowner files a notice of claim pursuant to Chapter 4 (commencing with Section 910).

905. If a homeowner seeks to enforce Chapter 2 (commencing with Section 896), in lieu of the enhanced protection agreement in a subsequent litigation or other legal action, the builder shall have the right to have the matter bifurcated, and to have an immediately binding determination of his or her responsive pleading within 60 days after the filing of that pleading, but in no event after the commencement of discovery, as to the application of either Chapter 2 (commencing with Section 896) or the enhanced protection agreement as to the deficiencies claimed by the homeowner. If the builder fails to seek that determination in the timeframe specified, the builder waives the right to do so and the standards set forth in this title shall apply. As to any non-original homeowner, that homeowner shall be deemed in privity for purposes of an enhanced protection agreement only to the extent that the builder has recorded the enhanced protection agreement on title or provided actual notice to the non-original homeowner of the enhanced protection agreement. If the enhanced protection agreement is not recorded on title or no actual notice has been provided, the standards set forth in this title apply to any non-original homeowners' claims.

906. A builder's election to use an enhanced protection agreement addresses only the issues set forth in Chapter 2 (commencing with Section 896) and does not constitute an election to use or not use the provisions of Chapter 4 (commencing with Section 910). The decision to use or not use Chapter 4 (commencing with Section 910) is governed by

the provisions of that chapter.

907. A homeowner is obligated to follow all reasonable maintenance obligations and schedules communicated in writing to the homeowner by the builder and product manufacturers, as well as commonly accepted maintenance practices. A failure by a homeowner to follow these obligations, schedules, and practices may subject the homeowner to the affirmative defenses contained in Section 944.

CHAPTER 4. PRELITIGATION PROCEDURE

910. Prior to filing an action against any party alleged to have contributed to a violation of the standards set forth in Chapter 2 (commencing with Section 896), the claimant shall initiate the following prelitigation procedures:

(a) The claimant or his or her legal representative shall provide written notice via certified mail, overnight mail, or personal delivery to the builder, in the manner prescribed in this section, of the claimant's claim that the construction of his or her residence violates any of the standards set forth in Chapter 2 (commencing with Section 896). That notice shall provide the claimant's name, address, and preferred method of contact, and shall state that the claimant alleges a violation pursuant to this part against the builder, and shall describe the claim in reasonable detail sufficient to determine the nature and location, to the extent known, of the claimed violation. In the case of a group of homeowners or an association, the notice may identify the claimants solely by address or other description sufficient to apprise the builder of the locations of the subject residences. That document shall have the same force and effect as a notice of commencement of a legal proceeding.

(b) The notice requirements of this section do not preclude a homeowner from seeking redress through any applicable normal customer service procedure as set forth in any contractual, warranty, or other builder-generated document; and, if a homeowner seeks to do so, that request shall not satisfy the notice requirements of this section.

911. (a) For purposes of this title, except as provided in subdivision (b), "builder" means any entity or individual, including, but not limited to a builder, developer, general contractor, contractor, or original seller, who, at the time of sale, was also in the business of selling residential units to the public for the property that is the subject of the homeowner's claim or was in the business of building, developing, or constructing residential units for public purchase for the property that is the subject of the homeowner's claim.

(b) For the purposes of this title, "builder" does not include any entity or individual whose involvement with a residential unit that is the subject of the homeowner's claim is limited to his or her capacity as general contractor or contractor and who is not a partner, member of, subsidiary of, or otherwise similarly affiliated with the builder. For purposes of this title, these nonaffiliated general contractors and nonaffiliated contractors shall be treated the same as subcontractors, material suppliers, individual product manufacturers, and design professionals.

912. A builder shall do all of the following:

(a) Within 30 days of a written request by a homeowner or his or her legal representative, the builder shall provide copies of all relevant plans, specifications, mass or rough grading plans, final soils reports, Department of Real Estate public reports, and available engineering calculations, that pertain to a homeowner's residence specifically or as part of a larger development tract. The request shall be honored if it states that it is made relative to structural, fire safety, or soils provisions of this title. However, a builder is not obligated to provide a copying service, and reasonable copying costs shall be borne by the requesting party. A builder may require that the documents be copied onsite by the requesting party, except that the homeowner may, at his or her option, use his or her own copying service, which may include an offsite copy facility that is bonded and insured. If a builder can show that the builder maintained the documents, but that they later became unavailable due to loss or destruction that was not the fault of the builder, the builder may be excused from the requirements of this subdivision, in which case the builder shall act with reasonable diligence to assist the homeowner in obtaining those documents from any applicable government authority or from the source that generated the document. However, in that case, the time limits specified by this section do not apply.

(b) At the expense of the homeowner, who may opt to use an offsite copy facility that is bonded and insured, the builder shall provide to the homeowner or his or her legal representative copies of all maintenance and preventative maintenance recommendations that pertain to his or her residence within 30 days of service of a written request for those documents. Those documents shall also be provided to the homeowner in conjunction with the initial sale of the residence.

(c) At the expense of the homeowner, who may opt to use an offsite copy facility that is bonded and insured, a builder shall provide to the homeowner or his or her legal representative copies of all manufactured products maintenance, preventive maintenance, and limited warranty information within 30 days of a written request for those documents. These documents shall also be provided to the homeowner in conjunction with the initial sale of the residence.

(d) At the expense of the homeowner, who may opt to use an offsite copy facility that is bonded and insured, a builder shall provide to the homeowner or his or her legal representative copies of all of the builder's limited contractual warranties in accordance with this part in effect at the time of the original sale of the residence within 30 days of a written request for those documents. Those documents shall also be provided to the homeowner in conjunction with the initial sale of the residence.

(e) A builder shall maintain the name and address of an agent for notice pursuant to this chapter with the Secretary of State or, alternatively, elect to use a third party for that notice if the builder has notified the homeowner in writing of the third party's name and address, to whom claims and requests for information under this section may be mailed. The name and address of the agent for notice or third party shall be included with the original sales documentation and shall be initialed and acknowledged by the purchaser and the builder's sales representative. This subdivision applies to instances in which a builder contracts with a third party to accept claims and act on the builder's behalf. A builder shall give actual notice to the

homeowner that the builder has made such an election, and shall include the name and address of the third party.

(f) A builder shall record on title a notice of the existence of these procedures and a notice that these procedures impact the legal rights of the homeowner. This information shall also be included with the original sales documentation and shall be initialed and acknowledged by the purchaser and the builder's sales representative.

(g) A builder shall provide with the original sales documentation, a written copy of this title, which shall be initialed and acknowledged by the purchaser and the builder's sales representative.

(h) As to any documents provided in conjunction with the original sale, the builder shall instruct the original purchaser to provide those documents to any subsequent purchaser.

(i) Any builder who fails to comply with any of these requirements within the time specified is not entitled to the protection of this chapter, and the homeowner is released from the requirements of this chapter and may proceed with the filing of an action, in which case the remaining chapters of this part shall continue to apply to the action.

913. A builder or his or her representative shall acknowledge, in writing, receipt of the notice of the claim within 14 days after receipt of the notice of the claim. If the notice of the claim is served by the claimant's legal representative, or if the builder receives a written representation letter from a homeowner's attorney, the builder shall include the attorney in all subsequent substantive communications, including, without limitation, all written communications occurring pursuant to this chapter, and all substantive and procedural communications, including all written communications, following the commencement of any subsequent complaint or other legal action, except that if the builder has retained or involved legal counsel to assist the builder in this process, all communications by the builder's counsel shall only be with the claimant's legal representative, if any.

914. (a) This chapter establishes a nonadversarial procedure, including the remedies available under this chapter which, if the procedure does not resolve the dispute between the parties, may result in a subsequent action to enforce the other chapters of this title. A builder may attempt to commence nonadversarial contractual provisions other than the nonadversarial procedures and remedies set forth in this chapter, but may not, in addition to its own nonadversarial contractual provisions, require adherence to the nonadversarial procedures and remedies set forth in this chapter, regardless of whether the builder's own alternative nonadversarial contractual provisions are successful in resolving the dispute or ultimately deemed enforceable.

At the time the sales agreement is executed, the builder shall notify the homeowner whether the builder intends to engage in the nonadversarial procedure of this section or attempt to enforce alternative nonadversarial contractual provisions. If the builder elects to use alternative nonadversarial contractual provisions in lieu of this chapter, the election is binding, regardless of whether the builder's alternative nonadversarial contractual provisions are successful in resolving the ultimate dispute or are ultimately deemed enforceable.

(b) Nothing in this title is intended to affect existing statutory or decisional law pertaining to the applicability, viability, or enforceability of alternative dispute resolution methods, alternative remedies, or contractual arbitration, judicial reference, or similar procedures requiring a binding resolution to enforce the other chapters of this title or any other disputes between homeowners and builders. Nothing in this title is intended to affect the applicability, viability, or enforceability, if any, of contractual arbitration or judicial reference after a nonadversarial procedure or provision has been completed.

915. If a builder fails to acknowledge receipt of the notice of a claim within the time specified, elects not to go through the process set forth in this chapter, or fails to request an inspection within the time specified, or at the conclusion or cessation of an alternative nonadversarial proceeding, this chapter does not apply and the homeowner is released from the requirements of this chapter and may proceed with the filing of an action. However, the standards set forth in the other chapters of this title shall continue to apply to the action.

916. (a) If a builder elects to inspect the claimed unmet standards, the builder shall complete the initial inspection and testing within 14 days after acknowledgment of receipt of the notice of the claim, at a mutually convenient date and time. If the homeowner has retained legal representation, the inspection shall be scheduled with the legal representative's office at a mutually convenient date and time, unless the legal representative is unavailable during the relevant time periods. All costs of builder inspection and testing, including any damage caused by the builder inspection, shall be borne by the builder. The builder shall also provide written proof that the builder has liability insurance to cover any damages or injuries occurring during inspection and testing. The builder shall restore the property to its pretesting condition within 48 hours of the testing. The builder shall, upon request, allow the inspections to be observed and electronically recorded, video recorded, or photographed by the claimant or his or her legal representative.

(b) Nothing that occurs during a builder's or claimant's inspection or testing may be used or introduced as evidence to support a spoliation defense by any potential party in any subsequent litigation.

(c) If a builder deems a second inspection or testing reasonably necessary, and specifies the reasons therefor in writing within three days following the initial inspection, the builder may conduct a second inspection or testing. A second inspection or testing shall be completed within 40 days of the initial inspection or testing. All requirements concerning the initial inspection or testing shall also apply to the second inspection or testing.

(d) If the builder fails to inspect or test the property within the time specified, the claimant is released from the requirements of this section and may proceed with the filing of an action. However, the standards set forth in the other chapters of this title shall continue to apply to the action.

(e) If a builder intends to hold a subcontractor, design professional, individual product manufacturer, or material supplier, including an insurance carrier, warranty company, or service company, responsible for its contribution to the unmet standard,

the builder shall provide notice to that person or entity sufficiently in advance to allow them to attend the initial, or if requested, second inspection of any alleged unmet standard and to participate in the repair process. The claimant and his or her legal representative, if any, shall be advised in a reasonable time prior to the inspection as to the identity of all persons or entities invited to attend. This subdivision does not apply to the builder's insurance company. Except with respect to any claims involving a repair actually conducted under this chapter, nothing in this subdivision shall be construed to relieve a subcontractor, design professional, individual product manufacturer, or material supplier of any liability under an action brought by a claimant.

917. Within 30 days of the initial or, if requested, second inspection or testing, the builder may offer in writing to repair the violation. The offer to repair shall also compensate the homeowner for all applicable damages recoverable under Section 944, within the timeframe for the repair set forth in this chapter. Any such offer shall be accompanied by a detailed, specific, step-by-step statement identifying the particular violation that is being repaired, explaining the nature, scope, and location of the repair, and setting a reasonable completion date for the repair. The offer shall also include the names, addresses, telephone numbers, and license numbers of the contractors whom the builder intends to have perform the repair. Those contractors shall be fully insured for, and shall be responsible for, all damages or injuries that they may cause to occur during the repair, and evidence of that insurance shall be provided to the homeowner upon request. Upon written request by the homeowner or his or her legal representative, and within the timeframes set forth in this chapter, the builder shall also provide any available technical documentation, including, without limitation, plans and specifications, pertaining to the claimed violation within the particular home or development tract. The offer shall also advise the homeowner in writing of his or her right to request up to three additional contractors from which to select to do the repair pursuant to this chapter.

918. Upon receipt of the offer to repair, the homeowner shall have 30 days to authorize the builder to proceed with the repair. The homeowner may alternatively request, at the homeowner's sole option and discretion, that the builder provide the names, addresses, telephone numbers, and license numbers for up to three alternative contractors who are not owned or financially controlled by the builder and who regularly conduct business in the county where the structure is located. If the homeowner so elects, the builder is entitled to an additional noninvasive inspection, to occur at a mutually convenient date and time within 20 days of the election, so as to permit the other proposed contractors to review the proposed site of the repair. Within 35 days after the request of the homeowner for alternative contractors, the builder shall present the homeowner with a choice of contractors. Within 20 days after that presentation, the homeowner shall authorize the builder or one of the alternative contractors to perform the repair.

919. The offer to repair shall also be accompanied by an offer to mediate the dispute if the homeowner so chooses. The mediation shall be limited to a four-hour mediation, except as otherwise mutually agreed before a nonaffiliated mediator selected and paid for by the builder. At the homeowner's sole option, the homeowner may agree to split the cost of the mediator, and if he or she does so, the mediator shall be selected jointly. The mediator shall have sufficient availability such that the mediation occurs within 15 days after the request to mediate is received and occurs at a mutually convenient location within the county where the action is pending. If a builder has made an offer to repair a violation, and the mediation has failed to resolve the dispute, the homeowner shall allow the repair to be performed either by the builder, its contractor, or the selected contractor.

920. If the builder fails to make an offer to repair or otherwise strictly comply with this chapter within the times specified, the claimant is released from the requirements of this chapter and may proceed with the filing of an action. If the contractor performing the repair does not complete the repair in the time or manner specified, the claimant may file an action. If this occurs, the standards set forth in the other chapters of this part shall continue to apply to the action.

921. (a) In the event that a resolution under this chapter involves a repair by the builder, the builder shall make an appointment with the claimant, make all appropriate arrangements to effectuate a repair of the claimed unmet standards, and compensate the homeowner for all damages resulting therefrom free of charge to the claimant. The repair shall be scheduled through the claimant's legal representative, if any, unless he or she is unavailable during the relevant time periods. The repair shall be commenced on a mutually convenient date within 14 days of acceptance or, if an alternative contractor is selected by the homeowner, within 14 days of the selection, or, if a mediation occurs, within seven days of the mediation, or within five days after a permit is obtained if one is required. The builder shall act with reasonable diligence in obtaining any such permit.

(b) The builder shall ensure that work done on the repairs is done with the utmost diligence, and that the repairs are completed as soon as reasonably possible, subject to the nature of the repair or some unforeseen event not caused by the builder or the contractor performing the repair. Every effort shall be made to complete the repair within 120 days.

922. The builder shall, upon request, allow the repair to be observed and electronically recorded, video recorded, or photographed by the claimant or his or her legal representative. Nothing that occurs during the repair process may be used or introduced as evidence to support a spoliation defense by any potential party in any subsequent litigation.

923. The builder shall provide the homeowner or his or her legal representative, upon request, with copies of all correspondence, photographs, and other materials pertaining or relating in any manner to the repairs.

924. If the builder elects to repair some, but not all of, the claimed unmet standards, the builder shall, at the same time it makes its offer, set forth with particularity in writing the reasons, and the support for those reasons, for not repairing all claimed unmet standards.

925. If the builder fails to complete the repair within the time specified in the repair plan, the claimant is released from the requirements of this chapter and may proceed with the filing of an action. If this occurs, the standards set forth in the other chapters of this title shall continue to apply to the action.

926. The builder may not obtain a release or waiver of any kind in exchange for the repair work mandated by this chapter.

At the conclusion of the repair, the claimant may proceed with filing an action for violation of the applicable standard or for a claim of inadequate repair, or both, including all applicable damages available under Section 944.

927. If the applicable statute of limitations has otherwise run during this process, the time period for filing a complaint or other legal remedies for violation of any provision of this title, or for a claim of inadequate repair, is extended from the time of the original claim by the claimant to 100 days after the repair is completed, whether or not the particular violation is the one being repaired. If the builder fails to acknowledge the claim within the time specified, elects not to go through this statutory process, or fails to request an inspection within the time specified, the time period for filing a complaint or other legal remedies for violation of any provision of this title is extended from the time of the original claim by the claimant to 45 days after the time for responding to the notice of claim has expired. If the builder elects to attempt to enforce its own nonadversarial procedure in lieu of the procedure set forth in this chapter, the time period for filing a complaint or other legal remedies for violation of any provision of this part is extended from the time of the original claim by the claimant to 100 days after either the completion of the builder's alternative nonadversarial procedure, or 100 days after the builder's alternative nonadversarial procedure is deemed unenforceable, whichever is later.

928. If the builder has invoked this chapter and completed a repair, prior to filing an action, if there has been no previous mediation between the parties, the homeowner or his or her legal representative shall request mediation in writing. The mediation shall be limited to four hours, except as otherwise mutually agreed before a nonaffiliated mediator selected and paid for by the builder. At the homeowner's sole option, the homeowner may agree to split the cost of the mediator and if he or she does so, the mediator shall be selected jointly. The mediator shall have sufficient availability such that the mediation will occur within 15 days after the request for mediation is received and shall occur at a mutually convenient location within the county where the action is pending. In the event that a mediation is used at this point, any applicable statutes of limitations shall be tolled from the date of the request to mediate until the next court day after the mediation is completed, or the 100-day period, whichever is later.

929. (a) Nothing in this chapter prohibits the builder from making only a cash offer and no repair. In this situation, the homeowner is free to accept the offer, or he or she may reject the offer and proceed with the filing of an action. If the latter occurs, the standards of the other chapters of this title shall continue to apply to the action.

(b) The builder may obtain a reasonable release in exchange for the cash payment. The builder may negotiate the terms and conditions of any reasonable release in terms of scope and consideration in conjunction with a cash payment under this chapter.

930. (a) The time periods and all other requirements in this chapter are to be strictly construed, and, unless extended by the mutual agreement of the parties in accordance with this chapter, shall govern the rights and obligations under this title. If a builder fails to act in accordance with this section within the timeframes mandated, unless extended by the mutual agreement of the parties as evidenced by a post claim written confirmation by the affected homeowner demonstrating that he or she has knowingly and voluntarily extended the statutory timeframe, the claimant may proceed with filing an action. If this occurs, the standards of the other chapters of this title shall continue to apply to the action.

(b) If the claimant does not conform with the requirements of this chapter, the builder may bring a motion to stay any subsequent court action or other proceeding until the requirements of this chapter have been satisfied. The court, in its discretion, may award the prevailing party on such a motion, his or her attorney's fees and costs in bringing or opposing the motion.

931. If a claim combines causes of action or damages not covered by this part, including, without limitation, personal injuries, class actions, other statutory remedies, or fraud-based claims, the claimed unmet standards shall be administered according to this part, although evidence of the property in its unrepaired condition may be introduced to support the respective elements of any such cause of action. As to any fraud-based claim, if the fact that the property has been repaired under this chapter is deemed admissible, the trier of fact shall be informed that the repair was not voluntarily accepted by the homeowner. As to any class action claims that address solely the incorporation of a defective component into a residence, the named and unnamed class members need not comply with this chapter.

932. Subsequently discovered claims of unmet standards shall be administered separately under this chapter, unless otherwise agreed to by the parties. However, in the case of a detached single family residence, in the same home, if the subsequently discovered claim is for a violation of the same standard as that which has already been initiated by the same claimant and the subject of a currently pending action, the claimant need not reinitiate the process as to the same standard. In the case of an attached project, if the subsequently discovered claim is for a violation of the same standard for a connected component system in the same building as has already been initiated by the same claimant, and the subject of a currently pending action, the claimant need not reinitiate this process as to that standard.

933. If any enforcement of these standards is commenced, the fact that a repair effort was made may be introduced to the trier of fact. However, the claimant may use the condition of the property prior to the repair as the basis for contending that the repair work was inappropriate, inadequate, or incomplete, or that the violation still exists. The claimant need not show that the repair work resulted in further damage nor that damage has continued to occur as a result of the violation.

934. Evidence of both parties' conduct during this process may be introduced during a subsequent enforcement action, if any, with the exception of any mediation. Any repair efforts undertaken by the builder, shall not be considered settlement communications or offers of settlement and are not inadmissible in evidence on such a basis.

935. To the extent that provisions of this chapter are enforced and those provisions are substantially similar to provisions in Section 6000, but an action is subsequently commenced under Section 6000, the parties are excused from performing the substantially similar requirements under Section 6000.

936. Each and every provision of the other chapters of this title apply to general contractors, subcontractors, material suppliers, individual product manufacturers, and design professionals to the extent that the general contractors, subcontractors, material suppliers, individual product manufacturers, and design professionals caused, in whole or in part, a violation of a particular standard as the result of a negligent act or omission or a breach of contract. In addition to the affirmative defenses set forth in Section 945.5, a general contractor, subcontractor, material supplier, design professional, individual product manufacturer, or other entity may also offer common law and contractual defenses as applicable to any claimed violation of a standard. All actions by a claimant or builder to enforce an express contract, or any provision thereof, against a general contractor, subcontractor, material supplier, individual product manufacturer, or design professional is preserved. Nothing in this title modifies the law pertaining to joint and several liability for builders, general contractors, subcontractors, material suppliers, individual product manufacturer, and design professionals that contribute to any specific violation of this title. However, the negligence standard in this section does not apply to any general contractor, subcontractor, material supplier, individual product manufacturer, or design professional with respect to claims for which strict liability would apply.

937. Nothing in this title shall be interpreted to eliminate or abrogate the requirement to comply with Section 411.35 of the Code of Civil Procedure or to affect the liability of design professionals, including architects and architectural firms, for claims and damages not covered by this title.

938. This title applies only to new residential units where the purchase agreement with the buyer was signed by the seller on or after January 1, 2003.

CHAPTER 5. PROCEDURE

941. (a) Except as specifically set forth in this title, no action may be brought to recover under this title more than 10 years after substantial completion of the improvement but not later than the date of recordation of a valid notice of completion.

(b) As used in this section, "action" includes an action for indemnity brought against a person arising out of that person's performance or furnishing of services or materials referred to in this title, except that a cross-complaint for indemnity may be filed pursuant to subdivision (b) of Section 428.10 of the Code of Civil Procedure in an action which has been brought within the time period set forth in subdivision (a).

(c) The limitation prescribed by this section may not be asserted by way of defense by any person in actual possession or the control, as owner, tenant or otherwise, of such an improvement, at the time any deficiency in the improvement constitutes the proximate cause for which it is proposed to make a claim or bring an action.

(d) Sections 337.15 and 337.1 of the Code of Civil Procedure do not apply to actions under this title.

(e) Existing statutory and decisional law regarding tolling of the statute of limitations shall apply to the time periods for filing an action or making a claim under this title, except that repairs made pursuant to Chapter 4 (commencing with Section 910), with the exception of the tolling provision contained in Section 927, do not extend the period for filing an action, or restart the time limitations contained in subdivision (a) or (b) of Section 7091 of the Business and Professions Code. If a builder arranges for a contractor to perform a repair pursuant to Chapter 4 (commencing with Section 910), as to the builder the time period for calculating the statute of limitation in subdivision (a) or (b) of Section 7091 of the Business and Professions Code shall pertain to the substantial completion of the original construction and not to the date of repairs under this title. The time limitations established by this title do not apply to any action by a claimant for a contract or express contractual provision. Causes of action and damages to which this chapter does not apply are not limited by this section.

942. In order to make a claim for violation of the standards set forth in Chapter 2 (commencing with Section 896), a homeowner need only demonstrate, in accordance with the applicable evidentiary standard, that the home does not meet the applicable standard, subject to the affirmative defenses set forth in Section 945.5. No further showing of causation or damages is required to meet the burden of proof regarding a violation of a standard set forth in Chapter 2 (commencing with Section 896), provided that the violation arises out of, pertains to, or is related to, the original construction.

943. (a) Except as provided in this title, no other cause of action for a claim covered by this title or for damages recoverable under Section 944 is allowed. In addition to the rights under this title, this title does not apply to any action by a claimant to enforce a contract or express contractual provision, or any action for fraud, personal injury, or violation of a statute. Damages awarded for the items set forth in Section 944 in such other cause of action shall be reduced by the amounts recovered pursuant to Section 944 for violation of the standards set forth in this title.

(b) As to any claims involving a detached single-family home, the homeowner's right to the reasonable value of repairing any nonconformity is limited to the repair costs, or the diminution in current value of the home caused by the nonconformity, whichever is less, subject to the personal use exception as developed under common law.

944. If a claim for damages is made under this title, the homeowner is only entitled to damages for the reasonable value of repairing any violation of the standards set forth in this title, the reasonable cost of repairing any damages caused by the repair efforts, the reasonable cost of repairing and rectifying any damages resulting from the failure of the home to meet the standards, the reasonable cost of removing and replacing any improper repair by the builder, reasonable relocation and storage expenses, lost business income if the home was used as a principal place of a business licensed to be operated from the home, reasonable investigative costs for each established violation, and all other costs or fees recoverable by contract or statute.

945. The provisions, standards, rights, and obligations set forth in this title are binding upon all original purchasers and their successors-in-interest. For purposes of this title, associations and others having the rights set forth in Sections 5980 and

5985 shall be considered to be original purchasers and shall have standing to enforce the provisions, standards, rights, and obligations set forth in this title.

945.5. A builder, general contractor, subcontractor, material supplier, individual product manufacturer, or design professional, under the principles of comparative fault pertaining to affirmative defenses, may be excused, in whole or in part, from any obligation, damage, loss, or liability if the builder, general contractor, subcontractor, material supplier, individual product manufacturer, or design professional can demonstrate any of the following affirmative defenses in response to a claimed violation:

(a) To the extent it is caused by an unforeseen act of nature which caused the structure not to meet the standard. For purposes of this section an "unforeseen act of nature" means a weather condition, earthquake, or manmade event such as war, terrorism, or vandalism, in excess of the design criteria expressed by the applicable building codes, regulations, and ordinances in effect at the time of original construction.

(b) To the extent it is caused by a homeowner's unreasonable failure to minimize or prevent those damages in a timely manner, including the failure of the homeowner to allow reasonable and timely access for inspections and repairs under this title. This includes the failure to give timely notice to the builder after discovery of a violation, but does not include damages due to the untimely or inadequate response of a builder to the homeowner's claim.

(c) To the extent it is caused by the homeowner or his or her agent, employee, general contractor, subcontractor, independent contractor, or consultant by virtue of their failure to follow the builder's or manufacturer's recommendations, or commonly accepted homeowner maintenance obligations. In order to rely upon this defense as it relates to a builder's recommended maintenance schedule, the builder shall show that the homeowner had written notice of these schedules and recommendations and that the recommendations and schedules were reasonable at the time they were issued

(d) To the extent it is caused by the homeowner or his or her agent's or an independent third party's alterations, ordinary wear and tear, misuse, abuse, or neglect, or by the structure's use for something other than its intended purpose.

(e) To the extent that the time period for filing actions bars the claimed violation.

(f) As to a particular violation for which the builder has obtained a valid release.

(g) To the extent that the builder's repair was successful in correcting the particular violation of the applicable standard.

(h) As to any causes of action to which this statute does not apply, all applicable affirmative defenses are preserved.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

Dear Homebuyer(s):

Congratulations on the purchase of your new Lennar Home.

As part of Lennar's commitment to quality, value and integrity, your Home is covered by a one-year limited warranty on workmanship, systems and structural elements (also known as the "Lennar Limited Warranty" or "Limited Warranty").

The Lennar Limited Warranty is detailed in this document as to the scope of your Warranty coverage. Please take the time to become familiar with this Warranty document and read it in its entirety. It defines our responsibilities to you, and your responsibilities to your Home. Please keep in mind that the proper maintenance of your Home is vital, and if you do not perform the required maintenance on your Home on a regular basis, it can and will limit your Warranty rights.

While we are confident that Lennar can resolve any Warranty items to your satisfaction, **you should be aware that this Limited Warranty is subject to the dispute resolution procedures provided in your Purchase and Sale Agreement.**

Lennar is happy to answer any questions that you have about your Lennar Limited Warranty, or specific construction standards and how they apply to your Home. However, please know that the content of this Warranty Booklet controls Lennar's obligations to you and your Home to the extent that there may be any differences between the content of this document and your conversations with any of our Lennar Associates.

Congratulations again - and enjoy your new Home!

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

EXPRESS LIMITED WARRANTY- THE "LENNAR LIMITED WARRANTY"

Under the Lennar Limited Warranty, the seller of your home ("Lennar") commits that the components of your Home will perform to the standards listed in this Warranty Booklet. Specific components of your Home are covered for one year under the Lennar Limited Warranty, and Lennar's obligations are expressly limited to those standards and for only the one year time period as explained below. Please take the time to review the section titled "What Is Not Covered By The Lennar Limited Warranty" which lists those items excluded from the Lennar Limited Warranty. The Lennar Limited Warranty commences on the date of closing of the original purchase of the Home (the "Closing Date"). The protection periods provided below are referred to in the Lennar Limited Warranty as "Warranty Term."

WORKMANSHIP, SYSTEMS AND STRUCTURAL PROTECTION

For one year from the Closing Date, Lennar warrants that the components of the Home set forth in the Workmanship, Systems and Structural Standards found on pages 11 to 52 of this Warranty Booklet will perform in accordance with those Standards. If a component is not specifically listed in the Standards, then it is not warranted under the Lennar Limited Warranty or otherwise. If a component is performing in accordance with the Standards, then Lennar has no further obligations under the Lennar Limited Warranty. Lennar reserves the sole right to determine the repairs and or replacements necessary to meet the Standards. Lennar may, at its sole election, implement repairs in phases to determine if structural components can be stabilized as part of meeting its obligations under the Structural Standards. Please note that a limited number of items in the standards are subject to a one-time repair obligation.

TRANSFERABILITY

All of your rights and obligations under the Lennar Limited Warranty shall, unless previously released by you or your successor, fully transfer to each successor owner of the Home, including any mortgagee in possession, for the remainder of the Warranty Term and any transfer shall in no way affect, increase or reduce the coverage under the Lennar Limited Warranty for its unexpired term. If you sell your Home during the Warranty Term, you agree to give this Warranty Booklet to the successor owner to inform the successor owner of warranty rights and to otherwise make it possible for the successor owner to fulfill the successor owner's obligations under the terms of the Lennar Limited Warranty. **If you are an owner other than the original purchaser of the Home, you are bound by all the terms and conditions of the Lennar Limited Warranty including, but not limited to, claims procedures and the requirement to submit any disputes that may arise under the Lennar Limited Warranty to the dispute resolution procedures provided in the original Purchase and Sale Agreement.**

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

MEDIATION/DISPUTE RESOLUTION

The terms of your Purchase and Sale Agreement governing mediation and dispute resolution govern your rights and obligations under this Lennar Limited Warranty and are incorporated by reference as if fully set forth herein.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

REQUESTING LENNAR LIMITED WARRANTY SERVICE

If you believe that a component of your Home is not performing to the Lennar Limited Warranty standards, you must send the appropriate Notice of Workmanship/Systems Claim Form or Notice of Structural Claim Form (located at the back of this booklet) ("Notice of Claim") to Lennar.

The Notice of Claim must list the specific warranty claim and the date that you first observed the condition that is the subject of the claim. You must notify Lennar of any observed component that you believe is not performing to Lennar Limited Warranty standards as soon as possible and in no event later than the date the applicable warranty expires, by sending the Notice of Claim to the appropriate Customer Care office.

We must receive your Notice of Claim not later than thirty (30) days after the Warranty expires or we will have no further obligation to you under the Lennar Limited Warranty. Lennar is not responsible for repairs or any other costs or expenses (including, but not limited to, attorneys' fees and engineers' fees) incurred by you prior to the date you give Lennar a Notice of Claim. In the event that you fail to notify us and give us the opportunity to inspect and repair the conditions giving rise to your claim, Lennar will not be responsible for any repairs or any other costs or expenses (including, but not limited to, attorneys' and engineers' fees) you incur to address the claim.

We will respond to a timely Notice of Workmanship or System Claim within thirty (30) days and complete any warranted repairs within sixty (60) days of receipt of your written Notice of Claim to us unless (i) you or other events beyond our reasonable control delay our completion (including a failure to allow prompt inspections of your home), or (ii) the condition reasonably requires more than sixty (60) days to properly repair. If we determine that any of the Workmanship or Systems items you report to us are not covered by the Lennar Limited Warranty, we will endeavor to advise you in writing within (30) thirty days of our determination of no coverage.

Additional time may be required for us to assess structural claims and evaluate our response. As such, we will respond to any Notice of Structural Claim within (60) days of receipt of your written Notice of Structural Claim unless you or other events beyond our control delay our response (including a failure to allow prompt inspections of your home). Additional time may be required to investigate, design, implement and/or complete structural repairs beyond the (60) days by which we commit to complete Workmanship/Systems repairs. If we determine that any of the Structural items you report to us are not covered by the Lennar Limited Warranty, we will endeavor to advise you in writing within (30) thirty days of our determination of no coverage.

Investigation of claims often requires inspection of the Home, and under certain circumstances, invasive testing might be needed. We may request additional documents or information from you, and you agree as part of the Lennar Limited Warranty to fully cooperate with the investigation of your claim. By submitting a Notice of Claim, you agree to grant Lennar and/or their representatives prompt and complete access to your Home during normal business hours of 8 a.m. to 5 p.m. to inspect, repair and conduct tests in your Home as we may deem necessary. If you refuse to allow us access to your Home, such denial of access shall void the Lennar Limited Warranty with respect to your claim.

Lennar reserves the option to repair, replace or pay you the reasonable cost of repair or replacement for any warranted and covered claim. Prior to Lennar undertaking repairs, replacement or payment, you agree to assign to Lennar all claims you may have against any other person or entity who Lennar or you believe may have any responsibility associated with the warranted and covered claim.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

WHAT'S NOT COVERED BY YOUR LENNAR LIMITED WARRANTY

In addition to other limitations and exclusions set forth in this Lennar Limited Warranty and the accompanying Workmanship, Systems and Structural Standards, the Lennar Limited Warranty does not provide coverage for the following items, which are specifically excluded:

1. Damage to any property, fixture, structure, improvement or appurtenance that was not constructed by Lennar. You shall be responsible for paying any costs required to remove such property, fixture, structure, improvement or appurtenance if Lennar deems it reasonably necessary to address a warranty claim;
2. Damage to land, landscaping (including sodding, seeding, shrubs, trees and planting), sprinkler systems, outbuildings, carports, or any other appurtenant structure or attachment to the dwelling, or other additions or improvement not a part of your Home;
3. Loss or damage which arises while your Home is being used primarily for nonresidential purposes;
4. Damages caused by changes in the level of the underground water table which were not reasonably foreseeable at the time of construction of your Home;
5. Loss of use of all or a portion of your Home;
6. This warranty does not apply to any manufactured item such as appliances, fixtures, equipment (except as specifically defined in the Workmanship, Systems and Structural Standards) or any other item which is covered by a manufacturer's warranty, nor does it cover conditions that are caused by failure of any such manufactured item. Appliances and items of equipment not covered by this limited warranty, include but are not limited to: air conditioning units, attic fans, boilers, burglar alarms, carbon monoxide detectors, ceiling fans, central vacuum systems, chimes, dishwashers, dryers, electric meters, electronic air cleaners, exhaust fans, fire alarms, fire protection sprinkler systems, freezers, furnaces, garage door openers, garbage disposals, gas meters, gas or electric grills, heat exchangers, heat pumps, humidifiers, intercoms, oil tanks, outside lights or motion lights not attached to the Home, range hoods, ranges, refrigerators, sewage pumps, smoke detectors, solar collectors, space heaters, sump pumps, thermostats, trash compactors, washers, water pumps, water softeners, water heaters, whirlpool baths, and whole house fans. Please note that the Workmanship, Systems and Structural Standards include reference to some items covered by this paragraph but the inclusion of those items in the Workmanship, Systems and Structural Standards is not intended to limit this exclusion. **Any equipment failure covered by this paragraph is excluded from the Lennar Limited Warranty and covered only by a manufacturer's warranty, if any;**
7. Except as otherwise provided by applicable law, any condition which has not resulted in actual physical damage to your Home;
8. Any loss or damage that is caused or made worse by any of the following causes, whether acting alone or in sequence or concurrence with any other cause or causes whatsoever, including without limitation, negligence on the part of any person:
 - a. Negligence, defective material or work supplied by, or improper operation by, anyone including you or your family other than Lennar or its employees, agents or subcontractors, including failure to comply with the warranty requirements of manufacturers of appliances, equipment or fixtures;
 - b. Change of the grading of the ground that alters the original grade or flow of water at your Home, or does not comply with accepted grading practices;
 - c. Riot or civil commotion, war, vandalism, hurricane, tornado or other windstorm, fire, explosion, blasting, smoke, water escape, tidal wave, flood, hail, snow, ice storm, lightning, falling trees or other objects, aircraft, vehicles, mudslide, avalanche, earthquake, volcanic eruption or Acts of God;

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

- d. Abuse of your Home, or any part thereof;
 - e. Microorganisms, fungus, decay, wet rot, dry rot, soft rot, rotting of any kind, mold, mildew, vermin, termites, insects, rodents, birds, wild or domestic animals, plants, corrosion, rust, radon, radiation, formaldehyde, asbestos, any solid, liquid or gaseous pollutant, contaminant, toxin, irritant or carcinogenic substance, whether organic or inorganic, and electromagnetic field or emission, including any claim of health risk or uninhabitability based on any of the foregoing;
 - f. Your failure to minimize or mitigate any defect, condition, loss or damage as soon as practicable;
- 9. Any loss or damage caused by buried debris (unless such debris was buried by Lennar or its employees, agents or subcontractors), underground springs, sinkholes, mineshafts or other subsurface anomalies;
 - 10. Any request for warranty performance submitted after an unreasonable delay from notice of the condition or, in any event, later than thirty (30) days after the expiration of the Warranty Term;
 - 11. Conditions consistent with or caused by normal wear and tear, including normal wear and tear caused by weather and/or other environmental conditions;
 - 12. Any condition caused by the homeowner's failure to properly maintain the home; or
 - 13. Any and all exclusions set forth in the Workmanship, Systems and Structural Standards.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

LIMITATIONS ON LENNAR LIMITED WARRANTY

Homeowner obligations. You are obligated to care for your Home in such a way as to prevent or minimize damage to it and to properly maintain the Home. You should be aware that all homes go through a period of settlement and movement. During this period, your Home or components of your Home may experience some material shrinkage, cracking and other events which are normal and customary. Remember that you are responsible for proper maintenance of your Home including maintaining the original grades around your Home, planting trees and shrubs at a proper distance from your Home and conforming to generally accepted landscape practices for your region. Changing the drainage and grading patterns or trapping water near your home as a result of homeowner changes in grades and landscaping may cause damage to your foundation.

Disclaimer of Implied Warranties. Except as prohibited by laws of the state in which the Home is located, all other warranties, express or implied, including but not limited to any implied warranty of habitability, are hereby expressly disclaimed and waived. The terms of the Lennar Limited Warranty shall not be added to or varied either orally or in writing, and you agree to immediately notify Lennar if you believe any employee or agent of Lennar has added to or varied, either orally or in writing, the terms of the Lennar Limited Warranty. Such notification shall not be deemed as a modification of the agreement regardless of whether Lennar responds to the notice either verbally or in writing. In the event that any provision of the Lennar Limited Warranty is determined to be unenforceable in your state, such determination shall not affect the validity of the remaining provisions of the Lennar Limited Warranty.

Cap on Lennar Limited Warranty. Lennar's total financial obligations under the Lennar Limited Warranty are limited to the original sales price of your Home. This cap is calculated based on the cumulative total of all repairs, replacements or payments made during the Lennar Limited Warranty. Our costs of designing, accomplishing and monitoring repair to your Home are included in this cumulative total.

Consequential Damages Not Covered. Lennar shall not be liable for, and you expressly waive recovery of, any consequential damages that may result from the condition of any component of the Home, including but limited to: any diminution in value of the Home before or after repairs are performed; lost profits; damages to personal property; any personal injury of any kind including physical or mental pain and suffering and emotional distress, and any medical or hospital expenses; costs of food, moving and storage, relocation expenses, or rental value of the Home or any other costs due to loss of use, inconvenience or annoyance during repairs. Lennar will, however, reimburse you for reasonable costs of temporary hotel accommodations and a reasonable daily food allowance for such period of time that the repairs required by the claim are so extensive that you cannot reasonably reside in the Home during the repairs.

Other Coverage. Lennar shall not be responsible for, and the Lennar Limited Warranty shall not cover, any damages, costs or expenses that are covered by your homeowners' insurance or other insurance, government, or third party reimbursement programs. To the extent permitted by law, Buyer and Buyer's insurance carrier waive any right of subrogation that Buyer or its insurance carrier may have in relation to any claim that may be made under this Warranty.

Not an Insurance Policy. The Lennar Limited Warranty is **not an insurance policy** and Lennar does not provide you any insurance through the Lennar Limited Warranty or otherwise. You should always obtain homeowner's insurance to protect your Home, and your bank or other mortgage provider may require homeowner's insurance if you have a mortgage.

Discretion to Repair, Replace or Make Payment. Lennar reserves the option, at its sole discretion, to repair, replace or pay you the reasonable cost of repair or replacement for any claim made under this Lennar Limited Warranty. The design method and manner of any repair shall also be at Lennar's sole discretion.

Warranty Term Not Extended. The warranty term of the Lennar Limited Warranty shall not be extended by any repair, replacement or payment made under the Lennar Limited Warranty. There shall be no warranty, express or implied, arising from repair or replacement work performed by or on behalf of Lennar except for the remaining original term.

Limitations on Structural Repairs. Structural repairs are limited to only those (i) repairs of damage to load-bearing portions of your Home that are necessary to restore their load-bearing function; (ii) repair of those non-load bearing portions damaged by the condition that gives rise to the claim and whose repair is necessary to make your Home safe, sanitary or otherwise livable;

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and (iii) repair and cosmetic correction of only those surfaces, finishes and coverings, original to the Home, that were damaged by the condition giving rise to the claim or by the repair of the condition giving rise to the claim.

Limitations on Post-Repair Condition of Home. Repairs undertaken under the Lennar Limited Warranty are intended to restore the Home to approximately the same condition as existed prior to the claim, but not necessarily to like-new condition.

Previously Known Conditions. The Lennar Limited Warranty covers only those conditions which first occur during the term of the Lennar Limited Warranty. In addition, any conditions you knew about prior to the Effective Date of Lennar Limited Warranty such as items identified in the "walk-through," "punch-list," "Orientation" or in the case of a previously owned home, conditions that were identified on a home inspection report or were apparent through any reasonable inspection are not covered by the Lennar Limited Warranty.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

LENNAR WORKMANSHIP, SYSTEMS AND STRUCTURAL STANDARDS

The following Workmanship, Systems and Structural Standards have been developed and accepted by the residential construction industry in general. The following Standards are expressed in terms of required standards under the Lennar Limited Warranty. Lennar shall correct any condition that does not comply with these standards that occur within the warranty term. Lennar will attempt to match and replace with Homeowner's original choice of colors and materials, except where Homeowner custom-ordered the items. Lennar is not responsible for discontinued items, changes in dye lots, colors or patterns, or items ordered outside of the original construction and does not guaranty an exact match to any paint color or other finish.

Structural components covered by the Structural Standards set forth on the following pages shall only include:

1. Foundations systems and footings
2. Beams
3. Girders
4. Lintels
5. Columns
6. Roof sheathing (only if your Home has original FHA/VA financing still in effect)
7. Load bearing walls and partitions
8. Roof framing systems
9. Floor systems

The following components are NOT covered under the Structural Standards set forth on the following pages:

1. Non-load bearing partitions and walls
2. Wall tile or paper
3. Plaster, laths or drywall
4. Flooring and sub-floor material
5. Brick, stucco, stone, siding or veneer
6. Any other type of exterior cladding
7. Roof shingles, roof tiles, sheathing, and tar paper
8. Heating, cooling, ventilating, plumbing, electrical and mechanical systems
9. Appliances, fixtures or items of equipment
10. Doors, trim, cabinets, hardware, insulation, paint, stains
11. Basement and other interior floating, ground-supported concrete slabs
12. Any item covered under the workmanship and systems standards

The Lennar Limited Warranty is intended to meet or exceed the terms provided under California Civil Code section 895, et seq. Where the statutory coverage provides greater coverage than the Limited Warranty Workmanship, Systems, and Structural Standards, the statutory coverage shall apply. Nothing in this Limited Warranty or any other document provided by Lennar in conjunction with the sale of your Home diminishes any rights or obligations you or Lennar may have under the California Civil Code Sections 895 through 945.5. To the extent any applicable state statute invalidates any specific provision of this Warranty, the remaining provisions of the Warranty shall remain in full force and effect.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

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DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
SITE WORK	
Grading	Performance Standard: Settling around foundation walls, utility trenches or other filled areas that exceeds a maximum of six inches from finished grade established by Builder is considered a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Homeowner is responsible for removal and replacement of shrubs and other landscaping affected by placement of the fill. Exclusions: Homeowner is responsible for establishing and maintaining adequate ground cover. Landscape altered by the Homeowner voids the Warranty on settlement/grading.
Improper surface drainage	Performance Standard: Deficiency is limited to grades within 10 feet and swales within 20 feet of Home. Standing or ponding water that remains in these areas for a period longer than 24 hours after a normal rain is considered a deficiency. In swales that drain from adjoining properties or where a sump pump discharges, water is not to remain in these areas for a period longer than 48 hours after a normal rain. The possibility of standing water after an unusually heavy rainfall should be anticipated and is not considered a deficiency. No grading determination is to be made while there is frost or snow or when the ground is saturated. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Builder is only responsible for initially establishing the proper grades, swales and drainage away from the Home. The Homeowner is responsible for maintaining such grades and swales once constructed by the Builder. Builder is not responsible for drainage deficiencies attributable to grading requirements imposed by state, county or local governing agencies. Exclusions Standing or ponding water outside of defined swales and beyond 10 feet from the foundation of the Home or that is within 10 feet but is caused by unusual grade conditions, or retention of treed areas, is not considered a deficiency. Standing or ponding water caused by changes in the grade or placement of sod, fencing, or any other obstructions by Homeowner is excluded from coverage. If the Homeowner adds a pool, patio or decks, Builder will no longer be responsible for any warranty claim for improper surface drainage.
Flowing or trickling water appears in interior crawl space surfaces	Performance Standard: A crawl space that is not graded and drained properly to prevent surface run-off from accumulating deeper than 2 inches in areas 36 inches or larger in diameter is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusions: Deficiencies caused by the 1) Homeowner improperly modifying the existing grade or allowing water from an irrigation system to cause water to accumulate excessively under the foundation.; 2) Homeowner allowing landscape plantings to interfere with proper drainage away from the foundation; or 3) Homeowner using the crawl space for storage of any kind are excluded from the Warranty.
Soil erosion	No coverage.
LANDSCAPE	No coverage due to regional variances in temperature and terrain. Warranty coverage may be available from a third-party landscape contractor, if applicable.
Landscape damage from warranty repairs	Performance Standard: Landscape areas that are disturbed during repair work are deficiencies. Responsibility: Restore grades, seed and landscape to meet original condition as reasonably possible. Builder is not responsible for grassed or landscaped areas which are damaged by others, including any work performed by public or private utility companies. Exclusions: Replacement of trees and large bushes that existed at the time the Home was constructed or those added by the Homeowner after occupancy or those that subsequently die are excluded from coverage.

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DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
IRRIGATION	No coverage.
FENCING	No coverage.
CONCRETE	
Basement or foundation wall cracks, other than expansion or control joints	Performance Standard: Cracks that allow water to enter through the basement or crawl space wall or seeping through the basement floor are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Deficiencies caused by the 1) Homeowner improperly modifying the existing grade or allowing water from an irrigation system to cause water to accumulate excessively under the foundation.; 2) Homeowner allowing landscape plantings to interfere with proper drainage away from the foundation; or 3) Homeowner using the crawl space for storage of any kind are excluded from the Warranty.
Expansion/control joint separation	No coverage. Concrete slabs are designed to move at control joints, and such movement does not require corrective action.
Cracking of attached garage floor slab	Performance Standard: Cracks in attached garage floor slabs that exceed 1/4-inch in width or 1/4-inch in vertical offset are a deficiency. Responsibility: Builder will take corrective action necessary to comply with the Standard. Exclusion: Matching of concrete color or texture is not covered by the Warranty.
Cracking of detached garage floor slab	No coverage.
Garage concrete floor has settled, heaved, or separated	Performance Standard: A garage floor that settles, heaves, or separates in excess of 1 inch from the foundation of the Home is a deficiency. Responsibility: Builder will take corrective action necessary to comply with the Standard.
Cracks in attached patio slab and sidewalks	No coverage. Driveways, sidewalks, stoops, patios, etc., are exposed to the elements year round and are subject to wear and tear from weather. Cracks are to be expected due to curing, expansion and contraction.
Cracks in exterior concrete	No coverage. Driveways, sidewalks, stoops, patios, etc., are exposed to the elements year round and are subject to wear and tear from weather. Cracks are to be expected due to curing, expansion and contraction.
Cracks in concrete on-grade floors, with finish flooring	Performance Standard: Cracks that rupture or significantly impair the appearance or performance of the finish flooring material are deficiencies. Responsibility: Repair cracks as required so as not to be apparent when the finish flooring material is in place. Repair may include filling, grinding or use of a floor-leveling compound. Exclusions: Concrete slab-on-grade floors cannot be expected to be crack-free. Most cracking is minor and is the result of large areas of concrete shrinking as the concrete cures. These cracks do not affect the structural integrity of the home. Since slab-on-grade floors are quite large, shrinkage cracks can be expected to occur randomly.

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DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Cracks in concrete floor of unfinished area (no floor covering) or in areas not designed for living	No coverage.
Cracks in visible face of foundation	No coverage.
Uneven concrete floor slabs	Performance Standard: Concrete floors in rooms finished for habitability by Builder that have pits, depressions or area of unevenness exceeding 3/8-inch in 4 feet are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Where applicable, surface patching is an accepted method of repair. Reinstall or replace any finish flooring material as necessary. Exclusions: Basement floors or where a floor or a portion of a floor has been designed for specific drainage purposes are excluded from the Standard.
Interior concrete work is pitting, scaling or spalling	Performance Standard: Interior concrete surfaces that disintegrate to the extent that aggregate is exposed and loosened under normal conditions of use are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusions: Builder is not responsible for deterioration caused by salt, chemicals, mechanical implements, or other factors beyond the Builder's control. Color variations are not covered by the Warranty.
Efflorescence is present on surface of basement floor	No coverage.
Separation of brick or masonry edging from concrete slab or step	Performance Standard: It is common for the joint to crack between concrete and masonry due to the dissimilarity of the materials. Cracks in excess of 1/4-inch are a deficiency. Responsibility: Grout crack fully and reset loose masonry where required. Replacement of masonry material, if required, shall match the existing as closely as possible but Builder cannot guaranty an exact match.
Cracking, settling or heaving of stoops and steps	Performance Standard: Stoops and steps that have settled, heaved or separated in excess of 1 inch from Home are a deficiency. Responsibility: Builder shall take corrective action necessary to meet the Standard.
Water remains on stoops or steps after rain has stopped	Performance Standard: Water shall drain off outdoor stoops and steps. Minor amounts of water can be expected to remain on stoops and steps for up to 24 hours after rain. Responsibility: Builder shall take corrective action necessary to meet the Standard.
Concrete stair general standards	Performance Standard: Concrete stair steepness and dimensions, such as tread width, riser height, landing size and stairway width that do not comply with the Building Code are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.

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DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Concrete stair hand-rail standards	Performance Standard: Handrails that do not remain securely attached to concrete stairs are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusions: Handrails that do not remain securely attached because of ordinary wear and tear including but not limited to children sliding down the rail or otherwise playing on the rails is excluded.
Separation or movement of concrete slabs within the structure at construction and control joints	No coverage. Concrete slabs within the structure are designed to move at construction and control joints and are not deficiencies. The Homeowner is responsible for maintenance of joint material. Expansion joints are intentionally placed in some concrete surfaces to allow sections of concrete to expand and contract with changes in temperature, and control joints are intentionally placed in concrete to control cracking as concrete cures. Expansion and control joints often have inserted plastic barriers or have been grooved/notched during concrete placement and will have a tendency to move or crack in the joint area.
Concrete block or poured concrete basement wall is bowed or out of plumb	Performance Standard: Basement walls that bow or are out of plumb greater than 1.5 inches per 8 feet when measured vertically on the wall are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Exposed concrete wall has holes in it	Performance Standard: Holes in walls that are larger than 1 inch in diameter or 1 inch in depth are considered a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Concrete has protruding objects	Performance Standard: Concrete slabs that have protruding objects, such as a nail, rebar or wire mesh are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Asphalt driveways	No coverage.
Masonry (brick) driveway settlement/shifting	No coverage.
Masonry driveway color variation	No coverage.
Cracks/chips in masonry driveway	Performance Standard: Cracks or chips in a masonry driveway caused by construction activities are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Negative slope driveway	Performance Standard: A driveway that has a negative slope is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusions: Driveways with negative slope due to site conditions where the lot is below the road are not a deficiency.
Pop-outs in exterior concrete	No coverage.
Surface scaling in exterior concrete	No coverage.

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DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Water ponding on Exterior concrete surfaces	No coverage.
Common area sidewalks	No coverage.
Exterior concrete paver surfaces	No coverage.
Exterior concrete finish	No coverage.
Protruding object in exterior concrete	Performance Standard: Exterior concrete that has protruding objects, such as a nail, rebar or wire mesh is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Concrete corners and edges	Performance Standard: Concrete corners and edges that are excessively damaged during construction activities are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
MASONRY	
Cracks in masonry, brick or stone veneer	Performance Standard: Small hairline cracks resulting from shrinkage are common in mortar joints of masonry construction. Cracks greater than 1/4-inch in width are deficiencies. Responsibility: Builder will repair cracks greater than 1/4-inch by tuck pointing and patching. Repairs should be made near the end of the Warranty Term to allow Home to stabilize and normal settlement to occur. Exclusions: Builder is not responsible for color variations between existing and new mortar.
Masonry wall bowed	Performance Standard: A masonry wall that bows in an amount equal to or in excess of 1 inch in ten feet when measured vertically is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: This Standard does not apply to natural stone products.
Masonry broken, loose or deteriorated	Performance Standard: A masonry unit or mortar that is broken, loose or deteriorated is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Stained or dirty masonry	Performance Standard: Masonry that has dirt, stain or debris on the surface due to construction activities is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Gaps in masonry walls	Performance Standard: A gap between masonry and adjacent material equaling or exceeding 1/4-inch in average width that is not caulked is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.

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DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Mortar obstructions	Performance Standard: Mortar that obstructs a functional opening, such as a vent, weep hole or plumbing cleanout is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusions: Deficiencies caused by the Homeowner putting any material into weep holes are excluded. Weep holes are an integral part of the wall drainage system and must remain unobstructed.
Mortar stain on exterior brick or stone	Performance Standard: Exterior brick and stone shall be free of mortar stains detracting from the appearance of the finished wall when viewed from 20 feet at closing. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Efflorescence is present on masonry or mortar surface	No coverage.
Cracking or spalling of stucco and cement plaster	Performance Standard: Hairline cracks in stucco or cement plaster are common especially if applied directly to masonry back-up. Cracks greater than 1/8-inch in width or spalling of the finish surfaces are deficiencies. Responsibility: Scrape out cracks and spalled areas. Fill with cement plaster or stucco to match finish and color as close as possible. Exclusions: The Builder will try to match the original stucco texture and color as closely as possible, but a perfect match is not covered by the Warranty. The Builder shall not be responsible for repairing cracks in stucco caused by the Homeowner's actions, including the attachment of devices to the stucco surface, such as, but not limited to, patio covers, plant holders, awnings and hose racks.
Separation at stucco joints	Performance Standard: A separation between a stucco surface and adjacent material that equals or exceeds 1/4-inch in width that is not caulked is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Separation of coating from base on exterior stucco wall	Performance Standard: Texture may become separated from the base stucco layer. Missing stucco texture greater than 1/8-inch is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder is not responsible for failure to match color or texture, due to the nature of the material. Exclusions: Texture loss beneath the horizontal weep or drainage screed is normal and is not covered by the Warranty.
Exposed lath	Performance Standard: Lath that is exposed is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.

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DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Texture mismatch	Performance Standard: Deviations, bumps or voids measuring over 1/4-inch per 4 feet, which are not part of the intended texture are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exemptions: Texture is applied by hand, which varies with the technique of the installer. Where tall walls exist, it is necessary to install in several passes. Breaks between application phases occur in all homes and sometimes are more visible due to the method of application. Inherent inconsistency is to be expected as with all hand-applied troweled finishes. During repair, the Builder will try to match the original texture as closely as possible, but a perfect match is not covered by the Warranty.
Stucco color mismatch	No coverage. Stucco/Cementitious finish is a colored cement product and is affected by the underlying surface, application technique, temperature, humidity and curing. The Builder will try to match stucco/cementitious finish color as closely as possible, but a perfect match is not covered by the Warranty.
Surface staining	No coverage. The surface of exterior walls may become stained from rainwater or water splashing up from the ground. Since the surface is a porous material, this condition cannot be eliminated and is not covered by the Warranty.
Stucco/cementitious finish appears wet	No coverage. The surface is a porous cement product and designed to become saturated with moisture. It will, therefore, appear wet long after rain has stopped. This is a normal condition and is not covered by the Warranty.
Stucco finish imperfections	Performance Standard: Stucco surfaces that have imperfections that are visible from a distance of ten feet under normal lighting conditions and that disrupt the overall uniformity of the finished pattern are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Stucco deteriorates excessively	Performance Standard: Stucco that deteriorates excessively is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Deterioration caused by Homeowner allowing water from irrigation system to contact stucco excessively is not covered.
Stucco bowed, uneven or wavy	Performance Standard: Stucco walls that bow in excess of 1.5 inches in 10 feet measured vertically is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Stucco screed	Performance Standard: A stucco screed that does not have a minimum clearance of at least 4 inches above the soil or landscape surface and at least 2 inches above any paved surface is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Deficiencies due to Homeowner-altered landscape are not covered.
Stucco obstructs opening	Performance Standard: Stucco that obstructs a functional opening, such as a vent, weep hole or plumbing cleanout is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Course of masonry or veneer not straight	No coverage.
Exterior cut bricks are of different thickness below openings	No coverage.

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DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
CARPENTRY/ FRAMING	
Floors squeak, due to improper installation or loose subfloors	Performance Standard: Loud and objectionable squeaks caused by improper installation or loose subfloor are deficiencies, but a totally squeak-proof floor cannot be guaranteed. Responsibility: Builder will refasten any loose subfloor or take other corrective action to reduce squeaking to the extent possible within reasonable repair capability without removing floor and ceiling finishes. Floor squeaks may occur when a subfloor that has come loose from the joists is deflected by the weight of a person and rubs against the nails that hold it in place. Squeaks may also occur when one joint is deflected while the other members remain stationary. Because the Standard requires the Builder to make a reasonable attempt to eliminate squeaks without requiring removal of all floor and ceiling finishes, nailing loose subflooring with casing nails into the carpet surface and countersinking the head is an acceptable practice.
Squeaking stair riser or tread	Performance Standard: Loud squeaks caused by a loose stair riser or tread are deficiencies, but totally squeak-proof stair risers or treads cannot be guaranteed. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Gaps exist between interior stair railing parts	Performance Standard: Gaps between interior stair railing parts that exceed 1/8-inch in width are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Interior stair railing lacks rigidity	Performance Standard: Interior stair railings that are not attached to structural members in accordance with applicable codes are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Interior stair tread deflects too much	Performance Standard: An interior stair tread that deflects in excess of 1/8-inch at 200 pounds force is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Gaps exist between interior stair risers, treads, and/or skirts	Performance Standard: Gaps between adjoining parts that are designed to meet flush that exceed 1/8-inch in width are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Uneven wood framed floors	Performance Standard: Sub-flooring that has excessive humps, ridges, depressions or slopes within any room that equals or exceeds 3/8-inch in any 32-inch direction is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Wood floor is out of square	No coverage.
Wood floor is out of level	Performance Standard: If any point on the surface of a wood floor is more than 1/2-inch higher or lower than any other point on the surface within 20 feet, or proportional multiples of the preceding dimensions, it is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Excessive deflection observed in floor or roof constructed of wood I-joists	Performance Standard: All beams, joists, rafters, headers, and other structural members constructed of wood I-joists that are not sized, and fasteners spaced, according to manufacturer's specifications for size, length, and spacing are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Bowed stud walls or ceilings	Performance Standard: All interior and exterior frame walls or ceilings have slight variations on the finish surfaces. Walls or ceilings that are bowed more than 1/2-inch within a 32 inch horizontal measurement; or 1/2-inch with any 8 foot vertical measurement are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Wood frame walls out of plumb	Performance Standard: Wood frame walls that are more than 3/8-inch out of plumb for any 32 inch vertical measurement are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Wood, concrete, masonry or steel columns are bowed or out of plumb	Performance Standard: Wood columns that are bowed in excess of 1/2-inch in 8 feet or out of plumb in excess of 1/8-inch in any 12 inches or 3/4-inch in 8 feet when measured from base to top of column are a deficiency. Concrete columns installed with a bow in excess of 1 inch in 8 feet are a deficiency. Concrete columns installed out of plumb in excess of 1/4-inch in 12 inches when measured from the base to the top of the column, not to exceed 1.5 inches in 8 feet are a deficiency. Exposed concrete columns bowed or out of plumb in excess of 1 inch in 8 feet are a deficiency. Masonry columns installed out of plumb in excess of 1/4-inch in 12 inches when measured from the base to the top of the column not to exceed 1.5 inches in 8 feet are a deficiency. Masonry columns bowed or out of plumb more than 1 inch in 8 feet are a deficiency. Steel columns out of plumb in excess of 1/8-inch in 12 inches when measured from the base to the top of the column are a deficiency. Steel columns bowed or out of plumb in excess of 3/8-inch in 8 feet when measured vertically are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Exterior moisture barrier on wall	Performance Standard: An exterior moisture barrier that allows an accumulation of moisture inside the barrier is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Penetrations made by the Homeowner through the exterior moisture barrier that permit the introduction of moisture inside the barrier are excluded.
Springiness, bounce, shaking, or visible sag is observed in floor or roof	Performance Standard: All beams, joists, rafters, headers and other structural members shall be sized and fasteners spaced according to the National Forest Products Association span tables or local building codes. Responsibility: Builder shall take corrective action necessary to comply with the Standard.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Wood beam or post is split	Performance Standard: Beams or post, especially those 2.5 inches or greater in thickness, will sometimes split as they dry subsequent to construction. Unfilled splits exceeding 1/4-inch in width and all splits exceeding 3/8-inch in width are deficiencies. Responsibility: Builder shall repair or replace as required. Filling splits is acceptable for widths up to 3/8 inch. Exclusion: Some characteristics of drying wood are beyond the control of the Builder and cannot be prevented.
Wood beam or post is twisted, bowed or cupped	Performance Standard: A non-structural post or beam having a warp or twist equal or exceeding 1 inch in 8-feet of length is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Split or warped rafters or trusses	No coverage. Some splitting or warping is normal and is caused by high temperature effects on lumber.
Exterior sheathing and subflooring which delaminates or swells	Performance Standard: Sheathing and subflooring delaminating or swelling on the side that the finish material has been applied is a deficiency. Responsibility: Builder shall repair or replace subflooring or sheathing as required. Replacement of the finish materials, when necessary, shall be done to match the existing finish as closely as possible.
Wood frame walls out of square	Performance Standard: The diagonal of a triangle with sides of 12 feet and 16 feet along the edges of the floor that is not 20 feet plus or minus 1/2-inch is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
INTERIOR TRIM	
Shelving	Performance Standard: The length of a closet rod shall not be shorter than the actual distance between the end supports in an amount equal to or exceeding 1/4-inch and shall be supported by stud-mounted brackets no more than 4 feet apart. The length of a shelf shall not be shorter than the actual distance between the supporting walls by an amount equal to or exceeding 1/4-inch and shall be supported by stud-mounted brackets no more than four feet apart. End supports shall be securely mounted. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Unsatisfactory quality of finished interior trim and workmanship	Performance Standard: Joints between moldings and adjacent surfaces that exceed 1/8-inch in width are deficiencies. Responsibility: Repair defective joints and touch up finish coating where required to match as closely as possible. Caulking is acceptable. Exclusion: Some separation due to lumber shrinkage is normal and should be expected. Separation of trim and moldings can be caused by lack of control of indoor relative humidity by Homeowner and is not covered.
Inside corner is not coped or mitered	Performance Standard: Trim edges at inside corners that are not coped or mitered are a deficiency. However, square edge trim may be butted. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Trim or molding miter edges do not meet	Performance Standard: Gaps between miter edges in trim and molding that exceed 1/4-inch at installation are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Interior trim is split	No coverage. Splits, cracks and checking are inherent characteristics of all wood products and are not considered deficiencies.

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DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Hammer marks visible on interior trim	Performance Standard: Hammer marks on interior trim that are readily visible from a distance of 6 feet under normal lighting conditions are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing. Exemption: Refinished or replaced areas may not match surrounding areas exactly.
Exposed nail heads in woodwork	Performance Standard: After painting or finishing, nails and nail holes that are readily visible from a distance of 6 feet under normal lighting conditions are a deficiency. Responsibility: Fill nail holes where required and, if necessary, touch up paint, stain or varnish to match as closely as possible. Builder's responsibility is limited to deficiencies noted prior to closing. Exemption: Nail holes do not have to be filled where the surface finish is not conducive or so designed to have nail holes filled because of the product. Nail holes in base and trim in unfinished rooms or closets do not have to be filled.
THERMAL AND MOISTURE PROTECTION	
Leaks in basement or in foundation/crawl space	Performance Standard: Leaks resulting in actual trickling of water through the walls or seeping through the floor are deficiencies. Responsibility: Take such corrective action as is necessary to correct basement and crawl space leaks, except where the cause is determined to be the result of Homeowner negligence. Where a sump pit has been installed by Builder in the affected areas but the sump pump was not contracted for or installed by Builder, no action is required until a properly sized pump is installed by the Homeowner in an attempt to correct the condition. Should the condition continue to exist, then Builder shall take necessary action to correct the problem. Exemption: Leaks caused by landscaping improperly installed by the Homeowner or failure by the Homeowner to maintain proper grades are excluded from Warranty Coverage. Dampness in basement and foundation walls or in concrete basement and crawl space floors is often common to new construction and is not a deficiency.
Insufficient insulation	Performance Standard: Insulation that is not installed around all habitable areas in accordance with established local industry standards is a deficiency. Responsibility: Builder shall install insulation of sufficient thickness and characteristics to meet the local industry standards. In the case of dispute, cost for investigating the sufficiency of insulation and restoring areas to prior condition is to be borne by Homeowner if it is found that the standard has been met by Builder. Builder's responsibility is limited to deficiencies noted prior to closing.
Sound transmission between rooms, floor levels, adjoining condominium units or from the street into Home	No coverage.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Inadequate ventilation or moisture in crawl spaces	Performance Standard: Crawl spaces shall have adequate ventilation to remove moisture or other approved method of moisture control. Ventilation or other moisture control methods shall be considered a deficiency if there is damage to supporting members or insulation due to moisture accumulation. Responsibility: Builder shall investigate to determine cause, and make necessary repairs. Corrective action may include the installation or properly sized louvers, vents, vapor barrier or other locally approved method of moisture control. Exclusion: Temporary conditions may cause condensation in crawl spaces that can no be eliminated by ventilation and/or vapor barrier. Night air may cool foundation walls and provide a cool surface on which moisture may condense. In Homes that are left unheated in the winter, the underside of floors may provide a cold surface on which warmer crawl space air may condense. These and other similar conditions are beyond the Builder's control. Maintaining adequate heat and seasonable adjustment of vents is the responsibility of the Homeowner.
Inadequate ventilation or moisture control in attics or roofs	Performance Standard: Attics or roofs shall have adequate ventilation to remove moisture, or other approved method of moisture control. Ventilation or other moisture control methods shall be considered a deficiency if there is damage to supporting members or insulation due to moisture accumulation. Responsibility: Builder shall investigate to determine cause, and make necessary repairs. Corrective action may include the installation of properly sized louvers, vents, vapor retarder or other locally approved method of moisture control. Exclusion: The Homeowner is responsible for keeping existing vents unobstructed. Locally approved and properly constructed "hot roof" or other alternative roof designs may not require ventilation, and where there is no evidence of moisture damage to supporting members or insulation, are not deficiencies.
Attic vents or louvers leak	Performance Standard: Attic vents and louvers that leak are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Infiltration of wind driven rain and snow are not considered leaks and are beyond the control of the Builder.
Bath or kitchen exhaust fans improperly vented into attic	Performance Standard: Bath or kitchen exhaust fans that are vented into attics causing moisture to accumulate resulting in damage to supporting members or insulation are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Kitchen or bath fans allow cold air infiltration	No coverage. This is a normal condition beyond the Builder's control.
Water or air leaks in exterior walls due to inadequate caulking	Performance Standard: Joints and cracks in exterior wall surfaces and around openings that are not properly caulked to exclude the entry of water or excessive drafts are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: The Homeowner must maintain caulking once the condition is corrected.
SIDING	

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Delamination, splitting or deterioration of exterior siding	Performance Standard: Any hardwood or composite siding that has delaminated (separated into layers) is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: The effects of improper Homeowner maintenance, negligent damage caused by objects striking the siding and weathering are not covered by the Warranty.
Loose or fallen siding	Performance Standard: All siding that is not installed properly, which causes same to come loose or fall off is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Loose or fallen siding due to Homeowners actions or neglect, such as leaning heavy objects against siding, impact, or sprinkler systems repeatedly wetting siding is not a deficiency.
Siding is bowed	Performance Standard: Bows exceeding 1/2-inch in 32 inches are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. If replacement of siding is required, Builder will match the original material as closely as possible. Homeowner should be aware that the new finish may not exactly match the original surface texture or color. Exclusion: Bowed siding due to Homeowner's actions or such as bowing caused by sprinkler system repeatedly wetting siding is not a deficiency.
Siding is cupped	Performance Standard: Siding cupped in an amount equal to or exceeding 1/2-inch in a 6 foot run is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Stained siding from nails	Performance Standard: Nail stains exceeding 1/2-inch in length and visible from a distance of 20 feet are deficiencies. Responsibility: Builder shall correct by either removing stains, painting or staining the affected area one-time only during the Warranty Term. Builder shall match color and finish as closely as possible. Where paint or stain touch up affects the majority of the wall surface, the whole area shall be refinished. Exclusion: "Natural weathering" or semi-transparent stains are excluded from coverage.
Siding joints separated	Performance Standard: Joint separations in siding exceeding 3/16-inch are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Filling with sealant is an acceptable repair.
Gaps between siding and trim	Performance Standard: Gaps between siding and moldings at trim pieces, miter joints or openings that exceed 1/4-inch are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Caulking and repainting is an acceptable repair.
Siding nails expose interior fiber	Performance Standard: Siding nails that are countersunk to expose the interior fibers of hardboard or cementitious composite siding are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Caulking and repainting is an acceptable repair.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Splits or knotholes in siding or trim	Performance Standard: Knotholes that expose the underlying sheathing or building paper, or splits in exterior siding or trim wider than 1/8-inch are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Siding color or texture mismatch	Performance Standard: The Builder will try to match the texture and color of the existing siding as closely as possible for any repair or replacement of siding, but a perfect match is not guaranteed by the Warranty.
Siding finish faded	Performance Standard: Any colored siding will fade when exposed to the sun. This is a normal condition. If a particular piece of siding that becomes excessively faded in contrast to similarly exposed siding, it is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Siding/trim wood rot	Performance Standard: Some warping, cupping, splitting or rotting of wood can be expected. Excess warping, cupping, splitting or rotting of wooden members is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
"Bleeding" through siding paint	Performance Standard: Resins and extractives "bleeding" through the paint are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: The Warranty will not apply if stains or clear wood protectants are used, since they do not cover up the natural extractives of wood. Effects of improper Homeowner maintenance, negligence, physical damage or weathering are not covered by the Warranty.
Unsatisfactory quality of finished exterior trim and workmanship	Performance Standard: Joints between exterior trim elements and siding which are in excess of 1/4-inch are deficiencies. In all cases, the siding shall be capable of performing its function to exclude the elements. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Caulk open joints between dissimilar materials.
Loose exterior trim	Performance Standard: Trim that has separated from the home by more than 1/4-inch is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: The Warranty does not cover trim separation caused by acts of God or unusually high winds that exceed the manufacturer's wind limits.
Protruding nails in exterior trim	Performance Standard: Trim with nails that completely protrude through the finished surface of the trim is a deficiency but nail heads may be visible on some products. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Some products specify that the nails be flush with the trim surface. When these products are used, visible nail heads are not considered protruding nails as long as they are painted over.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Nail stains in exterior trim	Performance Standard: Nail stains exceeding 1/2-inch in length and visible from a distance of 20 feet are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Exterior trim board cupped	Performance Standard: Exterior trim and eave block that cups in an amount equal to or in excess of a 1/4-inch in a 6-foot run is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Exterior trim board twisted	Performance Standard: Bows and twists in trim board exceeding 3/4-inch per 8 feet are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Exterior trim is split	Performance Standard: Exterior trim and eave block with cracks or splits equal to or in excess of 1/8-inch in average width are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Siding is not installed on a straight line	Performance Standard: Any piece of lap siding more than 1/2-inch off parallel in 20 feet with contiguous courses is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Siding is buckled	Performance Standard: Siding that projects more than 3/16-inch from the face of adjacent siding is a deficiency Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Siding is wavy	Performance Standard: Some waviness in lap siding is to be expected because of bows in studs. Thermal expansion waves or distortions in aluminum or vinyl lap siding, sometimes called oil canning, are considered deficiencies if they exceed 1/2-inch in 32 inches. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Aluminum or vinyl lap siding trim is loose from house	Performance Standard: Trim that is separated more than 1/4-inch from the house is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Aluminum or vinyl lap siding courses are not parallel with eaves or wall openings	Performance Standard: Any piece of aluminum or vinyl lap siding more than 1/2-inch off parallel in 20 feet with contiguous courses, or contiguous break such as a soffit line, is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Aluminum or vinyl lap siding nail shows under window, door, or eave	Performance Standard: Facing nails that do not match the color of the trim they affix are deficiencies. Nail heads in the field of the siding that are exposed are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Aluminum or vinyl lap siding trim accessory is loose from caulking at windows or other wall openings	No coverage.
Aluminum or vinyl lap siding is not cut tight to moldings	Performance Standard: Gaps between siding and moldings that exceed 1/4-inch are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: The consumer and contractor may agree to disregard standard to match conditions on structure.
Aluminum or vinyl lap siding is cut crooked	Performance Standard: Visible cuts in siding shall be straight, plumb, and neat. Crooked cuts greater than 1/8-inch from true are a deficiency. Responsibility: Gaps shall comply with the manufacturer's guidelines unless the existing building is out of square or out of plumb. Cut edges of vinyl siding should always be covered by trim or receiving channels and should not be visible. Cuts should be made so that when properly installed in trim, edges are not visible.
ROOF	
Water trapped under roofing membrane	Performance Standard: Any blister larger than 12 inches is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Roof or flashing leaks	Performance Standard: Roof and flashing leaks that occur under normal weather conditions are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Leaks caused by debris or ice accumulation are considered part of routine Homeowner maintenance and are not covered by the Warranty.
Roof shingles have blown off	Performance Standard: Shingles shall not blow off in wind less than the manufacturer's standards or specifications. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Shingles that blow off in winds less than the manufacturer's specifications due to a manufacturing defect are the manufacturer's responsibility. Shingles that blow off in hurricanes, tornadoes, hailstorms, or winds including gusts greater than 60 miles per hour, are not deficiencies. Homeowner should consult the manufacturer's warranty for specs, standards and warranty responsibility in higher wind speeds.
Lifted, torn, curled or otherwise defective shingles	No coverage. Manufacturing defects in shingles are not covered under the Warranty. The Homeowner should consult the manufacturer's warranty for specs, standards, and manufacturer's warranty responsibility.
Mildew, algae and moss on roofs	No coverage. The growth of mildew, algae and moss on roof surfaces is caused by the accumulation of dust and considered the responsibility of the Homeowner to conduct proper routine maintenance. The growth of mildew, algae and moss on roof surfaces is not covered under the Warranty.
Roof tile efflorescence	No coverage. Efflorescence is a temporary surface condition that causes a white chalky substance to form on concrete products. It is not uncommon for efflorescence to form on roof tiles, as it is a common condition for all concrete products. Efflorescence will eventually wash away with rain and, therefore, is not covered under the Warranty.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Roofing shingles or tiles not aligned	No coverage. Shingles and tiles are installed to withstand a maximum exposure to the weather as recommended by the manufacturer. Often, tiles and shingles must be adjusted to compensate for differing roof conditions. This is not considered a defect.
Shading or shadowing pattern	No coverage. Shading or shadowing on roofing materials is caused by the differences in product color installed in a specific area. The Builder will try to minimize shading deviations by mixing the tiles and shingles during installation, but uniform shading or shadowing is not covered by the Warranty.
Roof tile color variations	No coverage. Color fading, color changes, variations of the color hue or physical deterioration of the color from outside conditions of roof tiles should be expected. Because shade variations are normal and expected from weather, oxidation or air pollutants, color variations in roof tiles are not covered by the Warranty.
New roofing products do not match existing	No coverage. The color and texture of new roofing components used to repair existing roofing components may not match due to weather or manufacturing variations. For any repair or replacement of roofing components, the Builder will try to match the texture and color of existing roofing components as closely as possible, but a perfect color match is not covered by the Warranty.
Interior water damage from ice-damming	Performance Standard: Ice-damming causing leaks into living areas because of incorrectly installed insulation is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: No action is required if the condition is caused by swings of freezing and thawing in the weather.
Loose or cracked tiles or shingles	Performance Standard: A roof tile that is cracked or broken is a deficiency. A shingle that is broken so that it detracts from the overall appearance of the home is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Deficiencies caused by Homeowner conduct.
Standing water on built-up roofs.	Performance Standard: Water that does not drain from a flat or low pitched roof within 24 hours of a normal rainfall is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Minor ponding or standing of water is not considered a deficiency. Minor ponding shall not exceed 3/8 inch.
Miscellaneous roof water infiltration	Performance Standard: Exterior moisture barrier of the roof that allows moisture penetration is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Penetrations through exterior moisture barrier of the roof made by the Homeowner.
Roofing is blistered but does not admit water	Performance Standard: No coverage. Surface blistering of roll roofing is caused by unusual conditions of heat and humidity acting on the asphalt and cannot be controlled by the Builder.
Roof ridge beam deflects	Performance Standard: Roof ridge beam deflection greater than 1 inch in 8 feet is considered a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Roof or ceiling rafter bows	Performance Standard: Rafters that bow greater than 1 inch in 8 feet are considered a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Roof sheathing is wavy or appears bowed	Performance Standard: Roof sheathing that bows more than 1/2-inch in 2 feet is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Ice builds up on the roof	No coverage. During prolonged cold spells, ice is likely to build up at the eaves of a roof. This condition can naturally occur when snow and ice accumulates.
Asphalt shingles do not overhang edges of roof, or hang too far over edges of roof	Performance Standard: Asphalt shingles shall overhang roof edges by not less than 1/4 inch, and not more than 3/4-inch unless the manufacturer's standards/specifications indicate otherwise. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Asphalt shingles have developed surface buckling	Performance Standard: Asphalt shingle surfaces need not be perfectly flat. Buckling higher than 1/4-inch is considered a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Sheathing nails have loosened from framing and raised asphalt shingles	Performance Standard: Nails that loosen from roof sheathing to raise asphalt shingles from surface are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Roofing nails are exposed at ridge of roof	Performance Standard: Nail heads shall be sealed to prevent leakage. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Holes from walk boards are visible in asphalt shingles	Performance Standard: Holes from walk boards shall be flashed and sealed below the asphalt shingle tab to prevent leakage. If patch is visible from ground, the shingle should be replaced. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Existing roof shingles telegraphing through new asphalt shingles	No coverage.
Water is trapped under roll roofing	Performance Standard: Water that becomes trapped under roll roofing is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Gutter and downspouts leak	Performance Standard: Leaks at connections of gutters and downspouts are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Homeowner is responsible for keeping gutters and downspouts clean. Gutter may overflow during heavy rains provided proper care is taken by the Homeowner to clear debris, snow and ice.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Water remains in gutters after a rain	Performance Standard: Small amounts of water may remain in some sections of gutter for a short time after a rain. Standing water in gutters that exceeds 1/2-inch in depth is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: Homeowner is responsible for keeping gutters and downspouts free from debris that would obstruct drainage.
DOORS AND WINDOWS	
Warpage of interior or exterior doors	Performance Standard: Warping on doors that exceeds 1/4-inch as measured diagonally from corner to corner is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Warping that occurs to stain or lacquer-finished doors that are improperly maintained is the Homeowner's responsibility and is not covered by the Warranty.
Doors that do not open and close freely without binding against the doorframe	Performance Standard: Passage doors that do not open and close freely without binding against the doorframe are deficiencies. Lock bolt is to fit the keeper to maintain a closed position. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Wood doors may stick during occasional periods of high humidity. Seasonal changes may cause doors to expand and contract, and are usually temporary conditions.
Gaps are visible around exterior door edge, door jamb and threshold	Performance Standard: Gaps greater than 1/4-inch are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Door edge is not parallel to door jamb	Performance Standard: Door edge that is not within 3/16-inch of parallel to the door jamb is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Door swings open or closed by the force of gravity	Performance Standard: When a door is placed in an open position, it shall remain in the position it was placed, unless the movement is caused by airflow. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Door panels shrink and expose bare wood	No coverage. Wooden panels will shrink and expand because of temperature and/or humidity changes, and may expose unpainted surfaces. This does not constitute a defect.
Door panels split	Performance Standard: Door panels that have split to allow light to be visible through the door are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Bottom of doors drag on carpet surface	Performance Standard: Where it is understood by Builder and Homeowner that carpet is planned to be installed as floor finish by Builder, the bottom of the doors which drag on the carpet are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Where carpet is selected by the Homeowner having excessive high pile, the Homeowner is responsible for any additional door undercutting. Builder is not responsible if Homeowner installs carpet.
Excessive opening at the bottom of interior doors	Performance Standard: Passage doors from room to room that have openings between the bottom of the door and the floor finish material in excess of 1.5 inches are deficiencies. Closet doors having an opening in excess of 2 inches are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Bi-fold and pocket doors	Performance Standard: Pocket doors that rub in their pockets during normal operation are deficiencies. Bi-fold doors shall slide properly on their tracks at the time of closing. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: Cleaning and maintenance necessary to preserve proper operation are the Homeowner's responsibility.
Sliding patio doors and screens	Performance Standard: Sliding patio doors and screens that come off their tracks when sliding during normal operation are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: Some entrance of the elements can be expected under windy conditions.
Sliding patio door does not roll smoothly	Performance Standard: Sliding patio doors that do not roll smoothly at the time of closing are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: The cleaning and maintenance necessary to preserve proper operation are the Homeowner's responsibility
Latch is loose or rattles	Performance Standard: Hardware shall function properly, without catching binding or requiring excessive force to operate. A door or window latch or lock shall close securely and shall not be loose or rattle. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: Some minor movement should be expected.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Painted or stained doors	Performance Standard: A door or window shall be painted or stained according to the manufacturers' specifications. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
De-laminated doors	Performance Standard: A door that delaminates is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Damage to metal doors	Performance Standard: A metal door that is dented or scratched due to construction activities is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Garage door fails to operate or fit properly	Performance Standard: Garage doors that do not operate and fit the door opening within the manufacturer's installation tolerances are deficiencies. Some entrance of the elements can be expected under heavy weather conditions and is not considered a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: No adjustment is required when cause is determined to result from anyone but Builder's or Builder's subcontractors' installation of an electric door opener.
Damage to metal garage door	Performance Standard: A metal garage door that is dented or scratched due to construction activities is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Garage door opener	No coverage.
Garage door spring	Performance Standard: A garage door spring shall operate properly and shall not lose appreciable tension, break or be undersized. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Garage	Performance Standard: A garage door shall remain in place at any open position, operate smoothly and not be off track. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Window is difficult to open or close	Performance Standard: Windows that require greater opening or closing force than the manufacturer's specifications are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Normal maintenance by the Homeowner includes keeping the tracks, channels and operating mechanisms clean and lubricated. For most windows, Homeowners should use a dry silicone spray lubricant on the tracks once each year.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Double hung windows do not stay in place when open	Performance Standard: Double hung windows are permitted to move within a 2 inch tolerance, up or down when put in an open position. Any excessive movement exceeding the tolerance is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Condensation or frost on window frames and glass	Performance Standard: No coverage. Windows and skylights will collect condensation on their interior surfaces when high humidity within the home turns into water on the colder window or skylight surface. The Homeowner is responsible for controlling interior temperature and humidity to avoid condensation. Draperies and blinds should be left open to encourage air circulation and even temperatures during periods of cold weather and high interior humidity. Under the Warranty, no action on the part of the Builder is required.
Hardware does not work properly, fails to lock or perform its intended purpose	Performance Standard: Hardware finishes shall not be tarnished, blemished, corroded or stained due to construction activities, unless the finish is installed as a specialty feature. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: The Builder is not responsible for tarnished, blemished, or stained hardware finishes that have been damaged by factors that are beyond the manufacturer's or the Builder's control such as the Homeowner's use of abrasive pads or cleaners, harsh chemicals, alcohol, organic solvents or deterioration caused by exposure to outdoor elements such as salt air or humidity.
Damaged hardware	Performance Standard: Hardware shall not be scratched, chipped, cracked or dented due to construction activities. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Loose hardware	Performance Standard: Hardware shall be installed securely and shall not be loose. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Door hardware or kick plate has tarnished	No coverage.
Interior iron work	Performance Standard: Interior ironwork that has rusted is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: The builder is not responsible for ironwork finishes that rust due to factors that are beyond the manufacturer's or the Builder's control such as the Homeowner's use of abrasive pads or cleaners, harsh chemicals, alcohol, organic solvents or deterioration caused by exposure to humidity.
Storm doors, windows and screens do not operate or fit properly	Performance Standard: Storm doors, windows and screens, when installed, which do not operate or fit properly to provide the protection for which they are intended are considered deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: Missing screens, rips or gouges in the screen mesh are not covered by this Warranty.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Plastic molding behind storm door melts from exposure to sunlight	Performance Standard: The plastic moldings behind the storm doors should not melt if the storm panel is removed and reinstalled by the owner during normal maintenance operations. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Drafts around doors and windows	Performance Standard: Some infiltration is usually noticeable around doors and windows especially during high winds. No daylight shall be visible around frame when window or exterior door is closed. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: In high wind areas, the Homeowner may need to have storm windows and doors installed to eliminate drafts.
Clouding and condensation on inside surfaces of insulated glass	No coverage.
Window or skylight leaks	Performance Standard: Water leaking through or around windows or skylights as a result of improper installation is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Water leaks at windows or skylights resulting from Homeowner damage, extreme weather or improper Homeowner maintenance are not covered by the Warranty. Water may become visible in window tracks and sliding glass door tracks during heavy rain and should drain to the outside of the home.
Window scratches and imperfections	Performance Standard: Where a viewer looks through the window in daylight without direct sunlight, a potential imperfection that is in the view plane 90° to the window surface that is detectable from a distance of over 10 feet is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Defective glass	Performance Standard: Defects, including stress cracks or failed seals in insulated windows, are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Broken glass or screen	Performance Standard: Broken glass or screen due to construction activities are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Mirrors and shower doors	Performance Standard: A mirror, interior glass or shower door shall not be loose and shall be securely mounted or attached to the supporting surface. Fixtures, such as towel bars or door handles, shall be securely mounted. A mirror, interior glass or shower door shall not be damaged due to construction activities. A shower door shall not leak. Imperfections in a mirror or shower door shall not be visible from a distance of two feet or more when viewed in normal light. When opening and closing, a shower door shall operate easily and smoothly without requiring excessive pressure. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
FINISHES	
Cracks in plaster wall and ceiling surfaces	Performance Standard: Hairline cracks are not unusual. Cracks in plaster wall and ceiling surfaces exceeding 1/16-inch in width are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Drywall cracks, texture variations	Performance Standard: Hairline cracks are not unusual. Cracks in interior gypsum board or other drywall materials exceeding 1/8-inch in width are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Texture on blown or textured ceilings is uneven	No coverage. This is a normal condition that occurs with randomly applied materials.
Drywall bowed	Performance Standard: A drywall surface that has a bow or depression that equals or exceeds 1/4-inch out of line within any 32-inch horizontal measurement as measured from the center of the bow or depression or 1/2-inch within any eight-foot vertical measurement is a deficiency. A ceiling made of drywall that has bows or depressions that equal or exceed 1/2-inch out of line within a 32-inch measurement as measured from the center of the bow or depression running parallel with a ceiling joist or within 1/2-inch deviation from the plane of the ceiling within any eight-foot measurement is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Drywall is crowning	Performance Standard: Crowning at a drywall joint that equals or exceeds 1/4-inch within a twelve-inch measurement centered over the drywall joint is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Drywall is out of plumb, level or square	Performance Standard: A drywall surface that is out of level (horizontal), plumb (vertical) or square (perpendicular at a 90-degree angle) such that there are variations in those measurements to wall or surface edges at any opening, corner, sill, shelf, etc. that equals or exceeds 3/8-inch in any 32-inch measurement along the wall or surface is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Angular gypsum wallboard joints are uneven	No coverage. This is a natural condition that occurs with randomly applied materials.
Nail pops, blisters, or other blemishes on finished wall or ceiling	Performance Standard: Nail pops and blisters that are readily visible from a distance of 6 feet under normal lighting conditions are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Repairs should be completed near the end of the Warranty Term to allow for normal movement in Home. Exclusion: Depressions or slight mounds at nail heads are not considered deficiencies. Builder is not responsible for nail pops or blisters that are not visible, such as those covered by wallpaper.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Cracked corner bead, excess joint compound, trowel marks or blisters in tape joints	Performance Standard: Cracked or exposed corner bead, trowel marks, excess joint compound, or blisters in drywall tape are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Repairs should be completed near the end of the Warranty Term to allow for normal settling in the Home.
FLOORING	
Flagstone, marble, quarry tile, slate, or other hard surface flooring is broken or loose	Performance Standard: Tile, flagstone or similar hard surfaced sanitary flooring that cracks or becomes loose is a deficiency. Subfloor and wallboard are required to be structurally sound, rigid and suitable to receive a finish. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Cracking or loosening of flooring caused by the Homeowner's negligence is not a deficiency. Builder is not responsible for color and pattern variations or discontinued patterns of the manufacturer. Hollow tiles occasionally occur and are not covered by the Warranty.
Hard surface color variations and imperfections	No coverage.
Excessive "lippage" of adjoining marble or ceramic tile	Performance Standard: Lippage greater than 1/8-inch is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing. Exclusion: Irregular tiles such as limestone, adoquin and Mexican Payers are not covered by the Warranty.
Cracks in grouting of ceramic tile joints or at junctions with other materials such as a bathtub, shower, or countertop	No coverage.
Grout or mortar joint is not a uniform color	Performance Standard: Grout that changes shade or discolors excessively due to construction activities is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Irregular grout lines	Performance Standard: Hard surface layout or grout line that are excessively irregular are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing. Exclusion: Natural products such as flagstone, marble, granite, slate, and other quarry tile will have size variations that may create irregular layouts or grout lines.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Nail pops appear on the surface of resilient flooring	Performance Standard: Readily apparent nail pops are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Builder is not responsible for discontinued patterns or color variations. Sharp objects such as high heels, table and chair legs, can cause similar problems, and are not covered by this Warranty.
Depressions or ridges appear in the resilient flooring due to subfloor irregularities	Performance Standard: Readily apparent depressions or ridges exceeding 1/8-inch are a deficiency. The ridge or depression measurement is taken as the gap created at one end of a 6-inch straight edge placed over the depression or ridge with 3-inches on one side of the deficiency held tightly to the floor. Responsibility: Builder shall take required action to bring the deficiency within acceptable tolerances so as to be not readily visible. Exclusion: Builder is not responsible for discontinued patterns or color variations in the floor covering, Homeowner neglect or abuse, nor installations performed by others.
Resilient flooring or base loses adhesion	Performance Standard: Resilient flooring or base that lifts, bubbles, or becomes unglued is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Builder is not responsible for discontinued patterns or color variations.
Seams or shrinkage gaps show at resilient flooring joints	Performance Standard: Gaps in excess of 1/16-inch in width in resilient floor covering joints are deficiencies. Where dissimilar materials abut, a gap in excess of 1/8-inch is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Proper repair can be affected by sealing gap with seam sealer. Exclusion: Builder is not responsible for discontinued patterns or color variations of floor covering. Minor gaps should be expected.
Vinyl flooring patterns misaligned	Performance Standard: Patterns at seams between adjoining pieces that are not aligned to within 1/8-inch are deficiencies. The corners of adjoining resilient floor tiles shall be aligned to within 1/8 inch. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing. Exclusion: Misaligned patterns are not covered unless they result from improper orientation of the floor tiles.
Vinyl flooring stains	No coverage.
Yellowing appears on surface of vinyl sheet goods	No coverage.
Vinyl flooring not square	Performance Standard: Vinyl flooring that is not installed square to the most visible wall or that varies by 1/4-inch in any 6-foot run is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Cupping, open joints, or separations in wood flooring	Performance Standard: Open joints or separations between floorboards of finished wood flooring that exceed 1/8-inch in width are deficiencies. Cups in strip floorboards that exceed 1/16-inch in height in a 3-inch maximum distance when measured perpendicular to the length of the board are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: Wood floors are subject to shrinkage and swell due to seasonal variations in the humidity level of Home. While boards may be installed tight together, gaps or separations may appear during heating seasons or periods of low humidity. Gaps or separations that close during non-heating seasons are not considered deficiencies. The Homeowner should be familiar with the recommended care and maintenance requirements of their wood floor. Repeated wetting and drying, or wet mopping may damage wood finishes. Dimples or scratches can be caused by moving furniture or dropping heavy objects, and certain high heel style shoes may cause indentations. These conditions are not covered by the Warranty.
Humps, depressions or unevenness in wood flooring	Performance Standard: Wood flooring that has excessive humps, depressions or unevenness that equals or exceeds 3/8-inch in any 32-inch direction within any room is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Voids in the floor finish	Performance Standard: Voids or "holidays" that are readily visible from a distance of 6 feet under normal lighting conditions are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Top coating on hardwood flooring has peeled	Performance Standard: Field applied coating that peels during normal usage is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusions: Prefinished coatings are the manufacturer's responsibility.
Crowning of strip flooring has occurred	Performance Standard: Crowning in strip flooring that exceeds 1/16-inch in depth in a 3-inch maximum span when measured perpendicular to the long axis of the board is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Excessive knots and color variation of strip hardwood flooring	No coverage.
Hardwood flooring buckles from substrate	Performance Standard: Hardwood floor that becomes loose from the substrate is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Slivers or splinters appear in strip flooring	Performance Standard: Slivers or splinters that occur during the installation of the flooring are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Hardwood floor staining/shading	Performance Standard: Hardwood floor staining or shading that occurs as a result of construction activities is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
"Sticker burn" appears on surface of strip flooring	Performance Standards: Discoloration from stacking strips in hardwood flooring in certain grades of flooring is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Excessive lippage is located at junction of prefinished wood flooring products	Performance Standard: Lippage greater than 1/16-inch is considered a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Loose sub-flooring	Performance Standard: Lumber shrinkage as well as temperature and humidity changes may cause loose sub-flooring. Responsibility: Builder will correct if due to a defective joint or improper flashing.
Carpet does not meet at the seams	Performance Standard: A visible gap or overlapping at the seam due to improper installation is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Color variations in carpet	No coverage.
Carpeting loosens, or the carpet stretches	Performance Standard: Wall-to-wall carpeting installed as the primary floor covering that comes up, loosens, or separates from the points of attachment is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Dead spots appear in padding areas below carpet surface	Performance Standard: Carpeted areas that do not have full coverage of pad consistent throughout the flooring area are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Floor covering fades, stains or discolors	No coverage.
Premature wearing of carpet	No coverage. Manufacturer's warranty may apply.
Cuts and gouges in any floor covering	Performance Standard: Cuts and gouges in any floor covering from construction activities is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
PAINT/WALL COVERING	

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Interior caulking	Performance Standards: Interior caulking that deteriorates or cracks excessively is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Paint color variation	Performance Standard: Paint or stain that has excessive color, shade or sheen variation is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Knot and wood stains appear through paint on exterior	Performance Standard: Excessive knot and wood stains that bleed through the paint are considered deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Resin bleeds through on interior trim	No coverage. This is a normal condition that can be expected to occur with natural materials such as wood.
Exterior paint or stain peels or deteriorates	Performance Standard: Exterior paints or stains that peel or deteriorate during the first year of ownership are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: Fading, however, is normal and subject to the orientation of painted surfaces to the climactic conditions which may prevail in the area. Fading is not a deficiency.
Interior paint or stain deteriorates	Performance Standard: Interior paints or stains that peel or deteriorate during the first year of ownership are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: Fading, however, is normal and subject to the orientation of painted surfaces to the climactic conditions which may prevail in the area. Fading is not a deficiency.
Painting required as corollary repair because of other work	Performance Standard: Repainting, staining or refinishing may be required because of repair work. Repairs required under the Warranty should be finished to match the immediate surrounding areas as closely as practical. Due to fading and normal weathering, a perfect match cannot be achieved and a perfect match is not covered by the Warranty. Where repairs affect more than 50% of a wall or ceiling area, the Builder will repaint the entire wall or ceiling surface from corner to corner. Where custom paints and wall coverings have been installed, the Builder will not warrant the match of any necessary repairs. All blemishes should be noted and repaired prior to custom paints and wall coverings being applied.
Mildew or fungus forms on painted or factory finished surfaces	No coverage.
Deterioration of varnish or lacquer finishes on exterior surfaces	No coverage. Clear finishes on exterior surfaces, such as wood entry doors, diminish with aging and should be reapplied as part of routine Homeowner maintenance every 6-18 months, depending on outside exposure.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Deterioration of varnish or lacquer finishes on interior surfaces	Performance Standard: Clear finishes used on exterior surfaces may deteriorate rapidly. This is beyond the control of the Builder. Clear finishes on interior woodwork that deteriorate during the first year of the warranty period are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Deterioration more than one year after closing is excluded.
Damaged interior surfaces	Performance Standard: Interior painted, varnished or finished surfaces that are dented, nicked or gouged due to construction activities are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Interior paint coverage	Performance Standard: Wall, ceiling, and trim surfaces that are painted that show through new paint when viewed from a distance of 6-feet under normal lighting conditions are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Visible brush marks on interior paint	No coverage.
Visible lap marks on interior paint	No coverage.
Paint splatters and smears on finish surfaces	Performance Standard: Paint splatters on walls, woodwork, or other surfaces which are excessive, that are readily visible when viewed from a distance of 6-feet under normal lighting conditions are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing. Exclusion: Minor paint splatter and smears on impervious surfaces than can be easily removed by normal cleaning methods are considered to be the Homeowner's maintenance and are not deficiencies.
Peeling of wallcovering installed by Builder	Performance Standard: Peeling of wallcovering is a deficiency, unless it is due to the Homeowner's abuse or negligence. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: Builder is not responsible for wallpaper installed by Purchaser. Homeowner is responsible for maintaining adequate ventilation in areas of high humidity, such as kitchens and bathrooms.
Separated seams in wallpaper	Performance Standard: Builder will correct if wall surface is readily visible. Minor imperfections can be expected. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Pattern in wallcovering is mismatched at the edges	Performance Standard: Patterns in wallcovering that do not match at the edges are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing. Exclusion: Builder is not responsible for discontinued or variations in color. Defects in the wallcovering patterns are the manufacturer's responsibility, and excluded from Warranty coverage.
Lumps and ridges and nail pops in wallboard that appear after the Homeowner has wallcovering installed by others	No coverage.
Stained, discolored or spotted wall coverings	Performance Standard: Stained, discolored or spotted wall coverings from construction activities are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Scratched, gouged, cut or torn wall covering	Scratched, gouged, cut or torn wall covering from construction activities is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
CHIMNEY/FIREPLACE	
Fireplace or chimney does not draw properly causing smoke to enter home	Performance Standard: A properly designed and constructed fireplace or chimney shall function correctly. High winds can cause temporary negative or down drafts. Negative drafts can also be caused by obstructions such as tree branches, steep hillsides, adjoining homes, and interior furnaces. In some cases, it may be necessary to open a window slightly to create an effective draft. Since negative draft conditions could be temporary, it is necessary for the Homeowner to substantiate the problems to the Builder by constructing a fire so the condition can be observed. Responsibility: When it is determined that the malfunction is based upon improper construction of the fireplace, the Builder shall take the necessary steps to correct the problem. Exclusion: When it is determined that the fireplace is properly designed and constructed, but still malfunctions due to natural causes beyond Builder's control, Builder is not responsible.
Chimney separation from structure to which it is attached	Performance Standard: Newly built fireplaces will often incur slight amounts of separation. Separation that exceeds 1/2-inch from the main structure in any 10-foot vertical measurement is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Caulking or grouting is acceptable unless the cause of the separation is due to Structural Failure of the chimney foundation. In that case, caulking is unacceptable.
Firebox color is changed; accumulation of residue in chimney or flue	No coverage.
Water infiltration into firebox from flue	No coverage. It is common for water infiltration to occur into the firebox from the flue. A certain amount of rainwater can be expected under certain conditions.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
New chimney flashing leaks	Performance Standard: New chimney flashing that leaks under normal conditions is a deficiency except where the cause is determined to result from ice build-up or the owner's actions or negligence. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Crack in masonry chimney cap or crown causes leakage	Performance Standard: It is normal for caps to crack due to expansion and contraction, however where leaks occur with cracking, it is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Firebox lining damaged by fire	No coverage. Heat and flames may cause discoloration.
Pre-fab gas fireplace	No coverage.
Cracks in masonry hearth or facing	Performance Standard: Small hairline cracks in mortar joints resulting from shrinkage are not unusual. Cracks in stone or brick hearth or facing greater than 1/4-inch in width are deficiencies. Responsibility: Builder will repair cracks exceeding standard by pointing or patching. Builder is not responsible for color variations between existing and new mortar. Exclusion: Heat and flames from normal fires can cause cracking of firebrick and mortar joints. This should be expected, and is not covered by the Warranty.
Brick veneer spalling from chimney surface	Performance Standard: Spalling of newly manufactured brick is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Firebrick or mortar joint cracks	No coverage. Heat and flames from normal fires can cause cracking.
CABINETS AND COUNTERTOPS	
Kitchen and vanity cabinet doors and drawers bind	Performance Standard: Cabinet doors and drawers that do not easily open or close are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Warping of kitchen and vanity cabinet doors and drawer fronts	Performance Standard: Warpage that exceeds 1/4-inch as measured from the face of the cabinet frame to the furthestmost point of warpage on the drawer or door front in a closed position is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Gaps between cabinets, ceiling and walls	Performance Standard: Countertops, splash boards, base and wall cabinets are to be securely mounted. Gaps in excess of 1/4-inch between wall and ceiling surfaces are a deficiency. Responsibility: Builder shall make necessary adjustment of cabinets and countertop or close gap by means of molding suitable to match the cabinet or countertop finish, or as closely as possible; or other acceptable means, including caulking, putty, scribe molding or by repositioning the cabinets.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Cabinets do not line up with each other	Performance Standard: Cabinet faces more than 1/8-inch out of line, and cabinet corners more than 3/16-inch out of line, are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Surface cracks and delaminations in high pressure laminates of vanity and kitchen cabinet countertops	Performance Standard: Countertops fabricated with high pressure laminate coverings that delaminate or have surface cracks or joints exceeding 1/16-inch between sheets are considered deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Cabinet door will not stay closed	Performance Standard: Cabinets that do not hold the door in a closed position are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Wood cabinet finish variations	No coverage. All wood in any finish will exhibit color changes when exposed to light. All wood cabinets are constructed using different pieces of wood, and each piece will differ in color as well as change color in different ways. This color change is caused by variations in the minerals and acids from the soil and other conditions created by the growth environment of a tree. These variations in graining and color are characteristics of a natural wood cabinet are not considered defects. Wood has these variations, and these variations are not covered by the Warranty.
Crack in door panel	Performance Standard: Cracks in cabinet door panels due to construction activities are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Chips, cracks, scratches on countertop, cabinet, fixture, fitting or appliance	Performance Standard: Chips, cracks, scratches on countertop, cabinet, fixture, fitting or appliance due to construction activities are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Manufactured marble vanity top cracks at drain	Performance Standard: Vanity tops that crack due to construction activities are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Damaged solid surface tops	Performance Standards: Solid surface countertops shall be free of scratches that are visible from a distance of six feet in normal lighting conditions at time of acceptance of the project. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Concrete countertops	Performance Standard: (1) A concrete countertop with excessive pits, depressions, or unevenness that equal or exceed 1/8-inch in any 32-inch measurement is a deficiency. (2) A concrete countertop with separations or cracks equal to or exceeding 1/16-inch in width or 1/64-inch in vertical displacement is a deficiency. (3) A finished concrete countertop that is stained, spotted or scratched due to construction activities is a deficiency. (4) A concrete countertop with a chipped edge that extends beyond 1/16-inch from the edge of the countertop due to construction activities is a deficiency. (5) A concrete countertop that changes shade or discolors excessively due to construction activities is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Countertop not level	Performance Standard: Hard surface countertops that are not level to within 1/4-inch in any 6-foot measurement are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
APPLIANCES	
Defective fixture, fitting or appliance	Performance Standard: Kitchen, laundry and bar appliances that fail to function per the manufacturer's specifications will be addressed by the manufacturer under the manufacturer's warranty.
Chipped or scratched appliances	Performance Standard: Scratched or chipped finishes on porcelain, glass or other surfaces on laundry, kitchen or bar appliances due to construction activities are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
DECKS	No coverage.
PEST CONTROL	No coverage.
POOLS	No coverage.
PLUMBING	
Faucet or valve leak	Performance Standard: A valve or faucet leak due to material or workmanship is a deficiency and is covered only during the first year of the Warranty Term. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Leakage caused by worn or defective washers or seals is a Homeowner maintenance item.
Defective plumbing fixtures, appliances or trim fittings	No coverage. Defective plumbing fixtures, appliances, and trim fittings are covered under the manufacturer's warranty.
Staining of plumbing fixtures	No coverage. High iron and manganese content in the water supply system will cause staining of plumbing fixtures. Maintenance and treatment of the water is the Homeowner's responsibility.
Corroded fixtures	No coverage.
Loose fixtures	Performance Standard: Fixtures that are loose are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Toilet standards	Performance Standard: Toilet equipment that allows water to run continuously is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. If toilet equipment allows water to run continuously, the Homeowner shall shut off the water supply or take such action as is necessary to avoid damage to the home.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Noisy water pipes	Performance Standard: Some noise can be expected from the water pipe system, due to the flow of water. However, the supply pipes should not make the pounding noise called "water hammer." "Water hammer" is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: Noises due to water flow and pipe expansion are not considered deficiencies.
The bathtub or shower leaks	Performance Standard: Bathtubs and showers that leak are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Proper repair can be affected by sealing area around tubs and showers. Exclusion: Maintenance of caulk seals is a Homeowner responsibility.
Bathtub or shower squeaks	No coverage.
Shower enclosure flexes	Performance Standard: Excessive flexing in a shower base occurs when the drain assembly moves up or down with normal weight is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the first year of the Warranty Term. Exclusion: Composite shower walls will flex when pushed inward. Such flexing is not considered a defect.
Sewer odors	No coverage.
Blocked vent stack	No coverage.
Water heater	Performance Standard: A water heater that is not installed and secured according to the manufacturer's specifications and the Building Code is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Waste disposal unit	Performance Standard: A waste disposal unit that is not installed and operating according to the manufacturer's specifications is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Decorative gas appliance	Performance Standard: A decorative gas appliance that is not installed in accordance with manufacturer's specifications is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Fixture stopper	Performance Standard: A fixture stopper that does not retain water in accordance with the manufacturer's specifications is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
MECHANICAL	
Exterior compressor unit pad	No coverage.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Back draft dampers	Performance Standard: Back draft dampers that are not installed according to the manufacturer's specifications are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Inadequate heat	Performance Standard: A heating system shall be capable of producing an inside temperature of at least 70-degrees Fahrenheit as measured in the center of the room at a height of 5 feet above the floor under local outdoor winter design conditions. NOTE FOR HEATING: There may be periods when the outdoor temperature falls below the design temperature, thereby lowering the temperature in Home. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Orientation of Home and location of room will also provide a temperature differential, especially when the air-conditioning or heating system is controlled by a single thermostat for one or more floor levels. Homeowner is responsible for balancing dampers and registers and for making other necessary minor adjustments.
Inadequate cooling	Performance Standard: When air conditioning is provided, the cooling system is to be capable of maintaining a temperature of 78-degrees Fahrenheit as measured in the center of each room at height of five feet above the floor, under local outdoor summer design conditions. NOTE FOR AIR CONDITIONING: In the case of outside temperatures exceeding 95-degrees Fahrenheit, the system shall keep the inside temperature 1.5-degrees cooler than the outside temperature. National, state, or local requirements shall supersede this guideline where such requirements have been adopted by the local governing agency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Orientation of Home location of room will also provide a temperature differential, especially when the air conditioning system is controlled by a single thermostat for one or more levels. The Homeowner is responsible for balancing dampers and registers and for making other necessary minor adjustments.
Refrigerant lines leak	Performance Standard: Builder-installed refrigerant lines or ground loop pipes that develop leaks during normal operation are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Leaks due to Homeowner's actions or negligence are excluded.
Refrigerant line insulation	Performance Standard: Insulation that does not completely encase the refrigerant line according to Code is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: The Homeowner shall ensure that insulation on the refrigerant line is not damaged or cut due to home maintenance or landscape work.
Ductwork and heating piping not insulated in uninsulated area	Performance Standard: Ductwork and heating pipes that are run in uninsulated crawl spaces, garages or attics that are not insulated are deficiencies. Basements are not "uninsulated areas", and no insulation is required. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Condensate lines clog up	No coverage. Condensate lines will clog under normal conditions. The Homeowner is responsible for continued operation of drain lines.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Drip pan	Performance Standard: A drip pan and drain line that is not installed under a horizontal air handler as per the Code is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: The Homeowner shall periodically check for the free flow of condensate (water) from the line and clear the line when necessary.
Improper mechanical operation of evaporative cooling system	Performance Standard: Equipment that does not function properly at temperature standard set is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Ductwork makes noises	Performance Standard: No coverage. When metal is heated, it expands, and when cooled, it contracts. The resulting "ticking" or "cracking" sounds generally are to be expected and are not deficiencies.
Ductwork makes excessively loud noises known as "oil canning"	Performance Standard: The stiffening of the ductwork and the gauge of metal used shall be such that ducts do not "oil can." The booming noise caused by oil canning is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Ductwork separates, becomes unattached	Performance Standard: Ductwork that is not intact or securely fastened is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Vibration from heating or cooling equipment	Performance Standard: No coverage. It is normal for heating/air-conditioning equipment to generate some noise and vibration.
Metal rattling at register, grills or ducts	Performance Standard: Air moving through registers, grills and ducts makes noise and is normal. Duct systems are not designed to be noise-free. However, metal rattling from the registers, grills or ducts is considered a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term. Exclusion: Under certain conditions, some noise may be experienced with the normal flow of air when product is installed correctly.
Vent, grill or register operation	Performance Standard: A vent, grill or register that does not operate easily and smoothly when applying normal operating pressure is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
There are gaps between HVAC vent or register covers and the wall or ceiling	Performance Standard: No coverage. This is a normal condition beyond the contractor's control.
Condensation on the outside of air handlers and ducts	Performance Standard: No coverage. Air handlers and ducts will collect condensation on their exterior surfaces when extreme temperature differences and high humidity levels occur. Condensation usually results from humid conditions within the home that are created by the owner or during the curing process in a new space.
ELECTRICAL	

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Chipped, cracked, dented or scratched fixture or trim plate	Performance Standard: Chipped, cracked, dented or scratched fixture or trim plate due to construction activity is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Tarnished fixture or trim plate	No coverage.
Box or trim plate is not plumb or level	Performance Standard: A fixture, electrical box or trim plate that is not installed in accordance with the Code or is not plumb and level is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Smoke detector	No coverage.
Exhaust fan	Performance Standard: An exhaust fan that does not operate within the manufacturer's specified noise level is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Ceiling fan vibrates	No coverage.
Electrical wiring	Performance Standard: Electrical wiring installed inside the home that is not installed in accordance with the Code and any other applicable electrical standards is a deficiency. Electrical wiring that is not capable of carrying the designated load as set forth in the Code is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: The Builder shall not be responsible for utility improvements from the meter/demarcation point to the utility poles or the transformer. All electrical equipment shall be used for the purposes and/or capacities for which it was designed and in accordance with manufacturer's specifications.
Electrical panel, breakers and fuses	Performance Standard: An electrical panel and breakers that do not have sufficient capacity to provide electrical service to the home during normal residential usage are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: The Builder is not responsible for electrical service interruptions caused by external conditions such as power surges, circuit overloads and electrical shorts.
Fuses blow, or circuit breakers kick out	Performance Standard: Fuses and circuit breakers that deactivate under normal usages, when reset or replaced are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	WORKMANSHIP STANDARDS AND EXCLUSIONS
Ground fault interrupter trips frequently	Performance Standard: Any GFCI device that fails to reset is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: The Homeowner is responsible for repairing any device that causes the GFCI to trip.
Fixtures, outlets, doorbells and switches	Performance Standard: Fixtures, outlets, doorbells and switches that are not installed according to manufacturer's specifications are a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Wiring for cable television, telephone, or internet	Performance Standard: Wiring for cable television, telephone or internet that is not installed according to the manufacturer's specifications is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Malfunction of low-voltage wiring system	Performance Standard: Low-voltage wiring system malfunction is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Communication wiring	No coverage.
Drafts from electrical outlets	No coverage. The electrical junction box on exterior walls may produce a slight air flow whereby the cold air can be drawn through the outlet into a room. This problem is normal in new Home construction.
Malfunction of electrical outlets, switches, or fixtures	Performance Standard: All switches, fixtures and outlets which do not operate as intended are considered deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to a one-time repair during the Warranty Term.
Receptacle/switch too far off wall	Performance Standard: A receptacle/switch that is more than 1/8-inch from the adjoining wall surface is a deficiency Responsibility: Builder shall take corrective action necessary to comply with the Standard. Builder's responsibility is limited to deficiencies noted prior to closing.
Light fixture tarnishes	No coverage. Finishes on light fixtures may be covered under their manufacturer's warranty.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	SYSTEMS STANDARDS AND EXCLUSIONS
MECHANICAL SYSTEMS	
Septic systems fail to operate properly	Performance Standard: Septic system should be capable of properly handling normal flow of household effluent. Responsibility: Builder shall take corrective action if it is determined that malfunction is due to a deficiency in workmanship, materials, or failure to construct system in accordance with state, county, or local requirements. Builder is not responsible for malfunctions or limitations in the operation of the system attributable to design restrictions imposed by state, county, or local governing agencies. Builder is also not responsible for malfunctions which occur or are caused by conditions beyond Builder's control, including Homeowner negligence, abuse, freezing, soil saturation, changes in ground water table, or other acts of nature. Exclusion: The Homeowner is responsible for periodic pumping of the septic tank and a normal need for pumping is not a deficiency. The following are considered for the Homeowner's negligence or abuse as exclusion under the Warranty: a.) excessive use of water such as overuse of washing machine and dishwasher, including their simultaneous use; b.) connection of sump pump, roof drains or backwash from water conditioner, to the system c) placing of non-biodegradable items in the system; d) addition of harsh chemicals, greases or cleaning agents, and excessive amounts of bleaches or drain cleaners; e) use of a food waste disposer not supplied by Builder; f) placement of impervious surfaces over the disposal area; g) allowing vehicles to drive or park over the disposal area; h) failure to periodically pump out the septic tank when required. Sewage pumps are excluded under the Warranty.
Water in plumbing pipes freezes, and the pipes burst	Performance Standard: Drain, waste, vent and water pipes shall be adequately protected to prevent freezing and bursting during normally anticipated cold weather. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Burst pipes due to Homeowner's neglect and resultant damage are not Builder's responsibility. Homeowner is responsible for draining exterior faucets, and maintaining suitable temperature in the Home to prevent water in pipes from freezing. During periods when the outdoor temperature falls below the design temperature, Homeowner is responsible for draining or protecting pipes. Homes which are periodically occupied, such as summer homes, or where there will be no occupancy for an extended period of time, must be properly winterized or periodically checked to insure that a reasonable temperature is maintained.
Leakage from any piping	Performance Standard: Leaks in any waste, vent and water piping are deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: Condensation on piping does not constitute leakage, and is not a deficiency, except where pipe insulation is required. The Homeowner shall shut off water supply immediately if such is required to prevent further damage to the home.
Sanitary sewers, fixtures, waste or drain lines are clogged	Performance Standard: The Builder is not responsible for sewers, fixtures, or drains that are clogged because of Homeowner's actions or negligence. Sanitary sewers, fixtures, waste or drain lines that do not operate or drain properly due to improper construction are deficiencies. Responsibility: When defective construction is shown to be the cause, Builder shall make necessary repairs. If Homeowners' actions or negligence is the cause, the Homeowner is responsible for correcting the problem. Homeowner is liable for the entire cost of any sewer and drain cleaning service provided by Builder where clogged drains are caused by Homeowner's actions or negligence. Exclusion: Builder is not responsible for sewer lines that extend beyond the property lines on which the Home is constructed.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	SYSTEMS STANDARDS AND EXCLUSIONS
Water supply system fails to deliver water	Performance Standard: All service connections to municipal water main or private water supply are Builder's responsibility when installed by Builder. Responsibility: Builder shall repair as required if failure to supply water is the result of deficiency in workmanship or materials. Exclusion: If conditions exist which disrupt or eliminate the sources of water supply that are beyond Builder's control, then Builder is not responsible.
In ground wells	No coverage.
Sump pump	Performance Standard: A sump pump that is not installed according to the manufacturer's specifications is a deficiency. Responsibility: Builder shall take corrective action necessary to comply with the Standard. Exclusion: The Homeowner is responsible for maintaining the sump pump.
ELECTRICAL SYSTEMS	
Failure of wiring to carry its designed load	Performance Standard: Wiring that is not capable of carrying the designated load, for normal residential use to switches, receptacles, and equipment, is a deficiency. Responsibility: Builder shall check wiring and replace if it fails to carry the design load.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

DEFICIENCY	STRUCTURAL STANDARDS AND EXCLUSIONS
STRUCTURAL	
The foundation is out of level	Performance Standard: Slab foundations should not move differentially after they are constructed, such that a tilt or deflection in the slab in excess of the standards defined below arises from post-construction movement. The protocol and standards for evaluating slab foundations shall follow the "Guidelines for the Evaluation and Repair of Residential Foundations" as published by the Texas Section of the American Society of Civil Engineers (2002), hereinafter referred to as the "ASCE Guidelines" with the following modifications: (1) Overall deflection from the original construction elevations shall be no greater than the overall length over which the deflection occurs divided by 360 ($L/360$) and must not have more than one associated symptom of distress, as described in Section 5 of the ASCE Guidelines, that results in actual observable physical damage to the home. (2) The slab shall not deflect after construction in a tilting mode in excess of one percent from the original construction elevations resulting in actual observable physical damage to the components of the home. If measurements and associated symptoms of distress show that a slab foundation does not meet the deflection or tilt standards stated in this Standard, a third-party inspector's recommendation shall be based on the appropriate remedial measures as described in Section 7 of the ASCE Guidelines.
Crack in concrete footing	Performance Standard: Cracks greater than 1/4-inch in width are considered deficiencies. Responsibility: Builder shall take corrective action necessary to comply with the Standard.
Pier and beam foundations	Floor over pier and beam foundations. (A) A floor over pier and beam foundation shall not deflect more than $L/360$ from its original construction elevations and have that movement create actual observable physical damage to the components of the home identifiable in Section 5.3 of the ASCE Guidelines. (B) If a floor over pier and beam foundation deflects more than $L/360$ from its original construction elevation and the movement has created actual observable physical damage to the components of a home identifiable in Section 5.3 of the ASCE Guidelines, a third-party inspector's recommendation shall be based on applicable remedial measures as described in Section 7 of the ASCE Guidelines.
Cracked or bowed structural components	Structural components. (A) A defined structural component shall not crack, bow, become distorted or deteriorate, such that it compromises the structural integrity of a home or the performance of a structural system of the home resulting in actual observable physical damage to a component of the home. (B) If a structural component of a home cracks, bows, is distorted or deteriorates such that it results in actual observable physical damage to a component of the home, the Builder shall take such action as is necessary to repair, reinforce or replace such structural component to restore the structural integrity of the home or the performance of the affected structural system.
Deflected structural components	Deflected structural components. (A) A structural component shall not deflect more than the ratios allowed by the Code. (B) If a structural component of the home is deflected more than the ratios allowed by the Code, the Builder shall to repair, reinforce or replace such structural component to restore the structural integrity of the home or the performance of the affected structural system.
Damaged structural components	Damaged structural components. (A) A structural component shall not be so damaged that it compromises the structural integrity or performance of the affected structural system. (B) If a structural component is so damaged that it compromises the structural integrity or performance of a structural system of the home, the Builder shall take such action as is necessary to repair, reinforce or replace such structural component to restore the structural integrity of the home or the performance of the affected structural system.
Separated structural components	Separated structural components. (A) A structural component shall not separate from a supporting member more than 3/4-inch or such that it compromises the structural integrity or performance of the system. (B) If a structural component is separated from a supporting member more than 3/4-inch or separated such that it compromises the structural integrity or performance of a structural system of the home, the Builder shall take such action as necessary to repair, reinforce or replace such structural component to re-establish the connection between the structural component and the supporting member, to restore the structural integrity of the home and the performance of the affected structural system.
Non-performing structural components	Non-performing structural components. (A) A structural component shall function as required by the Code. (B) If a structural component does not function as required by the Code, the Builder shall take such action as is necessary to bring the variance within the standard stated in subparagraph (A) of this paragraph.

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

LENNAR®

Mail to: Lennar
Customer Care Office
Local Address

NOTICE OF CLAIM FORM FOR LENNAR LIMITED WARRANTY COVERAGE Workmanship/Systems Claims Only

Please read the Lennar Warranty Booklet for filing instructions and pertinent information

YOUR NAME _____

ADDRESS OF COMPLAINT _____

(Street)

(City)

(State)

(Zip)

HOME PHONE (_____) _____

BUSINESS PHONE (_____) _____

EFFECTIVE DATE
OF WARRANTY _____

(Mo.)

(Day)

(Year)

(Date of Closing or First Occupancy)

NATURE OF DEFECT (BE SPECIFIC) _____

DATE DEFECT FIRST OBSERVED _____

(Mo.)

(Day)

(Year)

DATE FIRST REPORTED TO LENNAR _____

(Mo.)

(Day)

(Year)

Attach any copies of relevant correspondence between you and Lennar or any third party involving this claim.

CHECK ONE (if applicable)

1. ☐ FHA

2. ☐ VA

3. ☐ RHS

Case # _____

If you are the original owner, and your Home is FHA-financing,
please provide the following

Name of Mortgage Company: _____

Address of Mortgage Company: _____

Homeowner Signature _____

(Date)

Homeowner Signature _____

(Date)

1-YEAR CALIFORNIA SINGLE-FAMILY WARRANTY

LENNAR®

Mail to: Lennar
Customer Care Office
Local Address

NOTICE OF CLAIM FORM FOR LENNAR LIMITED WARRANTY COVERAGE Structural Claims Only

Please read the Lennar Warranty Booklet for filing instructions and pertinent information

YOUR NAME _____

ADDRESS OF COMPLAINT _____
(Street)

(City) (State) (Zip)

HOME PHONE (_____) _____ BUSINESS PHONE (_____) _____

EFFECTIVE DATE
OF WARRANTY _____
(Mo.) / (Day) / (Year)
(Date of Closing or First Occupancy)

Please note that the Lennar Limited Warranty provides Limited Structural Warranty Coverage which is subject to exclusions and conditions. You are encouraged to review the Structural Performance Standards of your Warranty and the list of structural components that are covered and not covered by the Structural Performance Standards.

Please answer the following questions:

1. Have you reviewed the Structural Performance Standards and list of covered and non-covered components in your Warranty? ☐ Yes ☐ No
2. Do you believe that you have a covered Structural claim under the terms of the Structural Performance Standards in your Warranty? ☐ Yes ☐ No

NATURE OF DEFECT (BE SPECIFIC) _____

DATE DEFECT FIRST OBSERVED _____
(Mo.) (Day) (Year)

DATE FIRST REPORTED TO LENNAR _____
(Mo.) (Day) (Year)

Attach any copies of relevant correspondence between you and Lennar or any third party involving this claim.

CHECK ONE (if applicable)

1. ☐ FHA 2. ☐ VA 3. ☐ RHS

Case # _____

If you are the original owner, and your Home is FHA-financing,
please provide the following

Name of Mortgage Company: _____

Address of Mortgage Company: _____

Homeowner Signature _____ (Date)

Homeowner Signature _____ (Date)

DALLAS 1771411v1

Seller Assistance toward closing costs (subject to contribution limits):..... \$ 5,000.00

WARRANTY INFORMATION

LEN CA 100 2/1/08
*Or other comparable warranty

FINANCING AND BROKER INFORMATION

Select One: ☐ Cash ☒ Conventional ☐ FHA ☐ VA ☐ Other:

Lender: Lennar Mortgage, LLC Phone #:

Agent: Rene Gonzales Cell #: 925.553.9702

Broker Participation? ☐ Yes ☒ No

Agent/Company: /

Street Address:

City, State Zip: ,

Phone: Email:

Broker Commission: 0%

Defined Terms. All initially capitalized terms not defined herein shall have the meanings set forth in the Purchase Agreement and Deposit Receipt and Escrow Instructions between Buyer and Seller dated as of the seventh day of September, 2025 (the "**Purchase Agreement**"), and all references in this Addendum to the Purchase Agreement shall be deemed to include references to this Addendum and to any other addenda and riders to the Purchase Agreement, which are hereby incorporated by this reference.

Counterparts. This Addendum shall be validly executed when signed in counterpart; a complete set of which shall form a single document. Signatures may be given via electronic transmission and shall be deemed original and given as of the date and time of the transmission of this Addendum electronically to the other party.

Conflicts. In the event of any conflict between this Addendum and the Purchase Agreement, this Addendum shall control. In all other respects, the Purchase Agreement shall remain in full force and effect.

Entire Agreement. The Purchase Agreement, together with this Addendum and any other addenda and riders to the Purchase Agreement, contains the entire agreement between Buyer and Seller concerning the matters set forth herein. All prior discussions, negotiations and contracts, whether oral or written, are hereby superseded by these documents. No addition or modification of this Addendum or the Purchase Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized representative of Seller.

Buyer - Alpeshkumar Lilidhar Suba
Date

Buyer - Ilaben Alpeshkumar Suba
Date

Buyer -
Date

Buyer -
Date

SELLER:
Lennar Homes of California, LLC
a a California limited liability company

By
Title: Authorized Representative
Date Signed by Seller:

ELECTION FORM ADDENDUM

THIS ELECTION FORM ADDENDUM (this "Addendum") is executed in conjunction with and, by this reference, incorporated into the Purchase Agreement and Deposit Receipt and Escrow Instructions (the "Purchase Agreement") dated as of the seventh day of September, 2025, between Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba (collectively, "Buyer") and Seller, as defined in the Purchase Agreement, respecting Lot 91 of Tract No. 3968 in the City/County of Mountain House / San Joaquin, State of California, in the community known as Turano at Lake Shore (the "Property").

1. **Defined Terms.** All initially capitalized terms not defined herein shall have the meanings set forth in the Purchase Agreement, and all references in this Addendum to the Purchase Agreement shall be deemed to include references to this Addendum and to any other addenda and riders to the Purchase Agreement, which are hereby incorporated by this reference.

2. **Affiliated Business.** Seller has given Buyer notice in the Affiliated Business Arrangement Disclosure Statement that Seller has business relationships with Lennar Mortgage, LLC ("Lennar Mortgage"), Lennar Title, Inc. ("Lennar Title"), Title Resources Guaranty Company. Buyer understands and acknowledges that if Buyer elects to use Lennar Title, Lennar Title may issue title insurance through various underwriters including Title Resources Guaranty Company. Buyer is hereby informed that Buyer is not obligated to use an affiliated business of Seller as a condition to the sale of the Property.

3. **Incentives for Use of Affiliated Business.**

3.1 By checking one of the boxes below and initialing below the selected text, Buyer hereby selects the lender and title company that Buyer will use in connection with the purchase of the Property.

3.1.1 ☒ Buyer elects to use both Lennar Mortgage (or such other lender named on the Approved Lender Addendum) and Lennar Title.

Buyer's Initials: _____

3.1.2 ☐ Buyer elects to use Lennar Mortgage (or such other lender named on the Approved Lender Addendum) as its lender, but elects to use a title company other than Lennar Title.

3.2 If Buyer selects option 3.1.1 or 3.1.2 above, Buyer will receive the following (each, an "Incentive").

3.2.1 ☒ At Closing Seller will contribute up to \$.00 towards Buyer's Closing Costs.

Buyer's entitlement to the Incentive(s) is contingent upon Buyer's use of Lennar Mortgage (or such other lender named on the Approved Lender Addendum). The Incentive(s) shall be applied to costs in an order determined by Seller in its sole discretion. Buyer may change Buyer's election at a later date (e.g., elect to use Lennar Mortgage (or such other lender named on the Approved Lender Addendum) or a different title company). The foregoing Incentive(s) is subject to the Property closing on or before 10/07/2025; such date may be extended at Seller's sole discretion.

3.3 If Buyer selects option 3.1.2 above, should Buyer's title company delay the close of escrow, upon request of Buyer, Seller may, at Seller's sole discretion, grant an extension of time for Buyer to close escrow ("Escrow Extension"). In exchange for the Escrow Extension, Buyer shall pay to Seller an amount equal to one (1) percent of the Purchase Price per month in advance as carrying costs for the Property ("Escrow Extension Payment"). The Escrow Extension Payment will be pro rated on a daily basis at the close of escrow.

4. **Counterparts.** This Addendum shall be validly executed when signed in counterpart; a complete set of which shall form a single document. Signatures may be given via electronic transmission and shall be deemed original and given as of the date and time of the transmission of this Addendum electronically to the other party.

5. **Conflicts.** In the event of any conflict between this Addendum and the Purchase Agreement, this Addendum shall control. In all other respects, the Purchase Agreement shall remain in full force and effect.

6. **Entire Agreement.** The Purchase Agreement, together with this Addendum and any other addenda or riders to the Purchase Agreement, contains the entire agreement between Buyer and Seller concerning the matters set forth herein. All prior discussions, negotiations and contracts, whether oral or written, are hereby superseded by these documents. No addition or modification of this Addendum or the Purchase Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized representative of Seller.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER:

Lennar Homes of California, LLC

a a California limited liability company

By _____
Title: Authorized Representative
Date Signed by Seller: _____

SALES INCENTIVE ADDENDUM

THIS SALES INCENTIVE ADDENDUM (this "**Addendum**") is executed in conjunction with and, by this reference, incorporated into the Purchase Agreement and Deposit Receipt and Escrow Instructions (the "**Purchase Agreement**") dated as of the seventh day of September, 2025, between Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba (collectively, "**Buyer**") and Seller, as defined in the Purchase Agreement, respecting Lot 91 of Tract No. 3968, in the City/County of Mountain House / San Joaquin, State of California, in the community known as Turano at Lake Shore (the "**Property**").

1. **Defined Terms.** All initially capitalized terms not defined herein shall have the meanings set forth in the Purchase Agreement, and all references in this Addendum to the Purchase Agreement shall be deemed to include references to this Addendum and to any other addenda and riders to the Purchase Agreement, which are hereby incorporated by this reference.

2. **Sales Incentives.** Seller has agreed to offer certain specified sales promotions, marketing allowances, discounted options or upgrades, or other incentives for the Property as follows:

☒ Seller will discount the Total Purchase Price of the Property by \$240,971.00.
(each, an "**Incentive**").

The foregoing Incentive is subject to the Buyer closing escrow on the Property on or before 10/07/2025; such date may be extended at Seller's sole discretion.

3. **Counterparts.** This Addendum shall be validly executed when signed in counterpart; a complete set of which shall form a single document. Signatures may be given via electronic transmission and shall be deemed original and given as of the date and time of the transmission of this Addendum electronically to the other party.

4. **Conflicts.** In the event of any conflict between this Addendum and the Purchase Agreement, this Addendum shall control. In all other respects, the Purchase Agreement shall remain in full force and effect.

5. **Entire Agreement.** The Purchase Agreement, together with this Addendum and any other addenda and riders to the Purchase Agreement, contains the entire agreement between Buyer and Seller concerning the matters set forth herein. No addition or modification of this Addendum or the Purchase Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized representative of Seller.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER:
Lennar Homes of California, LLC

a California limited liability company

By _____
Title: Authorized Representative

Date Signed by Seller: _____

AMENDMENT

THIS AMENDMENT (this "**Amendment**") is executed in conjunction with and, by this reference, incorporated into the Purchase and Sale Agreement (the "**Agreement**") dated as of the seventh day of September, 2025, between Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba ("**Buyer**") and Seller, as defined in the Agreement, respecting Lot 91 of Block _____, of Turano at Lakeshore Subdivision/Plat in the community known as Turano at Lake Shore (the "**Community**").

1. **Defined Terms.** All initially capitalized terms not defined herein shall have the meanings set forth in the Agreement, and all references in this Amendment to the Agreement shall be deemed to include references to this Amendment and to any other addenda and riders attached to the Agreement, which are hereby incorporated by this reference.
2. The "Riders and Addenda" Section of the Agreement is hereby supplemented with the following:

On 08/18/2024 Seller provided to Purchaser/Buyer an Affiliated Business Arrangement Disclosure Statement ("**ABAD**") that sets forth Seller's business relationships with affiliated settlement service providers, including but not limited to, Lennar Mortgage, LLC, Lennar Title, Inc., Lennar Insurance Agency, LLC, and their respective types of charges and range of charges; Buyer acknowledges and confirms receipt of the previously delivered ABAD on 08/18/2024.
3. **Counterparts.** This Amendment shall be validly executed when signed in counterpart; a complete set of which shall form a single document. Signatures may be given via electronic transmission and shall be deemed original and given as of the date and time of the transmission of this Amendment electronically to the other party.
4. **Conflicts.** In the event of any conflict between this Amendment and the Agreement, this Amendment shall control. In all other respects, the Agreement shall remain in full force and effect.
5. **Entire Agreement.** The Agreement, together with this Amendment and any other addenda and riders to the Agreement, contains the entire agreement between Buyer and Seller concerning the matters set forth herein. All prior discussions, negotiations and contracts, whether oral or written, are hereby superseded by these documents. No addition or modification of this Amendment or the Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized representative of Seller.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER:
Lennar Homes of California, LLC
a a California limited liability company

By _____
Title: Authorized Representative
Date Signed by Seller: _____

Affiliated Business Arrangement Disclosure Statement

BUYER: Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba

REFERRING PARTY/SELLER: Lennar Homes of California, LLC

PROPERTY: 1465 N. Girardi Drive Mountain House CA 95391

DATE: _____

This is to give notice that Referring Party/Seller (Seller) has business relationships with the companies listed in the boxes below. Specifically, Seller is, directly or indirectly, wholly owned by Lennar Corporation. Lennar Corporation (i) owns, directly or indirectly, 100% of Lennar Mortgage, LLC and Lennar Title, Inc.; (ii) indirectly has a minority ownership interest of less than 10% in Title Resources Guaranty Company (iii) indirectly has at least an 80% ownership interest in Lennar Insurance Agency, LLC; and (iv) indirectly has a minority ownership interest of less than 5% in Opendoor Labs, Inc. Because of these relationships, this referral of services may provide Seller a financial or other benefit.

Set forth below are the types of settlement services offered by these affiliated companies and the estimated charge or range of charges generally required by these companies for such settlement services. You are NOT required to use any of the companies listed above as a condition to the purchase of the property.

THERE ARE FREQUENTLY OTHER SETTLEMENT SERVICE PROVIDERS AVAILABLE WITH SIMILAR SERVICES. YOU ARE FREE TO SHOP AROUND TO DETERMINE YOU ARE RECEIVING THE BEST SERVICES AND RATE FOR SUCH SERVICES.

Provider and Settlement Services/Estimated Range of Charges

MORTGAGE

Lennar Mortgage, LLC arranges and makes mortgage loans and the following are estimated mortgage loan related charges or range of charges **(not all of the charges may apply)**:

<u>Description of Settlement Service</u>	<u>Range of Charges</u>
Origination Charges	
% of Loan Amount (Points)	0% - 5% (of the loan amount)
Loan Origination Fee	0% - 1.5% (of the loan amount)
Courier/Messenger Fee	\$0 - \$200
Document Preparation Fee	\$0 - \$725
Processing Fee	\$0 - \$935
Tax Service Fee	\$0 - \$100
Underwriting Fee	\$0 - \$725
Wire Transfer Fee	\$0 - \$125
Appraisal Fee Paid to Appraiser	\$0 - \$1,100
Appraisal Schedule Fee to Appraisal	\$0 - \$500
Final Inspection Fee Paid to Appraiser	\$0 - \$600
Flood Certification Paid to Outside Agency	\$0 - \$15
Survey Fee Paid to Outside Agency	\$0 - \$942

Note: The actual fees charged may vary based on the size of your loan, loan program and interest rate you choose. There also will be other third-party charges. You will receive a Loan Estimate when you apply for your mortgage loan that will give you an estimate of all anticipated charges.

Affiliated Business Arrangement Disclosure Statement

SETTLEMENT SERVICES

Lennar Title, Inc. provides settlement services and issues title insurance through numerous underwriters, one of which is **Title Resources Guaranty Company**. The following are estimated charges or range of charges for the settlement services listed:

<u>Description of Title Policy</u>	<u>Range of Charges</u>
Owner's Policy (Basic and Enhanced):	\$ 420 - \$ 560 for purchase price up to \$200,000 \$ 497 - \$ 770 for purchase price up to \$400,000 \$ 651 - \$ 980 for purchase price up to \$600,000 \$ 799 - \$1,190 for purchase price up to \$800,000 \$ 925 - \$1,400 for purchase price up to \$1,000,000 \$1,275 - \$2,450 for purchase price up to \$2,000,000
Lender's Policy:	\$ 280 - \$ 340 for loan amount up to \$200,000 \$ 313 - \$ 430 for loan amount up to \$400,000 \$ 379 - \$ 520 for loan amount up to \$600,000 \$ 443 - \$ 610 for loan amount up to \$800,000 \$ 497 - \$ 700 for loan amount up to \$1,000,000 \$ 647 - \$1,150 for loan amount up to \$2,000,000 \$ 683 - \$1,540 for loan amount up to \$3,000,000

<u>Description of Settlement Service</u>	<u>Range of Charges</u>
Settlement Services Fee:**	\$ 630 - \$ 1100 for purchase price up to \$200,000 \$1,101 - \$1,265 for purchase price up to \$400,000 \$1,266 - \$1,595 for purchase price up to \$600,000 \$1,596 - \$1,911 for purchase price up to \$800,000 \$1,912 - \$2,181 for purchase price up to \$1,000,000 \$2,182 - \$2,931 for purchase price up to \$2,000,000
Solar Document Preparation Fee:	\$200
Recording Processing Fee:	\$25
Recording:	Actual charge
Notary:	Actual charge
Messenger:	Actual charge
Endorsements:	Actual Charge

**Additional fees may apply if closing more than one loan.

INSURANCE

Lennar Insurance Agency, LLC (Lennar Insurance Agency) is an insurance agent that provides, among other products, homeowner's/hazard and flood insurance. Set forth below are the estimated range of charges by Lennar Insurance Agency for the settlement services listed.

<u>Description of Settlement Service</u>	<u>Range of Charges - Annual Premium</u>
Homeowner's/Hazard Insurance	0.2% - 2.5% of purchase price amount
Flood Insurance	0.1% - 0.5% of purchase price amount

NOTE: The above premium ranges for homeowner's/hazard and flood insurance are from Lennar Insurance Agency. If enhancements to the standard policy such as increased limits, scheduled articles, and/or earthquake coverage are required, the premium may increase. Actual quote and acceptance by Lennar Insurance Agency is subject to Lennar Insurance Agency's application of their underwriting guidelines, including but not limited to verification of your credit score and previous loss history. Of course, the cost of your insurance may vary due to many factors including, without limitation, the size, location and cost of your home.

Affiliated Business Arrangement Disclosure Statement

SALE OF EXISTING HOME

Opendoor Labs, Inc. d/b/a Opendoor offers programs to buy existing homes from homeowners.

<u>Description of Settlement Service</u>	<u>Range of Charges*</u>
Opendoor Service Charge (real estate transaction cost associated with purchase of home)	6% - 16% of home sales price

* The amount of the Opendoor Service Charge varies based on the individual property and current market conditions and does not include any upfront repair costs that may be required. There will also be other closing costs imposed by third parties related to the settlement of the sale. Contact Opendoor to obtain an offer that includes an estimate of all anticipated charges.

Acknowledgment

I/we have read this notice and understand that Seller is referring me/us to purchase the above-described settlement services and may receive a financial or other benefit as a result of this referral.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER: Lennar Homes of California, LLC

By _____
Authorized Agent of Seller -
Date _____

PRIVACY POLICY NOTICE AND CONSENT ADDENDUM

THIS PRIVACY POLICY NOTICE AND CONSENT ADDENDUM (this "**Addendum**") is, by this reference, made part of the Purchase and Sale Agreement (the "**Agreement**") dated as of the seventh day of September, 2025 between Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba (collectively, "**Buyer**") and Seller, as defined in the Agreement, respecting Lot 91 of Block _____ of Turano at Lakeshore Subdivision/Plat in the community known as Turano at Lake Shore (the "**Community**").

1. **Defined Terms.** All initially capitalized terms not defined herein shall have the meanings set forth in the Agreement, and all references in this Addendum to the Agreement shall be deemed to include references to this Addendum and to any other addenda and riders attached to the Agreement, which are hereby incorporated by this reference. Notwithstanding the foregoing or anything contained in the Agreement to the contrary, for the exclusive purpose of this Addendum, "**Lennar Affiliate(s)**" shall have the meaning set forth in the Privacy Notice attached hereto as Exhibit "A" ("**Privacy Notice**").
2. **Explanation.** Buyer may need a mortgage, homeowners' insurance, title insurance and/or settlement services in connection with the purchase of the Home. While Buyer is not required to use a Lennar Affiliate to purchase such services, they are available to assist with obtaining these services in connection with the purchase of the Home. This Addendum provides Buyer with the option of electing to receive marketing materials, including price quotes, for services that may be necessary in connection with the purchase of the new Home. It is entirely Buyer's choice whether to receive any such information, and there is no obligation to use any Lennar Affiliate.
3. **Acknowledgement of Privacy Notice and Complete Privacy Policy.** Buyer acknowledges that Buyer has received and reviewed Seller's Privacy Notice attached hereto as Exhibit A. The Privacy Notice summarizes the complete privacy policy of Lennar Corporation ("**Privacy Policy**") and Buyer acknowledges that Buyer has been given the opportunity to review Seller's complete Privacy Policy (<https://www.lennar.com/privacypolicy>). Buyer agrees to the terms of the Privacy Policy and acknowledges that the Privacy Policy is subject to future amendment without further notice.
4. **Consent to Sharing Information with Lennar Affiliates.** Please choose the "Yes" or "No" options below to indicate whether Buyer wishes to share information with Lennar Affiliates (such as those involved in the home purchasing process, e.g., Lennar Mortgage, LLC, Lennar Title, Inc., CalAtlantic Title, LLC and Lennar Insurance Agency, LLC). If there is more than one Buyer, the choices selected will apply to all Buyers who have executed the Addendum.

YES	NO
	Lennar Affiliate Information Sharing: Agreeing to this option will allow the Lennar Affiliates to provide Buyer with offers and information about products and services that may be necessary in connection with the home-buying process by accessing and using Buyer's Personal Information. These services include providing the Buyer with home financing information and quotes for title insurance, closing services, and homeowner's insurance. Buyer may change the above selections (i.e., opt-out if Buyer has previously selected "YES", or opt-in, if Buyer has previously selected "NO") at any time by visiting our communication Preferences (https://www.lennar.com/contact/communicationpreferences) and making the appropriate selections in the manner prescribed in the form, or as otherwise described in the Privacy Policy.

5. **Counterparts.** This Addendum shall be validly executed when signed in counterparts; a complete set of which shall form a single document. Signatures may be given via electronic transmission and shall be deemed original and given as of the date and time of the transmission of this Addendum electronically to the other party.
6. **Conflicts.** In the event of any conflict between this Addendum and the Agreement, this Addendum shall control. In all other respects, the Agreement shall remain in full force and effect.

7. **Entire Agreement.** The Agreement, together with this Addendum and any other addenda and riders to the Agreement, contains the entire agreement between Buyer and Seller concerning the matters set forth herein. No addition or modification of this Addendum or the Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized representative of Seller.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER:
Lennar Homes of California, LLC
a a California limited liability company

By: _____
Title: Authorized Representative
Date Signed by Seller: _____

ADDENDUM "A"

PRIVACY NOTICE

This Privacy Notice summarizes the complete Privacy Policy of Lennar Corporation (the "**Privacy Policy**") and our affiliated companies, including but are not limited, to Quarterra Multifamily Communities, LLC, Lennar Commercial, CalAtlantic Group, LLC, Lennar Mortgage, LLC, Lennar Sales Corp., Lennar Title, Inc., Lennar Title, LLC, Lennar Title Group, LLC, Lennar Closing Services, CalAtlantic Title, LLC, and Lennar Insurance Agency, LLC ("**Lennar Affiliates**") (collectively, "**Lennar**," "**we**", "**us**", or "**our**").

This Privacy Notice outlines only some of the important information in our Privacy Policy, including how we collect, use, and disclose Personal Information we learn about individuals ("**you**" or "**your**") who visit our websites, use our mobile applications, communicate with us in person or by phone, engage with us as customers or prospective customers, and others whose Personal Information we process.

THIS PRIVACY NOTICE DOES NOT REPLACE, SUPPLEMENT, OR MODIFY THE COMPLETE PRIVACY POLICY AVAILABLE AT <https://www.lennar.com/privacypolicy>. THIS PRIVACY NOTICE IS NOT A SUBSTITUTE FOR THE PRIVACY POLICY. YOU SHOULD CAREFULLY REVIEW THE FULL TEXT OF THE PRIVACY POLICY TO UNDERSTAND OUR PRIVACY PRACTICES.

Your Consent. You consent to the terms of our complete Privacy Policy when you use our services or provide your Personal Information (defined below) to us after receiving this Privacy Notice and opportunity to review our complete Privacy Policy. If you do not agree with our privacy practices, you should not visit our websites, use our services, or otherwise provide us your Personal Information. For more on your consent, see the "Your Consent" section of the Privacy Policy (<https://www.lennar.com/privacypolicy#your-consent>).

What Is Personal Information? The term "Personal Information" refers to information that identifies, relates to, describes, or could reasonably be associated or linked with you. For more information about the categories and specific types of Personal Information we collect, including what information the Privacy Policy does not cover, see the section of the Privacy Policy titled, "Personal Information We Collect" (<https://www.lennar.com/privacypolicy#personal-information-we-collect>).

When Do We Collect Personal Information? We collect Personal Information when you do business or otherwise interact with Lennar, when you visit our websites, and when you set up and use a myLennar or Homeowner Portal online account. We also collect Personal Information from, and may share Personal Information with (among others) (2) **Lennar Affiliates**, (2) "**Service Providers**," which process information on our behalf to support our operations, (3) "**Business Partners**" (real estate, home products and services, and other unaffiliated companies we collaborate with), and (4) digital advertising, social media, and analytics platforms that collect data using tracking and storage technologies when you visit our websites.

What Personal Information Do We Collect? For detail about the categories of information we collect, along with the specific types of personal information you may provide and we may collect, see the table below and the section of our complete "Privacy Policy titled Personal Information We Collect".

How Do We Use Personal Information? We may use your Personal Information, for example, to: START

- o Manage our contractual relations, process your transactions, protect our business interests, and enforce our Terms and Conditions (<https://www.lennar.com/termsandconditions>).
- o Manage our websites to maintain functionality, improve service, identify products and services that may be of interest to you, and detect and prevent malicious activity.
- o Conduct digital advertising programs and website analytics via third-party advertisers and data tracking services. (You can restrict targeted advertising and other online data tracking on our website.)
- o Conduct internal activities such as quality assurance, strategic marketing, and product development.
- o Comply with applicable law and legal process.
- o Undertake a major business transaction subject to appropriate confidentiality protections.

For more information about how we use your Personal Information, see the section titled "How We Use Personal Information" (<https://www.lennar.com/privacypolicy#how-we-use-personal-information>)" in our complete Privacy Policy.

- o Work with you throughout the design, sales, contracting, financing, construction and completion phases of your project.
- o Provide customer service, fulfill requests for information, verify customer information and process payments for transactions (payment information is handled by authorized third-party payment processors).
- o Build long-term customer relationships by learning about your experience with us and keeping records of your needs, preferences and interests.
- o Connect you with Lennar Affiliates that offer mortgage financing, title insurance or other related services (with your permission).
- o Connect you with Business Partners that offer home-based products and services in your area.
- o Send and track your responses to marketing messages and show you targeted advertising, subject to your options and preferences.
- o Maintain and improve our websites and monitor usage of our websites for market research purposes.
- o Personalize the Sites to show you content we think you will be most interested in based on your browsing activity, your account information, and your purchase history.
- o Display your photos and comments on our Sites and in marketing materials (with your permission).
- o Conduct internal activities we believe are reasonably aligned and compatible with your expectations

- about how we will use your personal information based on your relationship with Lennar and the context in which you provided the information (such as quality assurance, strategic marketing and product development).
- o Secure our Sites and services, detect and investigate fraud and protect ourselves and others when necessary.
 - o Manage our contractual relations and protect our business interests.
 - o Comply with legal process and respond to appropriate governmental requests.
 - o Use aggregated, pseudonymized or anonymized information (which is no longer reasonably associated with an identifiable natural person) for any lawful purpose.

When Do We Share Your Personal Information? We may share your Personal Information with third parties including our Lennar Affiliates, Service Providers, Advertising Networks, and Business Partners, and digital tracking and data collection services. The table below summarizes the categories of Personal Information Lennar collected during the past 12 months, the categories disclosed to parties for marketing purposes (as opposed to disclosure for business purposes), and whether disclosure to third parties is subject to your Marketing Communications or Cookie Preferences selections. Where information is sold or shared for targeted advertising purposes, it is indicated below.

Categories and examples of Personal Information	Shared with or disclosed for marketing purposes:	Actions you can take to limit or restrict sharing
Personal Identifiers: name, postal/email address, phone number	- o Lennar Affiliates - o Business Partners	- o Opt-in (Marketing Communications) - o Opt-out (Marketing Communications) - o Opt-out (for targeted advertising)
Sensitive Information: Social Security Number, citizenship, driver's license	Not shared	Not applicable
Protected demographic Information: age, marital status	Not shared	Not applicable
Consumer Information: signature, credit or debit card, health insurance information	Not shared	Not applicable
Commercial Information: credit/income information, Lennar transaction history	o Lennar Affiliates (for transaction history only)	o Opt-out (Marketing Communications)
Internet Usage Data: browsing history, device information and location data collected using tracking technologies on our websites	- o Lennar Affiliates - o Business Partners - o Digital tracking and analytics services - o Advertising networks for targeted advertising - o Social Media	o Opt-out (Cookie Preferences)
Customer Profile Information: information from various sources to infer and profile interests and preferences	- o Lennar Affiliates - o Business Partners - o Digital tracking and analytics services - o Advertising networks for targeted advertising - o Social Media	o Opt-Out (Cookie Preferences)

For more information about when we share your Personal Information and the preference selections you can make, refer to the section of our complete Privacy Policy titled "Information Sharing and Disclosure" (<https://www.lennar.com/privacypolicy#information-sharing-and-disclosure>). Some information we collect is "sensitive personal information" such as your Social Security Number, citizenship, or driver's license. We will only use and disclose sensitive information for the specific purpose explained to you at the time it is collected.

How Can You Restrict Collection and Use of Personal Information? You may limit the collection, disclosure, or use of certain categories of your Personal Information for marketing purposes or from being sold or shared for targeted advertising or digital tracking by updating your Communication Preferences (<https://www.lennar.com/contact/communicationpreferences>) or visiting the Cookies Preferences page (<https://www.lennar.com/privacypolicy#how-you-can-restrict-cookies-and-targeted-advertising>) or by contacting

us as described below. You can also restrict the automated collection and tracking of your online activities and receipt of personalized advertisements by managing the privacy or cookie settings on your browser or device.

Note that you cannot opt-out of disclosures to Service Providers because they perform business services on behalf of Lennar Affiliates and do not use Personal Information for their own commercial purposes. How Business Partners, advertising networks, and digital data services use Personal Information is subject to their own privacy practices and is not governed by the Lennar Privacy Policy. You should review the privacy policies of those third parties to learn about their privacy practices.

How We Use and How You Can Limit Cookies and Targeted Advertising. We use and allow advertising networks and website analytics services (such as Google Analytics) to place cookies and other tracking and data collection technologies on our websites. These technologies collect data about your device and browsing activities over time and across many websites and platforms. The data is used to build a profile of your interests, preferences, and characteristics and to deliver advertisements and marketing campaigns targeted to you. You can restrict some cookies, including targeted advertising cookies, by methods such as selecting certain settings on your browser, configuring your advertisement and privacy settings on your social media platforms, installing Google Analytics opt-out browser, or on our website at our Cookies Preference page. For more information, refer to "How You Can Restrict Cookies and Targeted Advertising" in the full version of the Privacy Policy.

Protection and Retention of Personal Information. Lennar maintains commercially reasonable administrative, technical, and physical safeguards to protect the security, confidentiality, and integrity of your Personal Information appropriate to the nature of the Personal Information we collect. We retain Personal Information for as long as we reasonably require it for legal or business purposes.

Data Privacy Requests and Rights. Lennar will honor the following requests about your Personal Information regardless of where you live:

- o To confirm or receive information about the Personal Information Lennar collected, sold, or disclosed about you during the last twelve (12) months;
- o To update or correct information that you consider inaccurate;
- o To direct Lennar not to sell your Personal Information to others;
- o To restrict having your Personal Information collected on our websites for targeted advertising purposes;
- o To delete Personal Information that Lennar has collected, subject to a range of exclusions permitted by law;
- o To withdraw any previously granted consent to use your Personal Information in a particular way.

We will also honor requests to exercise the data privacy rights granted by the laws of your place of residence that apply to Lennar. We will respond to these requests in the manner and within the timeframes set by such applicable laws. We will not discriminate against you for making a privacy request.

You may submit a request using any of the methods explained in "How to Contact Us" (<https://www.lennar.com/privacypolicy#how-to-contact-us>) in the Privacy Policy. You can also submit your request (<https://lennar-privacy.my.onetrust.com/webform/28241770-ebef-41ce-ad79-79c8275b52ce/4a145a0f-1efc-4ad5-8878-7c3609052d3d>). We will generally confirm receipt of your request regarding your personal information within 10 business days and may request additional information necessary to verify you are authorized to make your request. We aim to respond to any verifiable requests within 45 calendar days of receiving it.

Contact Us. To contact us with your questions about our privacy practices or to change opt-in or opt-out preferences:

By email:	privacyinfo@lennar.com
By phone:	1-844-232-0929
Online Preferences webform:	Online Privacy Request (https://lennar-privacy.my.onetrust.com/webform/28241770-ebef-41ce-ad79-79c8275b52ce/4a145a0f-1efc-4ad5-8878-7c3609052d3d)
By postal mail:	5505 Waterford District Drive, Miami, FL 33126 (Attn: Privacy Compliance Dept.)

ADDENDUM REGARDING ADDITIONAL TERMS

THIS ADDENDUM REGARDING ADDITIONAL TERMS (this "**Addendum**") is executed in conjunction with and, by this reference, incorporated into the Purchase Agreement and Deposit Receipt and Escrow Instructions (the "**Purchase Agreement**") dated as of September 07, 2025, between Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba (collectively, the "**Buyer**") and Seller, as defined in the Purchase Agreement, respecting Lot 91 of Building No. _____ of Tract No. 3968 in the City of Mountain House, County of San Joaquin State of California, in the community known as Turano at Lake Shore (the "**Property**").

1. **Defined Terms.** All initially capitalized terms not defined herein shall have the meanings set forth in the Purchase Agreement, and all references in this Addendum to the Purchase Agreement shall be deemed to include references to this Addendum and to any other addenda and riders attached to the Purchase Agreement, which are hereby incorporated by this reference.

2. **Subsequent Payment of Initial Deposit.** If Buyer has not already paid the Deposit at the time Seller accepts the Purchase Agreement, Buyer will make the Deposit within twenty-four (24) hours of when the Purchase Agreement is accepted by Seller ("**Subsequent Payment**"). Should Buyer fail to make the Deposit within the twenty four (24) hour period required by this Addendum, Buyer shall be in default and Seller shall have the right to unilaterally cancel the Purchase Agreement and Escrow by providing Buyer and Escrow Holder written notice and Buyer will not have the right to cure such default as described in Paragraph 13. When a Subsequent Payment is required, any provisions in the Purchase Agreement which state that a Deposit has already been provided to or received by Seller are revised to state that Buyer has chosen a method of payment that will require Buyer to make a Subsequent Payment.

3. **Debit/Credit Card Deposit.** If Buyer makes the Deposit using a credit or debit card ("**Card Deposit**"), Buyer will, upon Seller's request, provide the last 4-digits of the card to Seller and Escrow Holder conducting the Close of Escrow. At least one person that is a Buyer must be the cardholder. If the Card Deposit is a credit card deposit, it is subject to Seller's acceptance. Buyer must provide evidence to Buyer's lender no later than ten (10) business days prior to Close of Escrow that the credit card deposit has been paid off out of Buyer's own funds. Such evidence shall include, but is not limited to, credit card and bank statements.

4. **Representation of Compliance With OFAC Regulations.** Buyer represents and warrants that Buyer is not barred from doing business with U.S. entities pursuant to the U.S. Department of Treasury's Office of Foreign Asset Control ("**OFAC**"), including OFAC's Specially-Designated-Nationals ("**SDN**") list and lists of known or suspected terrorist organizations. If Seller identifies or is informed that Buyer is a valid match for OFAC's SDN list, then the Purchase Agreement is void, and Seller shall cancel and revoke the Purchase Agreement immediately. In the event of cancellation or revocation of the Purchase Agreement under this provision, Seller shall immediately contact OFAC to report the transaction and to determine whether deposit money provided by Buyer, if any, should be returned or blocked, consistent with OFAC regulations.

5. **Cooperation With Escrow Holder.** Buyer agrees to promptly provide Escrow Holder with all information and documentation necessary that either Escrow Holder or the title insurance company is required to obtain by law, including any requirements of the U.S. Department of Treasury. Buyer's failure to cooperate with or provide information to Escrow Holder or otherwise comply with the U.S. Department of Treasury requirements shall be considered a default under the Purchase Agreement.

6. **Further Actions.** Buyer and Seller will execute all instructions and documents required to correct any clerical errors or to effectuate the purchase and sale contemplated by the Purchase Agreement.

7. **Financing.** The following language in Paragraph 3 of the Purchase Agreement, entitled "Financing" is deleted in its entirety:

"Regardless of lender selected by BUYER, SELLER requires BUYER to submit to Lennar Mortgage, an affiliate of SELLER, for its own purposes, a preliminary assessment of BUYER'S ability to qualify for a mortgage loan to purchase the Property, such information and authorizations requested by Lennar Mortgage to perform the preliminary qualification assessment. BUYER is not obligated to use Lennar Mortgage to obtain a loan to purchase the Property."

and replaced with the following:

"BUYER may have obtained a "prequalification" from Lennar Mortgage for the purpose of determining BUYER'S ability to purchase the Property. BUYER UNDERSTANDS AND ACKNOWLEDGES THAT BUYER IS NOT OBLIGATED TO USE LENNAR MORTGAGE TO OBTAIN FINANCING TO PURCHASE THE PROPERTY."

The remaining terms contained in Paragraph 3 of the Purchase Agreement remain unchanged and in full force and effect.

8. **Buyer Releases Seller from Damages Caused by Buyer Improvements and Alterations.** Before Buyer installs any post-closing improvements to or on the Homesite including, but not limited to, pools, spas, planters, sidewalks, decks, patios, patio covers, room additions, sprinklers, landscaping, and other alterations (collectively "**Buyer Improvements**"), Buyer agrees to retain all appropriate professional consultants including a licensed architect and a civil, soil or structural engineer ("**Buyer Improvement Experts**") and to design and construct the Buyer Improvements in accordance with such experts' advice and specifications as well as all local building codes

and processes. The Homesite was designed and constructed to support the residence and any Homesite improvements delivered with the residence (collectively, "**Seller Delivered Improvements**"), with the expectation that Buyer will consult such Buyer Improvement Experts before designing or constructing any Buyer Improvements. Even if Buyer takes such steps, Buyer should expect that Buyer Improvements may be damaged or cause damages to the Homesite and Seller Delivered Improvements, and may cause issues such as subsidence, earth movement, foundation cracks and failure, slab/foundation tilt, deflection, erosion, improper drainage, lateral fill extension, slope creep, corrosion, spalling, efflorescence, and water intrusion which can cause major damages to the Buyer Improvements, Seller Delivered Improvements, and Homesite.

Buyer assumes all risks relating to Buyer Improvements and releases and waives all deficiencies, losses, liabilities, claims, damages, expenses, obligations, penalties, actions, judgments, awards, suits, costs or disbursements of any kind or nature whatsoever, including attorneys' fees and expenses ("**Claims**") against Seller and its affiliates, and the officers, directors, employees, contractors, consultants and agents of each of them ("**Released Parties**") arising from or in any way related to Buyer Improvements, including Claims for bodily injury, death, property damage, economic loss, and diminution in value including Claims that may not be anticipated at this time. To the extent such damages to the Seller Delivered Improvements or Homesite arise out of or relate to Buyer Improvements, any express warranties provided by Seller on the damaged components are void and released by Buyer unless such warranties are required by law and are not permitted to be modified or released.

9. **Buyer Name Changes.** No Buyer name changes (including changing an individual to an entity, such as a trust) will be permitted within thirty (30) days of Close of Escrow. Otherwise, such changes will only be permitted in Seller's sole and absolute discretion.

10. **Cooperating Broker and Seller's New Home Consultant.** Unless a Purchase Price and Payment Addendum or a Cooperating Broker Agreement indicating otherwise is attached hereto, Buyer represents to Seller that Buyer has not consulted, dealt or negotiated with a real estate broker, salesperson or agent other than Seller's sales personnel located at Seller's sales office. Buyer agrees that Seller is not responsible for the payment of a commission to a real estate broker, salesperson or agent ("**Buyer Broker**") other than Seller's sales personnel. Buyer will be in default if Buyer fails to close because Buyer is obligated to pay a Buyer Broker and does not have sufficient funds to do so. As noted in the Purchase Agreement, Buyer agrees to indemnify and hold Seller harmless from and against any and all loss and liability resulting from any breach of the foregoing. If Buyer has engaged a Buyer Broker (as indicated on the Purchase Price and Payment Addendum), Buyer acknowledges that Buyer and Buyer Broker were required to provide Seller a copy of the agreement between Buyer and Buyer Broker ("**BBA**") on or before execution of this Purchase Agreement. Where a commission or referral fee is being offered by Seller, timely delivery of the BBA and compliance with the terms of the purchase price and payment addendum or the cooperating broker agreement and Seller's cooperating broker participation policy are conditions to Seller's obligation to pay Buyer Broker a commission or referral fee. In addition, Buyer acknowledges and understands that Seller's New Home Consultant ("**NHC**") and Internet New Home Consultant ("**INHC**") are agents of Seller, are acting solely for the Seller's interests, and are not acting in any representative capacity for Buyer. Buyer should not disclose any information to Seller's NHC and/or INHC that Buyer considers to be confidential or otherwise does not want disclosed to Seller.

11. **Lennar Account Application for Pre-Closing Information and Limited Warranty Service Requests.** Warranty information for the Property is available to Buyer through (i) the Lennar Account Application (the "**Lennar App**"), which can be downloaded to a mobile device, such as a smartphone or tablet, from the Apple App Store (<https://shorturl.at/9ljrM>) or the Google Play Store (<https://shorturl.at/Cy0zZ>); and/or (ii) a web based version of the Lennar App that is accessible through a standard web browser (together with the Lennar App as the "**Digital Platform**"). Buyer agrees to download the Lennar App to a mobile device at the time of execution of the Purchase Agreement. The Lennar App can also be used to (i) track the progress of the construction of the Property; (ii) chat with customer care representatives; (iii) access educational checklists, maintenance tips and warranty guides for the Property; (iv) view Property specific details such as homeowners' association information (if applicable), floorplans and applicable utility services; and (v) if Buyer executes the Purchase Agreement digitally, access copies of the Purchase Agreement and related documents. Buyer agrees to use the Digital Platform to submit all warranty claims and to schedule warranty-related inspection(s) and repairs for the Property. If Buyer is unable to access the Digital Platform, Seller will provide Buyer with an alternate method for submission of warranty claims upon written request. Seller has the right to change the method of submitting and processing warranty requests in the future provided that any new methods will not unreasonably restrict Buyer's ability to submit a warranty claim. The provisions of this Section will survive Close of Escrow.

Buyers Initials: _____

12. **Counterparts.** This Addendum shall be validly executed when signed in counterparts, a complete set of which shall form a single document. Signatures may be given via electronic transmission and shall be deemed original and given as of the date and time of the electronic transmission of this Addendum to the other party.

13. **Conflicts.** In the event of any conflict between this Addendum and the Purchase Agreement, this Addendum shall control. In all other respects, the Purchase Agreement shall remain in full force and effect.

14. **Entire Agreement.** The Purchase Agreement, together with this Addendum and any other addenda and riders to the Purchase Agreement, contains the entire agreement between Buyer and Seller concerning the matters set forth herein. All prior discussions, negotiations and contracts, whether oral or written, are hereby superseded by these documents. No addition or modification of this Addendum or the Purchase Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized representative of Seller.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER:

Lennar Homes of California, LLC

a a California limited liability company

By _____
Title: Authorized Representative
Date Signed by Seller: _____

CLOSING COSTS ADDENDUM

THIS CLOSING COSTS ADDENDUM (this "**Addendum**") is executed in conjunction with and, by this reference, incorporated into the Purchase Agreement and Deposit Receipt and Escrow Instructions (the "**Purchase Agreement**") dated as of the seventh day of September, 2025, between Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba (collectively, "**Buyer**") and Seller, as defined in the Purchase Agreement, respecting Lot/Unit No. _____ of Building No. _____ of Tract No. 3968 in the City/County of San Joaquin, State of California, in the community known as 1465 N. Girardi Drive (the "**Property**").

1. **Defined Terms.** All initially capitalized terms not defined herein shall have the meanings set forth in the Purchase Agreement, and all references in this Addendum to the Purchase Agreement shall be deemed to include references to this Addendum and to any other addenda and riders to the Purchase Agreement, which are hereby incorporated by this reference.
2. **CLOSING COSTS.** Buyer and Seller hereby agree that Buyer shall provide Escrow Holder with sums sufficient to pay for any and all title insurance policies and any title endorsements required by Buyer's Lender, to pay for recording the Grant Deed, the County documentary transfer tax, and, if applicable, the city documentary transfer tax, costs of the credit report, tax service, loan fees, impounds as may be required by the Lender, prorations as described in the Purchase Agreement, monthly assessments for the first month after Close of Escrow, initial capital contribution (if required), and all Escrow Fees associated with this Escrow. Escrow Holder is authorized to pay any encumbrances necessary to place title in the condition called for in Paragraph 6 of the Purchase Agreement and Seller will hand Escrow Holder any funds or instruments required for such purpose.
3. **Counterparts.** This Addendum shall be validly executed when signed in counterpart; a complete set of which shall form a single document. Signatures may be given via electronic transmission and shall be deemed original and given as of the date and time of the transmission of this Addendum electronically to the other party.
4. **Conflicts.** In the event of any conflict between this Addendum and the Purchase Agreement, this Addendum shall control. In all other respects, the Purchase Agreement shall remain in full force and effect.
5. **Entire Agreement.** The Purchase Agreement, together with this Addendum and any other addenda or riders to the Purchase Agreement, contains the entire agreement between Buyer and Seller concerning the matters set forth herein. All prior discussions, negotiations and contracts, whether oral or written, are hereby superseded by these documents. No addition or modification of this Addendum or the Purchase Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized agent of Seller.

Buyer - Alpeshkumar Lilidhar Suba

Date _____

Buyer - Ilaben Alpeshkumar Suba

Date _____

Buyer -

Date _____

Buyer -

Date _____

SELLER: Lennar Homes of California, LLC

Authorized Agent of Seller -

Date _____

ADDENDUM REGARDING LENDER APPRAISAL

This **ADDENDUM REGARDING LENDER APPRAISAL** (this "**Addendum**") is executed in conjunction with and, by this reference, incorporated into the Purchase Agreement and Deposit Receipt and Escrow Instructions (the "**Purchase Agreement**") dated as of the seventh day of September, 2025, between Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba (collectively, "**Buyer**") and Seller, as defined in the Purchase Agreement, respecting Lot 91 of Building No. _____ of Tract No. 3968 in the City of Mountain House , County of San Joaquin, State of California, in the community known as Turano at Lake Shore (the "**Property**").

- 1. **Defined Terms.** All initially capitalized terms not defined herein shall have the meanings set forth in the Purchase Agreement, and all references in this Addendum to the Purchase Agreement shall be deemed to include references to this Addendum and to any other addenda and riders attached to the Purchase Agreement, which are hereby incorporated by this reference.
- 2. **Appraisal.** Seller will have no obligation to adjust the Purchase Price or otherwise compensate Buyer if Buyer is unable to procure an appraisal of the Property equal to or exceeding the Purchase Price. Buyer will not be excused from performance under the Purchase Agreement as a result of a Lender's appraisal that values the Property for less than the Purchase Price (unless otherwise provided in any FHA/VA Addendum, if applicable).
- 3. **Counterparts.** This Addendum shall be validly executed when signed in counterpart; a complete set of which shall form a single document. Signatures may be given via electronic transmission and shall be deemed original and given as of the date and time of the transmission of this Addendum electronically to the other party.
- 4. **Conflicts.** In the event of any conflict between this Addendum and the Purchase Agreement and any addenda thereto, this Addendum shall control. In all other respects, the Purchase Agreement and all addenda thereto shall remain in full force and effect.
- 5. **Entire Agreement.** The Purchase Agreement, together with this Addendum and any other addenda and riders to the Purchase Agreement, contains the entire agreement between Buyer and Seller concerning the matters set forth herein. All prior discussions, negotiations and contracts, whether oral or written, are hereby superseded by these documents. No addition or modification of this Addendum or the Purchase Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized representative of Seller.

BUYER:

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER:

Lennar Homes of California, LLC
a California limited liability company

By _____
Title: Authorized Representative
Date Signed by Seller: _____

INSULATION AND SMOKE DETECTORS ADDENDUM

THIS INSULATION AND SMOKE DETECTORS ADDENDUM (this "**Addendum**") is executed in conjunction with and, by this reference, incorporated into the Purchase Agreement and Deposit Receipt and Escrow Instructions (the "**Purchase Agreement**") dated as of the seventh day of September, 2025, between Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba (collectively, "**Buyer**") and Seller, as defined in the Purchase Agreement, respecting Lot 91 Tract No. 3968, in the City/County of Mountain House / San Joaquin, State of California, in the community known as Turano at Lake Shore (the "**Property**").

1. **Defined Terms.** All initially capitalized terms not defined herein shall have the meanings set forth in the Purchase Agreement, and all references in this Addendum to the Purchase Agreement shall be deemed to include references to this Addendum and to any other addenda and riders attached to the Purchase Agreement, which are hereby incorporated by this reference.
2. **Insulation.** Pursuant to Title 16, Chapter I, Section 460.16 of the Code of Federal Regulations, the insulation that is or will be installed in the Home is as follows and will, according to the manufacturer, yield the R-values stated:

Location	Type	Thickness	R-Value
Ceiling Area Flat	Blown	-	R-30
Exterior Walls	Batt	-	R-13 / R-19
Ceiling Area Not Accessible	Batt	-	R-30
Platform	Batt	-	R-21
Roof Area	Batt	-	R-19

If so indicated above, fiberglass (also known as glass wool) is/will be used for insulation in the Home. The U.S. Department of Health and Human Services ("**HHS**") has listed fiberglass as a substance "which may reasonably be anticipated to be a carcinogen." This listing identifies substances selected for further study because of their potential carcinogenic risk but is not an assessment by HHS that there is a causal connection between fiberglass and human cancer. The listing does not establish that fiberglass presents a risk to persons in their daily lives.

3. **Smoke Detectors.** Pursuant to California Health and Safety Code Section 13113.8(b), Seller hereby certifies that at the Close of Escrow, the Property will be in compliance with California Health and Safety Code Section 13113.8 by having operable smoke detector(s) which are approved, listed and installed in accordance with the State Fire Marshall's regulations and applicable local standards.
4. **Counterparts.** This Addendum may be executed in counterparts, a complete set of which shall form a single Addendum.
5. **Conflicts.** In the event of any conflict between this Addendum and the Agreement, this Addendum shall control. In all other respects, the Agreement shall remain in full force and effect.
6. **Entire Agreement.** The Purchase Agreement, together with this Addendum and any other addenda and riders to the Purchase Agreement, contains the entire agreement between Buyer and Seller concerning the matters set forth herein. All prior discussions, negotiations and contracts, whether oral or written, are hereby superseded by these documents. No addition or modification of this Addendum or the Purchase Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized agent of Seller.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER: Lennar Homes of California, LLC

Authorized Agent of Seller -
Date _____

INDOOR ENVIRONMENTAL QUALITY DISCLOSURE

THIS INDOOR ENVIRONMENTAL QUALITY DISCLOSURE (this "**Disclosure**") is executed in conjunction with and, by this reference, incorporated into the Purchase Agreement and Deposit Receipt and Escrow Instructions (the "**Purchase Agreement**") dated Seventh day of September, 2025, between Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba (collectively, "**Buyer**") and Seller, as defined in the Purchase Agreement, respecting Lot 91 Tract No. 3968, in the City/County of Mountain House / San Joaquin, State of California, in the community known as Turano at Lake Shore (the "**Property**").

1. **Defined Terms.** All initially capitalized terms not defined herein shall have the meanings set forth in the Purchase Agreement, and all references in this Disclosure to the Purchase Agreement shall be deemed to include references to this Disclosure and to any other disclosure and/or addenda and riders attached to the Purchase Agreement, which are hereby incorporated by this reference.

2. **Indoor Environmental Contaminates.** There are many different types of indoor environmental contaminants, including, but not limited to, pet dander, dust mites and mold. Molds and other potential contaminants have been a part of our environment for millions of years. Contaminants are everywhere, indoors and outdoors. Therefore, everyone is exposed to some contaminants on a daily basis without evident harm. Due to a number of factors, including the fact that sensitivities to various types of molds and other potential contaminants vary from person to person, there are no state or federal standards concerning acceptable levels of exposure to mold. According to the Consumer Product Safety Commission and the American Lung Association, some diseases or illness have been linked with biological pollutants in the indoor environment, including some forms of mold. However, many of these conditions also have causes unrelated to the indoor environment. Therefore, it is unknown how many potential health problems relate exclusively to poor indoor air. Buyer should determine for himself/herself whether Buyer, Buyer's family members or any other individuals who will occupy or use the home have special needs or increased risk to these conditions. Buyer should carefully monitor the conditions in the Home for mold growth and other contaminants.

When excessive moisture or water accumulates indoors, mold growth can and will occur, particularly if the moisture problem remains unaddressed. There is no practical way to eliminate all molds or mold spores in an indoor environment. The key to controlling indoor mold growth is to control moisture.

There are many ways to help control moisture in and beneath the Home. The U.S. Environmental Protection Agency, the Consumer Product Safety Commission, the American Lung Association and others recommend taking measures such as those listed below to help control moisture in and beneath the Home. The following list is not meant to be all-inclusive.

Fix leaking plumbing and any other source of unwanted water immediately.

Maintain proper indoor humidity. Equipment that conditions the air, such as air conditioners, humidifiers and ventilation systems must be operated year round.

Raise the temperature in areas where moisture condenses on surfaces and open doors between rooms to increase air circulation in the home, including doors to closets.

Have major appliances, such as furnaces, heat pumps, central air conditioners, window air conditioning units, ventilation systems and furnace attached humidifiers inspected, cleaned and serviced regularly by a qualified professional.

Clean and dry refrigerator, air conditioner and dehumidifier drip pans and filters regularly and make sure that your refrigerator and freezer doors seal properly.

Keep water away from your foundation by maintaining required slopes, drainage and keeping plantings and sprinklers the proper distance from the Home.

If you have a sump pump, inspect it regularly to ensure that it is properly operating.

If you have a crawl space or structural sub-floor, inspect the ground beneath your floor on a regular basis to make sure there is no standing or excessive water. If there is standing or excessive water, seek professional assistance to remove the water. If Buyer is are interested in finishing the basement, only do so after consulting an expert to determine the suitability of the basement for a finished area.

The following are suggestions that may assist Buyer in preventing and addressing mold growth in the Home.

- o It is important that Buyer responds promptly when Buyer see signs of moisture or mold.
 - o Do not allow moisture to stand or make contact with carpet, furniture and cellulose-based materials, such as wood, drywall or other non-tile, non-plastic or non-metal materials.
- Dry all water damaged areas and items immediately to prevent mold growth.
- o If mold develops, clean up the mold by washing off hard surfaces with detergent and water and completely dry the surface.

- o Depending upon the nature and extent of the mold infestation, trained professionals may be needed to assist in the remediation effort.

Mold that is not properly and adequately removed may reappear.

Proper maintenance and cleaning of the home is the responsibility of each homeowner and will lessen the potential for water intrusion and help to control indoor environmental contaminants. Further, it is the responsibility of each homeowner to monitor their home on a continual basis for excessive moisture, water and mold accumulation. If Buyer discovers accumulation of water or moisture in, around or under the Home, Buyer should immediately seek to control the source of the water or moisture. Failing to control the source could result in additional damage and the growth of mold. Plumbing leaks and water penetrations that are covered by the Limited Warranty during the term of the Limited Warranty must be reported to Seller immediately. If the Limited Warranty has expired or does not cover the specific problem, Buyer should not delay in having professionals address the problem. Seller will not be responsible for, and Buyer agrees to indemnify and hold harmless Indemnified Parties from and against all Claims in connection with, water-related damages, including personal injuries or property damage caused by mold, but only to extent that the damages are caused by (A) Buyer's negligence, (B) Buyer's failure to promptly take appropriate corrective measures and minimize any damages caused by the water or moisture, or (C) Buyer's failure to promptly provide Seller with notice of the water or moisture and give Seller an opportunity to dry the water or moisture and remediate, if necessary, any moisture conditions in the Home caused by improper construction.

3. **Counterparts.** This Disclosure may be executed in counterparts, a complete set of which shall form a single Disclosure.
4. **Conflicts.** In the event of any conflict between this Disclosure and the Purchase Agreement or any other addenda and/or riders, this Disclosure shall control. In all other respects, the Purchase Agreement shall remain in full force and effect.
5. **Entire Agreement.** The Purchase Agreement, together with this Disclosure and any other addenda and riders to the Purchase Agreement, contains the entire agreement between Buyer and Seller concerning the matters set forth herein. All prior discussions, negotiations and contracts, if any, whether oral or written, are hereby superseded by these documents. No addition or modification of this Disclosure or the Purchase Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized agent of Seller.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER: Lennar Homes of California, LLC

Authorized Agent of Seller -
Date_____

ADDENDUM FOR NATURAL STONE FLOORS AND COUNTERTOPS

THIS ADDENDUM FOR NATURAL STONE FLOORS AND COUNTERTOPS (this "**Addendum**") is executed in conjunction with and, by this reference, incorporated into the Purchase Agreement and Deposit Receipt and Escrow Instructions (the "**Purchase Agreement**") dated seventh day of September, 2025, between Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba (collectively, "**Buyer**") and Seller, as defined in the Purchase Agreement, respecting Lot 91 Tract No. 3968, in the City/County of Mountain House / San Joaquin, State of California, in the community known as Turano at Lake Shore (the "**Property**").

1.

Defined Terms. All initially capitalized terms not defined herein shall have the meanings set forth in the Purchase Agreement, and all references in this Addendum to the Purchase Agreement shall be deemed to include references to this Addendum and to any other addenda and riders attached to the Purchase Agreement, which are hereby incorporated by this reference.
2.

Natural Stone Flooring and Countertops. Natural stones with varying colors and mineral compositions ("**Stone**") are found in quarries throughout the world. Stone including, without limitation, marble and granite, are therefore products of nature and vary in color, markings, shade, and texture. Buyer acknowledges that Stone is not uniform and that Seller can make no guarantees regarding the color, markings, shade, and texture of the Stone to be used in the Home. Buyer further acknowledges and Seller makes the following disclosures regarding the Stone to be used/installed in Buyer's Home:

2.1

Cleaning. Care should be exercised when cleaning Stone. No chemicals should be used to clean stone other than those cleaners specifically designed to clean Stone.

2.2

Natural Inconsistencies. Stone contains natural inconsistencies which will be present in Stone flooring and/or countertops in the Home; such natural inconsistencies are normal and are not defects.

2.3

Edges and Corners. There may be changes in the patterning of Stone from one edge or corner of the flooring or countertop to another edge or corner; such changes in patterning is normal and is not a defect.

2.4

Fissures and Pits. Stone may contain fissures and pits that occur naturally and may appear as a small hole or recess; such fissures and pits are not cracks or defects.

2.5

Spots, Freckles, and Rust. Spots, freckles, and/or rust may appear in Stone from time to time, and may appear as a concentration and/or random aberration of color in a particular area of the surface of Stone; such spots, freckles, and rust are not defects.

2.6

Seams. Stone is almost never seamless due to the techniques employed to cut the slab of Stone in a way that preserves the maximum beauty of such Stone. Pieces of Stone must therefore be fitted together and the Stone used in the Home will not be seamless and may have visible seams, which are not defects.

2.7

Wallboard and Plaster. Stone is cut by machine to be straight. Irregularities occurring in the Home may mean that the installer has to force pieces of Stone into the wallboard or plaster during installation to compensate for the irregularities. Shims, caulking and putty may be used to fill imperfections in walls and floors in order to install Stone flooring and countertops. There may be such shims, caulking and/or putty in the Stone used in the Home, which shims, caulking and/or putty are used to enhance the installation and are not defects.

2.8

Staining. Stone may stain and such staining is not a defect. As a preventative measure, but not as absolute protection from staining, Stone should be sealed with the appropriate sealant, using the appropriate technique, after every six (6) months of normal use.

2.9

Sink Cabinet. The cabinet directly under the sink shall be six (6) inches larger than the sink, as a sink of larger size will preclude natural adjustment of seams and edges of Stone countertop and may result in a deterioration of the Stone countertop.

3.

Counterparts. This Addendum may be executed in counterparts, a complete set of which shall form a single Addendum.

4.

Conflicts. In the event of any conflict between this Addendum and the Purchase Agreement, this Addendum shall control. In all other respects, the Purchase Agreement shall remain in full force and effect.
- [THE REST OF THIS PAGE LEFT INTENTIONALLY BLANK]
- Buyer _____

Buyer _____

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Modification 1

5. **Entire Agreement.** The Purchase Agreement, together with this Addendum and any other addenda and riders to the Purchase Agreement, contains the entire agreement between Buyer and Seller concerning the matters set forth herein. All prior discussions, negotiations and contracts, whether oral or written, are hereby superseded by these documents. No addition or modification of this Addendum or the Purchase Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized agent of Seller.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER: Lennar Homes of California, LLC

Authorized Agent of Seller -
Date _____

ACCESSIBILITY FEATURES DISCLOSURE ADDENDUM

THIS ACCESSIBILITY FEATURES DISCLOSURE ADDENDUM (this "**Addendum**") is executed in conjunction with and, by this reference, incorporated into the Purchase and Sale Agreement and Deposit Receipt and Escrow Instructions (the "**Purchase Agreement**") dated seventh day of September, 2025, between Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba (collectively, "**Buyer**") and Seller, as defined in the Purchase Agreement, respecting Lot 91 Tract 3968, in the City/County of Mountain House / San Joaquin, State of California, in the community known as Turano at Lake Shore (the "**Property**").

1. **Defined Terms.** All initially capitalized terms not defined herein shall have the meanings set forth in the Purchase Agreement, and all references in this Addendum to the Purchase Agreement shall be deemed to include references to this Addendum and to any other addenda and riders attached to the Purchase Agreement, which are hereby incorporated herein by this reference.
2. **Accessibility Features Disclosure Law.** California Health and Safety Code Section 17959.6 requires builders of new for sale homes to provide buyers with a list of accessibility features that would make the entrance, interior routes of travel, kitchen and bathrooms accessible to disabled persons. The California Department of Housing and Community Development ("**HCD**") has published a universal checklist of accessibility features ("**Accessibility Checklist**") that may be used by builders to meet this requirement.
3. **Summary of New Home Universal Design Checklist.** Attached hereto as **Exhibit A** is a "Summary of the New Home Universal Design Checklist (AB1400)" prepared by HCD to provide further information concerning compliance with Health and Safety Code Section 17959.6.
4. **Accessibility Checklist.** Attached hereto as **Exhibit B** is Seller's completed Accessibility Checklist which indicates, which, if any, of the listed accessibility features are standard, optional, or unavailable for the Property, as well as the timing such features must be requested from Seller (if such features are available) and the approximate cost for installation of such features. Seller is not required by Health and Safety Code Section 17959.6 to offer or install any particular feature on the Accessibility Checklist. If a feature is offered by Seller on the Accessibility Checklist, Seller is only obligated to install such feature if Buyer requires installation within the applicable timeframe listed on the Accessibility Checklist and Buyer has agreed to provide payment for such feature.
5. **Acknowledgement.** By executing below, Buyer acknowledges and agrees that: (a) Buyer has read this Addendum, (b) Buyer understands the information in this Addendum or Buyer will take whatever steps are necessary including, without limitation, consulting an attorney, interpreter, engineer or any other person whose advice or assistance may be necessary to fully understand this Addendum, (c) Seller has made no other representations or warranties regarding this information, and (d) Buyer has considered the possible effect of this information in making Buyer's decision to purchase the Property.
6. **Counterparts.** This Addendum shall be validly executed when signed in counterpart; a complete set of which shall form a single document. Signatures may be given via electronic transmission and shall be deemed original and given as of the date and time of the transmission of this Addendum electronically to the other party.
7. **Conflicts.** In the event of any conflict between this Addendum and the Agreement, this Addendum shall control. In all other respects, the Agreement shall remain in full force and effect.

8. **Entire Agreement.** The Purchase Agreement, together with this Addendum and any other addenda and riders to the Purchase Agreement, contains the entire agreement between Buyer and Seller concerning the matters set forth herein. No addition or modification of this Addendum or the Purchase Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized agent of Seller.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER: Lennar Homes of California, LLC

Authorized Agent of Seller -
Date_____

Exhibit A

Summary of the New Home Universal Design Checklist (AB1400)

Assembly Bill 1400 (Chapter 648 of Statutes of 2003) adopted Section 17959.6 of the Health & Safety Code. This law requires California builders constructing new for-sale residential units to provide a "checklist" of universal accessibility features to potential purchasers of a home. The statute specifically requires:

- o That the checklist cover single-family, duplex, triplex, townhouse, condominium or other dwellings.
- o That the checklist include specified standards and features, and any other requested by the buyer at a reasonable time, if reasonably available and feasible to install or construct.
- o That the developer and buyer be permitted to agree in writing to different standards if they are clearly disclosed.
- o That each feature be indicated on the list as "standard", "limited", "optional" or "not available".
- o That the list includes at what point in the construction process the buyer must notify the developer that the buyer wishes to purchase the features.
- o That the developer is not required to provide any feature on the list.
- o That the Department can develop, certify and make available a standard form providing the checklist information, and that a developer's use of a form substantially the same as that developed and distributed by the Department is deemed to comply with the law.

The introductory section of the Checklist provides information as to the house being purchased, and clarifies, in plain English, the statutory requirements and how the form works.

Part I is a summary of which features, if any are available or offered. Part II is an explanation of the laws governing the Checklist and use of the Checklist.

Part III includes those features related to exterior adaptations, doors and openings, interior adaptations, kitchens and bathrooms or powder rooms.

Part IV includes features which apply to other parts of the house and are commonly requested or considered universal design features.

Part V provides space for details, or for any other external or internal feature that may be requested, if it is requested at a reasonable time by the buyer, is reasonably available, is reasonably feasible to install or construct, and makes the home more usable and safer for a person with any type of activity limitation or disability.

Again, this form is a standard available to those who want to use it. Its use, in substantially the same form, is deemed compliant with the statute. Any builder, however, may develop its own form as long as it complies with the requirements of the statute.

Exhibit B

Accessibility Checklist

CONNECTED HOME ADDENDUM

THIS CONNECTED HOME ADDENDUM (this "**Addendum**") is, by this reference, made part of the Purchase and Sale Agreement (the "**Agreement**") dated as of the seventh day of September, 2025, between Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba (collectively, "**Buyer**") and Seller, as defined in the Agreement, respecting Lot 91 of Block _____ of Turano at Lakeshore Subdivision/Plat in the community known as Turano at Lake Shore (the "**Community**") and applies to Units/Homes (hereinafter "**Homes**") built under Lennar's Home Automation Program.

1. **Defined Terms.** All initially capitalized terms not defined herein shall have the meanings set forth in the Agreement, and all references in this Addendum to the Agreement shall be deemed to include references to this Addendum and to any other addenda and riders attached to the Agreement, which are hereby incorporated by this reference.

2. **Seller Does Not Provide Internet Connectivity.** Buyer is responsible for engaging an outside service provider to provide internet connectivity to the Home. All such service providers are third parties operating outside of Seller's control and Seller makes no representations regarding any such providers or any services provided by or through same. All contracts and service agreements relating to internet connectivity are between the Buyer and third parties, and Seller shall have no liability or responsibility in connection with such agreements or services.

THE BUYER UNDERSTANDS AND ACKNOWLEDGES THAT THE BUYER IS SOLELY RESPONSIBLE FOR DETERMINING THEIR INTERNET BANDWIDTH REQUIREMENTS. WIRELESS EQUIPMENT PRE-INSTALLED IN THE HOME ONLY PROVIDES CONNECTIVITY INSIDE THE HOME. SELLER HAS NO CONTROL OVER, AND IS NOT RESPONSIBLE FOR, CONNECTION SPEEDS BETWEEN THE HOME AND THE INTERNET, OR THE RELIABILITY OF SUCH CONNECTIONS, OR ANY CONNECTIVITY, RELIABILITY, OR BANDWIDTH ISSUES ARISING FROM OUTSIDE THE HOME OR FROM THE BUYER'S INTERNET SERVICE PROVIDER. THE BUYER ALSO ACKNOWLEDGES THAT CERTAIN ACTIVITIES MAY REQUIRE CONNECTION SPEEDS THAT ARE GREATER THAN THAT SUPPORTED BY WIRELESS TECHNOLOGIES. IF THE BUYER REQUIRES HIGHER SPEEDS A WIRED CONNECTION MAY BE REQUIRED IN ADDITION TO ANY PRE-INSTALLED WIRELESS EQUIPMENT.

3. **Wireless and Internet Devices.**

3.1 **Devices.** Pursuant to the Agreement, Buyer shall receive certain machines, appliances, equipment, systems and wireless and/or internet devices ("**Smart Devices**") with the purchase of the Home. Seller reserves the right to, without notice, change or substitute Smart Devices, which in Seller's opinion are considered to be of quality substantially similar or equal, or are of better quality, subject to their availability.

3.2 **Device Warranties.** Smart Devices are subject only to manufacturer warranties, and Seller makes no warranties or representations regarding them. Seller shall have no liability for any manufacturer or third party warranties relating to any Smart Devices. Physical network wiring in the Home will be treated in the same manner as other wiring installed in the Home.

3.3 **Security, Privacy and Data Breach.** To the extent any Smart Devices include any security features or capabilities, the devices may be pre-configured with factory-default security settings. To the extent any such device is not configured, the Buyer is responsible for all configuration and settings. Seller makes no representations or warranties regarding the security of any Smart Devices or the effectiveness or sufficiency of any default settings, configured settings, or security features provided by such equipment, including effectiveness or sufficiency against attacks or intrusions with respect to Buyer's safety or privacy. Buyer is responsible for selecting and using strong passwords, controlling access to those passwords and the devices themselves, and for any changes to security settings, passwords or configurations after the date of the Closing.

3.4 **Buyer's Requirements, Buyer's Devices, and Third Party Devices.** Seller makes no representations that any wireless equipment or network will be sufficient to meet the Buyer's needs or requirements. As between Buyer and Seller, configuration, operation, and use of all third party internet connectivity equipment, all Buyer and third party supplied devices and equipment connected to any in-home network by or on behalf of the Buyer are subject only to manufacturers' warranties, and all related services and agreements are entirely the Buyer's responsibility and are entirely at the Buyer's own and sole risk. Seller makes no warranties or representations regarding the Smart Devices or any consequences thereof (including, without limitation, any personal injury or property damage caused by, or related in any manner to, the malfunction thereof), and Buyer shall be solely responsible for monitoring any alerts received on any application that are related to the performance of any Smart Device.

3.5 **Risk of Unauthorized Cyber Access.** Certain Smart Devices which are installed in the Home may include technology that allows such devices to be accessed through the internet or other wireless technology. A third party may gain unauthorized access to the Smart Devices and control or access them without the Buyer's knowledge or permission. Buyer is solely responsible for determining the level of security and protection suitable for all Smart Devices connected to any network in the Home, for configuring all relevant equipment to provide appropriate security, and for taking any other security measures Buyer deems necessary or appropriate. Seller makes no representation, and shall have no liability, for any data breaches, malware attacks, network intrusions, physical intrusions, privacy

intrusions, cyber-attacks, theft, or other risks related to the Smart Devices, even if such Smart Devices are installed by Seller or at Seller's direction.

3.6 Activation and Post-Activation Support. The Smart Devices and related software require, among other things, Buyer to download and use the Smart Devices' mobile applications and at least one active mobile device that is available for use. Each third party manufacturer, and not Seller, will be responsible for providing support to Buyer in connection with the applicable Smart Device. Seller makes no representations or warranties regarding the support provided by such third party manufacturer, including any monitoring. Buyer's jurisdiction may require permitting, including a permit fee, for Buyer to obtain professional monitoring of certain Smart Devices, in which case Buyer shall be responsible for obtaining such permit and paying such fee.

4. Counterparts. This Addendum shall be validly executed when signed in counterpart; a complete set of which shall form a single document. Signatures may be given via electronic transmission and shall be deemed original and given as of the date and time of the transmission of this Addendum electronically to the other party.

5. Conflicts. In the event of any conflict between this Addendum and the Agreement, this Addendum shall control. In all other respects, the Agreement shall remain in full force and effect.

6. Entire Agreement. The Agreement, together with this Addendum and any other addenda and riders to the Agreement, contains the entire agreement between Buyer and Seller concerning the matters set forth herein. No addition or modification of this Addendum or the Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized representative of Seller.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER:
Lennar Homes of California, LLC

a California limited liability company

By _____
Title: Authorized Representative
Date Signed by Seller: _____

LENNAR HOMES OF CALIFORNIA, LLC
DISCLOSURE AND BUYER ACKNOWLEDGMENT REGARDING
DROUGHT AND MANDATORY WATER CONSERVATION

The undersigned Buyer ("**Buyer**") is purchasing a home in the Turano at Lake Shore ("**Community**") built by Lennar Homes of California, LLC, a California limited liability company ("**Seller**").

The State of California has a history of severe and historic drought conditions. The State of California and many local jurisdictions and water purveyors may, from time to time, respond to the drought situation by adopting new regulations to control the amount of landscaping installed on homesites, types of landscaping installed and the design of irrigation systems used to irrigate landscaping on homesites. Future regulations could include a prohibition on using turf for new homes, requirements for the use of water efficient irrigation systems, restrictions on the frequency of watering landscaping and prohibitions on filling pools or water features, among many other potential regulations.

On April 1, 2015, November 13, 2015 and May 9, 2016, Governor Edmund G. Brown Jr. issued Executive Orders that directed the State Water Board Resources Control Board to implement mandatory water reductions in cities and towns across California to reduce potable and non-potable water usage statewide and reduce water waste, among other measures to address drought conditions. On April 7, 2017, Governor Brown lifted the drought emergency declaration, but retained prohibition on wasteful practices, and advanced measures to make conservation a way of life. California may experience drought emergencies in the future and new executive orders may be issued and/or additional water restrictions may be implemented.

Buyer's Community may be designed with various improvements and amenities that have or may be constructed by Seller that may use reasonably large amounts of potable water (e.g. pool and/or spa facilities and landscaping), and current California conservation efforts, future drought emergencies and additional water restrictions may impact the timing of construction, scale and configuration of such amenities, as well as Buyer's ability to use and enjoy these improvements and amenities within the Community. Landscaping and water usage restrictions may apply to the common areas, including landscaping corridors and open space areas, within the Community. Such restrictions could result in less or no turf used in these common areas, brown or dead turf and/or landscaping or no landscaping installed at all. Past drought conditions have caused water districts and other retail water purveyors to severely limit the water supply available for landscaping and other nonresidential usages, causing landscaping to dry up, wither or die. Due to fluctuating conditions, the amount of available potable water may be further reduced in the future, resulting in additional mandatory water usage reductions in California. The availability of potable water for improvements and/or amenities and the duration of the mandatory water reductions are outside of Seller's control. Buyer should contact the local water purveyor and local governmental agency (city or county) for Buyer's Community in order to obtain more information.

Past drought conditions have also led to restrictions on the types of landscaping material and fixtures that may be installed within a homesite. Model homesites within the Community may depict water intensive landscaping (e.g. turf) and fixtures that Seller installed in the Model homesite(s) that may not be permissible due to conservation efforts or drought conditions. Due to mandatory water reductions and any mandatory landscaping restrictions that may be imposed, Seller may not be able to install the same or similar landscaping materials (including lawns) and/or fixtures in Buyer's Homesite that are shown in the Model homesite(s).

Seller has installed the landscaping on Buyer's Homesite in compliance with the standards in effect at the time Buyer's Homesite was constructed. Because of conservation efforts and future drought conditions, there may be current and new restrictions adopted in Buyer's Community that could impact Buyer's ability to adequately irrigate Buyer's existing landscaping, to add new landscaping (including turf) and construct pools, fountains or water features. Buyer is strongly encouraged to contact Buyer's water purveyor and local governmental agency (city or county) in which Buyer's Homesite is located to inquire about the restrictions on landscaping, irrigation, fixtures and other drought related restrictions that could impact Buyer's use and enjoyment of Buyer's Homesite.

Buyer is advised that the mandatory water usage reduction (and any additional water usage reductions in the future) may deprive Buyer of the use and enjoyment of some or all of the improvements and amenities within the Community (including, but not limited to, pools and spas) for substantial periods of time. Further, any mandatory water usage reduction (and any future water usage reductions) may have a negative impact on the landscaping on Buyer's Homesite and in the common areas or other homesites within the Community. The homeowners' association may be required to significantly limit watering of landscaping within the common areas. In addition, Buyer may not be able to replace landscaping that dries up, withers or dies on Buyer's Homesite with the same or similar landscaping material originally installed by Seller, and may be required to install alternate drought friendly landscaping material on Buyer's Homesite while drought restrictions are in effect.

Seller is not obligated to restore any landscaping that may have dried out, withered or died as a result of such mandatory water usage reductions. Buyer will be responsible to replace any landscaping within Buyer's Homesite that has deteriorated. Additionally, Buyer may be subject to a special assessment(s) to fund the cost of replacement of any such dried out, withered or dead landscaping in the common areas.

Buyer has received and read a copy of this Disclosure, and understands and acknowledges that Buyer has considered the possible effect of that conservation efforts, drought conditions and mandatory water usage reduction(s) may have on Buyer's Homesite as well as other homesites and the Community as a whole before deciding whether to purchase Buyer's Homesite.

Buyer - Alpeshkumar Lilidhar Suba

Date

Buyer - Ilaben Alpeshkumar Suba

Date

Buyer -

Date

Buyer -

Date

Tract 3968, Lot/Unit No. 91

ENERGY ADDENDUM

THIS ENERGY ADDENDUM (this "**Addendum**") is executed in conjunction with and, by this reference, incorporated into the Purchase Agreement and Deposit Receipt and Escrow Instructions (the "**Purchase Agreement**") dated seventh day of September, 2025, between Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba (collectively, "**Buyer**") and Seller, as defined in the Purchase Agreement, respecting Lot No. 91 Tract No. 3968, in the City/County of Mountain House / San Joaquin, State of California, in the community known as Turano at Lake Shore (the "**Property**").

1. **Defined Terms.** All initially capitalized terms not defined herein shall have the meanings set forth in the Purchase Agreement, and all references in this Addendum to the Purchase Agreement shall be deemed to include references to this Addendum and to any other addenda and riders attached to the Purchase Agreement, which are hereby incorporated by this reference.
2. **Energy Claims.** In the marketing of the Home, certain verbal or written statements may have been made, including but not limited to statements contained in advertising and marketing material, relating to the energy efficiency, energy consumption, energy savings or energy costs of the Home. Buyer acknowledges that any such statements were estimates only, were developed by third parties based upon the design of the Home and/or various indices, and were not a material inducement to purchase the Home. Actual Home energy efficiencies or savings will vary due to, among numerous other factors, construction variances, floor plan, occupancy, appliance usage, thermostat settings, weather conditions, maintenance and orientation of the home. Seller provides no guarantee of energy efficiencies or savings that will be achieved by each homeowner.
3. **Certification Program.** In connection with the sale of the Home, Seller may have used a third party to certify that the Home was designed to certain guidelines, ratings or efficiencies ("**Certification Program**"). Seller makes no representations or warranties regarding any aspect of the Certification Program. Buyer acknowledges that the third party certification may be based upon estimates, averages or other analytical methods and not necessarily inspection or testing of the Home.
4. **HERS Index (Only Applicable to Homes with a HERS Index Rating).** If the Home has a HERS Index Rating, a third party Home Energy Rater uses an energy efficiency software package to perform an energy analysis of the home's design based on an analysis of the home's plans. This analysis yields a projected, pre-construction HERS ("**Home Energy Rating System**") Index. The HERS Index is a scoring system established by the Residential Energy Services Network ("**RESNET**") in which a home built to the specifications of the HERS Reference Home (based on the 2006 International Energy Conservation Code) scores a HERS Index of 100, while a net zero energy home scores a HERS Index of 0. The lower a home's HERS Index, the more energy efficient it is in comparison to the HERS Reference Home. Each 1-point decrease in the HERS Index corresponds to an estimated 1% increase in energy efficiency compared to the HERS Reference Home. For any home with a HERS Index rating, the Buyer understands and agrees that the rating is not to be construed as a guarantee of energy savings or consumption levels. Seller makes no representations or warranties regarding the accuracy of the HERS Index.
5. **Counterparts.** This Addendum may be executed in counterparts, a complete set of which shall form a single Addendum.
6. **Conflicts.** In the event of any conflict between this Addendum and the Purchase Agreement, this Addendum shall control. In all other respects, the Purchase Agreement shall remain in full force and effect.

7. **Entire Agreement.** The Purchase Agreement, together with this Addendum and any other addenda and riders to the Purchase Agreement, contains the entire agreement between Buyer and Seller concerning the matters set forth herein. All prior discussions, negotiations and contracts relating to investors and occupancy requirements, if any, whether oral or written, are hereby superseded by these documents. No addition or modification of this Addendum or the Purchase Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized representative of Seller.

Buyer - Alpeshkumar Lilidhar Suba

Date _____

Buyer - Ilaben Alpeshkumar Suba

Date _____

Buyer -

Date _____

Buyer -

Date _____

SELLER:
Lennar Homes of California, LLC
a a California limited liability company

By _____
Title: Authorized Representative
Date Signed by Seller: _____

PROPOSITION 65 AND FORMALDEHYDE ADDENDUM

THIS PROPOSITION 65 AND FORMALDEHYDE ADDENDUM (this "**Addendum**") is executed in conjunction with and, by this reference, incorporated into the Purchase Agreement and Deposit Receipt and Escrow Instructions (the "**Purchase Agreement**") dated as of the seventh day of September, 2025, between Alpeshkumar Lilidhar Suba, Ilaben Alpeshkumar Suba (collectively, "**Buyer**") and Seller, as defined in the Purchase Agreement, respecting Lot No. 91 of Building No. of Tract No. 3968 in the City/County of San Joaquin, State of California, in the community known as Turano at Lake Shore (the "**Property**").

1. **Defined Terms.** All initially capitalized terms not defined herein shall have the meanings set forth in the Purchase Agreement, and all references in this Addendum to the Purchase Agreement shall be deemed to include references to this Addendum and to any other addenda and riders attached to the Purchase Agreement, which are hereby incorporated by this reference.
2. **Purchase Documents.** Buyer has been or will be provided with certain documents in connection with the purchase of the Property, including, but not limited, to the Purchase Agreement and the Homebuyer Disclosure Statement and standalone disclosures for the Community (the "**Disclosures**") (collectively, "**Purchase Documents**"). Buyer and Seller, by way of this Addendum, intend to amend and supersede any notices related to Proposition 65 and Formaldehyde contained within the Purchase Documents and replace such notices with the notices provided herein.
3. **Proposition 65 Notice in Purchase Agreement.** Buyer and Seller hereby agree to that the following notice will amend, supersede and replace any and all notices related to Proposition 65 in the Purchase Agreement:

SELLER hereby notifies BUYER that the Property you are purchasing can expose you to chemicals in floor coverings, adhesives and other materials used in the construction of your Property known to the State of California to cause cancer and birth defects or other reproductive harm. BUYER has reviewed and understands the following consumer product warning regarding the Property BUYER is purchasing as required by Proposition 65:

 **WARNING:** This product can expose you to chemicals including benzene, which are known to the State of California to cause cancer and birth defects or other reproductive harm. For more information go to www.P65Warnings.ca.gov.

The "product" referred to in the above consumer product warning is contained in the Property you are purchasing.

4. **Proposition 65 and Formaldehyde Notices in Disclosures.** Buyer and Seller hereby agree to that the following notice will amend, supersede and replace any and all notices related to Proposition 65 and Formaldehyde in the Disclosures with respect to the Property:

Proposition 65:

The Safe Drinking Water and Toxic Enforcement Act of 1986, also known as "Proposition 65," requires that all businesses (including Seller) provide "clear and reasonable" methods of warning to Buyer of the potential hazards associated with exposure to certain chemicals from products and the environment. As of August 1, 2018, the State of California has listed approximately 900 chemicals known to the State of California to cause cancer, birth defects and/or other reproductive harm. Buyer hereby acknowledges that at the time Buyer executes the Purchase Agreement, Seller has posted, in a conspicuous location in the sales office:

 **WARNING:** Entering this area can expose you to chemicals known to the State of California to cause cancer and birth defects or other reproductive harm, including benzene, from construction materials. For more information go to www.P65Warnings.ca.gov.

 **NOTICE:** Some furniture products can expose you to chemicals known to the State of California to cause cancer and/or birth defects or other reproductive harm. Please check the product label for warning information. For more information go to www.P65Warnings.ca.gov.

This signage is intended to notify Buyer of the potential chemicals that Buyer may be exposed to when Buyer purchases a Home/Homesite from Seller. In addition to the foregoing, Buyer hereby acknowledges that Buyer has reviewed and understands the following consumer product warning regarding the Home/Homesite Buyer is purchasing as required by Proposition 65:

 **WARNING:** This product can expose you to chemicals including benzene, which are known to the State of California to cause cancer and birth defects or other reproductive harm. For more information go to www.P65Warnings.ca.gov.

References to "product" are intended to comply with the terms used in the Proposition 65 regulations. Since Seller is selling a Home/Homesite to Buyer, references to a "product" in this case mean the residence

which Buyer is purchasing.

Formaldehyde:

According to information provided by the California Building Industry Association ("**CBIA**"), state and federal governmental agencies have tested the indoor air of certain homes in California for the presence of formaldehyde. Formaldehyde is present in the air because it is emitted by many building materials and home products. These materials and products include carpeting, pressed wood products, insulation, plastics and glues. Most homes that were tested contained formaldehyde, which may present significant health hazards, including significant cancer risk. Formaldehyde has been shown to cause tumors in rodent tests and may be irritating to sensitive humans at levels higher than normally found in new construction. The Homesites in the Community have not been tested by the Seller for the presence of formaldehyde. Given the cost of testing, it is not feasible to test every Homesite to ascertain the level of formaldehyde present. According to information provided by the CBIA, the concentration of formaldehyde varies from Homesite to Homesite with no obvious explanation for the differences. One reason for the uncertainty about this variation is that many material suppliers and manufacturers do not provide information on the chemical ingredients they use to manufacture their products. If Buyer has questions about the presence of formaldehyde in Buyer's Homesite, Seller will, upon request, provide Buyer with a list of the known material suppliers so that Buyer may contact them directly. Neither the Seller has any specific information regarding the presence of formaldehyde in the Homesites in the Community and makes no representations regarding presence or absence of formaldehyde.

5. **Counterparts.** This Addendum shall be validly executed when signed in counterpart; a complete set of which shall form a single document. Signatures may be given via electronic transmission and shall be deemed original and given as of the date and time of the transmission of this Addendum electronically to the other party.
6. **Conflicts.** In the event of any conflict between this Addendum and the Purchase Agreement, and/or Disclosures, this Addendum shall control. In all other respects, the Purchase Agreement and/or Disclosures shall remain in full force and effect.
7. **Entire Agreement.** The Purchase Agreement, together with this Addendum and any other addenda and riders to the Purchase Agreement contain the entire agreement between Buyer and Seller concerning the matters set forth herein. All prior discussions, negotiations and contracts, whether oral or written, are hereby superseded by these documents. No addition or modification of this Addendum or the Purchase Agreement with respect to Proposition 65 and Formaldehyde shall be effective unless set forth in writing and signed by Buyer and an authorized agent of Seller.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER:
Lennar Homes of California, LLC
a California limited liability company

By _____
Title: Authorized Representative
Date Signed by Seller: _____

GENERAL PROVISIONS

1. DEPOSIT AND DISBURSEMENT OF FUNDS

Unless directed in writing to establish a separate, interest-bearing account together with all necessary taxpayer reporting information, all funds received in this escrow shall be deposited with other escrow funds in general escrow accounts in a federally insured financial institution ("depositories"). As a result of Lennar Title, Inc. ("Lennar Title") maintaining its general escrow accounts with the depositories, Lennar Title may receive certain financial benefits such as an array of bank services, accommodations, loans or other business benefits from the depositories ("collateral benefits"). All collateral benefits shall accrue to the sole benefit of Lennar Title and Lennar Title shall have no obligation to account to the parties to this escrow for the value of any such collateral benefits. Any such collateral benefits shall be deemed additional compensation earned by Lennar Title for its services as Escrow Holder.

2. FUNDS TO CLOSE

The Good Funds Law (California Insurance Code Section 12413.1) mandates that Lennar Title may not disburse funds until the funds are, in fact, available in Lennar Title's account. Lennar Title shall not be responsible for any financial consequences resulting in a delayed closing if funds received by Lennar Title are not available for immediate withdrawal.

Under Section 12413.1 of the California Insurance Code, Lennar Title may only make funds available for disbursement in accordance with the following rules:

Same day availability. Disbursement on the date of deposit is allowed only when funds are deposited to Lennar Title, Inc. by Cash or Electronic Transfer (Wire). **FRAUD WARNING:** Lennar Title will require independent confirmation for any written instructions, amendments, or revisions thereto, from Buyer or Seller relating to wires. If you receive wire instructions from v that deviate from wire information you have previously received or been given by Lennar Title, please contact your Lennar Title settlement officer immediately.

Next business day availability. If funds are deposited by cashier's checks, certified checks or teller's checks, disbursement may be on the next business day following deposit. A "teller's check" is one drawn by an insured financial institution against another insured financial institution (e.g., a savings and loan funding with a check drawn against a FDIC insured bank). An Official Check is not a Cashier's Check unless it meets the statutory requirements of a Cashier's Check. It is the parties' responsibility to determine their Bank's check procedure and whether their Bank is able to provide a proper check to afford next day availability. Failure to do so may result in delay of close of escrow.

Second business day availability. If the deposit is made by checks other than those described above, disbursement may occur on the day when funds must be made available to depositors under Federal Reserve Regulation CC. In most cases, this will be the second business day following deposit. (For further details, consult California Insurance Code Section 12413, et seq. and Regulation CC).

These are the minimum periods before funds will be made available. Lennar Title is not obligated to disburse funds at the expiration of the time periods above, and expressly reserves the right to require additional time or another form of deposit before disbursing on deposited funds. Close of escrow and final disbursement will not be made based on deposits in the form of personal checks, corporate checks, credit union checks, money market checks, travelers checks and official checks until confirmation of final clearance of the funds. If any check submitted to Lennar Title is dishonored upon presentment for payment, Lennar Title is authorized to notify all principals and/or their respective agents of such nonpayment.

LENNAR TITLE WILL NOT ACCEPT ACH TRANSFERS. Cash will be accepted only under special circumstances and upon approval by management.

3. REISSUANCE OF CHECKS

In the event any check(s) issued through the escrow or sub-escrow process are uncashed or unnegotiated ("uncashed") for a period of 120 days after Lennar Title's original issuance of such check(s), Lennar Title is authorized and instructed to cancel such check(s) and reissue to the same payee(s) at a charge of \$25.00 per check. If the original canceled check is in an amount of \$25 or less, then Lennar Title is authorized and instructed to charge and pay to itself as its fee the entire amount of the check as canceled. If any reissued check remains uncashed for a period of 120 days, Lennar Title is authorized and instructed to process the remaining funds for escheatment to the State of California, in accordance with Lennar Title's customary escheatment procedures.

4. CLOSE OF ESCROW

The phrase "close of escrow" (or "COE" or "CE") means the date on which documents are recorded, unless otherwise specified.

5. PRORATION, ADJUSTMENTS AND DEMANDS

Unless otherwise specified in writing, all prorations or adjustments are to be made as of close of escrow on the basis of a thirty (30) day month. Lennar Title is to use the information contained in the latest available real property tax statement (without regard to any reassessments or subsequent changes), rental statement(s) provided by the seller, beneficiary's statement(s), fire insurance policy(ies) delivered into escrow for the prorations provided for herein, without any obligation to verify the accuracy of such information.

6. SUPPLEMENTAL TAXES

The parties acknowledge that the property may be reassessed as a result of a change in ownership or completion of

construction. Such reassessment may result in an increase or decrease in the amount of annual property taxes based on the new property value, and also may result in supplemental taxes being assessed for the current year.

The parties instruct Lennar Title to: (1) prorate taxes between buyer and seller based on the latest available general tax bill, unless the parties provide a different basis for the proration in writing to Lennar Title; (2) pay all outstanding taxes assessed for prior years, including supplemental taxes, from seller's proceeds, unless instructed otherwise in writing; and (3) prorate supplemental taxes which affect the current year between buyer and seller. Adjustments due either party based on the actual new tax bill issued after close of escrow or a supplemental tax bill will be made by the parties outside of escrow and Lennar Title is released of any liability in connection with such adjustments.

In the event there is a "negative" supplemental tax bill that results in a decrease in the current taxes, the undersigned parties are aware that a refund in whole or in part may be issued by the county tax collector directly to the seller. Any dispute or claim between the parties as a result of such a refund shall be handled between buyer and seller directly, and without involvement of Lennar Title. If the transaction involves a short sale, the parties instruct Lennar Title to send any refund of the property taxes paid by the seller to the short sale lender/beneficiary of the first deed of trust.

The parties agree that Lennar Title is not responsible for determining the potential for any reassessment or supplemental taxes and understand that no funds will be held in escrow to address any potential increase or additional amounts owed. The undersigned release Lennar Title from any claim or liability relating to taxes resulting from a reassessment, supplemental taxes, and any refund or credit of taxes by the County Assessor to one party or the other.

7. PREPARATION AND RECORDATION OF INSTRUMENTS

Lennar Title is authorized to prepare, obtain, record and deliver the necessary documents to implement the terms and conditions of this escrow and to order the policy of title insurance to be issued at close of escrow as called for in these instructions. Recording fees may include charges for services performed by Lennar Title in addition to an estimate of payments to be made to governmental agencies.

8. CHANGE OF OWNERSHIP

Revenue and Taxation Code Section 480.3 requires that Grantee or Transferee complete a Preliminary Change of Ownership Report (PCOR) for all deeds and other documents which reflect a change in ownership of real property. If a fully completed and executed PCOR is not handed to Lennar Title for submission to the County in which the property is located, Lennar Title shall close escrow and charge the responsible party any additional fee incurred for recording the documents without the PCOR. Lennar Title shall not be responsible for the failure of Grantee or Transferee, before and/or after the close of escrow, to fully comply with the County's requirements and other requests in connection with the change in ownership of the property.

9. FIRE, FLOOD AND HAZARD INSURANCE

Except as otherwise instructed by the undersigned, Lennar Title is neither to be concerned with nor make any inquiry as to any fire, flood, hazard and other liability insurance.

10. POSSESSION AND UTILITIES ISSUES

The parties hereto shall be responsible for transferring physical possession of the subject property and exchanging non-escrow or title related documents pertaining to the property without Lennar Title's involvement or liability therefor.

The transfer of utilities, water, and garbage service, or any interruption or cancellation thereof, is to be settled between the parties directly and outside of escrow, and the parties instruct Lennar Title to close escrow without obtaining information regarding the amount of fees, whether delinquent or pending, for such service, or allocating payment between the parties hereto. The parties acknowledge that Lennar Title shall not be responsible for any payment whatsoever for these services, whether delinquent or current, assessed or not assessed as a lien against the property or included in a secured property tax roll, and hereby release and hold harmless Lennar Title and its underwriter, from any liability associated with these issues.

11. COMMUNICATIONS AND NOTICES

All written notices, communications, changes in instructions and documents intended for Lennar Title are required to be delivered by mail, personal delivery, facsimile or electronic media to the Lennar Title office handling this transaction. The parties instruct Lennar Title to rely upon such documents, including those transmitted by facsimile or electronic media, as if they were an originally executed document, and agree to provide Lennar Title with original documents if so requested. Lennar Title may withhold documents and/or funds due to the party until such originals are delivered. The parties acknowledge that documents to be recorded must contain original, notarized signatures, and that non-receipt of the original document(s) may delay the close of escrow.

The parties authorize Lennar Title to deliver any communications, notices or documents prior to close of escrow to the addresses shown below or to their real estate broker(s) or agent(s), attorney(s) and/or accountant(s) involved in this transaction upon their request. Upon close of escrow, the parties instruct Lennar Title to deliver any documents, balances and statements due the undersigned by U.S. mail to the addresses shown below, unless otherwise directed.

12. AGREEMENT TO REIMBURSE ESCROW HOLDER

Lennar Title is authorized, without the need for further approval, to debit the account of the responsible party for any fees and charges to be paid in connection with this escrow, and for any amounts that such party is obligated to pay to the holder of any lien or encumbrance to establish the title as insured by the policy of title insurance called for in these instructions. If for any reason the responsible party's account is not debited for such amounts at the time

of closing, the responsible party agrees to pay them immediately upon demand, or to reimburse any other person or entity who has paid them.

In the event that any party receives funds or is credited with funds to which said party is not entitled, said party agrees, upon Lennar Title's written demand, to return any such funds to the proper party entitled thereto or to Lennar Title for disbursement to the rightful party. If legal action is brought to compel reimbursement or the return of any such funds, said party agrees to reimburse Lennar Title for reasonable legal fees and expenses.

13. GOVERNMENTAL REPORTING, WITHHOLDING AND DISCLOSURE REQUIREMENTS

The parties are advised to seek independent advice concerning the tax consequences of this transaction, including but not limited to, their withholding, reporting, and disclosure obligations. Lennar Title does not provide tax or legal advice and the parties agree to hold Lennar Title harmless from any loss or damage that the parties may incur as a result of their failure to comply with federal and/or state tax laws.

(a) TAXPAYER IDENTIFICATION NUMBER REPORTING

Federal law requires v to report seller's social security number or tax identification number (collectively referred to as the "TIN"), forwarding address, and the gross sales price to the Internal Revenue Service ("IRS"). To comply with the USA PATRIOT Act, certain taxpayer identification information (including, but not limited to, the TIN) may be required by Lennar Title from certain persons or entities involved (directly or indirectly) in the transaction prior to closing. The parties acknowledge that escrow cannot close or documents recorded until the information is provided and certified as to its accuracy to Lennar Title. The parties agree to promptly obtain and provide such information as requested by Lennar Title, and authorize Lennar Title to make such reporting it deems necessary.

(b) TAXPAYER IDENTIFICATION DISCLOSURE

Federal and state laws require that certain forms include a party's TIN and Lennar Title is hereby authorized to release such forms to the applicable governmental authority. The parties agree to hold Lennar Title harmless against any fees, costs, or judgments incurred and/or awarded due to the release of their TIN as authorized above.

(c) FEDERAL AND STATE WITHHOLDING AND REPORTING

Certain federal reporting and withholding requirements exist for real estate transactions where the seller (transferor) is a non-resident alien, a non-domestic corporation, partnership, or limited liability company, or a domestic corporation, partnership or limited liability company controlled by non-residents, or non-resident corporations, partnerships or limited liability companies.

In accordance with Revenue & Taxation Code Section 18662, a buyer may be required to withhold an amount equal to 3 1/3% (.0333) of the sale price, or an alternative withholding calculation amount certified by the seller in the case of a disposition of California real property interest by either: (1) a seller who is an individual, trust, estate, or when the disbursement instructions authorize the proceeds to be sent to a seller's financial intermediary; or (2) a corporate or partnership seller who has no permanent place of business in California immediately after the transfer of title to the California property. The buyer may become subject to penalty for failure to withhold. The penalty is an amount equal to the greater of 10% of the amount required to be withheld or five hundred dollars (\$500). However, notwithstanding any other provision included in the California statutes referenced above, no buyer is required to withhold any amount or be subject to penalty for failure to withhold if: (1) the sale price of the California real property does not exceed one hundred thousand dollars (\$100,000); (2) the seller executes a written certificate under the penalty of perjury certifying that the seller is a corporation or a partnership with a permanent place of business in California; or (3) the seller, who is an individual, trust, estate, or a corporation without a permanent place of business in California, executes a written certificate under the penalty of perjury of any of the following: (a) the California real property being sold is the seller's or decedent's principal residence (within the meaning of Section 121 of the Internal Revenue Code (IRC)); (b) the last use of the property being sold was by the transferor as the transferor's principal residence (within the meaning of IRC Section 121); (c) the California real property is, or will be, exchanged for property of like-kind (within the meaning of IRC Section 1031) but only to the extent of the amount of gain not required to be recognized for California income tax purposes under IRC Section 1031; (d) the California real property has been compulsorily or involuntarily converted (within the meaning of IRC Section 1033) and the seller intends to acquire property similar or related in service or use so as to be eligible for nonrecognition of gain for California income tax purposes under IRC Section 1033; or (e) the California real property transaction will result in a loss or net gain not required to be recognized for California income tax purposes.

Seller is subject to penalties for knowingly filing a fraudulent certificate for the purpose of avoiding the withholding laws. FTB may grant reduced withholding and waivers from withholding on a case-by-case basis for corporations or other entities.

For additional information regarding California withholding, contact the Franchise Tax Board at (toll free) 888-792-4900), or by e-mail at urws@ftb.ca.gov or visit their website at www.ftb.ca.gov.

Failure to withhold and transmit the amount(s) required by these laws may result in penalties against buyer and/ or seller. Withholding obligations are the exclusive obligations of the parties. The parties agree that Lennar Title shall have no liability, obligation or responsibility with respect to such withholding requirements, and release Lennar Title from any liability with respect to same.

14. CANCELLATION OF ESCROW

Any principal requesting that Lennar Title cancel this escrow shall deliver, send or provide notice of such demand to Lennar Title in writing. Unless written objection to such notice of demand to cancel is delivered, sent or provided to Lennar Title within twenty (20) calendar days after the date of the demand to cancel, Lennar Title is authorized to cancel this escrow. Lennar Title, at its discretion, may nonetheless require mutual cancellation instructions. In the event this escrow is deemed cancelled, Lennar Title is authorized to return the documents to the party depositing same and may return lender's documents and/or funds upon lender's demand. If written objection to cancellation is delivered to Lennar Title, Lennar Title shall hold all funds and instruments in this escrow and take no further action until it is in receipt of mutual, non- conflicting written instructions signed by all parties or upon entry of a final order of a court of competent jurisdiction. If no action is taken in this escrow for any six (6) month period, this escrow shall be deemed cancelled and Lennar Title shall be entitled to resign as Escrow Holder without further liability or notice to the parties. In the event of cancellation of this escrow, whether at the request of any of the principals or otherwise, the fees and charges due Lennar Title, including expenditures incur by Lennar Title on behalf of and/or authorized, shall be borne equally by the parties or as may be determined by a court of competent jurisdiction.

15. CONFLICTING INSTRUCTIONS AND DISPUTES

If Lennar Title becomes aware of any conflicting demands or claims concerning this escrow, Lennar Title shall have the right to discontinue all further acts on Lennar Title's part until the conflict is resolved to Lennar Title's satisfaction (subject to the provisions pertaining to cancellation of escrow, Lennar Title's right to initiate an action in interpleader and Lennar Title's right of resignation, as set forth in these provisions). The parties agree that in the event of a dispute between the parties, Lennar Title has the absolute right, at its election, to file an action in interpleader naming the parties, and is authorized to deposit with the clerk of the court all documents and funds held in this escrow. In the event such action is filed, the parties jointly and severally agree to pay Lennar Title 's cancellation charges and costs, expenses and reasonable attorney's fees which Lennar Title is required to expend in this interpleader action. Upon the filing of the action, Lennar Title shall be fully released from all obligations to further perform any duties otherwise imposed by the terms of this escrow.

16. RIGHT OF RESIGNATION

Upon five (5) calendar days written notice delivered to the parties, Lennar Title has the right to resign as Escrow Holder: (a) if there is no action taken in this escrow for any six (6) month period and/or (b) for any reason. If such right is exercised, Lennar Title is authorized to return all funds and documents to the party who deposited them and Lennar Title shall have no further liability in this escrow.

17. ESCROW INSTRUCTIONS, COUNTERPART APPROVAL AND SEVERABILITY

Any escrow instruction, amendment or supplement to these instructions must be in writing. Collectively, these escrow instructions constitute the entire agreement between the Escrow Holder and the parties. These escrow instructions, amendments and supplements may be executed in one or more counterparts, each of which independently shall have the same effect as if it were the original, regardless of date of execution or delivery, and all of which taken together shall constitute one and the same instruction. In these instructions, whenever the context so requires, the masculine gender includes the feminine and/or neuter, and the singular includes the plural. In the event one or more of these General Provisions is held to be invalid in judicial, administrative or other proceedings, the remaining General Provisions will continue to be operative. Should there be any conflict between these General Provisions and any other agreements of which these General Provisions are a part, all the terms and conditions of these General Provisions shall control as to Lennar Title. Once the parties have performed and/or satisfied all conditions to escrow, Lennar Title is authorized to close escrow without further instruction or authorization.

18. DISCLOSURE OF CONDITIONS PRECEDENT

The parties to this escrow, by placing their initials below and their execution hereof, each acknowledge that he/she/it has fully disclosed to Lennar Title all matters that shall affect the transfer of the subject property in this escrow and conditions of title (including but not limited to real, personal, intangible, and leased property and systems, which matters may result in a lien against the subject property). Disclosure shall include, but is not limited to, water, stock, owners association or maintenance dues, contractual obligations not automatically terminated upon sale, notes, deeds of trust, encumbrances, vendors liens, easements, covenants, conditions, restrictions, rights and other matters affecting title, whether of record or not.

19. DELIVERY OF PURCHASE AGREEMENT, OTHER DOCUMENTS AND FEES

The parties to this escrow each warrant that he/she/it has timely provided and delivered to Lennar Title a full and complete copy of any purchase agreement, counter offer, amendment, addendum or supplement (collectively, "purchase documents"), and all other documents and fees required of each of them by the purchase documents. The failure to timely deliver any of the purchase documents, other documents or fees required thereunder by either party to Lennar Title may delay the close of escrow or result in a cancellation of the escrow, and in such case, the parties agree to hold harmless and indemnify Lennar Title from any loss or damage incurred thereby. If any form of purchase documents is deposited to this escrow, it is understood that such document shall be effective only as between the parties signing the purchase documents except as specifically provided therein. The terms and conditions of the purchase documents that are not specifically directed to Escrow Holder are additional matters for the information of Escrow Holder, but about which Escrow Holder need not be concerned. To the extent these General Provisions are inconsistent or conflict with any of the purchase documents, the General Provisions will control as to the duties and obligations of Escrow Holder.

20. AUTHORITY TO ACT

Prior to any disbursement of funds held by Lennar Title from this escrow, including funds deposited by a third party for the account or on behalf of either principal herein, or upon the request of Lennar Title at any time prior to the close of escrow, the parties agree to promptly hand to Escrow Holder, or in the case of third party deposit(s), to

cause the third party depositor to promptly hand over to Escrow Holder, all applicable documentation to establish, to the satisfaction of Lennar Title, their authority to act. The failure to timely provide, or to cause the third party depositor to timely provide, Lennar Title with such documentation may delay the disbursement of funds before or following the close of escrow or the close of escrow, for which the parties hereto hold harmless and indemnify Lennar Title from any loss or damage resulting therefrom. These documents may include, but shall not be limited to:

- 1) If an individual: Statement of Information
- 2) If a corporation: A corporate resolution signed by the Secretary of the corporation, authorizing the acquisition, encumbrance or sale of the subject property, and designating the authorized signatories on behalf of the corporation, together with a copy of the Articles of Incorporation and bylaws
- 3) If a trust: A copy of the trust agreement, any amendments thereto and/or Trust Certification
- 4) If a general partnership: An original Statement of Partnership, in recordable form (if not already recorded), together with a copy of the partnership agreement (Note: if partners of a partnership are individuals, each partner may be required to submit a Statement of Information)
- 5) If a limited partnership: The LP-1 form, certified by the Secretary to record (if not already recorded), together with a copy of the partnership agreement
- 6) If a joint venture: The requirements specified in 1, 2, and 3 above will be applicable as they relate to the entities that comprise the joint venture
- 7) If a limited liability company ("LLC"): the LLC-1, certified by the Secretary to record (if not already recorded), identifying an expiration date, and identifying a designee as managing member of the LLC, and a copy of the operating agreement.

THE ESCROW HOLDER IS LENNAR TITLE, INC., WHICH IS LICENSED BY THE CALIFORNIA DEPARTMENT OF INSURANCE (CALIFORNIA ID NUMBER 2918-1).

**General Provisions Revised
01/11/2021**

ALL PARTIES ACKNOWLEDGE THAT LENNAR TITLE, INC. HAS NOT GIVEN AND WILL NOT GIVE ANY LEGAL, TAX, REAL ESTATE OR INVESTMENT ADVICE IN THE ESCROW, NOR HAS IT MADE NOR WILL IT MAKE ANY INVESTIGATION, REPRESENTATIONS, OR ASSURANCES AS TO SUCH MATTERS OR AS TO COMPLIANCE OF THIS TRANSACTION WITH ANY TAX, SECURITIES, OR ANY OTHER FEDERAL OR STATE LAWS OR REGULATIONS. LENNAR TITLE, INC. RECOMMENDS THAT THE PARTIES SEEK AND OBTAIN INDEPENDENT LEGAL COUNSEL AND OTHER PROFESSIONAL ADVICE AS TO ALL SUCH MATTERS.

BUYER(S):

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER:

Lennar Homes of California, LLC

a a California limited liability company

By _____
Title: Authorized Representative
Date Signed by Seller: _____

**LUGANO AT LAKESHORE, MAGGIORE AT LAKESHORE, MEZZANO
AT LAKESHORE AND TURANO AT LAKESHORE**

HOMEBUYER DISCLOSURE STATEMENT

APRIL 2025

Welcome to Lugano at Lakeshore, Maggiore at Lakeshore, Mezzano at Lakeshore, and Turano at Lakeshore. LENNAR HOMES OF CALIFORNIA, LLC, a California limited liability company ("***Seller***"), is pleased that you ("***Buyer***") have decided to purchase a new home in the Lugano at Lakeshore, Mezzano at Lakeshore, Maggiore at Lakeshore and Turano at Lakeshore community ("***Community***"), and it is Seller's desire that Buyer be a well informed and an extremely satisfied homebuyer.

This Homebuyer Disclosure Statement ("*Disclosure*") discloses to Buyer various matters that might affect Buyer's decision to purchase a homesite in the Community. Please read it carefully. Because much of the information included in this Disclosure has been obtained from other sources (e.g., governmental and other public agencies, public records, etc.) and because the information is subject to change for reasons beyond Seller's control, Seller cannot guarantee the accuracy or completeness of any information disclosed. Further, Seller does not undertake any obligation to advise Buyer of any changes. Buyer should independently verify the information regarding any matter of concern to Buyer regarding Buyer's purchase of a homesite in the Community. Seller strongly recommends that Buyer visit the Community and drive around the surrounding general vicinity on at least several occasions on different days and at different times to become familiar with the physical and other conditions of the area to determine whether there are material factors that might affect Buyer's decision to purchase a homesite.

As part of Buyer's purchase of a homesite in the Community, Buyer will receive other documents and disclosures ("***Purchase Documents***"). This Disclosure is not intended as a substitute for Buyer's review of the Declaration (defined below), nor does it amend, modify or supersede the Declaration. If there is an inconsistency between the Declaration and this Disclosure, unless otherwise expressly provided in the Declaration, the Declaration will control. Unless defined herein, capitalized words and phrases used in this Disclosure shall have the same meanings given them in the Declaration of Covenants, Conditions and Restrictions and Reservation of Easements for Lugano, Maggiore, Mezzano and Turano at Lakeshore, and any amendments and supplements thereto ("***Declaration***"). Where the Declaration gives a capitalized word or phrase a meaning that is different than the meaning given in this Disclosure, the meaning given in the Declaration shall apply.

The Community will also be subject to the Mountain House Community Master Restrictions and any amendments and supplements thereto ("***Master Restrictions***"). The Master Restrictions are applicable to the Community and other areas. If there is an inconsistency between the Master Restrictions and this Disclosure, unless otherwise expressly provided in the Master Restrictions, the Master Restrictions will control.

INTRODUCTION TO SELLER

LENNAR HOMES OF CALIFORNIA, LLC, a California limited liability company, is the builder and seller of the Community and is referred to in the Declaration as "Declarant".

INTRODUCTION TO THE COMMUNITY

1. **Community.** The Community is a single-family residential standard subdivision known as Lugano at Lakeshore, Mezzano at Lakeshore, Maggiore at Lakeshore and Turano at Lakeshore located in the City of Mountain House ("***City***") of the County of San Joaquin ("***County***"), State of California. The City imposed numerous conditions of approval for the Community. Such conditions establish, among other things, the number of homesites that may be built and other development requirements and criteria. The Community is subject to the Declaration prepared and recorded by Seller. AG EHC II (LEN) CA 4B, L.P., a Delaware limited partnership, and AG EHC II (LEN) CA 2, L.P., a Delaware limited partnership (collectively, "***AG***") owned some or all of the homesites at the time the Declaration was recorded.

The Community will be developed over a period of years by Seller and/or one or more Neighborhood Builders. If completed as presently proposed, the Community will ultimately contain a total of five hundred three (503) residential homesites. There is no assurance that the Community will be completed as currently proposed or with the number of homesites currently proposed.

2. **Ownership.** Upon the close of escrow, Buyer will receive fee title to Buyer's Lot, which will be improved with a residence (collectively "***Homesite***"). Buyer will not own any of the mineral, oil, and gas rights under Buyer's Homesite. The right to surface entry has been waived.

3. **Review of Purchase Documents.** Buyer is responsible for carefully reading and reviewing the Purchase Documents in order to understand Buyer's specific rights and obligations as an Owner in the Community.

4. **Informative Documents.** Geology reports, soils reports, precise grading plans, irrigation plans, Final Maps, environmental documents and other information subject to review and approval by governmental agencies in connection with the Community are available for Buyer's review at the office of the appropriate governmental

agency. Buyer is encouraged to review and utilize such information and consult with the City and licensed professionals prior to making any improvements to the Homesite. Buyer will also be provided with a preliminary title report. The preliminary title report will list the recorded documents affecting the use of the Homesite in addition to the Declaration. Buyer should review the preliminary title report and the documents referenced in the preliminary title report carefully to understand the restrictions and limitations applicable to Buyer's use of the Homesite

5. **No Homeowners Association.** The Declaration that has or will be recorded over the Community did not provide for a homeowner's association to govern the Community. Accordingly, there are neither homeowner association assessments nor is there an association board of directors to enforce the restrictions contained in the Declaration. The right to enforce the provisions of the Declaration by legal proceedings is that of the Owners. Buyer should refer to the Declaration for additional information on the restrictions and limitations imposed on the Community as well as the procedures for enforcing the Declaration.

SPECIFIC PROVISIONS OF THE MASTER RESTRICTIONS

1. **Master Restrictions.** Buyer's Homesite will also be subject to and governed by the Master Restrictions. Other properties outside of the Community are also subject to the Master Restrictions and may be subject to other declarations. Different use restrictions may vary from homesites in the Community and properties outside of the Community. Buyer acknowledges that Buyer has or will be been furnished with a copy of the Master Restrictions. Buyer can also access the Master Restrictions via the following link: <https://www.mountainhouseca.gov/about-us/master-restrictions-and-cc-r>. Buyer is advised to read and review the Master Restrictions carefully before determining to purchase the Homesite. Buyer should carefully review the Master Restrictions in order to understand some of the additional limitations, restrictions and requirements applicable to the use of the Homesite Buyer is purchasing. The disclosures set forth below discuss some, but not all, of the restrictions and requirements set forth in the Master Restrictions. Buyer acknowledges that Buyer has been advised to carefully read all of the use limitations, restrictions and requirements set forth in the Master Restrictions before determining to purchase the Homesite and not to solely rely on the summaries contained herein. The City is responsible for enforcement of the Master Restrictions.

The Declaration may also address some of the restrictions contained in the Master Restrictions. Buyer must review both the Master Restrictions and the Declaration to fully understand all restrictions applicable to Buyer's Homesite. **In the event that the Master Restrictions or the Declaration is more restrictive with respect to certain issues, the more restrictive document shall control.**

2. **Landscaping.** Each Owner must maintain the landscaping and improvements on the Homesite in a neat and attractive manner. All grass, mass plantings and other plantings must be mowed, pruned, trimmed, fertilized and cut as necessary at reasonable regular intervals, all trees must be properly maintained and irrigation systems must be maintained in good operating order and properly used to irrigate landscaping. No garbage or debris is allowed to accumulate on homesites.

Although the Master Restrictions discuss landscaping obligations, including the restrictions above, Buyer is responsible for the landscaping in the enclosed yard area of the Homesite. Other properties adjacent to the Community subject to the Master Restrictions may have different landscaping obligations than homesites in the Community.

3. **Nuisances.** Activities, noises, uses and improvements which are noxious, illegal, create an unsafe condition or offensive, or which may impair the structural integrity of any improvement, are prohibited.

4. **Insects and Rodents.** Doing any act, including, leaving food and garbage exposed, which attracts ants, termites, rodents or other pests onto or into the Homesite is prohibited.

5. **Refuse.** The accumulation, placement or outdoor burning of garbage, clippings from trees, weeds, shrubs or lawns, trash, litter, debris, ashes or other refuse is prohibited. The foregoing restriction does not apply to the burning of natural materials in connection with fire control. No Owner may cause or permit any condition on such Owner's homesite which creates a fire hazard. Each Owner of a homesite must provide or have available for use suitable receptacles for the collection of refuse. Such receptacles must be enclosed and screened from public view and any common area and protected from disturbance. No refuse or refuse container may be placed in streets or public view more than twenty-four (24) hours prior to the scheduled collection time for such refuse and all refuse containers must be removed within the twenty-four (24) hour period following the collection of refuse.

6. **Accumulation on Homesites.** All weeds, rubbish, debris, manure, composting or decaying vegetation material and other unsightly objects or materials of any kind must be removed from homesites and are not allowed to accumulate or grow on any homesite. All dead vegetation, including trees, must be removed and replaced with comparable living vegetation and trees within thirty (30) days, subject to the provisions of the Master Restrictions. Refuse containers, woodpiles, storage areas or machinery or equipment related to yard care and maintenance are not prohibited provided such materials are screened from the view of adjacent streets and properties.

7. **Motorcycles; Bicycles.** The maintenance of motorcycles, trail bikes, off-road vehicles or bicycles is prohibited except within the enclosed area of the homesites where they are not visible from adjoining streets or in locations approved by the Review Entity (as defined in the Master Restrictions) in cases where the Review Entity has jurisdiction. The use of Lots for dirt biking or trail biking or for other similar recreational uses is prohibited.

8. **Water Protection.** The storm drainage system for the Community drains into adjacent waterways. For this reason, no waste materials, sewage, garbage, petroleum, antifreeze or other chemical product is permitted in the

storm drainage system or in streets or gutters that drain into the system. No disposal of petroleum, chemical products or the salts from soft water systems are permitted.

9. **Noise.** No power tool or power garden tool or speaker, horn, whistle, bell, wind chime or other similar sound facility or equipment may be operated on any homesite which produces or has produced any sound in excess of sixty-five (65) decibels measured at a point fifty (50) feet from: (i) the outside of the Unit (as defined in the Master Restrictions) within which the sound emanates; or (ii) the speaker or other similar facility or equipment from which the sound emanates. No activity may be undertaken or permitted upon a homesite, which activity causes any sound, whether intermittent, recurrent or continuous, in excess of forty-five (45) decibels measured at any point on the boundary line of the homesite. Decibel measurements must be the average of at least three (3) or at most five (5) decibel readings by a qualified technician, security guard or law enforcement officer. Such restrictions do not apply to the installation or use of alarm devices designed and used solely for security or fire warning purposes, provided such devices conform to state laws, local ordinances, the Rules (as defined in the Master Restrictions) and construction and construction work related to improvements built in accordance with the Master Restrictions.

10. **Animals.** The Master Restrictions contain restrictions regarding the keeping of animals in the Community. The Master Restrictions do not permit the keeping, raising or breeding of animals, including reptiles or birds of any kind, on any homesite except as specifically allowed by the Master Restrictions. No more than four (4) animals of any kind (other than fish or marine life) and not more than two (2) dogs and two (2) cats may be kept on any homesite. Fish and other marine life may be kept if confined in an aquarium or pond. Birds that are domestic or household pets, such as parrots and parakeets, may be kept, provided they are kept inside the Unit. The keeping of animals for commercial purposes is prohibited. No unleashed dogs are permitted off the Owner's homesite. Occupants must prevent dogs and other pets from continuously barking or making other loud noises, or defecating on other properties. Animals which: (i) are kept in violation of the Master Restrictions, (ii) violate the Master Restrictions or (iii) found vicious by nature or by temperament, must be removed by their owner and if not removed by the owner may be removed and delivered to an animal shelter, pound or animal control officer.

11. **Window Coverings.** The hanging from, affixing to, or maintaining in or on any window, any signs or aluminum or metal foil or other reflective materials is prohibited. Window coverings visible from adjoining streets must be white or off-white in color. Window coverings may be located only on the inside of windows, except for exterior shutters approved by the Review Entity. The other characteristics of curtains, drapes, shades, blinds or other coverings must conform to the Design Guidelines (as defined in the Master Restrictions).

12. **Tricycles; Play Toys; and Other Equipment.** The maintenance overnight of unattended tricycles, play toys or other equipment in front yards and areas visible from adjoining properties or streets is prohibited.

13. **Lighting.** The installation of any exterior lighting whose source is visible from neighboring properties is prohibited, except for ordinary non-directional bulbs that: (i) do not exceed total of 150 watts for the bulbs in a single fixture; and (ii) are white or yellow in color. This restriction does not prohibit holiday lighting decorations temporarily installed for a holiday season which are promptly removed following the holidays. No holiday lighting may be left installed for periods exceeding forty-five (45) days. The Master Restrictions do not prohibit street lighting in interior streets, driveways and parking areas, provided they comply with the Design Guidelines.

14. **Parking; Indefinite Parking.** The parking of a vehicle on any portion of a homesite that is not a driveway, garage or carport or as allowed by the Master Restrictions, is prohibited. The indefinite parking (continuous parking of any vehicle for a period exceeding seven (7) days) of any vehicle, including trailers, in any street, on any driveway or on any other exterior parking area except as allowed by the Master Restrictions is prohibited for any purpose except as provided in the Master Restrictions for Second Units (as defined in the Master Restrictions).

15. **Nonstandard Vehicles; Mobile Homes.** The placement or maintenance of mobile homes, motor homes, trucks, commercial vehicles, campers, boats, trailers or similar vehicles is prohibited except: (i) within enclosed garages or areas screened (as defined in the Master Restrictions) from adjoining properties and roadways; (ii) where required temporarily for the construction, repair, refinishing or maintenance of any part of the Community; (iv) for the loading of house trailers or motor homes for a period not to exceed twenty-four (24) hours; (v) light pick up trucks and vans which fit into a standard garage space which do not contain exterior racks and storage of a commercial type and which are used for personal use. Any use of a motor home or trailer for sleeping or cooking is prohibited.

16. **Vehicles.** The parking or placement of any vehicles or other mechanical equipment for the purpose of repairs or reconstruction is prohibited, except within an enclosed garage. Unsightly, inoperable or damaged vehicles are not permitted on homesites or private streets except within a garage.

17. **Garage Sales.** The use of front yards and garages for garage sales or other activities which clutter areas visible from the adjacent for more than two (2) days within any twelve (12) month period is prohibited. Exterior signs advertising garage or yard sales are prohibited.

18. **Sports Apparatus.** The erection or maintenance of basketball standards or fixed sports apparatus is prohibited, except as provided in the Master Restrictions. A single basketball standard is permitted as a free standing standard not attached to a residence and located so a ball in normal play cannot strike a neighboring residence or neighboring driveway or go into the street. A basketball standard may be allowed along the outside or inside curve of a curved driveway provided it is adjacent to the wall of the residence, including the wall of any attached garage, which is closest to the street. No basketball standard will be located on or near a sidewalk or the street and no backboard may face a street. A basketball standard must have a backboard and be maintained in good condition and repair. Any portable basketball standard must be stored out of sight of the street or neighboring homesites when except when it is being used for play. No sports equipment, or children's play structures such as "jungle gyms," swing sets, slides, wading pools, trampolines, or other such equipment is permitted in front or side yards where the equipment is

visible from the street, or in the back yards where the equipment is visible over the top of the sound wall from the adjacent street.

19. **Backyard Structures.** Except for detached garages and Second Units, no free-standing structure, including, but not limited to, tree houses or other similar structures may be erected or maintained in a back yard, for play or otherwise, which allows a person to stand on a surface more than twenty-four (24) inches above ground level within fifteen (15) feet of any boundary line. This prohibition does not apply to swing sets and other similar play equipment intended for use by children. No free-standing structure over eight (8) feet in height may be erected or maintained within fifteen (15) feet of any boundary line, and no structure may be visible from a street. The Review Entity may grant a waiver of this prohibition for such structure provided they are consistent with the Master Restrictions.

20. **Balcony and Porch Use.** Balconies and front porches may be furnished only with usual and customary outdoor chairs and tables, which must be maintained in good condition and repair. No other furniture or equipment is allowed on balconies and front porches. Balconies and front porches may not be used for storage or to keep or hold dogs.

21. **Shortwave or Other Electronic Interference.** The operation of any shortwave or any other kind of electronic device that materially interferes with radio, television or other electronic signal reception is prohibited.

22. **Architectural Standards for Homesites.** Section 4.09 of the Master Restrictions contains maintenance and architectural standards, requirements and restrictions for the homesites. Buyer should carefully review Section 4.09 of the Master Restrictions to fully understand the standards, requirements and restrictions applicable to the Homesite.

23. **Design Guidelines.** Section 4.11 of the Master Restrictions addresses Design Guidelines that may be applicable to the homesites in the Community. Buyer should carefully review Section 4.11 of the Master Restrictions to fully understand the Design Guidelines applicable to the Homesite.

24. **Powers of MHCS D.** Article 5 of the Master Restrictions describes the powers of MHCS D, including, but not limited to, the power to adopt and/or modify rules, use restrictions and architectural guidelines, enforce the Master Restrictions, impose discipline, impose fines, levy assessments, assess late charges, charge interest and/or lien properties and foreclose on such liens. Buyer should carefully review Article 5 of the Master Restrictions to fully understand the powers of MHCS D with respect to Buyer's obligations under the Master Restrictions.

25. **Architectural Controls and Design Review Committee.** Article 6 of the Master Restrictions describes the architectural controls under the Master Restrictions and the obligation to obtain approval from the Review Entity for construction, restriction, or alteration of any improvement located on the Homesite, including the installation of solar systems and the addition or placement of accessory buildings, or to alter the topography or natural existing surface drainage, or to install, plant alter or maintain any landscaping exposed to streets or open areas, or to install any utility line (wire or conduit) on or over the Homesite prior to the commencement of such work, subject to the Master Restrictions.

COMMUNITY DECLARATION

1. **Declaration.** Buyer's Homesite will be subject to the Declaration. Buyer should carefully review the Declaration in order to understand Buyer's specific rights and obligations as an Owner in the Community. The Declaration establishes limits and restrictions on the use of the Homesite Buyer is purchasing. The City, in addition to the other Owners in the Community, will have the right to enforce the provisions of the Declaration.

2. **Mandatory Alternative Dispute Resolution.** Both the Purchase Documents and the Declaration include certain provisions that require any disputes between Buyer and Seller and related parties to be resolved through mandatory alternative dispute resolution procedures including mediation and binding arbitration. By using such procedures to resolve disputes, there will be no jury trials in connection with disputes resolved under these procedures. Such provisions include mandatory dispute resolution procedures for any claim by Buyer against Seller based upon claimed defects in the design or construction of such Buyer's Homesite. Buyer should read and understand the procedures for mandatory alternative dispute resolution procedures set forth in the Purchase Documents and the Declaration.

3. **Residential Construction Litigation.** The mandatory dispute resolution provisions include the following: prior to the commencement of any legal proceeding by Buyer against Seller based upon a claim for defects in the design or construction of any homesite, or any improvements thereon, Buyer must first comply with the provisions of Article 7 of the Declaration. Such provisions state that if at any time during the applicable time period(s) identified in California Civil Code Section 895 et seq., as hereafter amended ("**Construction Claims Statute**"), as such period may be extended by any applicable tolling statute or provision, or any shorter period as provided by applicable law, Buyer believes Seller has violated any of the standards set forth in Construction Claims Statute ("**Claimed Defect**"), which Buyer feels may be the responsibility of Seller, Buyer shall promptly notify Seller's agent for notice of construction defect claims. Seller shall, in its sole discretion, be entitled to inspect the applicable property regarding the reported Claimed Defect and, within its sole discretion, shall be entitled to cure such Claimed Defect. Buyer's written notice delivered to Seller shall be a condition precedent to Buyer's right to institute any legal proceeding and to proceed to mediation or binding arbitration as set forth in Section 7.4 of the Declaration, and Buyer shall not pursue any other remedies available to it, at law or otherwise, including without limitation the filing of any legal proceeding or action, until Seller has had the reasonable opportunity to inspect and cure the Claimed Defect. Seller shall not be liable for any general, special or consequential damage, cost, diminution in value or other loss which Buyer may suffer as a result of any Claimed Defect in the property, which reasonably might have been avoided had

Buyer given the notice and opportunity to cure as described above within a reasonable time of discovering the Claimed Defect. If Buyer sells or otherwise transfers ownership of Buyer's Homesite to any other person the applicable time period(s) identified in the Construction Claims Statute, as such period may be extended by any applicable tolling statute or provision, or any shorter period as provided by applicable law, Buyer covenants and agrees to give such other person written notice of these procedures by personal delivery. Buyer's continuing obligation under this covenant shall be binding upon Buyer and Buyer's successors and assigns.

BUYER IS ADVISED THAT THE CONSTRUCTION CLAIMS STATUTE, AND THE ALTERNATIVE DISPUTE RESOLUTION PROVISIONS IN THE PURCHASE DOCUMENTS AND THE DECLARATION AFFECT BUYER'S LEGAL RIGHTS. BUYER IS ADVISED TO READ THE LAW AND SAID DOCUMENTS CAREFULLY AND TO SEEK LEGAL ADVICE IF BUYER HAS ANY QUESTIONS REGARDING BUYER'S LEGAL RIGHTS THEREUNDER.

4. **Obligation to Retain Purchase Documents.** Buyer, as a purchaser who originally purchased a homesite from Seller, will be provided copies of certain documents in conjunction with the purchase of Buyer's Homesite, including copies of the Declaration, maintenance recommendations from Seller, maintenance recommendations for manufactured products or appliances included with the Homesite, a limited warranty, claim forms, and other documentation relating to the Construction Claims Statute. Buyer is required by the Construction Claims Statute to retain these documents and provide copies of such documents to Buyer's successors in interest upon the sale or transfer of Buyer's Homesite.

5. **Buyer Maintenance Obligations and Maintenance Manual.** Buyer must maintain Buyer's Homesite in a neat, clean, safe and attractive condition at all times. All areas located within the boundaries of Buyer's Homesite are the responsibility of Buyer to maintain. Seller will provide Buyer with an Owners Maintenance Manual, which will contain important maintenance obligations and schedules for the proper maintenance of improvements in Buyer's Homesite. Failure to properly maintain interior improvements may cause premature deterioration of important features, finishes or equipment. In addition, Buyer acknowledges that certain upgraded materials selected by Buyer may have specific maintenance requirements. Failure to comply with the Owners Maintenance Manual and any additional maintenance obligations and schedules provided by Seller may reduce or defeat Seller's liability for construction defect claims under California Civil Code Section 895 et seq.

6. **Use Restrictions.** The Declaration in certain cases restricts what Buyer and the other Owners may do with their homesites and the rest of the Community. Buyer must comply with the use restrictions set forth in Article 3 of the Declaration. These restrictions include, among other things, restrictions on non-residential uses of Buyer's Homesite, maintenance of homesites, pets and animals, parking of vehicles, etc. These restrictions are intended to promote congenial living and being a good neighbor. Buyer acknowledges that Buyer has been advised to read the use restrictions set forth in the Declaration carefully before determining to purchase the Homesite. Although some of the restrictions and other provisions contained in the Declaration are summarized herein, not all restrictions contained in the Declaration are discussed in this Disclosure. This Disclosure is intended to be a starting point for Buyer's investigation, and the summaries contained in this Disclosure are not intended to be a substitute for Buyer's review of the Declaration in full.

7. **Prohibited Dwelling Structures.** No tent, shack, shed, trailer, garage, outbuilding or structure of a temporary character shall be erected, either temporarily or permanently, unless such structure qualifies as an ADU (as defined in the Declaration), and such ADU complies with all other restrictions contained in the Declaration. No type of motor vehicle, motor home, trailer, camper, or similar vehicle, operative or inoperative, may be used as a temporary or permanent residence anywhere within the Community.

8. **General Maintenance of Homesites.** As required by Section 3.3 of the Declaration, Buyer must maintain the landscaping, perimeter walls (including any soundwalls but excluding any community wall that is the responsibility of MHCSO or other governmental entity to maintain), gates and fences, trees, grass, hedges, shrubs, vines, mass plantings, bio-swale including landscaping and drain outlets between the curb and sidewalk, and slope areas on the Homesite in a neat and attractive condition, replacing any plant material which die or are otherwise destroyed with plant material of the same type approved by the City.

9. **Fences and Walls.** Buyer must maintain any fences, gates and/or walls along the perimeters of Buyer's Homesite, including the soundwall located on the Homesite if Buyer is purchasing Lot 12, 13, 24, 25, 38, 39, 52, 53, 64, 65, 74, 75, 82 or 83 of Tract No. 3968, Mountain House, Neighborhood "J", Unit No. 1 adjacent to Central Parkway, in conformance with the requirements of the City, unless otherwise indicated in the Declaration. Fencing that is visible from the street must be composed of redwood, cedar, vinyl, tubular steel or wrought iron. No rear or side yard fence may exceed six (6) feet in height, excepting the fences installed originally on the yards along the railroad, public parks and open space buffer which must be seven (7) feet tubular steel/view fencing. The cost of maintenance, repair, or replacement of the fences and/or walls shall be borne by Buyer, unless otherwise indicated in the Declaration, except that the cost of maintenance, repair, or replacement for fences and/or walls which straddle boundary lines of any homesites adjoining Buyer's Homesite will be borne equally by Buyer and the adjoining homesite Owner as required by California Civil Code Section 841.

10. **Slope Areas.** Pursuant to Section 3.4.24 of the Declaration, Buyer must maintain the structural integrity of any slopes within Buyer's Homesite, including watering and planting of the slopes in accordance with Seller's grading plan(s) on file with the City. Within slope areas, no structure, planting, hardscape or other material may be placed or permitted to remain or other activities undertaken which may damage or interfere with established slope ratios, create erosion or sliding problems, or which may change the direction of flow of drainage channels or obstruct or retard the flow of water through drainage channels. The slope areas of Buyer's Homesite and all improvements thereon must be maintained continuously by Buyer, except for those improvements for which a public authority, utility company or maintenance district is responsible. Pursuant to Section 3.4.24 of the Declaration, Seller will, for a period of two (2) years following the close of escrow of Buyer's Homesite, have the right, but not the obligation, to enter upon the Homesite and alter or maintain the slope areas. An easement of reasonable access for said purpose

was reserved to Seller in the Declaration, and Buyer, by the acceptance of a grant deed from Seller, will take title subject to such easement for said two (2) year period.

11. **Leasing.** Buyer will not be permitted to rent or lease the Homesite for transient or hotel purposes, or for a period of less than thirty (30) days or to lease less than the entire Homesite (unless the homesite contains an ADU that is permitted to be separately rented). All rental and lease agreements must be in writing and must provide that the terms of the lease are subject in all respects to the provisions of the Declaration. The lease must also state that any failure by the tenant or lessee to comply with the terms of the Declaration constitutes a default under the lease.

12. **Landscaping of Homesites and Pollution Prevention.** Buyer must, at Buyer's sole cost and expense, comply with the following: (i) maintain the temporary Best Management Practices ("**BMPs**") on Buyer's Homesite until the yard and landscaping are stabilized. BMPs include processes, measures, applications of sediment and erosions controls and good housekeeping measures to minimize the discharge of pollutants, (ii) install landscaping in Buyer's front, rear and side yards within one hundred twenty (120) days from the close of escrow of Buyer's Homesite unless such landscaping is installed by Seller, (iii) stabilization of the front, rear and side yards must be completed by Buyer within one (1) year from close of escrow of Buyer's Homesite. To achieve stabilization in non-desert areas, there must be a permanent evenly established vegetative cover over seventy (70) percent of disturbed or exposed non-paved or non-concrete surfaces. To achieve stabilization in desert areas, there must be an established vegetative cover that is seventy (70) percent of natural background vegetation, (iv) minimize (reduce or eliminate) the discharge of pet waste, dirt, soil, trash, litter, fertilizer, concrete, paint and paint washout, chlorine, gasoline, diesel fuel, oil and any other deleterious, hazardous, or toxic materials/chemicals from Buyer's Homesite and (v) no weeds, rubbish, debris, objects or materials of any kind, plants or seed infected with noxious insects or plant diseases may be placed, grown or permitted to accumulate on any portion of Buyer's Homesite which renders such portion of the Homesite unsanitary, unsightly, offensive or detrimental to any homesite in the vicinity thereof, or to the occupants of any homesite.

13. **Parking Restrictions.**

(a) Parking restrictions applicable to the Community are contained in Article 3 of the Declaration, as well as in the codes and ordinances of the City.

(b) As discussed in Section 3.4.2 of the Declaration, the parking of a vehicle on any portion of a homesite that is not a driveway, garage or carport or as allowed by the Master Declaration, is prohibited. The indefinite parking (continuous parking of any vehicle for a period exceeding seven (7) days) of any vehicle, including trailers, in any street, on any driveway or on any other exterior parking area except as allowed by the Master Declaration is prohibited for any purpose except as provided in the Master Declaration for Second Units (as defined in the Master Restrictions).

(c) As discussed in Section 3.4.3 of the Declaration, the placement or maintenance of mobile homes, motor homes, trucks, commercial vehicles, campers, boats, trailers or similar vehicles in the Community is prohibited except: (i) within enclosed garages or areas screened (as defined in the Master Declaration) from adjoining properties and roadways; (ii) where required temporarily for the construction, repair, refinishing or maintenance of any part of the Community; (iii) for the loading of house trailers or motor homes for a period not to exceed twenty-four (24) hours; (iv) light pick up trucks and vans which fit into a standard garage space which do not contain exterior racks and storage of a commercial type and which are used for personal use. Any use of a motor home or trailer for sleeping or cooking is prohibited.

(d) Each homesite includes an attached garage for not less than two (2) automobile-size motor vehicles. Garages will primarily be used for parking purposes. If the occupants of a homesite do not have an automobile, or have fewer vehicles than the number for which the garage was designed, the portion of the garage not needed for motor vehicle(s) may be used for storage of furniture and other household goods or ADU purposes. Subject to any and all applicable City ordinances, in the event that the occupant of a homesite has a number of vehicles which exceed the maximum capacity of the garage of such homesite, such excess number of vehicles may be parked in the driveway or the streets, subject to compliance with the applicable parking regulations imposed by the City.

(e) Except as otherwise provided in the Declaration, only Authorized Vehicles shall be permitted within the Community. As discussed in Section 3.4.8.1 of the Declaration, the following vehicles are "**Authorized Vehicles**": standard passenger vehicles, including automobiles, passenger vans designed to accommodate ten (10) or fewer people, and motorcycles and pickup trucks having a manufacturer's rating or payload capacity of one (1) ton or less. Authorized Vehicles may be parked in any portion of the Community intended for the parking of motorized vehicles; however, no Owner may park a vehicle in a manner which either restricts the passage of pedestrians or vehicles over garage areas, driveways, streets or sidewalks in the Community or extends beyond the limits of the space where the vehicle is parked. No automobile, boat or other motor vehicle repair is permitted within the Community except entirely within a garage, or in a side yard obscured from view behind a fence, within a homesite. Under no circumstances is vehicle repair permitted on any street or driveway within the Community, except in the event of an emergency. No inoperative automobile is permitted to remain upon the Community unless placed and maintained entirely within a garage and obscured from the view of the adjoining homesites and streets. The foregoing restriction does not prevent washing and polishing of Authorized Vehicles, together with those activities normally incident and necessary to such washing and polishing. Owners must keep their garage doors closed except when in use for ingress and egress, cleaning or maintenance of the garage area.

(f) As discussed in Section 3.4.8.2 of the Declaration, the following vehicles are "**Prohibited Vehicles**": (i) recreational vehicles (e.g., motorhomes, travel trailers, camper vans and boats), (ii) commercial-type vehicles (e.g., stakebed trucks, tank trucks, dump trucks, step vans, concrete trucks, and limousines), (iii)

buses or vans designed to accommodate more than ten (10) people, (iv) vehicles having more than two (2) axles, (v) trailers, (vi) inoperable vehicles or parts of vehicles, (vii) aircraft and (viii) any other vehicles not classified as Authorized Vehicles. Prohibited Vehicles may not be parked, stored or kept within the Community unless placed and maintained entirely within a homesite and obscured from view from the Community streets and other homesites. Prohibited Vehicles may not be parked on any street in, adjacent to or visible from the Community except for brief periods for loading, unloading, making deliveries or emergency repairs. If a vehicle qualifies as both an Authorized Vehicle and a Prohibited Vehicle, then the vehicle is presumed to be a Prohibited Vehicle. Subject to the restriction on Prohibited Vehicles, all vehicles owned or operated by or in the control of an Owner or a resident on an Owner's homesite and kept in the Community must be parked in the assigned garage of that Owner to the extent of the space available. An Owner's (or occupant's) additional Authorized Vehicles may be parked in the Owner's driveway and on streets in the Community, unless otherwise prohibited by the Declaration or the applicable laws of the City. No repair, maintenance or restoration of any vehicle may be conducted within the Community except in an enclosed garage when the garage door is closed. However, these activities may not be undertaken as a business.

FURTHER, BUYER ACKNOWLEDGES THAT IT IS BUYER'S RESPONSIBILITY TO DETERMINE WHETHER THE PARKING PROVIDED IN THE COMMUNITY IS SATISFACTORY FOR BUYER'S PURPOSES AND TO VERIFY THAT THE STANDARD HEIGHT AND DEPTH OF THE GARAGE, AND THE LENGTH OF THE DRIVEWAY, WILL PROVIDE ADEQUATE CLEARANCE FOR BUYER'S VEHICLES BEFORE BUYER EXECUTES THE PURCHASE DOCUMENTS FOR BUYER'S HOMESITE.

14. **Non-Residential Uses.** No part of the Community may be used directly or indirectly for any business, commercial, including auctions or similar events, manufacturing, mercantile, storing, vending or other such non-residential purposes, including any activity for which the provider is compensated or receives any consideration, regardless of whether the activity is engaged in full or part-time, generates or does not generate a profit, or requires or does not require a license. However, Seller and any Neighborhood Builders may use any homesite owned by Seller or the Neighborhood Builder for a model homesite(s) and display and sales office until the last homesite has closed escrow or twenty-five (25) years following the date of the sale of the first homesite, whichever first occurs. The Declaration does not preclude professional and administrative occupations, or other reasonable business activity, which have no signs, sounds, smells or other external evidence thereof, for so long as such occupations are in conformance with the provisions of the Declaration and all applicable governmental ordinances and are consistent with the residential character for the Community. The clientele of such activities may not visit or park automobiles or other vehicles in the Community.

15. **Nuisances.** No noxious or offensive activity may be carried on in any homesite or in any part of the Community or on any public street abutting or visible from the Community; nor may anything be done thereon which may be, or may become, an annoyance or nuisance to the neighborhood, or which in any way obstructs or interferes with an Owner's rights or quiet enjoyment of the Owner's homesite or which in any way increases the rate of insurance. All horns, whistles, bells or other sound devices, except security devices used exclusively to protect the security of a homesite or vehicle and its contents, are also prohibited. Noisy, unsightly, unusually painted or smoky vehicles, large power equipment and large power tools (excluding lawn mowers and other equipment used in connection with ordinary landscape maintenance), off-road motor vehicles or items which may unreasonably interfere with television or radio reception and objects which create or emit loud noises or noxious odors may not be located, used or placed in the Community or on any public street abutting or visible from the Community unless placed and maintained entirely within a homesite and obscured from view. No plants or seeds infected with noxious insects or plant diseases may be brought upon, grown or maintained in the Community.

16. **Pet Restrictions.** Buyer understands that the only pets allowed in the Community are those which are in accordance with the restrictions contained in Section 3.4.9 of the Declaration. Buyer may maintain a reasonable number of dogs, cats (but not more than a total of four (4) dogs and cats), fish, reptiles, birds or other domesticated household pets, provided they are not kept, bred or maintained for any commercial purpose, nor in unreasonable numbers or sizes. Notwithstanding the foregoing, no animals, livestock, birds or poultry may be kept within the Community which result in any annoyance or are obnoxious to residents of the Community. Buyer is liable for any unreasonable noise and for damage to person or property caused by any animals brought or kept within the Community by Buyer or Buyer's tenants, family and guests. If Buyer keeps pets in the Community, Buyer must leash and maintain all pets under control of Buyer and be accountable to the other Owners for the acts of such pets, and should Buyer be unable to control barking or other unreasonable noise or acts of Buyer's pets which disturb Buyer's neighbors, Buyer will be required to remove such pet from the Community. Buyer must clean up and remove any animal waste any of Buyer's pets may deposit on the property of another Owner.

17. **Window Coverings.** Windows may only be covered by drapes, shades, curtains, blinds or shutters. Buyer is not permitted to install window coverings made of tin or aluminum foil, newspapers, or other window coverings which esthetically detract from the Community. Window tinting must be non-reflective in nature and may not adversely affect the aesthetics of the exterior of the Homesite. Plain white sheets are acceptable as temporary window coverings for a period of time not to exceed one hundred eighty (180) days from the close of escrow of Buyer's Homesite.

18. **Accessory and Other Structures.** Buyer is responsible for obtaining all necessary permits and approvals from the City for the construction, installation, alteration or removal of building structures, walls, fences, patio covers and other structures and improvements on such Owner's homesite. The City has enacted certain codes and regulations regarding the construction of a structure detached from a principal residence and not designated for human habitation or a structure attached to a principal residence via a breezeway ("**Accessory Structures**"). Accessory structures may include, but are not limited to, shade structures, garden trellises, arbors, pergolas, storage sheds, gazebos, pool houses, or decks which are detached from the principal residence. Accessory structures do not

include ADUs, secondary living units, carports that are attached to the principal residence and additions to the principal residence. Buyer is required to obtain permit(s) (as required by code) from the City to erect Accessory Structures on the Homesite. Accessory Structures may be placed in the rear yard of the Homesite and must comply with all City setback standards, building standards, code requirements, Master Plan standards, zoning standards, and other guidelines, as amended by the City from time to time. Failure to comply with City permitting requirements may result in fines being imposed by the City and/or City mandated remedial work, including, but not limited to, the removal of Accessory Structures, as determined appropriate by the City. Owners are advised to contact the City for the most current requirements regarding accessory structures.

19. **Water Supply, Sewage Disposal, Water Softener System and Wells.** No individual water supply, sewage disposal or water softener system is permitted in Buyer's Homesite unless such system is designed, located, constructed and equipped in accordance with the requirements, standards, and recommendations of any water district having jurisdiction and all other governmental authorities with jurisdiction. No private wells are permitted to be installed within the Community for purposes of exporting water off of the homesite where such well is located.

20. **Air Conditioning Units.** Buyer is not permitted to install any "window style" air conditioning unit in any structure within the Community, nor is Buyer permitted to install any air conditioning unit upon the roof of any structure in the Community. Air conditioning compressors are required to be located at ground level alongside or behind the structure being serviced by such unit, in compliance with all applicable City regulations, and concealed for sound attenuation purposes and in order to obscure such unit from the view from streets.

21. **Repainting of Residences.** Repainting of building structures, including trim, is limited to repainting with the same color palette as originally used for the residence in the original construction until after the sale of the last homesite in the Community. After the end of the sales period, Owners may repaint their residence using a substantially similar color palette as was originally used for any other residence in the Community with similar style, elevation and roof color; provided, however, that it shall not be substantially the same color palette as the immediately adjacent residences on each side and across the street.

22. **Trash, Storage, Clotheslines, Etc.** All trash receptacles and containers for recyclable materials must be stored behind fences and walls, or in the garage, and are not permitted to be visible from the streets. Such containers may be set out at curbside for a reasonable period of time on the day before or the day of collection, not to exceed twenty-four (24) hours before the day of collection and twenty-four (24) hours after the scheduled collection hours. No major appliances, including without limitation clothes washers, clothes dryers, refrigerators or freezers may be kept, stored or operated on any balcony, patio, porch or other exterior area of any homesite, structure or improvement. Additionally, except for in the backyard of a homesite, no exterior clotheslines or other outside clothes drying or airing facility may be erected or maintained on the balcony, railing, awning or other structure or building, or in any location where the same would be visible from any street or neighboring homesite.

23. **Mailboxes.** Mailboxes installed as part of the original construction of a homesite must be maintained in good condition, and replaced as necessary by the Owner(s) of the homesites served by the mailbox, and may not be altered in design or color. Each Owner is responsible for replacing the lock and keys of the Owner's assigned mailbox.

24. **All Electric Community.** The Community is an "all-electric" Community. There is no gas utility service to the homesites and Seller has installed all electric appliances in each homesite. No natural gas or propane appliances are permitted within the Community. All the homesites in the Community are electric only and have no access to gas utility lines.

25. **Disclosure Regarding Right to Farm.** The City required the following disclosure be included in the Declaration:

"All persons purchasing parcels within the boundaries of this approved map should be prepared to accept the inconveniences or discomforts associated with agricultural operations or activities, such as noise, odors, insects, dust or fumes. San Joaquin County has determined that such inconveniences or discomforts shall not be considered to be a nuisance."

26. **Owner Maintenance.** Buyer has the responsibility and duty to maintain in a first-class condition the appearance and integrity of the Homesite, including, but not limited to, any walls that are not the responsibility of the MHCSO or other governmental entity to maintain, fencing and gates, all landscaping and slope areas. All structures and improvements within the Community must at all times be maintained by their respective Owners in a clean, first-class and properly painted condition.

27. **No Interference and Access for Drainage and Slopes on Homesites.** Each Owner of a homesite must permit free access by Owners of adjacent or adjoining homesites, their agents and employees, to all slope areas or drainage ways located on the Owner's homesite which affect said adjacent or adjoining homesites, which access is essential for the maintenance or permanent stabilization of said slopes, or maintenance of the drainage facilities for homesites other than the homesite on which the slope or drainage way is located. Each Owner of a homesite are not permitted in any way, or at any time, to interfere with the established drainage patterns (as defined in the Declaration) or create erosion or sliding problems over said Owner's homesite from adjoining or other homesites, and adequate provisions must be made for proper drainage in the event it is necessary to change the established drainage over such Owner's Homesite.

28. **Local Jurisdiction.** The local governmental entity with primary jurisdiction over the Community is the City. Pursuant to Section 8.1 of the Declaration, the Owners in the Community must, at all times, abide by all City ordinances, statutes and resolutions as well as the laws of the State of California. The City of Mountain House Development Department is responsible for enforcement of the Declaration and the Master Declaration.

The City and MHCS D, in addition to the other Owners in the Community, have the right to enforce the provisions of the Declaration.

29. **Setbacks**. No building may be located on any homesite nearer than the minimum standard established by the City for front, side and rear setbacks unless shown otherwise on the recorded final maps for the Community ("***Final Maps***") or approved as a variance by the City. On all homesites adjacent to block walls, setbacks are measured from Accessory Structures.

30. **Mountain House Single Family Design Manual**. The Community is also subject to the Mountain House Single Family Design Manual and any revisions, supplements or additions thereto ("***Design Manual***") and Buyer must adhere to, and is responsible for complying with, the requirements contained in the Design Manual with respect to maintaining, repairing, replacing and altering the Homesite. The Design Manual, for example, includes situations where vines are required to be included on fencing, and that any path installation to the side yard gate visible to adjacent to public areas must be lampblack colored poured concrete, lampblack colored pavers or decomposed granite in a similar color palate. The City will update the Design Manual from time to time. Buyer should review the latest version of the Design Manual from time to time and prior to Buyer performing maintenance, repair, replacement or alteration of the Homesite. Buyer can access the Design Manual via the City's website and/or via the following link: <https://www.mountainhouseca.gov/home/showpublisheddocument/3007/638550242783470000>. The City and MHCS D are responsible for enforcement of the Design Manual requirements.

31. **Easements**. Easements exist affecting the Homesite and the surrounding property for various purposes, including sewers, public utilities, ingress, egress and maintenance of slopes, drainage or other specific purposes. The easements are shown on the Final Maps and/or by separate recorded instruments. For additional information concerning easements, Buyer should refer to the Community's and Buyer's preliminary title report, the Declaration, the Final Maps and Buyer's grant deed.

32. **Public Utility Easements**. Non-exclusive easements for public utilities including but not limited, construction, reconstruction, operation, access, maintenance and inspection of applicable structures and appurtenance thereto, including, but not limited to, electrical, telecommunication and cable facilities and other incidental purposes as deemed necessary by the City, over, across, through and under those certain six foot (6') and twelve foot (12') wide portion of the homesites as shown on the Final Maps as "public utilities easement" ("***PUE***") together with the perpetual right of ingress to and egress from said homesites, for the purpose of exercising and performing all of such rights and privileges has been granted on the Final Maps.

33. **Wall Maintenance Easements**. Non-exclusive easements for purposes of construction, reconstruction maintenance and access to and inspection of a community wall, together with any and all appurtenances pertaining thereto on, over, under and across those strips of land five foot (5') in width, lying contiguous to the side yard and/or rear yard boundaries of certain homesites, as shown on the Final Maps has been granted on the Final Maps Mountain House Community Services District ("***MHCS D***") or other governmental entity that has the responsibility for maintenance. MHCS D or other governmental agency is responsible for maintenance of the community wall on such homesites. There are soundwalls located on Lots 12, 13, 24, 25, 38, 39, 52, 53, 64, 65, 74, 75, 82 and 83 of Tract No. 3968, Mountain House, Neighborhood "J", Unit No. 1 adjacent to Central Parkway that look similar in appearance to the community walls being maintained by MHCS D or other governmental agency. However, if the Homesite Buyer is purchasing is Lot 12, 13, 24, 25, 38, 39, 52, 53, 64, 65, 74, 75, 82 or 83 of Tract No. 3968, Mountain House, Neighborhood "J", Unit No. 1, Buyer, and not MHCS D, is responsible for maintenance, repair and replacement of the soundwall on the Homesite.

34. **Drainage Easements**. Each Owner whose homesite is served by a yard drain for surface water runoff and/or the drainage line that crosses any adjacent homesite is granted a nonexclusive, perpetual easement in the Declaration, for the benefit of such homesite on, over, under, along, through and across such adjacent homesites for the purpose of constructing, installing, maintaining, inspecting, repairing and replacing such drainage lines, subdrain lines, access ports, and related improvements, wherever same may be located, in accordance with the provisions of the Declaration.

35. **Easements for Utilities, Sewer and Drainage Facilities**. Easements for installation and maintenance of utilities, sewer pipelines and facilities and drainage facilities over each of the homesites, and all pipelines and other facilities located and to be located in said easements, have been reserved in the Declaration where such facilities are installed and as may be shown on the Final Maps. Within such easements, no structure, planting or other materials may be placed or permitted to remain which may damage or interfere with the installation and maintenance of utilities or which may change the direction of the flow of drainage channels, or which may obstruct or retard the flow of water through drainage channels in the easements. The easement area of each homesite and all improvements therein must be maintained continuously by the Owner of the homesite, except for those improvements for which a public authority or a utility is responsible. In addition, all sewer pipelines and other sewer facilities located or to be located within public roads, streets and highways abutting each of the homesites are reserved.

36. **Encroachment Easement**. Each Owner has been granted an easement over all adjoining homesites for the purpose of accommodating any minor encroachment, due to engineering errors, errors in original construction, settlement or shifting of the building, roof overhang, architectural or other appendages for so long as any such encroachment exists.

37. **No Interference By Owners**. Conveyance of a substantial number of the homesites is essential to the establishment and welfare of the Community as a residential community. In order that all work necessary to complete the Community and establish a substantially occupied residential community be completed as rapidly as possible, no Owner may and nothing in the Declaration may be understood or construed to prevent Seller, a Neighborhood Builder or their contractors or subcontractors from doing work on the Community or any part thereof

whenever it determines such work to be reasonably necessary or advisable in connection with the completion of the Community, or from erecting, constructing and maintaining on any part or parts of property owned or controlled by Seller, a Neighborhood Builder, their contractors or subcontractors, structures, signs, flags, displays or monuments as may be reasonably necessary for the conduct of the business of completing work and establishing the Community as a residential community and disposing of the same by sale, lease, or otherwise.

38. **General Permit, SWPPP and BMPs.**

(a) Seller is developing the Community in accordance with the requirements of the California State Water Resources Control Board's National Pollutant Discharge Elimination System (NPDES) General Permit for Stormwater Discharges Associated with Construction and Land Disturbance Activities ("**GP**") and the Community's Storm Water Pollution Prevention Plan ("**SWPPP**"). The GP and SWPPP impose requirements for the design, implementation and maintenance of BMPs to minimize the discharge of pollutants that may be mixed with stormwater and/or non-storm water discharges (i.e., irrigation or concrete/pavement wash waters) that discharge directly offsite or into a storm drain system during construction. Owners will be subject to the Declaration and certain terms and conditions of the GP and SWPPP outlined in Section 3.2 of the Declaration. All activities undertaken by Buyer or Buyer's agents, employees, sub-contractors or representatives with respect to Buyer's Homesite must comply with Section 3.2 of the Declaration.

(b) The requirements of the GP and SWPPP include, but are not limited to, minimize run-off of dirt, soil, sand, sediment, oil, gasoline or other hydrocarbons, paint, fertilizers, pool chemicals and other household chemicals offsite or into the storm drains located in the Community. For example, Buyer must maintain temporary sediment controls such as sandbags or straw wattles around the perimeter of disturbed areas (bare soil or dirt) and erosion controls (i.e. mulch, straw, or other cover) covering the disturbed/bare dirt areas until the installation of landscaping and hardscaping begins. Buyer must maintain appropriate controls during landscaping and hardscaping and the discharge of pollutants into the storm drain or offsite areas to minimize stormwater and non-stormwater run-off and the discharge of pollutants into the storm drain or offsite areas. Also, when fertilizing or landscaping, Buyer must take measures to prevent the over-watering of the landscaping to ensure that fertilizer and other lawn chemicals do not run into the storm drains or offsite areas. Buyer must implement good housekeeping measures such as managing pet wastes and the storage and proper disposal of landscaping or hardscaping materials and wastes and other construction related products during their construction. Buyer is affirmatively obligated to take immediate corrective action whenever there is a violation of the conditions outlined in Section 3.2 of the Declaration as to Buyer's Homesite. Significant fines and penalties may be imposed by regulatory agencies or as contained in the Declaration against Buyer for violation of requirements contained in the Declaration and/or any stormwater discharge regulations. For more specific information and literature on the GP and local stormwater discharge regulations, Buyer should contact Buyer's County offices.

(c) The storm drainage system for the Community drains into adjacent waterways. For this reason, no waste materials, sewage, garbage, petroleum, antifreeze, or other chemical product shall be permitted in the storm drainage system or in streets or gutters that drain into the system. No disposal of petroleum, chemical products or the salts from soft water systems is permitted within the Community.

SELLER DISCLOSURES

1. **Building Codes and Ordinances.** Every city and county has building codes and other ordinances that regulate what is permissible within its jurisdictional limits. Prior to making changes to Buyer's Homesite, Buyer should contact the City Building Division ("**Building Division**") for further information concerning local codes and ordinances that may be applicable to the Homesite. Seller is not responsible for notifying Buyer or any other homeowners of the content or restrictions contained in any local codes or ordinances of the City.

2. **Governmental Approvals.** The Community has been developed in accordance with the provisions of the laws, ordinances, regulations and Conditions of Approval of the City. Alterations to the Homesite will require building permits and adherence to specific laws, codes, ordinances and regulations, as well as the Conditions of Approval issued by the City if Buyer intends to further improve Buyer's Homesite. The specific laws, codes, ordinances and regulations, as well as the Conditions of Approval issued by the City may impact Buyer's further improvement and use of Buyer's Homesite. The architectural plans for the homesites are copyrighted and are the property of either Seller or the architect or engineer who created them. Buyer should contact the Building Division for copies of these plans, which may or may not be available. A fee and other charges may be imposed by the City for providing plans and other information to Buyer.

3. **No Liability of Seller.** Any alterations or improvements made by Buyer to Buyer's Homesite, or its slopes, contours or drainage pattern are made at Buyer's sole risk, regardless of City approval of such alterations or improvements. Seller assumes no responsibility for any damage caused by the design, construction, installation or alteration and maintenance by Buyer of any improvement on the Homesite or its slopes, contours or drainage pattern, or other improvements thereon.

4. **Licensed Consultants.** If Buyer wishes to alter or install any improvement on Buyer's Homesite, Buyer must obtain the advice of a licensed architect or civil, soil or structural engineer, as applicable, and Buyer should design and complete the alteration or installation of the improvement in accordance with such expert's advice and specifications. Licensed contractors can be confirmed by calling the Contractors State License Board ("**CSLB**") at (800) 321-CSLB or by logging on to <http://www.cslb.ca.gov>. Although obtaining advice from and hiring licensed professionals may increase the costs of constructing, altering or modifying improvements on the Homesite, failure to obtain professional advice and have licensed professionals perform the work can result in a number of negative

impacts, including, but not limited to, non-compliance with specific laws, codes, ordinances and regulations, as well as the Conditions of Approval issued by the City, and personal injury and/or property damage from improperly constructed improvements.

5. **Buyer Liability for Damage Due to Overwatering.** Overwatering is a common problem that Buyer must prevent. Depending on the soils on Buyer's Homesite, it may not be readily apparent that overwatering is occurring. Nevertheless, Buyer is solely responsible for the proper operation and maintenance of the irrigation and drainage facilities on Buyer's Homesite to prevent overwatering and water damage to the Homesite and nearby homesites. Such facilities must be operated and maintained in a careful and diligent manner to assure that overwatering does not occur, and to ensure that surface or subterranean water flow of irrigation water or storm water does not cause damage to other homesites. Buyer will be liable and responsible for any property damage caused to other homesites due to improper or negligent operation of Buyer's irrigation system or failure to properly maintain the drainage facilities on Buyer's Homesite.

6. **Drought Related Restrictions.** The State of California is prone to droughts or long periods of extremely dry weather. During the periods of drought or low rainfall, the City, the County and/or water district may limit the availability of water to the Community or implement a water rationing program, and the price of water to the Community may increase significantly. There may also be insufficient water for landscaping or other purposes and the City, the County and/or water district may even prohibit the use of water for landscaping during periods of drought or low rainfall. Due to restrictions imposed by the City, the County and/or water district, Owners may be limited in, or restricted from, watering landscaping. Seller makes no representations or warranties regarding, and has no control over, the availability of water, the cost of water or the future fate of landscaping in the Community if water service and/or availability is changed. Seller makes no representations about continued water availability within the Community. Landscaping throughout the Community may become unsightly and may not remain in the same condition as it was prior or at the time of the purchase of the homesite or as depicted in advertising materials provided by Seller. In addition, although Buyer may see model homesites with extensive plantings and landscaping, such plantings and landscaping may not represent how the front and back yards may look as drought restrictions, which may limit the watering of plants, grass and other landscaping, are imposed.

Buyer is strongly encouraged to contact Buyer's water purveyor and local governmental agency (the City, the County and/or water district) to inquire about current water pricing and rationing and any restrictions on landscaping, irrigation, fixtures and other drought related restrictions that could impact Buyer's use and enjoyment of Buyer's Homesite.

7. **Water Supply.** The Byron-Bethany Irrigation District ("**BBID**") provides water to the Community. Because Seller does not control the water supply, Seller cannot guarantee the quality and/or quantity of the water provided to the Community. Municipalities and other providers of water services in the area of the Community may enact mandatory or voluntary cutbacks or other restrictions in water usage. Seller has no control, influence, responsibility or liability for or over decisions concerning water rationing or water quality.

8. **Storm Drainage - Dry Climates.** Some homesites contain or are adjacent to drainage and utility structures such as storm water overflow swales, storm water catch basins, manholes, fire hydrants, electrical transformers, switch boxes, telephone pedestals and streetlights. None of these items are permitted to be altered, obstructed, buried, modified, restricted or interfered with in any manner whatsoever. Overflow swales are generally only utilized for overflow storm water capacity as a result of water drainage. In some cases, water may flow from one homesite to another, and these situations may be shown on the recorded Final Map for Buyer's Homesite. State law may provide that the Owner of the homesite receiving water is required to accept the water flow and may not impede the flow of this water. In addition, the Homesite will be graded to provide for reasonable drainage away from the Homesite's foundation. Most foundation problems are caused by insufficient drainage or lack of watering of soil around the foundation. Buyer should keep Buyer's lawn well-watered to maintain consistent moisture content and avoid excess wetness, dryness or cracking of soil. The construction of curbs, decks, retaining walls, pools, spas, patios, landscape edging and similar items can also trap water within the yard area and cause structural damage to the Homesite's foundation. Seller strongly recommends that Buyer consult with a licensed landscape architect and civil engineer before performing any work or making any changes that may affect the existing drainage pattern.

9. **Drainage.** Each homesite within the Community will be engineered and graded to local governmental standards to assure proper drainage of rain and irrigation water. Buyer understands that Buyer's alteration of or failure to maintain the Homesite as delivered by Seller may cause damage to the Homesite and any landscaping or hardscape, and cause damage to the interior or exterior of the Homesite, and to neighboring homesites. Buyer accepts responsibility for maintaining the integrity of the grading and drainage of the Homesite and holds Seller free and harmless from Buyer's alteration or changes to the grading or drainage. Seller recommends use of a state-licensed civil engineer or landscape architect for landscape plans and installation.

10. **Homesite Drainage.** The easement area of each homesite and all improvements therein shall be maintained continuously by the Owner of such homesite, except for those improvements for which a public authority or a utility is responsible. In addition, all sewer pipelines and other sewer facilities located or to be located within public roads, streets and highways abutting each of the homesites are reserved.

11. **Community Drainage.** Easements for surface water drainage and for installation and maintenance of utilities, sewer pipelines and facilities and drainage facilities over, under and across each of the homesites, and all pipelines and other facilities located and to be located in said easements, are reserved for the benefit of Seller and the other homesites within the Community, where such facilities are installed and as may be shown on the Final Maps. Within such easements, no structure, planting or other materials may be placed or permitted to remain which may damage or interfere with the installation and maintenance of utilities or which may change the direction of the flow of drainage channels, or which may obstruct or retard the flow of water through drainage channels in the easements.

12. **Drainage Easements and Cross Lot Drainage.** Owners of certain homesites within the Community may be subject to a drainage easement as a result of private storm water being conveyed to the public system. Buyer should consult the preliminary title report for the Homesite and the Final Maps for additional information on such easements.

13. **Underground and Overhead Utility Lines.** If Buyer has any questions about utility rates, services, safety, or anything else to do with overhead or underground transmission or utility lines, Buyer should contact the utility companies directly. Because Seller values Buyer's safety and that of Buyer's neighbors, no excavation or trenching should be done without first calling the utility companies for the location of buried utilities. There is currently no charge by the utilities for this service. This is especially important in utility easements where buried utility equipment is likely located. Digging without advance notification and approval of the utility companies may be illegal, is dangerous and can result in severe personal injury or death to Buyer and Buyer's neighbors and can also result in severe property damage to homesites, property and utility equipment.

(a) **Utility Easements.** Information concerning easements for utilities, drainage, rights of way and other purposes are shown on the preliminary title report and appropriate recorded subdivision map for Buyer's Homesite. Utility companies typically locate electrical facilities, telephone, streetlights and cable TV boxes in utility easement areas. These areas typically run parallel to streets and driveways, although individual conditions may necessitate their placement in other areas. The utility companies control the location of these facilities. Buyer should contact the utility companies for exact locations of easements affecting Buyer's Homesite.

14. **Utilities.** Utility services (i.e. television, telephone service, internet, water, gas, electricity, etc.) will be furnished through third-party providers. Seller is not affiliated with any of the utility providers that will service Buyer's Homesite. Seller has no control over the services provided or the rates offered by such utility providers. Further, Seller does not make any representation as to the timing or availability of such service providers to install, activate and/or provide such utility services. Scheduling and availability of such third-party utility providers is beyond Seller's control and could affect the timing of delivery of the Homesite to Buyer. Seller encourages Buyer to contact utility providers in advance of the close of escrow to arrange for utility installation, activation or transfer. Seller does not guarantee or make any representations as to the quality of the utility services available at Buyer's Homesite nor the reliability of any utility providers' services.

15. **Utility Connections.** Buyer understands that it is Buyer's responsibility to transfer all utilities into Buyer's name, make payment of any deposits required, and arrange for service connections upon close of escrow. Seller will disconnect utilities in Seller's name no later than ten (10) days after close of escrow of Buyer's Homesite.

16. **No Guarantee of Cellular Coverage.** Seller does not guarantee or make any representations regarding the quality of cell phone reception or cellular data services, if any, or that cellular coverage is available from any particular cellular provider for Buyer's Homesite, Community or the surrounding areas. Cellular coverage and availability is solely within the control of third-party cellular providers. Seller also does not have control over the location or quality of any cell towers providing cellular service. Also, although radiant barriers and insulation installed in Buyer's Homesite may result in energy savings, it has been reported that radiant barriers and insulation can negatively affect or even eliminate cellular reception. Buyer should check with Buyer's cellular carrier regarding the availability of services in the area in and around the Community.

17. **Relinquishment of Vehicular Access Rights.**

(a) On the Final Map for Tract No. 3968 Mountain House, Neighborhood J, Unit No. 1, vehicular access rights of Lots 3, 4, 12, 13, 24, 25, 38, 39, 52, 53, 64, 65, 74, 75, 82 and 83 to and from Central Parkway and of Lots 25 through 38, inclusive, to and from Calabria Drive have been relinquished to the MHCS.

(b) On the Final Map for Tract No. 3969 Mountain House, Neighborhood J, Unit No. 2, vehicular access rights of Lots 2, 3, 7, 8, 18, 19 and 20 to and from Central Parkway and of Lots 20, 21, 33, 34, 37, 38 and 39, to and from Parcel E of Tract No. 3968 Mountain House, Neighborhood J, Unit No. 1 have been relinquished to the City.

(c) On the Final Map for Tract No. 3970 Mountain House, Neighborhood J, Unit No. 3, vehicular access rights of Lots 3, 4, 6 through 25, inclusive, 28 and 29 to and from Parcel F of Tract No. 3968 Mountain House, Neighborhood J, Unit No. 1 have been relinquished to the City.

(d) On the Final Map for Tract No. 3971 Mountain House, Neighborhood J, Unit No. 4, vehicular access rights of Lots 6 through 36, inclusive, along Parcel G of Tract No. 3968 Mountain House, Neighborhood J, Unit No. 1 have been relinquished to the City.

(e) On the Final Map for Tract No. 3972 Mountain House, Neighborhood J, Unit No. 5, vehicular access rights of Lots 1 through 14, inclusive, to and from Great Valley Parkway and of Lots 8 and 9 to and from Adriana Drive have been relinquished to the City.

18. **City Architectural Restrictions.** Even though there is no homeowners association for the Community, and therefore no architectural committee, the City has architectural restrictions that Buyer must comply with if Buyer elects to further improve the Homesite. Buyer should reference the Design Guidelines and contact the Building Division for information on architectural restrictions applicable to the Homesite.

19. **Garage Configuration.** Differences exist in the floor plans and exterior elevations within the Community.

Homesites within the Community have garage spaces for the storage of two (2) automobile-size motor vehicles. **Buyer is advised that some of the garages for homesites in the Community may have tandem parking spaces. If Buyer's Homesite has tandem parking spaces, Buyer and the occupants of Buyer's Homesite may be required to move a vehicle parked in the garage before Buyer or Buyer's occupant(s) are able to enter or exit the garage. If Buyer's Homesite includes tandem parking, Buyer should determine whether having tandem parking will negatively impact Buyer's use and enjoyment of the Homesite.** BUYER HEREBY REPRESENTS TO SELLER THAT BUYER UNDERSTANDS AND AGREES THAT THE GARAGE CONFIGURATION OF BUYER'S HOMESITE MAY DIFFER FROM THE EXHIBIT DEPICTING BUYER'S FLOOR PLAN.

20. **Roofs.** Roof tiles are made of composition material and can be damaged if walked on. Seller will not be responsible for roof tile damage or roof leaks that are the result of individuals walking on the tiles or other abusive use. The roofing material and appearance have been selected by consultants to accompany the color of the Homesite. The color of the roof tiles can be altered as a result of exposure to sunlight. The color consistency of the roof tiles may vary due to natural variations in the raw materials used or resulting in the manufacturing process. The roofing chosen is specific for each individual homesite and cannot be changed. Selected roofing samples may be available in the Welcome Home Center.

21. **Air Conditioning.** The air conditioning system and equipment specifications installed in the model homesites may vary and operate at a higher capacity than those provided as part of Buyer's Homesite. Buyer is encouraged to speak with Seller's New Home Consultant to determine the exact equipment specifications that will be provided for Buyer's Homesite. Due to variations in the sizes and configurations of the Homesite and County requirements, the location of the air conditioning compressor may vary between the model and Buyer's Homesite and between Buyer's Homesite and other homesites in the Community. Seller has zoned the heating and cooling thermostats and air ducts for Buyer's Homesite in accordance with the recommendations of its professional consultants. In order to maintain proper efficiency, air flow and air balance, the location of the ducting, return grilles, supply air grilles and thermostats cannot be changed, and Seller will not accept any requests to alter the locations of any of the ducting, grilles or thermostats. Buyer understands that the rooms in Buyer's Homesite may experience a differential in temperature, both hot and cold, due to the location of the thermostats or duct layout. Additionally, Buyer should expect to hear some noise from the supply air grilles and condenser.

22. **Solar Energy System.** Homesites in the Community will be equipped with a solar energy system ("**System**"). Please review the Solar Energy System Addendum (or equivalent) and other solar documents provided to Buyer for further information on the System. Buyer is responsible for all utility costs for the Homesite and Buyer's utility costs may initially be higher prior to the System being activated, which may in some cases be more than six (6) months after the close of escrow. System activation is beyond Seller's control. Buyer may be required to sign an interconnection agreement and other documentation and otherwise cooperate with the utility company and the system provider to activate the System.

23. **Electrical Outlets in Garages.** The California Uniform Building Code requires that electrical outlets in garages be provided with ground fault interrupter circuits. These circuits are not intended for use with any appliances, especially refrigerators, freezers and aquariums or on any service that an interruption of electrical power would cause a problem. Seller strongly recommends that Buyer does not use garage circuits for appliances or for any service (such as freezers) that would be harmed by an interruption of electrical power. Seller cannot be held responsible for the contents of appliances which are damaged because of the ground fault interrupter switches shutting off power, nor can Seller be held responsible for damage to the appliance units themselves. Buyer should check with an electrician for further information on ground fault interrupter circuits.

24. **Front Doors.** Front doors will vary by elevation and floor plan. Standard doors included with the purchase of Buyer's Homesite will vary in style to suit different elevations. Certain door styles, such as those distressed or antiques for decorative accent, may differ in appearance from the doors installed on the model homesites. Buyer must periodically inspect and refinish the doors in Buyer's Homesite to counteract the varying effects of sunlight and exposure to the elements. Buyer may need to refinish Buyer's doors as often as every six (6) months. Buyer acknowledges that failure to inspect and perform regular maintenance will void any express or implied warranty from Seller, the manufacturer and the installing contractor.

25. **Windows.** Windows will vary by elevation and floor plan. Standard windows included with the purchase of Buyer's Homesite will vary in style to suit different elevations. Buyer must periodically maintain Buyer's windows to ensure their continued performance, including without limitation, cleaning the tracks and weeping holes and restoring the seals with caulking.

26. **Window Tinting.** The manufacturer of dual-glazed windows will not warrant the windows if tinting has been added. Tinting can cause heat gain between the glass panels that may result in failure of the window. Such failure can result in water intrusion, cracks in the glass, or in extreme cases, the dual-glazed glass unit can explode. Buyer acknowledges and agrees that neither Seller nor the manufacturer of the dual-glazed windows will be responsible for the repair or replacement of any dual-glazed window that has been tinted in any manner, nor otherwise liable for any damage to Buyer's Homesite (e.g., water intrusion, etc.) caused by the tinting of any dual-glazed window. Buyer shall be liable for any such damages caused by such tinting of any dual-glazed window.

27. **Stain Grade Material Discoloration.** Natural hardwoods used for cabinets, doors, stair systems, moldings, etc., are finished with stain and lacquer finish products which will change color over time. Color change may be the result of exposure to sunlight or weather, or simply the consequence of aging. Discoloration is not a defect.

28. **Paint Discoloration.** Certain portions of Buyer's Homesite, such as paint-grade casework, moldings and interior doors, may be painted with latex-based enamel paint. Yellowing is common with latex-based enamel paints and is not a defect.

29. **Variations in Materials.** Buyer's Homesite may include various natural materials (e.g., wood, marble and/or other stone products). Wood products vary in dimension, grain, color, moisture content, and performance when subjected to high moisture environments. Some of the natural characteristics of wood will show through the painted or stained finish. Grain patterns or texture will vary from even to irregular throughout Buyer's cabinetry. Due to exposure to the elements, exterior doors, shutters and garage doors are susceptible to expansion and contraction. This is a normal process which is unavoidable. Additionally, exposed exterior wood will experience splitting and cracking. Again, this is a natural process and Seller will not replace or repair any exposed exterior wood because of splitting or cracking. Marble, granite and other natural stone products will vary in appearance. Marble is less dense and more porous than granite. Great care must be taken to prevent damage to marble and other stone products. Buyer must follow the manufacturers' recommendations for cleaning and maintenance. Because these are natural products, they are subject to variation in color, pattern, texture, veining, spotting, holes, cloudiness and cracking. Some may vary significantly in filler and sheen. The samples, if any, in the Welcome Home Center are actual pieces of natural stone which indicate general color and character; however, no two pieces can be expected to match, even when taken from the same box. If replacement of natural material tile or carpet is required, Buyer understands and agrees that a match with existing material cannot be guaranteed. The tile, granite, grout and other natural stone products in Buyer's Homesite will not be sealed by Seller. If Buyer wishes to seal the natural stone products in Buyer's Homesite, Buyer will be able to do so after escrow closes on Buyer's Homesite. If Buyer intends to seal the natural stone products in Buyer's Homesite, Buyer should seek the advice of a professional to determine what products to use with the various natural stone products in Buyer's Homesite.

30. **Exterior Details/Stucco.** Certain exterior architectural details of Buyer's Homesite may be built with fiberglass reinforced polystyrene. Buyer should use care in placing any objects such as ladders against such architectural details since such placement may cause damage. In case of any damage to such architectural details, Buyer is advised to repair the damage immediately to avoid further deterioration of the polystyrene. Buyer's Homesite has a multi-coat stucco system. The multi-coat stucco system is not a waterproof system. Rather it is a weather-resistant system. This type of surface is subject to hairline cracking. Such cracking is inherent in all cement products that are exposed to various forms of expansion and contraction. Certain finishes tend to highlight minor imperfections such as cracking. Although measures have been taken to limit stucco cracks, they are difficult to control. Buyer is responsible for following proper construction methods when installing improvements to the Homesite. Improvements such as decks, patio covers, satellite dishes, wiring, and other mechanically fastened items that require penetration of the stucco system or any exterior surface during their installation must be properly sealed against water intrusion. Seller hereby disclaims any responsibility for hairline stucco cracks, and Buyer acknowledges that Seller will take no action to repair or patch any hairline cracks or damage caused by Buyer installed improvements.

31. **Plumbing/Light Fixtures/Hardware.** Brass, bronze and other metal finishes have their limitations. In time, the protective lacquer on metal finishes may deteriorate from exposure to weather, perspiration, cleaning agents, frequency of use and other factors. Tarnishing or excessive wear of these finishes is, therefore, not a defect, but a normal process which is unavoidable. Under the circumstances, these finishes cannot be guaranteed, and products will not be repaired or replaced under the manufacturer's warranties for tarnishing or wear of finishes unless expressly stated by the appropriate manufacturer's warranty. Homesites in the Community may include a passive purge system where a fire sprinkler connector line is located in the wall behind the toilet in the primary bathroom. The connector line may be an orange color to distinguish it from the standard water line to the toilet or it may look similar to the other standard water lines. The purpose of the passive purge system is to minimize any odors that may emanate from the fire sprinkler system. The connector line should remain undisturbed as it is high-pressure line and can cause damage if tampered with.

32. **Drywall Panels and Finishes.** Drywall panels are placed over the wall studs, joists, rafters and beams. Drywall is typically used to finish window openings. Drywall panels will not completely eliminate variations in the dimension and plane of wood framing members. Metal trim (i.e., corner bead) is used at corners, window edges, soffits and ceilings. They are designed to be filled with finish compounds. These trim metals provide a durable finish but cause the wall plane to "flare" at the metal edge. Panel joints and seams are taped and coated with finish compounds. Fasteners are coated with finish compounds to cover the small "dimple" in the surface of the drywall panel. Progressive applications of finish compounds are required to cover the joints, fasteners, and seams. In some cases, the normal finishing of these joints, fasteners, and seams will cause a subtle "bulge." When the finishing process is complete, the walls and ceilings receive a texture coat. In certain lighting conditions (up-lights placed close to the walls), irregularities and variations in the wall plane or intersection of vertical and horizontal panels may be evident. These variations are normal.

33. **Fire Sprinkler Systems.** Seller's development plan for the Community includes the installation of fire sprinkler systems in each of the homesites. The fire sprinkler systems are installed to help minimize fire damage to homesites in the Community. The sprinkler system in each homesite is heat and contact sensitive and should not be exposed to an open flame or physical contact. Buyer should not hang items on or touch or paint the fire sprinklers or fire sprinkler escutcheons installed in Buyer's Homesite. Buyer is responsible for the maintenance and repair of the fire sprinkler system in Buyer's Homesite. By acceptance of a deed, Buyer acknowledges that Seller is not responsible for any damage to Buyer's Homesite caused by the activation of the sprinkler system. Buyer should consult Buyer's New Home Consultant regarding whether Buyer's Homesite has a fire sprinkler system.

34. **Gutters.** Roof gutters and downspouts may be installed by Buyer to improve drainage provided they comply with City requirements. Roof gutters and down spouts should not be tied into an area drain system or diverted to swales that will drain into the streets. Seller shall not be liable for any damage caused by Buyer's failure to properly direct drainage from roof gutters and downspouts which has been installed by Buyer.

35. **Water Pipes.** Some homesites in the Community may feature either copper pipes or CPVC for water delivery to the fixtures. Copper pipes are generally corrosion-resistant and easy to repair. However, over time, the copper pipes may be affected by pitting corrosion leading to pinhole leaks. Pitting is generally caused by exposure to well waters with high dissolved solids including sulfates and chlorides, a pH between 7.2 and 7.8 and high carbon

dioxide content. Other homesites in the Community may feature Uponor or other similar PEX Plumbing System ("**PEX System**") for water delivery. The PEX System is made of flexible corrosion and chemical-resistant tubing designed to resist scaling and corrosion providing consistent water supply to Buyer's fixtures for the life of the PEX System. For further information on the PEX System, please see Seller's New Home Consultant. By accepting and recording a deed to a homesite in the Community, Buyer represents that Buyer understands and acknowledges that Seller has no control over the quality or characteristics of the water supplied to Buyer's Homesite. If Buyer has questions concerning the water quality in the Community, Buyer should contact the local water authority or a water treatment expert. A qualified water treatment expert can specify a treatment for aggressive water to make it non-aggressive to plumbing materials.

36. **Water Heater.** The homesites in the Community are planned to be offered with a tanked water heater. Buyer will find the manufacturer on the equipment. The tanked electric water heater may not provide enough hot water for the simultaneous use of hot water by multiple fixtures (e.g. showers, laundry, etc.). As a result, Buyer may not be able to conduct those activities at the same time. Also, like other improvements in the Homesite, Buyer will need to maintain the tanked electric water heater in accordance with the manufacturer's guidelines and recommendations (e.g. flush the water heater periodically, etc.). For manufacturer maintenance and warranty information, please visit the manufacturer's website.

For more information on what type of water heater is planned to be installed in Buyer's Homesite, Buyer should contact Seller's New Home Consultant. The type of water heater installed in Buyer's Homesite may need to change during the construction process. Buyer should confirm the type of water heater installed in the Homesite prior to close of escrow if the type of water heater installed in the Homesite is important to Buyer.

37. **Energy Conservation.** Buyer's Homesite meets the energy conservation standards that are a part of Title 24 of the California Administrative Code. Seller is required to design and install heating and cooling units that meet strict guidelines for Title 24 of the California Administrative Code. This is an energy conservation law that is designed to help reduce the overall use of energy in Buyer's Homesite. Title 24 of the California Administrative Code describes the amount of cooling capacity as well as the minimum efficiency ratings for each geographic location in the state. In complying with Title 24 of the California Administrative Code, the cooling units installed in Buyer's Homesite are designed for maximum efficiency. Due to the Title 24 geographic requirements, on extremely warm days Buyer's inside room temperature may be warmer than Buyer's thermostat selection. This is due to design restrictions imposed by Title 24, not a design or installation defect by Seller or its contractor.

38. **Water Conservation.** Each homesite in the Community is equipped with low flow fixtures and toilets and other equipment to aid in water conservation, in compliance with the City Conditions of Approval and/or the Building Code. The low flow toilets are designed for normal usage. Paper towels, bathroom tissue, or excessive toilet paper may cause stoppages.

39. **Walls/Fencing.** The type, location, height and material of the fences, awnings, ornamental screens, screen doors, sunshades or walls of any kind ("**Fencing**") will vary from homesite to homesite in the Community, and the Fencing provided for the production homesites may vary substantially from the Fencing shown at the models. Seller reserves the right to change the type of Fencing to be installed at its sole discretion. The actual as-built Fencing may vary from the Fencing shown on any depiction that may have been provided or shown to Buyer. Fencing that has been constructed on the property line between adjoining homesites (or which serves as the effective boundary between adjoining homesites) constitutes a "party wall" in conformance with applicable law and the Declaration. Modification of or increase in the height of any wall is prohibited.

The following information concerns the various types of Fencing that have been or is proposed to be installed in the Community. A Fencing exhibit ("**Fencing Exhibit**") is being provided to Buyer along with this Disclosure that depicts the Fencing planned for the Community as of the date of this Disclosure and the approximate locations where such Fencing is currently planned to be installed. The Fencing Exhibit is for informational purposes only and should not be relied upon by Buyer in making a decision to purchase a homesite in the Community. The Fencing Exhibit is being provided to give Buyer a better idea of where the Fencing in the Community is proposed to be located in relation to homesites in the Community. The actual location of Fencing and proximity to the homesite in the Community will be determined solely by Seller as field and other conditions dictate. The ultimate location of the Fencing may vary from that which has been depicted on the Fencing Exhibit. Seller reserves the right to make changes to the Fencing Exhibit at any time, without notice and without obligation or liability to Buyer. In the event that there is a conflict between the locations shown on the Fencing Exhibit and the as-built conditions, the as-built locations shall control. Buyer should consult with Seller's New Home Consultant to determine which type of Fencing, if any, will be installed on Buyer's Homesite. Seller will not be responsible for damage to Buyer's Fencing or Homesite resulting from Buyer's failure to properly maintain and/or use of such Fencing.

Buyer is responsible for the maintenance, repair and replacement of all walls, fences and gates on Buyer's Homesite (including white vinyl fencing or architectural details above the gate) at Buyer's sole cost and expense unless otherwise provided in the Declaration or the City is obligated to maintain. If the wall or fence is a "party wall", each adjacent owner is responsible for maintenance of the interior face of such wall and for any damage that occurs to the portion of the wall on such Owner's side, and both owners are responsible jointly for repair and replacement of the structure of the wall or fence in the event of destruction or need for replacement of the wall or fence.

(a) **Wood and Vinyl Fencing.** Wood and vinyl fencing or gates may be installed on the property or boundary line(s) or other locations within Buyer's Homesite. Maintenance of all wood and vinyl Fencing on Buyer's Homesite, if any, will be the responsibility of Buyer in accordance with the maintenance obligations and schedules set forth in the Owners Maintenance Manual. Failure to perform regular and proper maintenance of the wood and vinyl Fencing may result in premature aging such as fading, warping and deterioration. Seller recommends that Buyer regularly inspect wood and vinyl Fencing on the Homesite, especially areas impacted by landscaping and prone to sprinkler overspray. Wood and vinyl

Fencing installed in the coastal zone will require more frequent maintenance than fencing installed in the inland areas. The foregoing maintenance and repair guidelines are particularly important for wood and vinyl Fencing installed in the coastal zone. Seller shall have no liability or responsibility to Buyer for damage resulting from Buyer's failure to properly maintain and repair the wood and/or vinyl Fencing..

In addition, the wood and vinyl Fencing may provide less privacy to Buyer than other types of Fencing due to gaps between the rails and posts that allow portions of the Homesite to be visible to adjacent areas. The wood and vinyl Fencing may also provide less sound attenuation than other types of Fencing. Wood and vinyl Fencing also may not be sufficient to properly secure animals and children within the Homesite boundaries, may allow animals that do not belong to Buyer to access the Homesite from adjacent homesites, open space and other adjacent areas. It is solely Buyer's responsibility to determine what additional measures are necessary, if any, to properly secure animals and children within the boundaries of the Homesite and to prevent animals that do not belong to Buyer from coming on to the Homesite if Buyer's Homesite includes wood and/or vinyl Fencing. If Buyer's Homesite includes wood and/or vinyl Fencing, Buyer should consider if the impact that such Fencing has on privacy and sound attenuation may negatively impact Buyer's use and enjoyment of the Homesite.

(b) Masonry Walls. Masonry walls may be installed within the Homesite. If masonry walls are located on the Homesite, the masonry walls are to be maintained by Buyer in accordance with the Owners Maintenance Manual. These masonry walls do not constitute retaining walls. However, Buyer must not place dirt against these walls or otherwise alter the grading and drainage pattern installed by Seller in the vicinity of these walls. Seller is not responsible for damage to any masonry walls or Buyer's Homesite resulting from Buyer's failure to properly maintain any masonry walls or from any modifications made to, or in the vicinity of, a masonry wall.

(c) Tubular Steel Fencing/View Fencing. Tubular steel Fencing or gates may be installed on the property or boundary line(s) or other locations within Buyer's Homesite. Tubular steel Fencing has been installed as "View Fencing" adjacent to open space, railroad tracks, neighborhood park, walk trails and other landscaped areas in the Community. Such areas and the tubular steel Fencing on adjacent homesites are subject to view Fencing restrictions. If Buyer's Homesite includes tubular steel Fencing, maintenance of such tubular steel fencing will be the responsibility of Buyer in accordance with the maintenance obligations and schedules set forth in the Owners Maintenance Manual. Failure to perform regular and proper maintenance of the tubular steel Fencing may result in premature aging such as rust and deterioration. Seller recommends that Buyer regularly inspect the tubular steel Fencing, especially areas impacted by landscaping and prone to sprinkler overspray. Buyer should sand, spot prime and repaint any surface nicks, scratches and rust areas, and repaint all tubular steel Fencing as needed. Tubular steel Fencing installed in the coastal zone will require more frequent maintenance than fencing installed in the inland areas. The foregoing maintenance and repair guidelines are particularly important for tubular steel Fencing installed in the coastal zone. Seller will have no liability or responsibility to Buyer for damage resulting from Buyer's failure to properly maintain and repair the tubular steel Fencing.

In addition, the tubular steel Fencing may provide less privacy to Buyer than other types of Fencing due to gaps between the rails and posts that allow portions of the Homesite to be visible to adjacent areas. The tubular steel Fencing may also provide less sound attenuation than other types of Fencing. Tubular steel Fencing may not be sufficient to properly secure animals and children within the Homesite boundaries, may allow animals that do not belong to Buyer to access the Homesite from open space and other adjacent areas. It is solely Buyer's responsibility to determine what additional measures are necessary, if any, to properly secure animals and children within the boundaries of the Homesite and to prevent animals that do not belong to Buyer from coming on to the Homesite if Buyer's Homesite includes tubular steel Fencing. If Buyer's Homesite includes tubular steel Fencing, Buyer should consider if the impact that such Fencing has on privacy and sound attenuation may negatively impact Buyer's use and enjoyment of the Homesite.

(d) Maintenance of Fencing. Buyer understands that the Fencing installed by Seller must be maintained in accordance with the Purchase Documents and the Declaration. Buyer should consult with a licensed structural engineer and other licensed professionals before making any modifications to any walls installed on the Homesite if modification is permitted by the Declaration and/or the City.

40. View/Location Advantages. Depending upon location, some homesites in the Community may enjoy some view potential. The view, if any, a homesite will enjoy is subject to the limitations and disclaimers set forth in the Declaration. There are no express or implied easements for views or for the passage of light and air to any homesite. Furthermore, the payment of any "premium" does not constitute a representation or warranty, express or implied, concerning the view, if any, Buyer's Homesite will enjoy. By accepting a deed to a homesite, Buyer expressly acknowledges and agrees that any view which Buyer's Homesite may enjoy as of the date of purchase may be impaired or obstructed by the installation of trees, other landscaping or other types of barriers, both natural and artificial, the growth or relocation of landscaping, the construction or other installation of improvements in the Community and/or on any other adjoining property in accordance with applicable laws, codes, ordinances and regulations, and Buyer expressly consents to any such obstructions.

Future development and construction activities in and around the Community can and will modify the view from homesites (including, but not limited to, Buyer's Homesite). Trees and other foliage may be added or removed from neighboring homesites in or adjacent to the Community. Additional housing and other improvements will be added within the Community. Because future development and construction activities in the Community will modify views from homesites, Seller does not warrant or guarantee any existing views will be maintained in the future relative to the Community or Buyer's Homesite.

41. Streetlights. A number of streetlights will be installed within the Community, many of which will be installed

after homesites have been completed, sold and occupied. Streetlights are sized and placed in accordance with governmental requirements and could in some instances generate light in or obstruct views from homesites in the Community. Some of the streetlights required by the City are a "nostalgic" type streetlight standard. These streetlights do not provide shielded light bulbs and may cause excessive glare into homesites, including the residence, and/or adjacent areas. Information about streetlight size, light output, design and location of streetlights within the Community can be obtained from Seller's New Home Consultant.

42. **Traffic Circles.** Traffic circles, designed to slow traffic and promote safety, are located in the vicinity of the Community. Buyer should use caution when entering/exiting traffic circles, and yield to other vehicles as appropriate. Seller makes no representation, warranties or assurances as to the effectiveness or safety of these, or any, traffic circles. Large trucks and emergency response vehicles may be required to pass through these intersections on the opposing side of traffic. Buyer should proceed through these intersections using caution and defensive driving.

43. **Mailboxes.** The location, size and type of mailboxes that are installed in the Community are determined by the U.S. Postmaster of the City ("**Postmaster**") in the Postmaster's sole discretion. Seller does not have control over the location, size and type of mailboxes that are installed in the Community. The Postmaster has determined that mail kiosks, commonly called "gang mailboxes" or "cluster mailboxes" will be used in the Community. The City and the United States Postal Service ("**USPS**") are working with Seller to determine the location of the mailboxes for the Community. Homesites with an ADU may have a second address and a second mailbox assigned to the homesite. The location of mailbox(es) assigned to Buyer's Homesite may not be in close proximity to Buyer's Homesite. Buyer is advised that the keys given to Buyer at the close of escrow or after the close of escrow are the **ONLY** keys to Buyer's assigned mailbox. Seller does not have keys to access to Buyer's mailbox(es). Buyer is responsible for replacement or repairs of the keys and locking system for Buyer's mailbox(es).

ACCORDING TO USPS, MAIL DELIVERY TO THE COMMUNITY BEGINS AT THE SOLE DISCRETION OF THE POSTMASTER, WHICH IS TYPICALLY AFTER AT LEAST FIFTY PERCENT (50%) OF THE HOMESITES ARE OCCUPIED. COMMENCEMENT OF MAIL DELIVERY IS OUTSIDE OF THE CONTROL OF SELLER. DEPENDING ON WHEN BUYER PURCHASES A HOMESITE IN THE COMMUNITY, THERE MAY BE AN EXTENDED PERIOD OF TIME BEFORE MAIL IS DELIVERED TO THE COMMUNITY. DURING SUCH TIME, BUYER WILL NEED TO SECURE AND USE AN ALTERNATIVE DELIVERY ADDRESS, SUCH AS A P.O. BOX, OR BUYER WILL NEED TO PICK UP BUYER'S MAIL AT THE POST OFFICE DESIGNATED BY USPS FOR MAIL PICK UP.

44. **Water Softeners.** Buyer is advised that prior to installing any type of water softener in Buyer's Homesite, Buyer must first check with the City and the water utility company, which may prohibit the use of water softeners.

45. **Risk of Unauthorized Cyber Access.** Certain devices, machines, appliances, equipment or systems ("**Devices**") which are installed in the Homesite may include technology that allows such Devices to be accessed through the internet or other wireless technology. These Devices may include, without limitation, doorbell monitoring devices, water monitoring systems, remote door access systems (including garage doors), and environmental control systems. These Devices may allow a third party to gain unauthorized access to the Devices and control or access them without Buyer's knowledge or permission. Additionally, such Devices may be used to propagate malware or gain access to other Devices, the Homesite, networks, computers and Buyer's data contained thereon. Depending on the technology included, the Devices may also carry a risk that verbal communications may be heard by unauthorized third parties or be inadvertently sent to third parties through a voice-activated Device. Buyer is solely responsible for determining the level of security and protection suitable for all Devices connected to any network in the Homesite, for configuring all relevant equipment to provide appropriate security, and for taking any other security measures Buyer deems necessary or appropriate in connection with such Devices, even if such Devices are installed by Seller or at Seller's direction. Seller makes no representation, and shall have no liability, for any data breaches, malware attacks, network intrusions, physical intrusions, privacy intrusions, cyber-attacks, theft, or other risks related to the Devices, even if such Devices are installed by Seller or at Seller's direction.

46. **Models.** The model homesites reflect typical exterior elevations, floor plans, workmanship and methods of construction, and also illustrate possibilities for future interior decoration and exterior landscaping and hardscape items. Buyer's Homesite will not necessarily conform to any model. The exterior elevations, architectural treatments, floor plans and colors shown on the website and brochures for the Community may be different than those displayed in the models. Additionally, window locations, window types, roof lines, architectural projections and other similar features vary by elevation and homesite location, and not all of such features displayed in the models may be included in Buyer's Homesite. The models have also been professionally decorated to show various decor ideas. Decoration items such as furnishings, draperies and other window treatments, any window tinting, wallpaper and other wall treatments, custom carpet and other floor coverings, coordinated paint, built-in shelves, beams, certain lighting fixtures (including halogen lighting), special ceiling treatments and some mirrors are for display purposes only, and are not included in the purchase price for Buyer's Homesite. Entries, walkways and driveways are shown in a variety of materials to show design ideas, however, for Buyer's Homesite, they will be constructed using only standard concrete. The hardscape shown in the model complex may not depict what may be constructed in all locations. Additionally, landscaping for the models is greater in density and type than any landscape package offered by Seller. If not expressly included in the purchase price for Buyer's Homesite in writing by Seller, Buyer is solely responsible for installing the rear, and side yard landscaping within the timeframes indicated in the Declaration. The type of plants, and the size and density of the landscaping in the yards of the models are merely intended to suggest ideas to buyers. Certain models may also include hardscape items (e.g., patio slabs, patio covers, pools, spas, etc.) which are not included in the purchase price of Buyer's Homesite. Buyer should consult Seller's New Home Consultant for additional information regarding non-standard items used in the model homesites.

47. **Extended Use of the Model Complex.** Seller reserves the right to use one or more homesites in the Community as a Welcome Home Center and model homesite complex, and to display signs and banners, in connection with its program of marketing and selling homesites in the Community as well as other homesites owned by Seller, even if they are located in separate and unrelated residential developments. Significant numbers of visitors will tour the model homesites and daily and periodic events may be scheduled, resulting in increased levels of noise and traffic within the Community. If Buyer's Homesite is located near the model homesites, Buyer may experience increased vehicular and foot traffic in the vicinity of Buyer's Homesite, increased noise from Community visitors and Buyer may experience a loss of privacy from individuals passing by the Homesite.

48. **Move In Dates.** The completion date for Buyer's Homesite is only an estimate. As construction progresses, the completion date may be adjusted. The estimated completion date is not meant to be a commitment to Buyer for a move in date. The actual date for the close of Buyer's escrow and subsequent move-in will be set by Seller as the Homesite nears completion. Buyer's actual moving date should be scheduled to take place at Buyer's convenience after escrow closes on the Homesite. Moving date plans made prior to close of escrow are constantly subject to change. Seller is not obligated to reimburse Buyer for any costs associated with any adjustment made to the estimated completion date and resulting move in date.

49. **No Guarantee on Prices or Value.** Seller, its New Home Consultants, employees and representatives make no representations that the value of Buyer's Homesite will at any time in the future either remain equal to or be higher than its value at the time of purchase. Buyer hereby acknowledges that at no time has Seller or any of its New Home Consultants, employees or representatives made any representations or warranties regarding tax benefits, value, price appreciation or depreciation, or future pricing adjustments with respect to the Community. In addition, homesite premiums are added to the purchase price of the homesite based on the size and location of the homesite. It is Buyer's responsibility to evaluate the size and location of any homesite for which a premium is being charged. Seller reserves the right to increase or decrease homesite premiums at any time. Due to changing market conditions, Seller makes no representation that (a) the current floor plans will be constructed on all the homesites in the Community; or (b) whether prices, terms or conditions of sales in the current or future phases will not change. Seller specifically reserves the right to construct homesites using additional floor plans (i.e., plans other than existing floor plans) on any of the homesites of the Community. A copy of potential typical floor plans is available, upon request, in the Welcome Home Center. Buyer understands and acknowledges that the California real estate market reacts to economic and other conditions that may cause the price of housing to fluctuate. Similar to any other investment, the purchase price of housing may increase or decrease depending upon current market conditions, which conditions are beyond the control of Seller. At the sole discretion of Seller, and without notice to Buyer, the purchase price, terms of purchase, product type, options, upgrades and other concessions, whether for the current phase or any proposed or future phase of the Community, are subject to change from time to time. Buyer shall not hold Seller responsible for any fluctuations in the purchase price of homesites within the Community. In consideration of Seller's agreement to sell the Homesite to Buyer, Buyer agrees that Buyer shall have no claims against Seller for any possible change (decrease or increase) in the purchase price of homesites within the Community or any other terms of purchase, including, without limitation, upgrades or other concessions or incentives offered by Seller to other purchasers of homesites within the Community and/or the construction of any additional floor plans on any of the homesites in the Community.

50. **Benefit of Home Ownership.** Although the purchase of a new home has traditionally been considered a wise decision, Seller makes no representations or warranties to Buyer with respect to the tax benefits, investment quality or other benefits of home ownership, or regarding appreciation or depreciation in the value or equity accrual in Buyer's Homesite, or future price adjustments.

51. **Right of Substitution.** From time to time due to unavailability and other production considerations, it is necessary for Seller to make substitutions of materials and other items used in construction of the homesites from those materials and items displayed in the models. Therefore, Seller reserves the right to make any changes or substitutions as Seller deems necessary or desirable to the color schemes, building materials, fixtures, appliances and other components of the homesites. The foregoing substitutions may include, without limitation, kitchen appliances, household fixtures, cabinetry, electrical outlets and switches, hardware, wall surfaces, painting and other similar items. Seller shall have the right to make the substitutions described above without adjustment to the purchase price of Buyer's Homesite.

52. **No Contractor; Possession; Occupancy.** Seller is not acting as a contractor for Buyer. Prior to close of escrow, Buyer has no right or interest in the Homesite except the right and obligation to purchase the Homesite in accordance with the Purchase Documents. Buyer shall not be entitled to possess, occupy or enter upon the Homesite prior to the date on which the deed conveying the Homesite to Buyer is recorded. Until the Homesite closes escrow and the deed is recorded, Buyer is not allowed in the construction area except for scheduled meetings accompanied by Seller's representative. In the event Buyer enters the construction area prior to the close of escrow (except for a walk through conducted with Seller's representative), Buyer hereby agrees to indemnify, protect, defend and hold harmless Seller its successors and assigns and its respective officers, directors, shareholders, managers, members, partners, employees, contractors, representatives and agents from and against all liability, loss, cost, damage, injury, death and claim to any person or property (including, but not limited to, the person or property of Buyer) resulting from or in connection with any such entry on the Homesite or the surrounding construction site prior to close of escrow, such indemnification to extend to and include reasonable attorneys' costs and fees incurred by Seller or the other indemnified parties.

53. **Non-Standard Construction Options.** Buyer understands that homesites in the Community are offered under the "Everything's Included" platform. However, limited optional items may be available, which may include cabinet finish, granite and flooring, depending on the construction stage of the Homesite; see Seller's New Home Consultant for details. No work of any type may be performed on the Homesite by anyone other than Seller's subcontractors prior to close of escrow. Any unauthorized construction or improvements found in the Homesite prior to close of escrow will be removed by Seller and the cost of removal will be charged to Buyer. Seller includes flooring in the Homesite as part of the purchase price and Buyer will not be able to close escrow without flooring

installed in the Homesite.

54. **Changes In Development Plan.** The residential real estate market continually fluctuates due to changes in economic, social and political conditions that directly affect the supply of and demand for housing. As a result, the development plan for the Community, homesite prices as well as the terms and conditions of sale are also subject to change. Therefore, with the exception of Buyer's Homesite, Seller reserves the right at any time prior to or after the close of escrow for the sale of a homesite and without notice, (i) to increase or decrease the sale price, adjust incentives and/or otherwise adjust the terms and conditions of sale for homesites in the Community (or in the vicinity thereof), and (ii) change the number, size, location, elevation, design or type of homesites constructed in current or future phases of development of the Community. Seller is not obligated to offer Buyer the same price, incentives and/or other terms and conditions of sale that Seller has previously offered or may subsequently offer to another buyer. Seller has neither offered nor agreed to any price protection or other similar commitment to Buyer regarding the value or resale value of Buyer's Homesite (or any other property), and Seller shall not have any obligation or liability whatsoever to Buyer in the event any price changes directly or indirectly affect the value of Buyer's Homesite. When Buyer entered into the Purchase Documents, Seller may have owned other properties, which may have been off the market and may not have been shown to or otherwise made available for purchase by Buyer. Seller does not have any obligation to notify Buyer if any of such properties come on the market or are otherwise available for purchase or any obligation to notify Buyer of any future properties Seller may develop and make available for purchase.

55. **Elevation/Floor Plan Specification.** In order to provide architectural diversity for the street scene, Seller's architect has produced more than one exterior design (elevation) for the front of each floor plan. Consequently, differences may be noticed between the model homesite for Buyer's floor plan and the elevation of Buyer's Homesite. Buyer acknowledges that Buyer has received a project brochure that delineates the exterior configuration for the elevation for Buyer's Homesite from Seller's New Home Consultant. Buyer also acknowledges that Buyer's Homesite elevation and floor plan may vary from the configuration of the model homesite for the Homesite in terms of layout, size of certain rooms, elevation features, and other items such as sloped ceilings, veneer treatments, window locations and sizes, roof lines, and color schemes. Buyer understands that Seller does not make any representations or warranties that the current floor plans will be constructed on all homesites in the Community, and that Seller specifically reserves the right to construct homesites using additional floor plans (i.e., plans other than existing floor plans) on any of the homesites in the Community.

56. **Plans and Square Footage Representations.** The construction drawings, architectural plans, grading, drainage and improvement plans (collectively, the "**Plans**") for homesites within the Community contain dimensions that are approximate. The Plans are not intended to be precise dimensions with regard to the homesites. Room dimensions and electrical outlet placement will vary slightly from models and from printed information including sales brochures. Dimensions may vary from the Plans. The usable or buildable area, location and configuration of the Homesite and all improvements located thereon may fluctuate from that shown or displayed to Buyer in the Plans or any other drawings, topographic maps or models based upon Seller's placement of final improvements including, without limitation, fencing and slopes which shall be placed and constructed in Seller's sole and absolute discretion. Certain Plans will depict the gross square footage as required by the City, including all or a portion of the exterior walls of Buyer's Homesite and certain other Plans will depict the net square footage of the interior of Buyer's Homesite. The Community sales brochure will show approximate gross square footage of the Homesite. The location, size, height and composition of all walls and fences to be constructed on Buyer's Homesite or adjacent thereto shall be determined by Seller in its sole and absolute discretion and despite the Plans or any other models, drawings or topographic maps displayed to Buyer. Seller makes no representations, warranties or assurances as to the size, height, location or composition of any wall or fence to be constructed on or adjacent to Buyer's Homesite. Further, Buyer acknowledges that the Plans for the Homesite may change based on comments from the City during the approval process for the Community. Buyer is advised to consult with Seller's New Home Consultant regarding any questions. The Plans are subject to change at any time without notice or obligation. If there is a discrepancy between the Plans and the actual as built conditions of Buyer's Homesite, the as built conditions will control.

57. **Preplotting of Homesites.** Homesites have been pre-plotted. The exact location of individual homes, driveways and homesite boundaries may vary from that depicted on the brochure and on the plot plan in the Welcome Home Center. No change of any of these elements can be made because of Buyer's request. Seller reserves the right, in its sole discretion, to make such changes.

58. **Preplotting of Color Schemes.** Exteriors and color schemes for homesites have been pre-selected. **NO CHANGES MAY BE MADE.** Buyer should consult with Seller's New Home Consultant for details. Seller cannot guarantee that color variations from color samples will not occur. Professional architects and consultants, as part of the overall plan for the Community, select street scenes, plotting, elevations and homesite colors. No change of any of these elements can be made because of Buyer's request. Seller reserves the right, in its sole discretion, to make such changes.

59. **Improvements, Options, Features and Utilities May Vary By Homesite.** The improvements, options, features and utilities offered or available in the Community may vary from homesite to homesite and between product lines in the Community, even if homesites in the Community are similar in appearance or in a similar location in the Community. As a result, Buyer's Homesite may not have the same improvements, options, features or utilities available as those offered or available to Buyer's neighbors or other Owners in the Community for their respective homesites. Seller has the right to determine what improvements, options and features are offered for each homesite in the Community in its sole discretion. The City and/or the utility companies determine what utilities are offered for each homesite. Seller is not obligated to offer Buyer the same or similar improvements, options, features or utilities that Seller previously offered or made available to other Owners in the Community and/or that Seller may offer to purchasers in the future. Buyer should not assume that Buyer's Homesite will have the same improvements, options features or utilities as other homesites in the Community. Should Buyer have questions about the specific improvements, options, features or utilities available for Buyer's Homesite, Buyer should consult with Seller's New

Home Consultant.

60. **Construction and Sales Activities.** BUYER ACKNOWLEDGES THAT SOME AREAS OF THE COMMUNITY MAY BE UNDER DEVELOPMENT FOR AN EXTENDED PERIOD OF TIME. INCIDENT TO THE DEVELOPMENT PROCESS, THE QUIET USE AND ENJOYMENT OF THE COMMUNITY AND THE HOMESITE MAY BE UNAVIDABLY INTERFERED WITH TO SOME EXTENT BY CONSTRUCTION OPERATIONS AND SALES ACTIVITIES. Construction, development and sales activities in the Community will likely occur after Buyer has taken occupancy of Buyer's Homesite. Depending upon Buyer's sensitivities, this may result in some inconvenience to Buyer and Buyer's family and guests due to increased noise, dust, ground vibrations, road closures and detours, debris, loose nails, operation of the model homesites and Welcome Home Center and other activities. Buyer should be aware that the construction process can disrupt the natural habitat of some rodents, ants, field mice, gophers and other animals that may cause an increase in the number of such animals in the Community during the construction process. Construction activities can occur at various hours throughout the day, including early morning hours and weekends, and sales activities can result in additional traffic and visitors throughout the Community, particularly before the Community is completely built out. Seller cannot guarantee that Buyer will not be affected or impacted as a result of the overall construction, development and sale of the Community. Seller gives no guarantees or assurances of how long the Community model homesites will be in operation or how long construction, sales and marketing activities will occur. Homesites across the street or next to the model homesites may remain undeveloped until Seller determines that these homesites are no longer needed for marketing purposes.

61. **Ongoing Construction is Dangerous, Especially to Children.** Buyer assumes all risks of liability and all obligations for any injuries or damages that are sustained by Buyer and Buyer's guests and invitees, especially children, by reason of such persons' presence within any construction area and Buyer hereby indemnifies, protects, defends and holds harmless Seller and its successors and assigns, officers, directors, shareholders, managers, members, partners, employees, contractors, representatives and agents from and against any and all liabilities, damages, expenses, attorneys' fees and other claims that may arise by reason of the entry by Buyer and Buyer's guests and invitees within any construction area. Buyer also acknowledges that other projects in the area surrounding the Community are, or will be, under construction. Seller may have no control over the use and development of adjacent properties.

62. **Transfer Fee.** Seller may consider a request from Buyer to transfer homesites. Seller retains the right in its sole discretion to decline Buyer's request. If at any time Seller, in its sole discretion, agrees to allow Buyer to transfer Buyer's purchase to another homesite, Buyer will be required to execute a new Purchase and Sale Agreement and a Transfer of Property Addendum ("***Transfer Addendum***"). The Transfer Addendum requires the payment of a non-refundable transfer fee to Seller in an amount specified in the Transfer Addendum ("***Transfer Fee***"). Such Transfer Fee will be paid to Seller outside of escrow and will not be part of the Deposit.

63. **Rentals.** From time to time, Seller will market and sell homesites in the Community to investors or to buyers who may not occupy their homesites as their primary residence. Seller may also elect to lease, rather than sell, some or all of the homesites that it owns within the Community. Consequently, homesites in the Community may be leased to or occupied by persons other than their owners.

64. **Vesting.** Prior to signing escrow instructions, Buyer may wish to consult an attorney regarding the manner in which title to the Homesite should be taken. Seller's New Home Consultants are prohibited by law from giving any advice on this matter.

65. **Insurance.** Buyer will be responsible to purchase, at Buyer's own expense, and maintain fire and hazard insurance coverage as may be required by Buyer's individual lender. Seller advises Buyer to carry earthquake insurance, and some mortgage lenders are currently requiring earthquake insurance. Buyer is aware that Seller is not certain whether earthquake insurance is or will be available at reasonable cost or at all, whether such insurance will be provided by a rated insurance company and whether the insurance will cover all damage, which may result from an earthquake. Buyer is solely responsible for determining the type and quality of insurance required to adequately insure Buyer's Homesite, Buyer's personal property, and Buyer's personal liability for ownership of Buyer's Homesite.

66. **Insurance Coverage Costs and Availability.** The cost of property and homeowner's insurance has, in some areas, been significantly increasing and more difficult to obtain, particularly in areas deemed by insurers to have a higher risk of fire. Some insurance carriers have been declining to provide or renew coverage. When available, the policies offered may be significantly more expensive, may have higher deductibles or self-insured retentions, and/or may provide less coverage. The scope of insurance coverage is also subject to the requirements of Buyer's lender or any future lender chosen by Buyer for refinancing. Buyer is strongly encouraged to consult with a licensed insurance agent regarding the availability, cost and/or scope of insurance where the Community is located before purchasing and confirm that such coverage will meet the requirements of Buyer's lender. The cost, availability, and scope of property and homeowner's insurance coverage is subject to change and may continue to worsen in the future.

67. **Ownership Prior to Close of Escrow.** Seller may not hold title to some or all of the homesites in the Community at the time Buyer enters into a purchase agreement. Therefore, the preliminary title report for the homesites may show title vested in another entity. For homesites where Seller does not hold title to the homesites at the time Buyer enters into a purchase agreement, Seller has entered into an option or similar agreement which gives Seller the option to purchase the homesites from the entity listed in the preliminary title report. Prior to the close of escrow, Seller will exercise its option to purchase the Homesite so that Seller can deliver the grant deed to Escrow Holder as required by the purchase agreement.

68. **Schools.** It is possible that students residing in the Community may not attend the nearest elementary, middle or high school. Even if Buyer is provided information as to the schools assigned to Buyer's Homesite, due to the

rate of population change, the school district may find it necessary to change boundaries and designated schools periodically, prior to or after Buyer's close of escrow. Seller has no control or responsibility for such changes should they occur. The Community is currently within the Lammersville Joint Unified School District.

To obtain information about the schools serving the Community, including transportation to and from the schools, please contact the Lammersville Joint Unified School District at (209) 836-7400. Seller recommends that Buyer contact the school districts to confirm school assignments. Buyer should investigate any matter of concern regarding schools and school assignments to Buyer's satisfaction prior to purchasing a homesite in the Community.

ADJACENT/SURROUNDING AREAS

1. **Future Development/Land Use of Adjacent Properties.** Information regarding the specific zoning in the area may be obtained from the City Planning Division at (209) 831-5666. Land uses adjacent to and in the vicinity of the Community may be subject to revision due to changes to the General Plan. The real property in the vicinity of some of the homesites in the Community may include open space, residential structures, including, but not limited to, single family residences, condominiums or apartments, or other land uses compatible with the applicable zoning and general plan designations for the area, such as general retail, office complexes, light industrial, light manufacturing, or commercial developments, as determined or modified by the City. Seller makes no representations about the future land uses on adjacent or nearby properties. Plans for redevelopment of any adjacent property could have an effect on the Community and Buyer's Homesite. Seller does not control the land use or zoning of the adjacent properties. Buyer acknowledges that the Community is in an area of growth, and that some or all these factors might be increased or introduced in the future, and Buyer agrees to release Seller from any claims as a result of any future development. Because general plans and zoning are subject to change, Buyer is encouraged to check with the City Planning Division regarding proposed land uses surrounding and in the vicinity of the Community.

2. **Undeveloped Areas, Noise and Traffic.** The undeveloped and partially graded areas and hillsides in the vicinity of the Community are, for the most part, designated for residential and commercial development, including residential construction on vacant lots. Buyer should be aware that heavy-duty grading equipment will be utilized during development of these areas and that existing topography and existing views will be modified or changed during the course of development. Grading and engineering constraints may require that the elevation of homesites be higher or lower than they currently appear. Future grading to accommodate development will result in the alteration, increase, reduction or elimination of existing grades, hillsides, mountains, temporary landscaping, etc. Existing and future development in and around the Community (residential, recreational, educational and commercial) will affect noise levels. Noise levels will also be affected by, but not limited to (a) automobile and truck traffic associated with future development and from the adjustment of existing traffic patterns, (b) the construction of new roads and transportation systems, (c) the widening, realignment and/or extension of existing roads, (d) grading and (e) the removal and/or relocation of landscaping, buildings and improvements. To accommodate future development and facilitate traffic flow, new streets and roads in and around the Community may be constructed and existing streets and roads may be widened, realigned and/or extended. These and other future road improvements will increase the flow of traffic and traffic congestion on existing roadways.

3. **Surrounding Land Uses.** Some of the existing or proposed land uses adjacent to the Community are as follows:

- North: A grading operation; Wetlands; Old River; Future residential development; Planned school site; Planned sewer lift station.
- East: Future single family residential; Future fire station; wetlands; Mountain House Creek; Old River.
- South: Single family residential; Inactive railroad line; County Road J4/Bryon Road.
- West: Wetlands; A wastewater treatment plant; Future residential development.

Buyer acknowledges that Buyer has been advised to investigate these existing or proposed land uses adjacent to or in close proximity to the Community prior to determining to purchase a homesite in the Community. Buyer understands that such land uses may be subject to change in the future and Seller does not control such changes. Seller does not in any way warrant, represent or guarantee that current surrounding areas will remain in their present state. For additional information regarding development, Buyer may contact the City Planning Division.

4. **Detention Ponds, Old River and Mountain House Creek.** A number of detention ponds are located adjacent to the Community. Old River is a tidal distributary of the San Joaquin River that flows through the Sacramento-San Joaquin Delta in Northern California located approximately 0.65 miles east of the Community. Mountain House Creek is located approximately 0.25 miles east of the Community across Central Parkway. The Detention Ponds, Old River and Mountain House Creek ("**Water Uses**") may generate unpleasant or noxious odors, attract insects (including mosquitoes, gnats, etc.), birds or generate humidity from Water Uses and the Water Uses may grow algae, plant life or insect life typically associated with natural bodies of water which may impact Buyer's use and enjoyment of the Homesite. The Water Uses could also become dirty or otherwise unsightly. During periods of low water or drainage, the Water Uses may be unsightly, unusable for recreation and may create odors that may last a month or more, particularly during summer months. Children and animals must be closely monitored when in the vicinity of the Water Uses to prevent accidental drownings and other injuries. Seller is not responsible for the safety of Buyer, Buyer's family, guests, invitees, tenants, agents or employees while using or in the vicinity of the Water Uses. Seller makes no representations as to the future uses, water level or existence of the Water Uses, which could become dry, contain low water or flood in the future. Seller has no duty to maintain the Water Uses or remedy any problems associated with the Water Uses.

5. **Grading Operations.** There are grading operations taking place in areas surrounding the Community, including north of the Community. Buyer may experience construction related nuisances related to grading operations, including, but not limited to, construction vehicles in the vicinity of the Community, debris, road closures, traffic delays and detours, dust, ground vibrations, construction noise, increased animal and insect activity and other inconveniences.

6. **Wetlands.** Property in the vicinity of the Community has been specifically identified to be set aside for riparian wetlands/habitat creation and enhancement ("**Habitat Areas**") including to the north, east and west of the Community. The Habitat Areas support a wide variety of indigenous wildlife species. Habitat Areas are mandated to remain in their natural state. Maintenance, eradication and abatement activities may be limited or completely prohibited within the Habitat Areas, and Buyer may be limited in eradication and abatement methods if wildlife is present on Buyer's Homesite. Seller and the Owners of homesites within the Community will have no control over the presence of wildlife in and surrounding the Habitat Areas. All maintenance of the Habitat Areas is not the responsibility of Seller or the Owners. Use and access to such Habitat Areas is strictly prohibited. Buyer should use caution and supervise children and animals when in the vicinity of the Habitat Areas.

7. **Future Sewer Lift Station.** A future sewer lift station has been constructed and is planned to be conveyed to the City by Spring 2025, and is located approximately 0.65 miles north of the Community. The City will be responsible for determining when the lift station will be put into operation and for maintenance of the sewer lift station once it is operable. Timing of operation of the sewer lift station is not within the control of Seller, and the City is solely responsible for making that determination. Once operable, the sewer lift station may produce unpleasant odors, noise or other impacts that could impact Buyer and other Owners within the Community.

8. **Wastewater Treatment Plant.** The Mountain House Water Treatment Plant ("**Treatment Plant**"), a wastewater treatment plant, is located approximately 300 feet west of the Community at Great Valley Parkway and Bryon Road. Due to the fact that the Treatment Plant is immediately adjacent to the Community, the Community may experience noxious and unpleasant odors, natural gas and/or other chemicals, noise from Treatment Plant operations, bright lights and the Treatment Plant may result in truck traffic entering and exiting the Treatment Plant during all hours of the day and night. Seller cannot guarantee that odors or gaseous or chemical emissions will not impact Buyer's use of the Homesite and/or the Community. Odors may intensify in the future and may be stronger during summer months. Seller is not responsible for odors or other nuisances which might result from the operations of the Treatment Plant and/or truck traffic entering and exiting the Treatment Plant. As a result, Owners and occupants in the Community, including Buyer, may be affected by odors, noise from operations, or dust emanating from the Treatment Plant and truck traffic entering and exiting the Treatment Plant at all hours of the day and night. Further, the operations of the Treatment Plant may be modified or increased in the future, the Treatment Plant may be reconfigured and/or expanded. Because Seller does not control the Treatment Plant, Seller cannot assure Buyer that the Treatment Plant's operations will not be modified or increased in the future, nor that any expansion of the Treatment Plant will not occur pursuant to requisite governmental approvals. If Buyer's Homesite is adjacent to the Treatment Plant, Buyer may be more impacted than other Owners by Treatment Plant operations. Seller encourages Buyer to visit the Community at various times of the day and night and on different days to determine whether Treatment Plant operations will impact Buyer's use and enjoyment of the Homesite.

9. **Trails.** Trails are planned to be constructed and located immediately adjacent to the Community, including walking trails and there are other existing walking and bicycling trails located in close proximity to the Community. There may be time restrictions on use of the trails. However, if the trails are not lighted, they should not be used in the early morning or evening hours due to safety concerns. Even if all or portions of the trails are lighted, this does not guarantee safety, and Buyer should use caution at all times while using the trails. Walkers, runners, hikers, and those engaged in other active forms of recreation on the trails during hours of dusk or darkness run the risk of tripping, falling or otherwise injuring themselves. In addition, the risk of crime might be increased during hours of dusk or darkness while on the trails. Children (and animals, if permitted) should not be allowed to access or play on the trails without supervision, as the trails and related improvements and users might be dangerous to children and animals. Seller makes no representations regarding the location or continued operation of the trails. Buyer is informed that trails in general generate traffic, noise and other inconveniences which Buyer should consider prior to a purchase of a homesite within the Community. If Buyer's Homesite is adjacent to or near the trails, Buyer may be more impacted by the foregoing inconveniences and may also experience a loss of privacy from individuals using the trails. Buyer should not purchase a homesite in the Community in reliance on the availability or proximity of the trails. Seller has no control over the uses of, or safety of, the trails.

10. **Public Parks.** Several existing and future public parks ("**Parks**"), including, but not limited to, a future planned park located immediately adjacent to the Community and Central Park located approximately 0.57 miles from the Community. Seller has no control over timing of construction of the parks or the amenities that will be offered. The future planned park is currently planned to include improvements such as playgrounds, sports courts, dog parks and mixed-use sports fields. Seller makes no representations or assurances whether the currently planned improvements will ultimately be constructed in the park.

Parks in general may be sites for vagrancy, loitering and petty theft. Buyer is advised to use caution to protect Buyer's person and Buyer's belongings and those of Buyer's family while in the Parks, particularly at night. Areas of the Parks that are not lighted should not be used in the early morning or evening hours due to safety concerns. Even if portions of the Parks are lighted, this does not guarantee safety and Buyer should use caution at all times while in the Parks. Walkers, runners, hikers, bikers and those engaged in other active forms of recreation within the Parks during hours of dusk or darkness run the risk of tripping, falling or otherwise injuring themselves. In addition, the risk of crime might be increased during hours of dusk or darkness in the Parks. Children and animals (if permitted) should not be allowed to access or play in the Parks without supervision, as the Parks and related improvements might be dangerous to children and animals. Seller makes no representations regarding the location or continued operation of the Parks. Buyer is informed that parks generate increased vehicular and pedestrian traffic, noise and other inconveniences which Buyer should consider prior to a purchase of a homesite within the Community.

If Buyer's Homesite is located in close proximity to one or more of the Parks, especially the future park, Buyer should expect to experience noise from visitors and park users, increased pedestrian and vehicular traffic and traffic delays around Buyer's Homesite, potential litter in the vicinity of the Homesite, odors from the Parks, glare from lighting and a potential loss of privacy from visitors passing by the Homesite. Buyer should not purchase a homesite in the Community in reliance on the availability or proximity of the Parks. Seller makes no assurances whether the future public park will be constructed, and if constructed, when such park will be completed and available to the public. During construction of the future park, if constructed, Buyer may experience construction related nuisances, including, but not limited to, construction vehicles in the vicinity of the Community, loose nails and debris, road closures, traffic delays and detours, dust, ground vibrations, construction noise and other inconveniences. Seller has no control over the construction of, operation of, uses of, or safety of, the Parks.

11. **Stormwater Basin.** A number of stormwater basins ("**Basins**") are located adjacent to the Community, including, but not limited to, Basins located approximately 100 feet to 0.2 miles from homesites in the Community that are owned and maintained by the City. The Basins are designed to filter and collect storm water runoff from within the Community and surrounding areas. Access to the Basins by Owners and other individuals will likely be strictly prohibited, as the Basins may contain standing water, which could produce odors, support insect life, including mosquitoes, be unattractive to some Owners and may contain pollutants. The water contained in the Basins is not potable (not-for-drinking) and consumption of this water can pose a health and safety of trespassers, particularly children and animals. STORMWATER BASINS ARE NOT INTENDED FOR ACCESS OR FOR RECREATION. The Basins may be subject to chemical treatment to control mosquitos by the City. Animals and small children are not permitted to enter or remain in the Basins or the area immediately surrounding the Basins due to the risks of injury.

12. **Future Fire Station.** A future fire station is under construction adjacent to the Community approximately 150 feet east of Tract No. 3698. While under construction, Buyer may experience inconveniences, including, but not limited construction vehicles in the vicinity of the Community, debris, road closures, traffic delays and detours, dust, ground vibrations, construction noise and other inconveniences. Nuisances associated with the fire station may include, but not be limited to, sirens and other noises, and the presence of emergency vehicles on nearby streets at different times during the day and night, including early morning and late night hours. The proximity of a future fire station to the Community does not guarantee safety of the Community even if the fire station is ultimately constructed. Seller does not make any representations that the fire station will be constructed, or when constructed if it will continue to be operated with emergency response services. Buyer should not purchase the Homesite in reliance of the proximity of emergency response services including the future fire station.

13. **Current and Future Residential Communities.** Future residential is planned to be constructed north, east and west of the Community that may be rented or sold and existing residential is located south of the Community, including an apartment complex located approximately 0.76 miles from the Community and a residential subdivision located south of Bryon Road. During construction of the future residential, if constructed, Buyer may experience construction related nuisances, including, but not limited to, construction vehicles in the vicinity of the Community, loose nails and debris, road closures, traffic delays and detours, dust, ground vibrations, construction noise and other inconveniences. For more information on the future residential, Buyer should contact the City Planning Division. The impacts from the existing residential communities to the south and future residential to the north, east and west (if and when constructed will be nuisances associated with residential properties, which may include, but are not limited to, additional traffic, traffic congestion and traffic delays, noise, lights and other impacts.

14. **Fast Food Restaurants.** Fast-food restaurants are located in close proximity to the Community, including, but not limited to, Starbucks located approximately 0.1 miles from the Community. The proximity of fast-food restaurants to the Community may produce increased traffic and traffic congestion, increased noise from patrons and restaurant operations, odors, including food and refuse odors, and bright lights at all times of the day and night, including weekends and holidays. Large distribution trucks may be used in operation of fast-food restaurants, which can produce ground vibrations, produce flying stones and rocks that can damage windshields, vehicles and other property, and cause air pollution. Fast food restaurants sometimes draw large groups of children and adults, particularly after school or after events. Furthermore, regular consumption of fast food has been linked to a variety of health problems, including obesity, heart disease and diabetes. Seller makes no representation as to the quality of the food sold by these restaurants nor as to the availability, variety, hours or operation of fast-food restaurants located within the vicinity of the Community.

15. **Commercial and Retail Shopping.** Commercial shopping is located in the vicinity of the Community located approximately 0.38 miles south the Community. Such commercial and retail uses may cause inconveniences such as increased traffic, traffic congestion, loud noises created by equipment, noxious odors, vehicular and pedestrian traffic, bright lights, and activity during early morning and late-night hours. Buyer should investigate this matter to Buyer's satisfaction prior to purchasing a homesite within the Community.

16. **Terpene Belt Farm.** Terpene Belt Farm ("**Cannabis Farm**"), a cannabis farm, is located approximately 0.95 miles from the Community. The Cannabis Farm is used to grow and harvest cannabis that may be used to create other products, including, but not limited to, hemp oil and/or may be sold. The Cannabis Farm may generate noise, noxious odors, chemical spraying, dust, irrigation, night lighting and other potentially detrimental impacts on the Community and surrounding areas, and may engage in commercial/industrial uses on site to manage its supply and create products from the cannabis at all hours of the day and night. The Cannabis Farm may also attract birds, waterfowl, insects, rodents and other pests and wild animals to the Cannabis Farm and surrounding areas. This may, in turn, lead to unwelcome intrusions and byproducts into the Homesite from insects, rodents, waterfowl, birds and other animals. In addition, raw manure, chemical fertilizers, herbicides, insecticides, and rodenticides may be used for the Cannabis Farm. Odors generated by the Cannabis Farm may be present in the Community at various times, especially during windy periods in the area surrounding the Community. Distribution and delivery trucks may be used in connection with the Cannabis Farm operations. For more information on the Cannabis Farm, Buyer should visit the Cannabis Farm's website at <https://terpenebeltfarms.com/>.

17. **Wildlife.** Various portions of the City, including surrounding areas will be maintained as open space areas and agricultural areas. As in any open space areas and agricultural areas, wild animals native to the area could inhabit such open space areas and may move from such open space areas and agricultural areas onto residential and other areas within the Community. Due to the proximity of open space and agricultural areas to the Community, and the rural character of the nearby lands, Buyer may encounter wildlife in the Community, such as rattlesnakes, rodents, rats, mice, rabbits, racoons, mountain lions, skunks, squirrels, coyotes, hawks, birds, spiders and insects of all kinds. Depending on the season, typical insects encountered will be flies, mosquitoes, termites, spiders, stinging bees, ants, crickets and aphids. Buyer is strongly advised to: (a) securely cover all food and trash located on the Homesite in order to avoid attracting such wildlife and to keep pets and animals from straying outside of Buyer's Homesite, and (b) exercise extreme caution and control of children, pets and animals in going on the greenbelt and other adjacent areas, and (c) take appropriate precautions to discourage unwanted visits by wildlife from surrounding lands to the Homesite. Because the existence of such animals, rodents and pests can damage graded and natural slopes by burrowing tunnels and creating habitats, Buyer must perform necessary rodent and pest abatement and control efforts or secure the services of a licensed rodent and pest abatement contractor, as necessary. Seller is not responsible for the control or eradication of any wildlife in or around the Community. Buyer acknowledges that it is Buyer's sole responsibility to control or otherwise abate the impact of such animals, rodents and pests. Seller makes no representations or warranties concerning the safety of any person from bites, nuisances or damage to property which may be caused by any animal, rodents or pests.

18. **Religious Facilities.** There are several religious facilities located within 1.5 miles or less from the Community. Buyer may hear ringing bells and/or music when such religious facilities are in session, during holidays and during events. Such ringing and/or music may occur in the early morning hours, evening hours and on weekends and holidays. In addition, the religious facilities may also be a site for collection and distribution of donations. The religious facilities located within the vicinity of the Community will likely host social activities that may take place in the evenings and on weekends. The impacts to the Community due to the proximity of such religious facilities, may include, but are not limited to, additional noise and increased traffic from attendees and visitors, including traffic caused large trucks used for distribution of donations, gatherings of individuals in and around the religious facilities before and after sessions and/or events, and increased pedestrian traffic in and around the Community and religious facilities.

19. **Future School.** A future public school site is located adjacent to the Community on Lot J of Tract No. 3973. During construction of the future school, if constructed, Buyer may experience construction related nuisances, including, but not limited to, construction vehicles in the vicinity of the Community, loose nails and debris, road closures, traffic delays and detours, dust, ground vibrations, construction noise and other inconveniences. If the future school is constructed, Buyer should expect inconveniences associated with living in close proximity to a school, which include, but are not limited to, heavy traffic and traffic congestion, especially during pick up and drop off hours, school events and sports activities, additional pedestrian traffic in and around the school, excessive noise from children at play or engaging in outdoor activities, school bells and honking and glare and light overflow from lighting. School events and sports activities may occur after typical school hours, including on evenings and weekends. The close proximity of the school could cause delays in Buyer's commute when school is in session, during sports activities or when school events are being held at the school, and Buyer should plan accordingly. Buyer should use extreme caution when driving in the vicinity of the school, especially during school hours when children may be at play, engaging in sports or other outdoor activities or walking to and from school.

All homesites in the Community will likely experience the above nuisances because the future school site is in close proximity to the Community. However, if Buyer's Homesite is in close proximity to the school site and future school, Buyer may be more impacted by the above nuisances than other Owners in the Community. Seller suggests that Buyer visit the Community on several occasions at different times of the day and the night to determine whether the close proximity to the school will affect Buyer's use and enjoyment of Buyer's Homesite. There is no guarantee that children in the Community will be assigned to the future school, even if the future school is located in closer proximity to the Community than other schools in the school district. Seller has no control over, and makes no representations or warranties regarding, the type of school planned, the construction schedule for the future school, the future school's opening date (if at all), operating activities for the school or student assignments.

20. **County Road J4/Bryon Road.** County Road J4/Bryon Road ("**Bryon Road**") is a major thoroughfare located approximately immediately south of the Community. Due to the proximity of Bryon Road to the Community, the Community will be subject to certain inconveniences associated with major thoroughfares, which include, but are not limited to, heavy traffic and traffic congestion, excessive noise and honking, dust, exhaust fumes and other forms of air pollution at all hours of the day and the night. In addition, Bryon Road may be heavily traveled by large trucks, which can cause ground vibrations and produce flying stones and rocks, which may damage automobile windshields, vehicles and other property. Seller suggests that Buyer visit the Community on several occasions at different times of the day and the night to determine whether the close proximity to Bryon Road will affect Buyer's use and enjoyment of Buyer's Homesite.

21. **Inactive Railroad Tracks.** Inactive railroad tracks owned by Union Pacific Railroad ("**Railroad Tracks**") are located south of the Community north of Bryon Road between the homesites and the trail. Because the Railroad Tracks are currently inactive, there are no railroad operations occurring as of the date of this Disclosure. If the Railroad Tracks become active in the future, the Railroad Tracks may be operated up to twenty-four (24) hours per day, seven (7) days per week, and may not follow any particular schedule. The Final Maps include homesites that are located adjacent to the Railroad Tracks where outside noise levels can exceed 60db if the Railroad Tracks become active. Noise impacts may occur at any time of day or night, including on holidays and weekends, and may be significant enough to disturb sleep. Buyer may also experience other impacts and inconveniences from living in proximity to Railroad Tracks if the Railroad Tracks become active, including, but not limited to, vibrations from trains, increased vehicular and pedestrian traffic and traffic delays, noxious odors, light emissions, and increased noise from horns, the train itself, its passengers and the Railroad Tracks. Seller has no control over, nor responsibility for the future use of the Railroad Tracks, the frequency of use of the Railroad Tracks and scheduling of trains if the Railroad Tracks if they become active in the future. Seller also makes no representations or

warranties as to the potential expansion or addition of railway improvements in the future, and Buyer further acknowledges that Seller has no control over, nor responsibility for changes in Railroad Track use and operations in the future.

22. **Planned Infrastructure and Road Improvements.** The regional, local arterial and interior road system improvements and other infrastructure are subject to modifications, approvals, and determinations made by the applicable local governmental agencies. Seller has been informed that improvements will be made to create and/or modify roads adjacent to the Community which work will be performed by Seller and/or Mountain House Developers. Other alignments may be changed, proposed extensions may be deleted or changed and roadway improvements within the vicinity of the Community may be added. The builders of nearby properties may be constructing and/or improving the roads, and the utilities within the roads, in the Community and the surrounding areas for many years. Many of the existing roadways in the Community and adjoining areas have surfaces with cracks, potholes and are otherwise in a deteriorating condition. In many cases, roadways in and around the Community have no shoulders, are located next to open drainage ditches and are not lighted. In some cases, public roads are not paved or are partially paved. Buyer should evaluate the impact of the foregoing road and utility improvement issues on Buyer's proposed use of Buyer's Homesite. Seller has no control over whether the County will construct any additional roadway improvements in the vicinity of the Community.

SPECIAL ENVIRONMENTAL CONDITIONS & NUISANCES

1. Natural Gas Transmission Pipelines.

NOTICE REGARDING GAS AND HAZARDOUS LIQUID TRANSMISSION PIPELINES.

This notice is being provided simply to inform you that information about the general location of gas and hazardous liquid transmission pipelines is available to the public via the National Pipeline Mapping System (NPMS) Internet Web site maintained by the United States Department of Transportation at <http://www.npms.phmsa.dot.gov/>. To seek further information about possible transmission pipelines near the property, you may contact your local gas utility or other pipeline operators in the area. Contact information for pipeline operators is searchable by ZIP Code and county on the NPMS Internet Web site.

PG&E may provide notice to homesites and businesses within 2,000 feet of a natural gas transmission pipelines. If Buyer receives such a notice from PG&E and there is a conflict between this Disclosure and the notice, the notice shall control. For information about natural gas transmission pipelines, Buyer should contact PG&E customer service at (800) 743-5000 and view PG&E's pipeline system map at www.pge.com/safety/systemworks/gas/transmissionpipelines/. A link to information about PG&E's efforts to improve its natural gas transmission system is currently available on the same webpage. Buyer should note that the pipeline maps do not show gathering or distribution pipelines, such as lines that deliver gas to a customer's homesite.

2. **Electric Power Lines, Wireless Communications Facilities, and Human Health.** Underground and overhead electric transmission and distribution lines and transformers ("**Power Lines**") are located within or in the vicinity of all residential communities, including this Community, including, but not limited to underground Modesto Irrigation District and PG&E transmission lines located approximately 0.66 miles from the Community. The Power Lines within and in the vicinity of the Community produce electric and magnetic fields ("**EMF**"). Antennas and other equipment for wireless telecommunications (for example, cellular phones) may also be located in or in the vicinity of the Community. Like all wireless communications facilities, these facilities produce radio-frequency fields ("**RF**"). Numerous studies concerning the effects of EMF and/or RF on human health have been undertaken over the past several years and some are ongoing. There are studies that have reported a possible relationship between EMF exposure and some health conditions, such as childhood leukemia, miscarriages, and certain neurological disorders, while other studies found no such relationship. Some studies have reported associations between RF exposure and brain cancer, while other studies found no such relationship. Additional information about EMF and RF is available from the following agencies:

- (1) The World Health Organization's International EMF Project website at <https://www.who.int/initiatives/the-international-emf-project>;
- (2) Southern California Edison website at <https://www.sce.com/wps/portal/home/safety/family/environmental-health>;
- (3) the U.S. National Institute of Environmental Health Sciences website at <http://www.niehs.nih.gov/health/topics/agents/emf/>;
- (4) San Diego Gas & Electric website at <https://www.sdge.com/more-information/safety/electric-safety/electric-magnetic-fields>;
- (5) California Electric and Magnetic Fields Program, at https://www.sandiegocounty.gov/content/dam/sdc/pds/ceqa/Soitec-Documents/Final-EIR-Files/references/rtcref/ch3.1.4/2014-12-19_CaliforniaEMFProgram2006_EMFHome.pdf;
- (6) Pacific Gas & Electric Company at <http://www.pge.com/mybusiness/edusafety/systemworks/electric/emf/>;
- (7) Sacramento Municipal Utility District at <https://www.smud.org/en/In-Our-Community/Safety-Tips/Around-the-home>.

This list is not meant to be all inclusive.

3. **Petroleum Pipelines.** There are two (2) active petroleum pipelines, an approximately six (6) inch diameter Chevron/Texaco petroleum pipeline and an approximately (12) inch diameter Kinder Morgan petroleum pipeline), paralleling Byron Road and the railroad tracks in close proximity to the Community. Pursuant to a letter from

Condor to Seller dated July 22, 2022 and entitled "Phase I Environmental Site Assessment Update Report for Neighborhood J, Mountain House, San Joaquin County, California" related to an update to the Phase I environmental site assessment performed by Condor, although Condor has not found any evidence of current or past release associated with the petroleum pipelines, there is a risk of future release that could pose a risk to the Community if the pipelines remain active and rupture.

4. **Earthquakes Generally.** California is subject to a wide range of earthquake activity. California has many known faults as well as yet undiscovered faults. Buyer must evaluate the potential for future seismic activity, which might seriously damage Buyer's Homesite. A major earthquake, which some have predicted will occur in our lifetimes, could cause very serious damage to homesites located even many miles from the epicenter of the earthquake. A more moderate earthquake occurring on a more minor fault, or on an as yet undiscovered fault, could also cause substantial damage.

Seller makes no representations or warranties as to the degree of earthquake risk within the Community. Buyer is advised to consult with the County, other public agencies, and appropriate experts to evaluate the potential risk. Seller advises Buyer to carry earthquake insurance. Buyer is aware that Seller is not certain whether earthquake insurance is or will be available at reasonable cost or at all, whether it will be provided by a rated insurance company, and whether the insurance will cover all damage that may result from an earthquake. Buyer should inquire with Buyer's insurance carrier regarding the availability and cost of earthquake insurance.

5. **Dry Gas Wells.** There are at least three (3) dry gas wells that have been plugged located within 1.0 mile of the Community. Although these dry gas wells are plugged, Seller makes no representations regarding the adequacy of such plugging and/or whether such dry gas wells will have an impact on the Community in the future.

6. **Commercial/Industrial Zone.** The Community is located within 1.0 mile of a property or properties zoned for commercial or industrial use. Buyer understands that Seller is not responsible for, and shall not provide any compensation or accommodations for, any effects the proximity to this commercial/industrial zone may have on Buyer's use and enjoyment of Buyer's Homesite. Such industrial and/or commercial purposes might cause inconveniences such as increased traffic, traffic congestion, loud noises created by industrial equipment, noxious odors, exposure to chemicals, ground vibrations due to the operation of heavy machinery or large transport trucks, bright lights, and activity during early morning and late-night hours.

7. **California Energy Commission Duct Sealing and Testing Requirement.** The Community is in a climate zone where properties are usually subject to the California Energy Commission Duct Sealing and Testing Requirements. According to the California Energy Commission ("**CEC**"), most California homes have improperly sealed central air conditioning and heating system ducts such that approximately 30 percent of the conditioned air actually leaks outside the home. Effective July 1, 2014, in order to combat this waste of energy and money, the CEC updated its residential duct sealing and testing requirements in the 2013 Building Energy Efficiency Standards (Title 24). Previously, such duct sealing and testing was required only in certain CEC-designated climate zones when a central air conditioner or furnace is installed or replaced. The revised standards now make duct sealing testing mandatory in all California climate zones when such a system is installed or replaced. Ducts found to leak more than 15 percent or more must be repaired. Once a contractor tests and fixes these ducts, a homeowner must have an approved third-party verifier determine that the ducts have been properly sealed. The CEC cautions homeowners that a contractor who fails to obtain a required building permit and fails to test and repair a homeowner's ducts "is violating the law and exposing you to additional costs and liability." If a homeowner does not obtain a permit, a homeowner may be required to bring the homeowner's home into compliance with code requirements for that work and may incur additional penalties and fines that have to be paid prior to selling homeowner's home. A homeowner has a duty to disclose whether the homeowner obtained required permits for work performed to prospective buyers and appraisers. Local governments may mandate more stringent requirements. Please note that there are specific alternatives that allow high efficiency equipment and added duct insulation to be installed instead of fixing duct leaks. Please also be advised that there are separate regulations which govern duct insulation levels required by climate zone and HVAC systems.

8. **Right to Farm Disclosure.** The Community is located in a one (1) mile radius of a parcel of real property designated as "Prime Farmland," "Farmland of Statewide Importance," "Unique Farmland," "Farmland of Local Importance," or "Grazing Land" on the most current "Important Farmland Map" issued by the California Department of Conservation, Division of Land Resource Protection, so the following notice is required:

NOTICE OF RIGHT TO FARM: This property is located within one mile of a farm or ranch land designated on the current county-level GIS "Important Farmland Map," issued by the California Department of Conservation, Division of Land Resource Protection. Accordingly, the property may be subject to inconveniences or discomforts resulting from agricultural operations that are a normal and necessary aspect of living in a community with a strong rural character and a healthy agricultural sector. Customary agricultural practices in farm operations may include, but are not limited to, noise, odors, dust, light, insects, the operation of pumps and machinery, the storage and disposal of manure, bee pollination, and the ground or aerial application of fertilizers, pesticides, and herbicides. These agricultural practices may occur at any time during the 24-hour day. Individual sensitivities to those practices can vary from person to person. You may wish to consider the impacts of such agricultural practices before you complete your purchase. Please be advised that you may be barred from obtaining legal remedies against agricultural practices conducted in a manner consistent with proper and accepted customs and standards pursuant to Section 3482.5 of the Civil Code or any pertinent local ordinance.

9. **Compliance with Civil Code Section 1103, et seq.** In addition to the forgoing natural hazard disclosures, Seller has provided or will provide Buyer with the Natural Hazard Disclosure in compliance with Article 1.7, commencing at Section 1103 of the California Civil Code. The information contained in this Disclosure is not comprehensive and not all natural hazards applicable to the Homesite are discussed herein. This information is only intended to be a starting point for Buyer's investigation, and is not a substitute for Buyer's review of the Natural Hazards Disclosure. Seller does not independently verify the information contained in the Natural Hazards Disclosure and

Seller relied on the Natural Hazard Disclosure in preparing this Disclosure. In the event of a conflict between the information in this Disclosure and the Natural Hazard Disclosure, the Natural Hazard Disclosure shall control.

The Community is expected to be within the following natural hazards pursuant to the Master Property Disclosure Report prepared by First American Natural Hazard Disclosures dated June 14, 2024: (i) an area of potential dam inundation, (ii) a mapped area of Expansive, Subsidive, or Expansive and Subsidive Soil, as determined by the County, (iii) the mapped USACE Comprehensive Study 200-Year Floodplain, as determined by the County, (iv) 1.0 mile of a property zoned to allow commercial or industrial use, (v) in a climate zone where properties are usually subject to duct sealing and testing requirements and (vi) a 1.0 mile radius of designated Important Farmland that requires a statutory "Notice of Right to Farm" be provided. The natural hazards set forth herein are not intended to be a complete list of all of the natural hazards applicable to Buyer's Homesite

10. **Agricultural Uses.** Some of the area around the Community is currently rural in nature and there may be certain agricultural operations, including planting and grazing operations, that Buyer may, depending upon Buyer's sensitivity, find to be an inconvenience or a nuisance. The agricultural operations may generate noise, noxious odors, chemical spraying, dust, irrigation and other potentially detrimental impacts on residential uses. The agricultural uses may also attract birds, waterfowl, insects, rodents and other pests and wild animals. This may, in turn, lead to unwelcome intrusions and byproducts into residential areas from insects, rodents, waterfowl, birds and other animals. Farmers sometimes use raw manure, chemical fertilizers, herbicides, insecticides, and rodenticides, which at times may be offensive to other people, especially sensitive people. Buyer is advised to take the time to drive around the area to ensure that Buyer is satisfied with all agricultural and other uses.

CALIFORNIA STATE LAW PROVIDES AN EXEMPTION OF AGRICULTURAL USERS OF PROPERTY FROM CLAIMS THAT THEY CONSTITUTE A NUISANCE TO ADJACENT RESIDENTIAL AREAS. CALIFORNIA CIVIL CODE SECTIONS 3482.5 AND 3482.6 PROVIDE THAT AGRICULTURAL USES AND ACTIVITIES SHALL NOT BE OR BECOME A NUISANCE AS A RESULT OF CHANGES IN THE LOCALITY [SUCH AS ADJACENT LAND BECOMING RESIDENTIAL] IF THE AGRICULTURAL USE IS PROPERLY CONDUCTED, HAS BEEN IN CONTINUOUS OPERATION FOR AT LEAST THREE YEARS, AND WAS NOT A NUISANCE WHEN IT BEGAN. IF THE PROPERTY BUYER IS PURCHASING IS LOCATED NEAR OR ADJACENT TO AGRICULTURAL LANDS OR AGRICULTURAL OPERATIONS, OR IS INCLUDED WITHIN AREAS USED FOR AGRICULTURAL PURPOSES, BUYER MAY BE SUBJECT TO INCONVENIENCES OR DISCOMFORT ARISING FROM AGRICULTURAL OPERATIONS. SUCH DISCOMFORT OR INCONVENIENCES MAY INCLUDE, BUT ARE NOT LIMITED TO: FROST PROTECTION MEASURES, NOISE, ODORS, FUMES, DUST, SMOKE, INSECTS, OPERATIONS OF MACHINERY (INCLUDING AIRCRAFT), AT ANY HOUR OF THE DAY OR NIGHT, STORAGE OF EQUIPMENT AND MATERIALS NECESSARY FOR NORMAL AGRICULTURAL PRACTICES, SLOW MOVING FARM IMPLEMENTS, AND THE APPLICATION OF SPRAYING OR OTHERWISE OF CHEMICAL FERTILIZERS, SOIL AMENDMENTS (SUCH AS MANURES, COMPOST MATERIALS AND MULCHES), AND PESTICIDES (SUCH AS HERBICIDES, INSECTICIDES AND FUMIGANTS). IF BUYER LIVES NEAR AN AGRICULTURAL AREA, BUYER SHOULD BE PREPARED TO ACCEPT SUCH INCONVENIENCES OR DISCOMFORTS AS A NORMAL AND NECESSARY ASPECT OF LIVING IN A COUNTY WITH A STRONG RURAL CHARACTER AND AN ACTIVE AGRICULTURAL SECTOR.

11. **Prior Agricultural Uses.** The Community is located on or near lands which were previously used for agricultural purposes, including pasture and grazing operations located approximately 500 feet and orchard operations located approximately 0.47 miles from the Community. By reason of such agricultural use, Buyer and other residents within the Community may be subject to dust, noise and odors and may be exposed to pesticides, herbicides, insecticides and other chemicals. By acceptance of a deed to a homesite, Buyer, on Buyer's behalf, and on behalf of the members of Buyer's family, tenants, lessees, guests and invitees, expressly acknowledges and accepts these existing and future impacts and forever waives any and all causes of actions against Seller and its directors, officers, managers, members, employees, agents, representatives and consultants for any damages or injuries which may arise from or relate to any such conditions or risks.

12. **Exterior Noise Attenuation.** Existing and future development and construction in and around the Community (residential, recreational, educational and commercial) will affect noise levels. Noise levels will also be affected by traffic associated with future development and adjustment of existing traffic patterns, construction of new roads, and widening, realignment and/or extension of existing roads. Seller has expended a great deal of time and expense in designing and constructing Buyer's Homesite in an effort to minimize noises and to provide sound attenuation. Despite the extra design and construction efforts, noises and sounds will still be detectable, and Buyer should not assume that the interior of Buyer's Homesite will be completely soundproof. Various types of sounds and noises will be detectable within Buyer's Homesite. The roof, exterior walls and windows of Buyer's Homesite will not completely impede sounds from everyday life (e.g., airplane and traffic noises). Similarly, the walls between rooms and the flooring between the first and second stories of Buyer's Homesite will not completely impede sounds of conversations and activities from family members, guests and animals. In addition, the floors in Buyer's Homesite will not be completely free from noises or squeaks. Additionally, Buyer will hear clicking or popping noises after a bath or shower due to the hot steam expanding the vent pipe in the roof. The noise will gradually dissipate as the pipe cools. Further, a hammering sound may be heard when hot water plumbing fixtures are abruptly turned off. The abrupt closing of the hot water valve causes the water in the pipes to bounce back within the pipes, thus creating the hammering sound. Slowly closing valves is recommended. Noises from heating and air conditioning systems and condensers will be detectable inside and outside the Homesite. Sounds from forced air pipes may be noticeable as the metal vents heat and expand, thus causing a ticking noise. All such noises are unavoidable and beyond Seller's control. Buyer understands that Seller does not warrant complete sound attenuation within Buyer's Homesite nor complete sound attenuation from noises from outside Buyer's Homesite.

13. **Soils Conditions.** In purchasing the Homesite Buyer should review soils reports for the Community and take into consideration the following:

(a) Fill Soil. Some of the homesites in the Community may be constructed on fill soil. All the homesites have been or will be built pursuant to recommendations and inspections of licensed soils and civil engineers to help ensure compliance with the County's requirements. A report certifying the compaction of the fill soils may be available for review in the Welcome Home Center or from the County.

(b) Corrosive Soil. Soils in some areas of the Community may contain naturally occurring concentrations of chloride and sulfate. Soluble sulfates and acidic soils are highly corrosive to buried metals and concrete and should be taken into account in the construction of below grade structures and hardscape. In addition, the use of fertilizers, soil amendments, and landscape irrigation water can also increase the amount of chloride and sulfate in the soil. The chloride and sulfate concentrations in the soils may over time cause the soils to become corrosive to metal, concrete and other materials, and may result in the corroding of metal pipes or fittings or concrete in contact with these soils. Thus, Buyer must use the proper type of cement and water-to-cement ratio for the level of sulfates or acidity that exists on Buyer's Homesite. The foundations and slabs constructed by Seller have been designed with these soils conditions in mind. Buyer understands, acknowledges and accepts that over-watering soil will exacerbate the corrosivity of the soil. Buyer should inform contractors, engineers and/or architects of this potential condition to allow them to use appropriate measures to combat the effects of corrosive soil on buried metals, below grade structures and hardscape.

(c) Expansive Soil. The soil in the Community may be composed of materials that have "expansive" characteristics. Buyer should perform soils testing, use special construction techniques and take precautions when constructing new improvements or modifying existing improvements because the soil expands when it is wet and can cause improvements to lift and crack. Buyer should consider the impacts expansive soil may have on improvements before installing or modifying improvements on the Homesite. Buyer should pay special attention when designing and constructing concrete and masonry improvements such as masonry walls and planters, concrete slabs, pools, patios, spas and decking. For example, steel reinforcing bars may be required in lieu of steel mesh in concrete patio slabs. Block walls may require extra horizontal and vertical steel reinforcing bars. Pools and spas located at or near the top or bottom of a slope or on expansive soils may require special design and construction methodology.

(d) Rocky Soils. The soil on some of the homesites may contain large subterranean rocks and boulders. In addition, flat rear areas at the tops of slopes may have been used during rough grading of the Community for the deposit and burial of large boulders and other rocks that were uncovered during the grading process. Such areas are therefore subject to severe limitations in regard to any ability of the Owners to do any excavation or construction of improvements therein. Consequently, the installation of pools, spas, landscaping, and other improvements which require digging, trenching, or other excavation may be extremely expensive, or not feasible, due to the possibility of encountering buried rocks and having to remove them or take other alternative actions. The costs of digging, trenching or other excavation and/or the removal of all rocks to accommodate the construction of such improvements shall be Buyer's sole responsibility. Planted material may not grow properly due to the presence of rocky soils. Blasting to clear subterranean rock is PROHIBITED.

(e) Groundwater. Groundwater may be located four (4) feet to thirteen (13) feet below the surface. The depth of the groundwater could impact soils conditions in the Community. Buyer is encouraged to consult with a licensed soils engineer regarding the groundwater in the Community before installing improvements on the Homesite.

(f) Soils Experts. Before completing a pool or spa or any patio, concrete or other hardscape on the Homesite, Buyer should consult with a licensed soils engineer to ensure that such work is constructed correctly in light of current soils conditions in the Community. Although consulting with a soils expert may add substantially to the cost of installation of improvements, failure to do so may result in significant breaking, lifting, separating, tilting and/or cracking in improvements and the Homesite.

(g) Slope Areas. If Buyer's Homesite includes a slope, Buyer will be required to maintain the slope at Buyer's expense. If Buyer's Homesite is adjacent to or near the bottom of a slope or if drainage otherwise flows onto Buyer's Homesite, then Buyer is required to accept that drainage and is not permitted to obstruct the flow of that drainage or avert it away from Buyer's Homesite or otherwise alter the flow of that drainage in any manner that will have any effect on Buyer's neighbors. Buyer will be solely responsible for proper irrigation, landscape maintenance, and control of burrowing animals on all slope areas on the Homesite. Drains, down drains, and any other slope drainage device shall be Buyer's responsibility to maintain and keep clear of obstructions which could block the flow of water. Maintenance should be performed on a regular basis and necessary corrections made prior to each rainy season.

14. **Proposition 65**. The Safe Drinking Water and Toxic Enforcement Act of 1986, also known as "**Proposition 65**," requires that all businesses (including Seller) provide "clear and reasonable" methods of warning to Buyer of the potential hazards associated with exposure to certain chemicals from products and the environment. As of August 1, 2018, the State of California has listed approximately 900 chemicals known to the State of California to cause cancer, birth defects and/or other reproductive harm. Buyer hereby acknowledges that at the time Buyer executes the purchase agreement, Seller has posted, in a conspicuous location in the Welcome Home Center:



WARNING: Entering this area can expose you to chemicals known to the State of California to cause cancer and birth defects or other reproductive harm, including benzene, from construction materials. For more information go to www.P65Warnings.ca.gov.



NOTICE: Some furniture products can expose you to chemicals known to the State of California to cause cancer and/or birth defects or other reproductive harm. Please check the product label for warning information.

For more information go to www.P65Warnings.ca.gov.

This signage is intended to notify Buyer of the potential chemicals that Buyer may be exposed to when Buyer purchases a homesite from Seller. In addition to the foregoing, Buyer hereby acknowledges that Buyer has reviewed and understands the following consumer product warning regarding the Homesite Buyer is purchasing as required by Proposition 65:

 **WARNING:** This product can expose you to chemicals including benzene, which are known to the State of California to cause cancer and birth defects or other reproductive harm. For more information go to www.P65Warnings.ca.gov.

References to "product" are intended to comply with the terms used in the Proposition 65 regulations. Since Seller is selling a homesite to Buyer, references to a "product" in this case mean the residence which Buyer is purchasing.

15. **Hazardous Substances.** Buyer should be aware that residential construction involves the use of construction materials, which may contain hazardous substances. Some of these hazardous substances have been identified as "known to the State of California to cause cancer or reproductive harm." In many cases, hazardous substances are encapsulated or cured prior to occupancy, resulting in negligible exposures. In other cases, there may be low level emissions of hazardous substances from newly installed materials resulting in small but measurable exposures. Formaldehyde, an essential component of lumber products and other construction materials used widely in contemporary residential construction, is known to be present in low concentration in new houses. In addition, the aging process of the soil and other elements by nature, as well as building materials developed by man, may create unwanted and undesired gases and other contaminants in homes, both new and used. Also, since energy conservation has become a concern, the stricter standards for the State of California have resulted in tighter homes (i.e., homes with fewer and smaller air gaps), which trap these unwanted gases in different degrees depending on how each person lives within a home.

To date, measurements of such unwanted gases (such as radon) are reported as small fractions of the air these gases occupy. In most cases the measurements are translated to "parts per million" or "parts per billion." Since the quality of air we breathe can affect our health, Seller recommends frequent airing of the Homesite by simply opening windows to introduce outside air and to allow release of indoor air. Other helpful air transfer methods are also available such as circulating systems using outside air intake.

(a) Formaldehyde. According to information provided by the California Building Industry Association ("**CBIA**"), state and federal governmental agencies have tested the indoor air of certain homes in California for the presence of formaldehyde. Formaldehyde is present in the air because it is emitted by many building materials and home products. These materials and products include carpeting, pressed wood products, insulation, plastics and glues. Most homes that were tested contained formaldehyde, which may present significant health hazards, including significant cancer risk. Formaldehyde has been shown to cause tumors in rodent tests and may be irritating to sensitive humans at levels higher than normally found in new construction. The homesites in the Community have not been tested by Seller for the presence of formaldehyde. Given the cost of testing, it is not feasible to test every homesite to ascertain the level of formaldehyde present. According to information provided by the CBIA, the concentration of formaldehyde varies from homesite to homesite with no obvious explanation for the differences. One reason for the uncertainty about this variation is that many material suppliers and manufacturers do not provide information on the chemical ingredients they use to manufacture their products. If Buyer has questions about the presence of formaldehyde in Buyer's Homesite, Seller will, upon request, provide Buyer with a list of the known material suppliers so that Buyer may contact them directly. Seller has no specific information regarding the presence of formaldehyde in the homesites in the Community and makes no representations regarding presence or absence of formaldehyde.

(b) Radon. Seller has no information regarding the potential for radon gas in the Community or surrounding area and makes no representations regarding presence or absence of radon gas.

(c) Chlorinated Poly Vinyl Chloride ("**CPVC**"). Pipes made of CPVC are and have been widely used in potable water systems, and some or all water pipes in Buyer's Homesite may be made of CPVC materials. Seller is presently unaware of any detrimental effects on the health of persons related to the use of CPVC water systems.

(d) Smoke and Carbon Monoxide Detectors. The State of California requires that all new dwelling units contain smoke detectors in all sleeping rooms and at a point centrally located in the corridor or area giving access to the sleeping rooms. Further, the code requires that these smoke detectors be hard-wired into the building's primary source of power and must have a battery back-up. Smoke detectors will be appropriately installed in Buyer's Homesite. Additionally, the State of California requires that all single-family homes be equipped with carbon monoxide detectors if the property has a fossil fuel burning appliance, fireplace and/or an attached garage. Carbon monoxide is an extremely toxic gas that is colorless, tasteless and odorless. It is the byproduct of incomplete combustion of carbon fuels in heaters, furnaces and gas stoves and ovens. Because it is impossible to see, taste or smell the toxic fumes, carbon monoxide can incapacitate or kill people and animals before its presence is detected in the home. Carbon monoxide is heavier than air and accumulates in lower areas of homes. Therefore, carbon monoxide detectors will be installed at mid-level on walls rather than at the top of walls or on ceilings in Buyer's Homesite. Buyer is obligated to maintain the lawful, working condition of the smoke detectors and carbon monoxide monitors installed in the Homesite.

16. **Mold and Mildew.**

What is Mold? Mold is a type of fungus which occurs naturally in the environment and is necessary for the natural decomposition of plant and other organic material. It spreads by means of microscopic spores borne on the wind and is found everywhere life can be supported. Residential home construction is not, and cannot be, designed to exclude mold spores. If the growing conditions are right, mold can grow in Buyer's Homesite. Most owners are familiar with mold growth in the form of bread mold, and mold that may grow on bathroom tile.

In order to grow, mold requires a food source. This might be supplied by items found in the home, such as fabric, carpet or even wallpaper, or by building materials, such as drywall, wood and insulation, to name a few. Also, mold growth requires a temperate climate. The best growth occurs at temperatures between 40°F and 100°F. Finally, mold growth requires moisture. Moisture is the only mold growth factor that can be controlled in a residential setting. By minimizing moisture, an owner can reduce or eliminate mold growth.

Moisture in the Homesite can have many causes. Spills, leaks, overflows, condensation, and high humidity are common sources of homesite moisture. Good housekeeping and homesite maintenance practices are essential in the effort to prevent or eliminate mold growth. If moisture is allowed to remain on the growth medium, mold can develop within 24 to 48 hours.

Should Buyer be concerned about mold in Buyer's Homesite? All mold is not necessarily harmful, but certain strains of mold have been shown to have adverse health effects in susceptible persons. The most common effects are allergic reactions, including skin irritation, watery eyes, runny nose, coughing, sneezing, congestion, sore throat and headache. Individuals with suppressed immune systems may risk infections. Some experts contend that mold causes serious symptoms and diseases which may even be life threatening. However, experts disagree about the level of mold exposure that may cause health problems, and about the exact nature and extent of the health problems that may be caused by mold. The Center for Disease Control states that a causal link between the presence of toxic mold and serious health conditions has not been proven.

What Buyer can do. Buyer can take positive steps to reduce or eliminate the occurrence of mold growth in the Homesite, and thereby minimize any possible adverse effects that may be caused by mold. The steps include the following:

- (a) Before bringing items into the Homesite, check for signs of mold. Potted plants (roots and soil), furnishings, or stored clothing and bedding material, as well as many other household goods, could already contain mold growth.
- (b) Regular vacuuming and cleaning will help reduce mold levels. Mild bleach solutions and most tile cleaners are effective in eliminating or preventing mold growth.
- (c) Buyer should keep the humidity in the Homesite low. Buyer should vent clothes dryers to the outdoors and ventilate kitchens and bathrooms by opening the windows, by using exhaust fans, or by running the air conditioning to remove excess moisture in the air, and to facilitate evaporation of water from wet surfaces.
- (d) Buyer should promptly clean up spills, condensation and other sources of moisture and should thoroughly dry any wet surfaces or material. Buyer should not let water pool or stand in Buyer's Homesite. Buyer should promptly replace any materials that cannot be thoroughly dried, such as drywall or insulation.
- (e) Buyer should inspect for leaks on a regular basis. Buyer should also look for discolorations or wet spots and repair any leaks promptly. Buyer should inspect condensation pans (refrigerators and air conditioners) for mold growth and take notice of musty odors and any visible signs of mold.
- (f) Should mold develop, Buyer should thoroughly clean the affected area with a mild solution of bleach. First, Buyer should test to see if the affected material or surface is color safe. Porous materials, such as fabric, upholstery or carpet should be discarded. Should the mold growth be severe, Buyer should call on the services of a qualified professional cleaner.

A copy of an information sheet prepared by the California Department of Public Health is available from the following link:

https://www.cdph.ca.gov/Programs/CCDCPHP/DEODC/EHIB/CPE/CDPH%20Document%20Library/Mold/MMIMH_English.pdf

There may also be other sources of information on mold.

Whether Buyer will experience mold growth depends largely on how Buyer manages and maintains Buyer's Homesite. Buyer will need to take actions to prevent conditions which cause the mold or mildew. This is part of the responsibility of home ownership. Buyer agrees to assume responsibility for following the recommendations set forth above and in the Mold Information Sheet. Buyer further acknowledges that if there is any water damage or water intrusion to Buyer's Homesite, Buyer will take immediate action to prevent conditions which cause mold or mildew to develop.

Buyer acknowledges and agrees that Seller will not be liable for any actual, special, incidental or consequential damages based on any legal theory whatsoever, including, but not limited to, strict liability, breach of express or implied warranty, negligence or any other legal theory with respect to the presence and/or existence of molds, mildew and/or microscopic spores unless caused by the sole negligence or

willful misconduct of Seller. Buyer, on behalf of itself and its family members, tenants, invitees and licensees, hereby releases Seller and Seller's officers, directors, partners, managers, members, successors and assigns from and against any and all claims, actions, damages, causes of actions, liabilities and expenses (including without limitation, attorneys fees and costs and costs of enforcing this indemnity) for property damage, injury or death resulting from the exposure to microscopic spores, mold and/or mildew and from any loss of resale value due to the presence and/or existence of mold, mildew and/or microscopic spores, provided, however, that in no event is Buyer releasing Seller as a result of the presence and/or existence of mold, mildew and/or microscopic spores if caused by the sole negligence or willful misconduct of Seller. It is the responsibility of each owner to ensure that it has taken the necessary precautions to prevent mold from becoming a problem in such owner's home.

17. **Notice of Access to Database Regarding the Location of Sex Offenders.**

Notice: Pursuant to Section 290.46 of the Penal Code, information about specified registered sex offenders is made available to the public via an Internet Web site maintained by the Department of Justice at www.meganslaw.ca.gov. Depending on an offender's criminal history, this information will include either the address at which the offender resides or the community of residence and ZIP Code in which he or she resides.

Prior to the purchase of a homesite in the Community, Buyer may research the database to determine whether there are sex offenders in the area. Seller makes no representations, warranties, or guarantees regarding the presence or absence of registered sex offenders within the Community or in the surrounding area. Seller has no obligation or duty to investigate existing residents or buyers to determine whether they are sex offenders. Buyer is solely responsible for making Buyer's own investigation. For further information, please contact Buyer's local law enforcement agency. Most law enforcement agencies have special stations to view the Megan's Law database.

TAXES/ASSESSMENTS

1. **Property Taxes.** Buyer's purchase of the Homesite constitutes a "change in ownership" for real property tax assessment purposes, which will trigger a reassessment of the Homesite by the County Tax Assessor ("**Assessor**"). This will result in a real property tax increase based upon the purchase price effective as of the close of escrow. Shortly after the close of escrow, Buyer will receive a supplemental real property tax bill ("**Supplemental Assessment**") from the Assessor covering the tax increase for the period from the close of escrow to the following June 30. Buyer acknowledges that neither Seller nor any of Seller's New Home Consultants have made any representations or warranties respecting the amount of the Supplemental Assessment, the assessed value or future property taxes. Should Buyer have any questions or concerns relating to the Supplemental Assessment or other property tax matters, Buyer is advised to consult with the County Assessor or Buyer's legal or other advisors. Pursuant to Civil Code Section 1102.6c, Seller is providing this "Notice of Your 'Supplemental' Property Tax Bill:"

**NOTICE OF YOUR
'SUPPLEMENTAL' PROPERTY TAX BILL**

California property tax law requires the Assessor to revalue real property at the time the ownership of the property changes. Because of this law, you may receive one or two supplemental tax bills, depending on when your loan closes. The supplemental tax bills are not mailed to your lender. If you have arranged for your property tax payments to be paid through an impound account, the supplemental tax bills will not be paid by your lender. It is your responsibility to pay these supplemental bills directly to the Tax Collector. If you have any questions concerning this matter, please call your local Tax Collector's Office.

2. **Property Transfer Tax.** Title fees, escrow fees, any and all documentary and property transfer taxes and certain miscellaneous processing fees charged by escrow will be paid entirely by Buyer and will appear on Buyer's final closing statement. Please contact Seller's New Home Consultant regarding the estimated amount of these costs.

BUYER IS ADVISED THAT THE INFORMATION REGARDING REAL ESTATE TAXES, ASSESSMENTS AND FEES IS PROVIDED AS AN ESTIMATION AND GUIDELINE ONLY AND IS NOT INTENDED TO REPLACE EVENTUAL PROPERTY TAX BILLINGS. THESE AMOUNTS MAY CHANGE AT ANY TIME AND SHOULD BE CONFIRMED WITH THE COUNTY TAX ASSESSOR'S OFFICE. FURTHERMORE, PROPERTY TAXES CAN BE INCREASED OR DECREASED DUE TO CHANGES IN STATE AND LOCAL LAWS.

3. **Special Tax and Assessment Districts.** Buyer will take title to the Homesite subject to any taxes, assessments, mill levies, development fees, maintenance fees or other charges ("**District Taxes**") arising by reason of the inclusion of the Homesite in any special improvement districts, metropolitan districts, fire protection districts, recreation and park districts, water and sanitation districts, school districts, community facilities districts, and/or other special taxing districts or municipalities providing services established in connection with the development of the Community and/or surrounding area. The Community or portions of the Community may be annexed to other assessment and/or special tax districts from time to time in the future. The amount of District Taxes applicable to a homesite is determined by certain criteria established for the special tax (e.g. number of lots, lot size, square footage, etc.), and the amount of District Taxes may also vary from homesite to homesite within the Community, even if such homesites are similar in appearance or location. Buyer will be responsible for paying such District Taxes as well as all District Taxes that may be assessed from time to time by such districts or that may hereafter be assessed by reason of the Homesite's inclusion in a district. Seller will provide Buyer with one or more separate tax

disclosures containing a more complete description of the various District Taxes that public records show will be levied against the Homesite. Buyer should consult the County Assessor's office for further information regarding District Taxes affecting the Homesite. Buyer should refer to the separate individual Property Tax Disclosure Report and/or any separate tax disclosures provided to Buyer by Seller concerning assessment and special tax districts affecting Buyer's Homesite and the estimated amount of such assessments for Homesite for the tax year covered by the Property Tax Disclosure Report. **Buyer should be aware that portions of the Community may be in different special tax districts. Such districts are based on tract number, not the name of the neighborhood or Community. Buyer should carefully review the Property Tax Disclosure Report to understand the specific special tax districts applicable to the Homesite.**

Pursuant to the Master Property Tax Disclosure Report dated July 2, 2024, the Community, or portions thereof, are expected to be subject to the following special tax districts: (i) Community Facilities District No. TBD (Public Facilities), (ii) Community Facilities District No. TBD (Public Services), (iii) Lammersville Joint Unified School District CFD No. TBD, (iv) San Joaquin County Groundwater Investigation District, (v) San Joaquin County Mosquito Abatement District, (vi) San Joaquin County Mosquito & Vector Control Benefit Assessment, (vii) Mountain House CSD 96-1 (Road & Admin), (viii) Mountain House CSD 96-2 (Public Safety), (ix) Mountain House CSD 96-3 (Parks & Rec), (x) Mountain House CSD 96-4 (Public Works) and (x) San Joaquin County Service Area #53. The District Taxes set forth herein are not intended to be a complete list of all the taxes applicable to Buyer's Homesite.

Buyer is encouraged to carefully review the Property Tax Disclosure Report and any other tax disclosures provided by Seller to understand the property taxes applicable to the Homesite, the purposes of such special tax districts, the estimated amounts of taxes and who to contact with questions about the special tax districts, among other things. If Buyer has questions about any of the special tax districts, Buyer should contact the party listed in the Property Tax Disclosure Report or other separate tax disclosures provided by Seller. Buyer should also consult the County Assessor's office for further information regarding District Taxes affecting the Homesite. In the event of a conflict between the Property Tax Disclosure Report or separate tax disclosures and the information contained in this Disclosure, the Property Tax Disclosure Report or separate tax disclosure shall control.

4. **Federal Withholding Tax.** The Foreign Investment in Real Property Tax Act ("**FIRPTA**"), Internal Revenue Code Section 1445, requires every buyer of U.S. real property to deduct and withhold from a seller's proceeds a percentage of the sales price unless an exemption applies. One exemption, which excuses the requirement to withhold, is the providing by a seller to a buyer of an affidavit under penalty of perjury stating that Seller is not a "foreign person." In this regard, at close of escrow, Seller agrees to furnish Buyer with such an affidavit. This affidavit will also serve as an exemption for purposes of California Revenue and Taxation Code Section 18805 which would otherwise also require Buyer to deduct and withhold an additional tax equal to one-third of the amount required to be withheld under Section 1445.

5. **State Withholding Tax.** California Revenue and Taxation Code Sections 18805 and 26131 require a buyer of real property to withhold California income taxes from escrow funds under certain circumstances. Seller hereby warrants and represents to Buyer and escrow holder that Buyer is NOT required to withhold taxes in connection with this transaction since all the conditions that are necessary for these codes to be applicable have not been met. However, prior to close of escrow, Seller shall deposit into escrow, Seller's Affidavit of Non-Resident Status and escrow holder shall deliver a copy of same to Buyer prior to close of escrow.

6. **Preliminary Change of Ownership Statement.** In accordance with California Revenue and Taxation Code Sections 480.3 and 480.4, effective July 1, 1985, all deeds and other documents, when presented for recordation, that reflect a change of ownership must include a Preliminary Change of Ownership Report ("**Report**"). Said Report is to be furnished to escrow holder by Buyer prior to the close of escrow and attached to required documents for delivery to the County recorder. Should said Report not be submitted to escrow holder for submission with the documents as called for or should said form be rejected by the County recorder for any reason whatsoever (i.e., missing information), escrow holder will charge Buyer and pay the County recorder a service charge as required by said governmental agency. Escrow holder is not to be further concerned with said Report. Buyer understands Buyer is responsible to inform the Assessor's office of all upgrades added to the Homesite, including options and flooring via the Preliminary Change of Ownership form.

ADDITIONAL DISCLOSURES

1. **Assumption of Risk and Liability.** By initialing and executing this Disclosure, Buyer assumes all risk and liability for injuries to persons and property that may be sustained by Buyer, members of Buyer's family and Buyer's guests and invitees by reason of all conditions or circumstances disclosed in this Disclosure.

2. **Warranty and Limitations of Liability.** Seller has provided a limited warranty ("**Limited Warranty**") for Buyer's Homesite against certain defects in the original materials and workmanship for one year from the Commencement Date as set forth in Buyer's Limited Warranty. The Limited Warranty is given to Buyer in place of and in lieu of all other warranties or guarantees, written or oral, whether expressed or implied, except those given by others which shall be in force according to their own terms. The manufacturers' warranties for the consumer products included in Buyer's Homesite (e.g., water heater, air conditioning system, dishwasher, garbage disposal and other household appliances) are available for review in the Welcome Home Center. Buyer should carefully review Buyer's Limited Warranty. Seller will provide Buyer with important recommendations on the proper maintenance of improvements to Buyer's Homesite. Failure to properly maintain such improvements may cause premature deterioration of important features, finishes and/or equipment. Seller is not responsible for failure of equipment or other improvements caused by Buyer's failure to properly maintain such equipment and/or improvements. In addition, Buyer acknowledges that certain upgrade materials, if any, selected by Buyer may have specific maintenance requirements, and that Seller will not be responsible for any damages that may occur to such

materials due to Buyer's failure to properly maintain them.

3. **REPRESENTATIONS AND WARRANTIES.** IT IS UNDERSTOOD AND AGREED THAT THERE HAVE BEEN NO REPRESENTATIONS OR INDUCEMENTS MADE TO BUYER, EXCEPT THOSE SET FORTH IN THIS DISCLOSURE AND/OR IN THE PURCHASE DOCUMENTS, AND THAT NO REPRESENTATION, PROMISE OR WARRANTY HAS BEEN MADE BY SELLER OR ANY AGENT, NEW HOME CONSULTANT OR REPRESENTATIVE OF SELLER. SPECIFICALLY, WITHOUT LIMITATION, NEITHER SELLER NOR ANY AGENT, NEW HOME CONSULTANT OR REPRESENTATIVE OF SELLER HAS MADE ANY REPRESENTATION, PROMISE OR WARRANTY AS TO: (I) THE INVESTMENT POTENTIAL OF THE HOMESITE; (II) THE CONTINUED EXISTENCE OF ANY VIEW FROM THE HOMESITE; (III) FUTURE TRAFFIC PATTERNS IN ANY AREA ADJACENT TO BUYER'S HOMESITE; OR (IV) THE FUTURE DEVELOPMENT OF THE COMMUNITY OR ANY AREAS ADJACENT TO THE COMMUNITY, INCLUDING, BUT NOT LIMITED TO, ANY REPRESENTATION, PROMISE OR WARRANTY AS TO WHETHER SUCH AREAS WILL BE DEVELOPED OR AS TO THE (A) SALES PRICE, (B) METHODS OF MARKETING AND SALE, (C) LEASING, (D) PRODUCT TYPE (I.E., SINGLE FAMILY DETACHED, CONDOMINIUMS, ETC.) AND DENSITY, (E) LOT/CONDOMINIUM SIZE, (F) ARCHITECTURAL DESIGN, (G) ELEVATIONS, (H) PROPERTY CONFIGURATION, (I) BUILDING MATERIAL AND COST, OR (J) USE (I.E., RESIDENTIAL, COMMERCIAL OR INDUSTRIAL) OR ANY DEVELOPMENT OF ANY OF SUCH AREAS. BUYER AGREES THAT SELLER SHALL HAVE COMPLETE DISCRETION AS TO THE MATTERS SET FORTH IN THE PRECEDING SENTENCE (SUBJECT, HOWEVER, TO APPLICABLE GOVERNMENTAL REQUIREMENTS).

VISITING THE COMMUNITY BEFORE MOVE-IN

If Buyer wishes to visit the Community and the Homesite before Buyer moves in, Buyer must first obtain the permission of Seller by making a request to Seller's New Home Consultant. Buyer's Homesite is located within a construction area and construction sites are potentially dangerous. That is why, for Buyer's own safety, Buyer will not be permitted to visit the Community or Buyer's Homesite without the prior permission of Seller and without being accompanied by Seller's New Home Consultant, or another authorized representative of Seller at all times during Buyer's visit. Seller requests that such visits be limited to non-construction hours.

By signing this Disclosure, Buyer acknowledges that there are numerous risks associated with visiting the Community and/or the Homesite during construction including without limitation, open trenches, construction traffic, potential falling debris, exposed nails and electrical wiring, incomplete construction and certain other potential hazards and Buyer agrees to use due care during such a visit. As a material inducement to Seller to allow Buyer to visit the Community and/or the Homesite while it is under construction, Buyer hereby agrees, as demonstrated by Buyer's signature below, that Buyer will comply with all procedures and requirements imposed by Seller for such a visit, that Buyer will proceed at Buyer's own risk and that Buyer releases and waives any claims against Seller and all of its affiliates, parent and subsidiary companies, officers, directors, managers, members, employees, attorneys, assigns and any and all other persons or entities that could be potentially liable to Buyer concerning, in connection with, relating to, or as a result of Buyer's visit to the Community and/or the Homesite while under construction. In addition, when Buyer arrives at the Community, Buyer may be required to sign a separate waiver and release of claims ("**Waiver**"). Regardless of whether Buyer signs the Waiver, Buyer's signature below demonstrates that Buyer agrees to proceed at Buyer's own risk and to release Seller of any liability, as stated herein.

ENTIRE DISCLOSURE; NO OTHER REPRESENTATIONS

NO NEW HOME CONSULTANT, EMPLOYEE OR AGENT OF SELLER HAS THE AUTHORITY TO MAKE ANY REPRESENTATION TO BUYER WHICH CONTRADICTS OR MODIFIES THE MATTERS AND INFORMATION SET FORTH IN THIS DISCLOSURE, THE PURCHASE AGREEMENT OR ANY OTHER WRITTEN DISCLOSURE PROVIDED BY SELLER IN CONNECTION WITH THE PURCHASE OF A HOMESITE IN THE COMMUNITY (COLLECTIVELY, THE "**DISCLOSURE DOCUMENTS**"). BUYER ACKNOWLEDGES THAT NO REPRESENTATIONS HAVE BEEN MADE TO BUYER BY SUCH PERSONS OTHER THAN AS SET FORTH IN THE DISCLOSURE DOCUMENTS AND UPON WHICH BUYER HAS RELIED IN CONNECTION WITH THE PURCHASE OF THE HOMESITE.

RELEASE AND INDEMNITY REGARDING DISCLOSURES

With respect to items of information disclosed to Buyer in this Disclosure or in any Disclosure Documents provided by Seller (collectively, "***Disclosure Items***"), Buyer acknowledges receipt of adequate consideration, and based thereon Buyer agrees that Buyer releases, waives and will not make any claims against Seller for alleged incomplete Disclosure Items if such items are disclosed or such information is readily available to Buyer, or for personal injury, property damage, expenses (including attorney fees and costs) and other damages Buyer experiences from the alleged incomplete disclosure of Disclosure Items. Buyer also agrees that Buyer will indemnify and hold Seller, and all of its affiliated entities, officers, directors, managers, members, agents and assigns, harmless from all such claims by Buyer in the event that Buyer brings a claim or action described above against Seller and Buyer is not the prevailing party in such claim or action.

Buyer Initials

Buyer Initials

**LUGANO AT LAKESHORE, MAGGIORE AT LAKESHORE, MEZZANO AT LAKESHORE AND
TURANO AT LAKESHORE**

HOMEBUYER DISCLOSURE STATEMENT

BUYER ACKNOWLEDGMENT

By the signatures below, Buyer acknowledges that Buyer will close escrow with full knowledge, understanding and agreement as to all of the information contained in this Disclosure, and that this Disclosure constitutes a part of the terms of Buyer's Homesite purchase.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

Lot No. 91 of Tract No. 3968 Mountain House, Neighborhood J, Unit No. _____

SOLAR ENERGY SYSTEM ADDENDUM - GAF ENERGY

This **SOLAR ENERGY SYSTEM ADDENDUM - GAF ENERGY** (this "**Addendum**") is executed in conjunction with and, by this reference, incorporated into the Purchase Agreement and Deposit Receipt and Escrow Instructions (the "**Purchase Agreement**") dated as of the seventh day of September, 2025, between (collectively, the "**Buyer**") and Seller, as defined in the Purchase Agreement, respecting Lot No. 91 of Building No. N/A of Tract No. 3968 in the City of Mountain House, County of San Joaquin, State of California, in the community known as Turano at Lake Shore (the "**Property**").

1. **Defined Terms.** All initially capitalized terms not defined herein shall have the same meanings set forth in the Purchase Agreement, and all references in this Addendum to the Purchase Agreement shall be deemed to include references to this Addendum and any other addenda and riders attached to the Purchase Agreement, which are hereby incorporated by this reference.

2. **Solar Energy System Description.** Subject to Section 11 below, the Property will be equipped with a solar energy system (the "**System**") that includes the following components (where checked):

- ☒ A rooftop photovoltaic system ("**Solar System**") with rackmounted components that convert solar energy to electricity ("**Solar System Components**")
- ☐ An energy shingle system ("**Solar System**") with components that convert solar energy to electricity ("**Solar System Components**")
- ☒ An energy storage system ("**Battery System**") with battery components that store electricity for use in the Property ("**Battery System Components**"), along with certain fixtures related to these components.

Together, the applicable system components are the "**System Components**".

3. **Solar Energy System Election.** Buyer must elect to either (a) lease the System Components by entering into a solar lease agreement (the "**Solar Lease**") with the System Owner (defined below) or (b) purchase the System Components from System Owner by entering into a solar equipment purchase agreement ("**Solar Purchase Agreement**") and paying for the System Components by and through the Close of Escrow. The terms of the Solar Lease and the Solar Purchase Agreement are contained in separate written agreements between Buyer and GAF Energy LLC, a Delaware limited liability, and its successors and assigns ("**System Owner**"). Seller is not a party to the Solar Lease or the Solar Purchase Agreement. To consummate Buyer's purchase of the Property, Buyer must make an election to either execute the Solar Lease or purchase the System Components by executing the Solar Purchase Agreement no later than the Election Date defined in Section 6 below.

4. **Solar Lease.**

4.1 **Lease Payment.** As set forth in the Solar Lease, the Solar Lease is a lease of the System Components between System Owner (who retains ownership of the System Components) and Buyer as the Property owner, in which (i) Buyer agrees to permit System Owner to operate, maintain and repair the System Components within and on the roof of the Property, and (ii) Buyer agrees to pay a fixed, monthly payment (the "**Lease Payment**") in consideration for the System Owner leasing the System Components to Buyer and providing Buyer with all of the electricity generated by the Solar System ("**Generated Electricity**") for a twenty-five (25) year term, unless otherwise agreed to with System Owner. Local law may entitle Buyer to credits or payments from the local electric utility for the Generated Electricity. Buyer will be responsible for executing and complying with any agreements or other documents with the local electric utility in order to obtain such credits and payments for Buyer's own account. Regardless of Buyer's participation in such a program, Buyer will be responsible for making the Lease Payment to System Owner each month.

4.2 **Resale.** Under the Solar Lease, if Buyer later wants to sell the Property within the term of the Solar Lease, Buyer will be required to take one of the following actions at the time of sale and notify System Owner in writing of the action: (a) Buyer and the resale buyer must, without penalty, enter into an agreement to assign the Solar Lease to the resale buyer who agrees to assume the Solar Lease obligations, for the remaining balance of the 25 year term; or (b) Buyer or the resale buyer of the Property must purchase the System Components for the fair market value calculated at the time of the resale transaction in accordance with the Solar Lease (the "**System Price**").

4.2.1 **Possible Impacts of Solar Lease on Resale of Property.**

In the event the resale buyer of Buyer's Property does not agree to the assignment of the Lease and to the assumption of the Solar Lease obligations, the cost of purchasing the System Components at that time may make the resale of the Property more difficult, and will impact the total purchase price and/or proceeds of the sale, depending on whether Buyer or the resale buyer is responsible for the System Price.

If the System Components are not purchased by either Buyer or the resale buyer, the System Components will remain the personal property of System Owner and will not be a "fixture" of the

Property. Although one cannot predict what consideration a property appraiser will give to a system that includes personal property of System Owner when appraising the Property, such System Components should not be included as part of the real property in any such appraisal of the Property and may not add to the value of the Property upon refinancing or sale. So long as System Owner remains the owner of the System Components, there will be recorded easements or similar recorded documents and a uniform commercial code (UCC) statement affecting title to the Property that discloses to all interested parties that the System Components are the personal property of System Owner and that System Owner may have the right to remove the System Components upon termination of the Solar Lease.

4.3 Options at Expiration of the Term of Solar Lease. At the expiration of the term of the Solar Lease, Buyer will have the option to complete forms provided by System Owner to: (a) purchase the System Components for the fair market value of the System Components described in the Solar Lease; (b) extend the term of the Solar Lease for up to an additional five (5) years; or (c) terminate the Solar Lease and have System Owner remove the System Components from the Property and restore the affected portion of the Property roof, as described in the Solar Lease. If Buyer does not timely complete such forms, the Solar Lease will continue on a year-to-year basis.

4.4 Option to Purchase at Any Time. Buyer also has the option to purchase the System Components at any time during the Term of the Solar Lease. The System Price will be the System Components' fair market value as described in the Solar Lease.

4.5 System Owner and Buyer Obligations. System Owner under the Solar Lease will be responsible for the maintenance and repair of the System Components as further provided in the Solar Lease. Buyer will be responsible for (a) promptly notifying the System Owner of any problems with the System Components, (b) maintaining electrical connections for the ongoing monitoring of the System Components, and maintaining a working internet connection and a router with an available port for such monitoring unless the Property is located in an area with cellular service that System Owner determines to be reliably functional for System Owner's remote monitoring, (c) keeping all trees, other vegetation and any other obstructions from overshadowing or blocking the Solar System's access to sunlight, and (d) the costs of repairing any damage to the System Components caused by Buyer, Buyer's guests or other invitees. If Buyer fails to make Lease Payments or otherwise fails to perform Buyer's other obligations under the Solar Lease, Buyer may have to pay certain fees to the System Owner and will be subject to additional remedies as set forth in the Solar Lease.

4.6 Recorded Solar Instruments. As long as the System Owner remains the owner of the System Components, the following documents may be recorded to protect System Owner's rights under the Solar Lease: (a) grant of easements for solar (the "**Solar Easement**"); (b) Notice of an Independent Solar Energy Producer Contract (the "**Solar Notice**") that describes the Solar Lease; and (c) a UCC-1 Financing Statement to provide notice of System Owner's ownership, as personal property, of the System Components. Buyer agrees to pay, as a closing cost, the fees charged by the County Recorder to record these documents.

5. Purchase of System Components.

5.1 Purchase from System Owner. If Buyer elects to purchase the System Components from System Owner by entering into the Solar Purchase Agreement, the System Components' purchase price is to be paid to System Owner in funds deposited before the Close of Escrow (unless System Components' installation is delayed past Close of Escrow). **Buyer acknowledges, however, that if Buyer finances the purchase of the Property, in certain instances the purchase of the System Components could result in an insufficient appraised value or Buyer's lender may not otherwise agree to finance the purchase of the System Components. In either case, Buyer agrees to either (a) pay the additional cash funds necessary to facilitate the purchase of the Property and System Components, or (b) enter into the Solar Lease with System Owner.**

5.2 Maintenance/Warranties. If Buyer elects to purchase the System Components, at the Close of Escrow Buyer will own the System Components and be responsible for their operation and maintenance. The System Components that Buyer purchases will be subject to one or more limited warranties (described below).

6. **Solar Payment Election; Acknowledgement.** Buyer shall make its election to either (a) enter into a Solar Lease or (b) purchase the System Components as required by Section 3, not later than five (5) business days after the Effective Date of the Purchase Agreement ("**Election Date**") Buyer must make Buyer's election by completing, signing and delivering to Seller the Solar Payment Election Addendum attached to this Addendum by the Election Date. **If Buyer fails to deliver a completed signed Solar Payment Election Addendum to Seller on or before the Election Date, such failure shall constitute Buyer's conclusive election to enter into a Solar Lease with the System Owner.** By making Buyer's election, or having been deemed to have made an election, Buyer acknowledges and represents to Seller that (a) Buyer has received and read this Addendum, (b) Seller has offered and given Buyer a reasonable opportunity to evaluate this Addendum in order to make an informed decision on whether to enter into the Solar Lease or to purchase the System Components, (c) Seller has advised Buyer to consider consulting with legal and/or technical experts when deciding whether to enter into the Solar Lease or purchase the System Components, (d) Buyer has been provided with the Solar Lease or Solar Purchase Agreement, as applicable, in substantially the form to be signed by Buyer, (e) Buyer acknowledges that Seller's representatives

are not authorized to make any representations about the Solar System that are not contained in the written solar materials provided to Buyer by Seller and System Owner, and that Buyer has not relied on any representations made by Seller's representatives or any other agent or employee of the Seller about the System Components that differ from the written solar materials, and (f) Buyer has voluntarily decided to either enter into the Solar Lease or purchase the System Components as a result of Buyer's own investigations, evaluations and the recommendations of Buyer's own expert(s) and advisor(s).

7. **Preventing Solar System Shading & Solar Restrictions.** The Solar System generates energy by exposure to the sun, and a Solar System's production of energy will be reduced or even eliminated if trees or other obstructions are allowed to cause shading of the roof-top Solar System Components. In an effort to control the effect of shading from obstructions located on neighboring land developed by Seller, some or all of the homes in the Community may be subject to a recorded Solar Declaration of Covenants, Conditions and Restrictions or solar restrictions contained in other recorded documents ("**Solar Restrictions**") that prohibit the shading of roof-top Solar System Components. If Solar Restrictions have been recorded over the Property, the Solar Restrictions may reserve to the System Owner a right of entry, after notice, to cure the shading of any Solar Systems that are subject to a Solar Lease. The Solar Restrictions may also restrict the height of trees, structures and other improvements that cast a shadow over the roof-top Solar System Components ("**Prohibited Shading**"). If Solar Restrictions have been recorded and are applicable to the Property, Buyer will be provided a copy of the Solar Restrictions. Buyer is advised to fully read and understand the Solar Restrictions applicable to the Property and to consider the effect of the Prohibited Shading restrictions may have when making a decision to purchase the Property. A homeowner's association and other homeowners may have the right, but not the obligation, to enforce any recorded Solar Restrictions.

7.1 Solar Restrictions Effects and Limitations. If Solar Restrictions that contain a restriction against Prohibited Shading are recorded against the Property, because of the dimensions of the Property, the Property may not be large enough to accommodate (a) the planting of trees in the yard of the Property, (b) the construction of upper-floor additions or roof-top structures on the Property, and (c) the growth of some trees to mature height on the Property. The effect of recorded Solar Restrictions will be limited if neighboring land owned by others is not subject to the Solar Restrictions recorded by Seller, or subject to any other solar shading restrictions. Buyer should consider whether the Property or neighboring land is subject (or not subject) to solar shading restrictions when making a decision to purchase the Property. Neither System Owner, Seller, nor their sales representatives, affiliates or assigns, shall be liable for any Prohibited Shading on the Property caused by obstructions on the Property or on neighboring land. Buyer should consider this limitation when deciding to purchase the Property.

8. **Governmental Incentives.** Federal, State and local governmental jurisdictions may from time to time offer or make available to the owner of the System Components various tax credits or other financial incentives, excluding any State rebate paid to System Owner or Seller ("**Governmental Incentives**") for installing System Components that serve a residential dwelling. The types of Governmental Incentives made available, if any, may include a federal income tax credit for a portion of the cost of the System Components and similar tax credits and exemptions.

If Buyer elects to purchase the System Components, Buyer may be entitled to certain Governmental Incentives; however, if Buyer elects to enter into the Solar Lease, then the System Owner (and not Buyer) is entitled to any Governmental Incentives. The rules and requirements applicable to Governmental Incentives and their availability are subject to change at any time without notice or obligation, and particular Governmental Incentives may only be available for a limited time only. The Solar Lease contains provisions regarding the Governmental Incentives retained by the System Owner.

9. **Utility Company Incentives and Net Metering.** The installation of System Components that are interconnected with the transmission grid of the local electric utility (the "**Utility Company**"), and the production of Generated Electricity may entitle Buyer or the System Owner to renewable energy credits or other financial incentives ("**Utility Incentives**") from the Utility Company. The types of Utility Incentives made available may include (a) payment for solar renewable energy credits based upon the kilowatt hours of electricity generated by the Solar System and (b) credits or payments for excess electricity generated by the Solar System that is not consumed or stored at the Property under "net metering" however, Utility Incentives exclude any State rebate and any tax incentive paid directly to System Owner or Seller. Buyer understands that State of California's Net Energy Metering Program ("**NEM**") was significantly changed in 2023 ("**NEM 3.0**"). NEM 3.0 greatly reduced the overall savings and increased the payback period of home solar. Seller makes no representation or warranty to Buyer as to whether Buyer will receive credits or other financial incentives for the Solar System, and if so, whether Buyer's System will be subject to NEM 3.0 or a predecessor or future NEM program. It is Buyer's responsibility to understand what NEM will apply to the System, if any, and the impacts such NEM may have on Buyer and the Property. If Buyer elects to enter into the Solar Lease, the System Owner will retain or receive any available Utility Incentives, other than any credits or payments from the Utility Company for Generated Electricity that exceeds the electricity consumed or stored at the Property in a calendar month, subject to the Utility Company's terms and conditions, tariffs and applicable laws.

9.1 Processing Applications for Electric Utility Interconnection and Incentives. If the Generated Electricity exceeds the electricity consumed and stored at the Property, the excess energy is exported to the local electric transmission grid under the terms of an interconnection agreement for the Property with the Utility Company. Buyer agrees to sign and return to the System Owner within 10 business days of Buyer's receipt thereof, any such interconnection agreement and other documentation to the extent required for participation in the Utility Incentives program of the Utility Company or as may be required under the terms of the Solar Lease, including, without limitation, any Renewable Energy Credit Purchase Contract. The interconnection agreement must be approved by the Utility Company before the System may be activated, and the Utility Company may take sixty (60) or more days to approve an interconnection agreement after its submission to the Utility Company. Also under the terms of the interconnection

agreement, Buyer may be eligible to receive credits for the excess Generated Electricity exported to the grid. The terms of the interconnection agreement with the Utility Company are subject to change by the Utility Company. To obtain up-to-date information on the interconnection agreement, contact the Utility Company. The Utility Incentives program may also require Buyer to provide proof to the Utility Company that Buyer carries homeowner's liability insurance in an amount required by the Utility Company. If Buyer elects to enter into the Solar Lease with the System Owner, then Buyer also agrees to assign any Utility Incentives to the System Owner, other than (a) any credit or payment from the Utility Company for Generated Electricity that exceeds the electricity consumed and stored at the Property, or (b) any incentives offered by the Utility Company only to its customers and that may not be assigned. Buyer agrees to cooperate in good faith with Seller, the System Owner and the Utility Company to (i) activate the System, and (ii) implement this Section for participation in the Utility Incentives program and to execute any additional documents or take any additional action that is necessary or required by the Utility Company, Seller, the System Owner or the Solar Lease, in a timely manner in order to facilitate such participation.

9.2 System Activation Delay; System Disconnection. Buyer is solely responsible for all utility costs for the Property. If interconnection or activation of the Solar System for the Property is delayed by the Utility Company or any other cause, Buyer's initial electric utility costs before the Solar System is activated may be higher than Buyer's electric utility costs after the Solar System is activated. Notwithstanding the foregoing, Seller makes no representations that the electric utility costs after the Solar System is activated will be lower than Buyer's electric utility costs prior to the Solar System being activated. Solar System activation is beyond Seller's control. The Solar System is designed to generate and deliver electricity in conjunction with Utility Company's electric distribution system. If Utility Company's electric service to Buyer's Property is interrupted, the Solar System may shut down, and Utility Company may disconnect its electric service to the Property to protect its service personnel while restoring electric service.

10. Warranties and Performance.

10.1 System Warranties. Specified elements of the System Components will be subject to a limited warranties provided by System Owner and component manufacturers ("**Solar Warranties**") and not Seller. Warranties and performance guarantees are subject to written conditions set forth in the applicable limited warranty. Buyer's failure to comply with any such conditions may invalidate a warranty or performance guarantee for the System Components. Buyer may request from Seller a copy of the limited warranties from System Owner and manufacturer(s) for review before signing the Purchase Agreement.

10.2 Performance Conditions. The performance of the System Components will vary depending on a number of factors that are unique to the design of the Property and the System Components and to the use of electric power in Buyer's Property. As discussed below, Seller makes no performance guarantees or warranties to Buyer with respect to the System Components installed by System Owner, and Seller assumes no liability for the performance of the System Components or the performance of maintenance or warranty service on the System Components. Further, the System Components are intended for household purposes only and no generated electricity may be used to heat a swimming pool or spa, if applicable.

10.3 Batteries and Use of Power; Release of System Owner and Seller from Liability. This Section 10.3 applies if the System Components include a Battery System as indicated in Section 2 and confirmed in the Solar Lease or Solar Purchase Agreement (as applicable). System Owner shall have the right to remotely monitor and update the Battery System. If mishandled or damaged, the installed Battery System may become dangerous and could pose dangers related, but not limited to fire hazards, high-voltage hazards, and mechanical damage. Buyer should consult the Battery System manufacturer's warranty materials for handling and operation information. The Battery System will provide limited backup power in the event of a utility outage. Buyer acknowledges and agrees that only the energy in the Battery System, if any, at the time of a grid outage will be available to you for backup power services as well as any additional energy produced and charged by the solar system during that outage. Seller and System Owner provide no guarantee or warranty that Battery System backup capacity will be available without interruption during every power outage. Buyer acknowledges that the Battery System may not be sufficient to provide power to all of the appliances in the Property. Seller and System Owner will not be liable in the event the Battery System fails to provide backup power and Seller and System Owner Company disclaim any such liability irrespective of the reason for such failure, excluding only System Owner's liability from failure of the Battery System to provide backup power arising out of System Owner's gross negligence or willful misconduct. DO NOT DEPEND ON BATTERY BACKUP TO POWER LIFE SUPPORT OR OTHER MEDICAL EQUIPMENT. IF BUYER HAS CRITICAL MEDICAL EQUIPMENT POWER NEEDS DURING A POWER OUTAGE, CONTACT THE LOCAL EMERGENCY SERVICES OR DIAL 911.

10.4 No Guarantee of Savings, Performance or Benefits. Seller and System Owner have not and cannot guarantee the actual energy savings that will be achieved by any System Components. Actual savings produced, if any, will depend on factors beyond the control of Seller and System Owner including, but not limited to, the level of electricity use in the Property, weather conditions, shading, cleanliness of System Components, the presence of other lighting, and the System Components' design and operations. Further, Seller has not and cannot make any representations concerning the performance of the System Components including the Solar System Components and Battery System Components (if applicable), the performance of maintenance or warranty service by System Owner or the manufacturer(s) of the System Components, or the availability of any tax benefits, cash grants or rebates derived from the System Components. The warranties applicable to the System Components are provided by the System Owner and manufacturers and the System Components are expressly excluded from Seller's warranty on the Property described in the Purchase Agreement and provided to Buyer in connection with the Property.

11. **No Seller System Representations or Liability.**

11.1 **No Seller Representations or Warranties.** ALL TERMS OF THE PERFORMANCE, WARRANTIES AND OTHER ASPECTS OF THE SYSTEM COMPONENTS ARE SET FORTH IN THE WRITTEN MATERIALS PROVIDED TO BUYER BY SYSTEM OWNER OR ANY SYSTEM COMPONENTS MANUFACTURER. SELLER, ITS SALES ASSOCIATES, AFFILIATES AND REPRESENTATIVES DO NOT REPRESENT SYSTEM OWNER OR ANY SYSTEM MANUFACTURER. SELLER, ITS SALES ASSOCIATES, AFFILIATES AND REPRESENTATIVES HAVE NOT MADE ANY REPRESENTATIONS OR WARRANTIES TO BUYER OF ANY KIND, TYPE OR NATURE, EXPRESS OR IMPLIED, REGARDING THE SYSTEM COMPONENTS, INCLUDING BUT NOT LIMITED TO (A) SYSTEM COMPONENTS PERFORMANCE (INCLUDING ANY PERFORMANCE GUARANTEES) AND USEFUL LIFE OF THE SYSTEM COMPONENTS, (B) THE TERMS OF THE SYSTEM COMPONENTS LIMITED WARRANTY FROM SYSTEM OWNER OR THE MANUFACTURER'S WRITTEN WARRANTY (IF ANY), (C) MAINTENANCE OR WARRANTY SERVICE BY EITHER SYSTEM OWNER OR THE SYSTEM MANUFACTURER, (D) ENERGY COST SAVINGS, TAX BENEFITS, CASH GRANTS OR REBATES DERIVED FROM THE SYSTEM COMPONENTS, (E) THE FINANCIAL SOLVENCY OF SYSTEM OWNER, ANY AFFILIATE THEREOF, OR ANY MANUFACTURER OF THE SYSTEM, (F) ANY INFORMATION IN THE MARKETING MATERIALS OF SYSTEM OWNER OR ANY MANUFACTURER OF SYSTEM COMPONENTS, (G) THE EFFECT OF THE SYSTEM COMPONENTS AND ANY RELATED LEASE, SOLAR PURCHASE AGREEMENT OR OTHER RELATED DOCUMENTS IN THE EVENT OF SALE OR REFINANCING OF THE PROPERTY; AND (H) THE EFFECT OF ANY LEASE OR SOLAR PURCHASE AGREEMENT FOR THE SYSTEM COMPONENTS ON THE CREDIT RATING OF BUYER. ANY SUCH REPRESENTATIONS, GUARANTEES AND WARRANTIES ARE FROM SYSTEM OWNER OR SYSTEM MANUFACTURER, AND SELLER DISCLAIMS LIABILITY FOR ANY SUCH REPRESENTATIONS AND WARRANTIES.

11.2 **No Seller Maintenance, Warranty Service or Liabilities.** BUYER MUST LOOK SOLELY TO SYSTEM OWNER OR SYSTEM MANUFACTURER REGARDING THE SYSTEM COMPONENTS, INCLUDING MATTERS OF SYSTEM COMPONENTS PERFORMANCE, MATTERS OF SYSTEM COMPONENTS MAINTENANCE OR WARRANTY SERVICE, AND ANY CLAIMS OF SYSTEM COMPONENTS DEFECTS. TO THE FULLEST EXTENT PERMITTED BY LAW, SELLER AND ITS AFFILIATES ASSUME NO LIABILITY FOR (A) THE PERFORMANCE OF THE SYSTEM COMPONENTS, (B) THE PERFORMANCE OF MAINTENANCE OR WARRANTY SERVICE ON THE SYSTEM COMPONENTS, (C) DAMAGE TO THE PROPERTY CAUSED BY THE SYSTEM COMPONENTS OR SYSTEM OWNER OR ANY SYSTEM COMPONENTS MANUFACTURER'S MAINTENANCE, REPAIR OR REPLACEMENT THEREOF, (D) SYSTEM OWNER'S REMOTE MONITORING, UPDATING, CONTROLLING, CHARGING ENERGY TO, OR DISCHARGING ENERGY FROM, THE BATTERY SYSTEM (IF APPLICABLE), AND (E) THE INACCURACY OF INFORMATION PROVIDED BY SYSTEM OWNER AND REFERENCED HEREIN BY SELLER IN RELIANCE THEREON. TO THE FULLEST EXTENT PERMITTED BY THE LAW, THE SYSTEM COMPONENTS ARE NOT INCLUDED IN THE WARRANTY PROVIDED BY SELLER FOR THE PROPERTY.

11.3 **No Seller Liability for Information.** Seller has relied on System Owner with respect to the accuracy of the information provided in this Addendum, and Seller has no liability hereunder in the event such information is inaccurate.

11.4 **Seller Not a Party.** Seller, its Sales Associates, affiliates and representatives are not parties to or bound by any of the provisions of the Solar Lease or the Solar Purchase Agreement.

12. **Termination.** In the event the Close of Escrow occurs prior to the complete installation of the System Components and the activation of the Solar System, and such complete installation and activation does not occur within ninety (90) days from the Close of Escrow due to Buyer's failure to (i) sign the interconnection agreement or related documentation, or (ii) cooperate in the activation of the Solar System, as described in this Addendum, Seller may unilaterally cancel and terminate this Addendum without any further obligations or liabilities hereunder.

13. **Contact Information.** Buyer agrees to update the telephone number and other contact information provided to Seller and System Owner if that information changes and consents to System Owner using any wireless or landline telephone number, email address, or other contact information that the Buyer has provided or provides, using any reasonable means of communication, including texts and voice calls that are made from a device deemed an automatic telephone dialing system or using an artificial or prerecorded voice. However, Buyer may revoke this consent and the consent provided by this section is not a condition to the Buyer receiving services provided by System Owner.

14. **Counterparts.** This Addendum shall be validly executed when signed in counterpart; a complete set of which shall form a single document. Signatures may be given via electronic transmission and shall be deemed original and given as of the date and time of the transmission of this Addendum electronically to the other party.

15. **Conflicts.** In the event of any conflict between this Addendum and the Purchase Agreement and any addenda thereto, this Addendum shall control. In all other respects, the Purchase Agreement and all addenda thereto shall remain in full force and effect.

16. **Entire Agreement.** The Purchase Agreement, together with this Addendum and any other addenda and riders to the Purchase Agreement, contain the entire agreement between Buyer and Seller concerning the matters set forth herein. All prior discussions, negotiations and contracts, whether oral or written, are hereby superseded by these

documents. No addition to or modification of this Addendum or the Purchase Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized representative of Seller.

BUYER IS ADVISED TO TAKE WHATEVER STEPS ARE NECESSARY, INCLUDING CONSULTING WITH LEGAL OR OTHER ADVISORS, AND TO DIRECT ANY QUESTIONS RELATED TO THE SYSTEM COMPONENTS, SOLAR LEASE OR SOLAR PURCHASE AGREEMENT TO SYSTEM OWNER AND NOT SELLER'S REPRESENTATIVES, IN ORDER TO HAVE A FULL UNDERSTANDING OF THE SOLAR COMPONENTS, ANY TERMS AND CONDITIONS RELATED TO LEASE OR PURCHASE OF THE SYSTEM COMPONENTS AND THE IMPACT THE SOLAR LEASE MAY HAVE ON THE RESALE OF THE PROPERTY.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER:
Lennar Homes of California, LLC

a a California limited liability company

By _____
Title: Authorized Representative
Date Signed by Seller: _____

ATTACHMENT TO SOLAR ENERGY SYSTEM ADDENDUM-GAF ENERGY

SOLAR PAYMENT ELECTION ADDENDUM-GAF ENERGY

This **SOLAR PAYMENT ELECTION ADDENDUM - GAF ENERGY** (this "**Election Addendum**") is executed in conjunction with and, by this reference, incorporated into the Solar Energy System Addendum ("**Solar Addendum**") to the Purchase Agreement and Deposit Receipt and Escrow Instructions (the "**Purchase Agreement**") dated as of the seventh day of September, 2025, between (collectively, the "**Buyer**") and Seller, as defined in the Purchase Agreement, respecting Lot No. 91 of Building No. N/A of Tract No. 3968 in the City of Mountain House, County of San Joaquin, State of California, in the community known as Turano at Lake Shore (the "**Property**").

1. **Defined Terms.** All initially capitalized terms not defined herein shall have the meanings set forth in the Purchase Agreement and Solar Addendum, and all references in this Election Addendum to the Purchase Agreement shall be deemed to include references to this Election Addendum, the Solar Addendum and to any other addenda and riders attached to the Purchase Agreement, all of which are hereby incorporated by this reference.

2. **Solar Payment Election.** Buyer elects to: *[check only one box below]*

☐ If this box is checked, Buyer elects to enter into a Solar Lease and to lease the System Components from System Owner; or

☒ If this box is checked, Buyer elects to enter into a Solar Purchase Agreement to purchase the System Components from System Owner in the amount of \$29,788.00 to be paid to System Owner by and through the Close of Escrow. BUYER ACKNOWLEDGES, HOWEVER, THAT IF BUYER FINANCES THE PURCHASE OF THE PROPERTY, IN CERTAIN INSTANCES THE PURCHASE OF THE SYSTEM COMPONENTS COULD RESULT IN AN INSUFFICIENT APPRAISED VALUE OR BUYER'S LENDER MAY NOT OTHERWISE AGREE TO FINANCE THE PURCHASE OF THE SYSTEM COMPONENTS. IN EITHER CASE, BUYER AGREES TO EITHER (A) PAY THE ADDITIONAL CASH FUNDS NECESSARY TO FACILITATE THE PURCHASE OF THE PROPERTY, OR (B) ENTER INTO THE SOLAR LEASE WITH SYSTEM OWNER.

BUYER SHALL MAKE ITS ELECTION NO LATER THAN ON THE ELECTION DATE DEFINED IN THE SOLAR ADDENDUM. IF BUYER FAILS TO COMPLETE, SIGN AND DELIVER THIS ELECTION ADDENDUM TO SELLER ON OR BEFORE THE ELECTION DATE, SUCH FAILURE SHALL CONSTITUTE BUYER'S CONCLUSIVE ELECTION TO ENTER INTO A SOLAR LEASE WITH SYSTEM OWNER.

3. **Counterparts.** This Election Addendum shall be validly executed when signed in counterpart; a complete set of which shall form a single document. Signatures may be given via electronic transmission and shall be deemed original and given as of the date and time of the transmission of this Election Addendum electronically to the other party.

4. **Conflicts.** In the event of any conflict between this Election Addendum and the Purchase Agreement and any addenda thereto and the Solar Addendum, this Election Addendum shall control. In all other respects, the Purchase Agreement and all addenda thereto and the Solar Addendum shall remain in full force and effect.

5. **Entire Agreement.** The Purchase Agreement, together with this Election Addendum, the Solar Addendum and any other addenda and riders to the Purchase Agreement, contains the entire agreement between Buyer and Seller concerning the matters set forth herein. All prior discussions, negotiations and contracts, whether oral or written, are superseded by these documents. No addition or modification of this Election Addendum, the Solar Addendum or the Purchase Agreement shall be effective unless set forth in writing and signed by Buyer and an authorized representative of Seller.

Buyer - Alpeshkumar Lilidhar Suba
Date _____

Buyer - Ilaben Alpeshkumar Suba
Date _____

Buyer -
Date _____

Buyer -
Date _____

SELLER:
Lennar Homes of California, LLC

a a California limited liability company

By _____
Title: Authorized Representative
Date Signed by Seller: _____